

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available)

Mechanism	Conventional Generation	Renewables	Home Automation	Transmission and Distribution
Customer Care	Relationship Managers	Dedicated 9 seater Call center -Working Hours 365 Days - 8AM to 8PM Feedback Ratings obtained from customers after closure of each service Interventions	Call Center with dedicated Customer Service Desk. TAT tracked (FY23 = 32 hrs on Target of 44hrs)	Key Account Managers 24X7 Call Centres Customer Care Centres Field offices Post transactional feedback sought across touch points on closure Capturing feedback through Happy Calling SMS based feedback taken from customer
Website	https://www.tatapower.com/businesses/conventional-generation.aspx	https://www.tatapower.com/businesses/renewables.aspx with escalation matrix	https://www.tatapower.com/ezhome/	https://tdservices.tatapower.com/ Customer Chat bot – Roshni (TPDDL), TINA (Mumbai)
Consumer App	NA	Tata Power EZ Charge App Tata Power Solar Tata Power Solarroof	Tata Power EZ HOME Mobile App	TPCODL: TPCODL Mitra app TPNODL, TPWODL, TPSODL : My Tata Power Consumer App Mumbai: Tata Power Mumbai App Delhi: TPDDL Samvaad
Phone Number	1800-209-5161	Renewables - Tel +91 22 67171622 EZ Charge - 1800 209 5161 Solarroof – 1800 209 5161	SMS: "EZHOME" to 56677 WhatsApp: "Hi" to +91 8886659442 Toll Free: 1800-2-12345.	SMS Pull Services Tata Power Mumbai: 9223170707, Toll Free: 19123, Whatsapp: 7045116237 TPDDL: Toll Free: 19124 / 1800-208-9124 TPDDL: 7303482071 TPCODL: 1912/1800-345-7122 TPWODL: 1800 3456 798 TPSODL: 1800-345-6797 / 1912 TPNODL: 1800-345-6718
E-mail	NA	Renewables - renewables@tatapower.com EZ Charge - evchargercare@tatapower.com	EZ Home - ezhomesales@tatapower.com	Tata Power Mumbai: customercare@tatapower.com TPCODL: customercare@tpcentralodisha.com TPSODL: customercare@tpsouthernodisha.com TPNODL: customercare@tpnodl.com TPWODL: customercare@tpwesternodisha.com
Social Media and other platforms	Twitter, Facebook, WhatsApp, Instagram, LinkedIn, Letters, Microsoft Kaizala (Tata Power Mumbai)			

Business Responsibility and Sustainability Report

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

Home Automation	Mumbai Distribution	TPADL	TPCODL*	TPWODL*	TPNODL*	TPSODL*	TPDDL
Our Technical Videos (used for Product Installation) takes care of safety precautions while installing products and Product manual contain Safety Precautions and Correct wiring diagram while using products. Technical Videos are available on Youtube, Website and E-commerce platform	Awareness on social media platforms like Facebook, Twitter, LinkedIn, Instagram, Microsoft Kaizala Energy calculator on customer portal - www.cp.tatapower.com Various polls/quizzes through special drives marking Fire Service Week, National Safety Day, Energy Conservation Day, etc Through consumer connects during MILAN, Jan Jagruti sessions. Enerji Conservation Awareness sessions in schools through Enerji Club.	Jan Jagruti Abhiyan Advertisement on FM Radio Cable Operators meet Electrical Safety Week Awareness	Deployment of Surakhsha Sachetan Rath (LED Mobile vans) for public safety awareness covering more than 200 villages under model GPs Nukkad Natak conducted for public safety awareness by engaging NGOs Distributed Pamphlets on Dos and Don'ts on public safety awareness during various local festivals. Wall painting on public safety awareness message done on boundary walls Vinyl stickers on public safety pasted on vehicles for public safety awareness.	Safety awareness campaign through Gram Panchayat meets. Sharing Email to consumer on their registered Email ID through E-Care desk. Transformer Fencing	LED Van Video Display at villages to aware local public regarding electrical safety. Public awareness sessions in gram panchayats, villages and also for Self Help Group members. Demonstration on Fire extinguisher and electrical safety at schools and colleges.	Customer Connect Camps Awareness campaigns through social media platforms like TWITTER, Instagram, Facebook and Linked-in Advertisement through Mobile Van, Road shows, Digital display in Big Screens at Key square points	Conducting Safety awareness sessions in VT Centres and Government Schools. Safety awareness for General Public in JJ Clusters, through FM Radio, Resident Welfare Association (RWA) meetings. PISA (Public Installation Safety Audits) There are leakage checking drives across TPDDL every year during monsoon. This includes leakage checking of electrical poles, sub-station fencing, ATMs and Streetlight installations, etc.

***Odisha Discoms** - Elephant Corridor: A 24x7 Elephant Care Control Room has been set-up at Central Power Systems Control Centre (CPSCC), Bhubaneswar for appropriate response on getting the information of elephant movement through the forest department. Additional precautions are also being undertaken for ensuring the safe movement of elephants by periodic patrolling at elephant corridors with 'Elephant Movement Sensors' and with the help of forest department to prevent animal poaching through illegal hooking.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

Home Automation	Mumbai Distribution	TPADL	TPCODL	TPWODL	TPNODL	TPSODL	TPDDL
We have Unique Toll Free Number (1800-2-12345), Interactive Chat Bot (WhatsApp No 8886659442) and Web Site. Information about disruption can be updated on these system.	SMS communication to consumers. Shutdown notice to societies in case of planned maintenance.	Planned shutdown are shared through local newspaper	SMS or automated voice response or call through call centre, informing customer about possible discontinuation of service on non-payment of bill Assessment and booking for any energy theft and communicating the same to consumers/ public through Physical visits.	SMS or automated voice response or call through call centre, informing customer about possible disruption/ discontinuation of service on non-payment of bill. Assessment and booking for any energy theft and communicating the same to consumers/ public through Physical visits. Announcement of disconnection on nonpayment through Mobile Vans. Planned Outages prior announcement through SMS and mobile Vans.	Planned outage information through official website, SMS to consumers through Urja Mitra and WhatsApp information to KCG consumers Mike announcement in advance (1-2 days in prior) through mobile vehicles in areas to be affected during planned outages Disconnection notices for unpaid amounts and theft booking cases.	Mike announcement at local level Information at Contact Center Schedule Power Outage info in the web site SMS alert [its partially available in 1 out of 6 Circle]	Planned shutdown and disruptions are shared through SMS Website - Please enter your Customer Account number to view details of all Current and Scheduled Outages for the next 2 days.

4. **Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief.**

No products are being sold in Discoms. Hence, the product information required to be provided over and above what is mandated as per local laws is not applicable.

Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/ No)

Yes, the details of the survey are as follows:

Home Automation	Mumbai Distribution	TPADL	TPCODL	TPWODL	TPNODL	TPSODL	TPDDL
We provide serial no, wiring diagram as additional information. We carry out survey regard to Customer Satisfaction related to major products. There are various categories through Customer satisfaction is tracked like Happy Calling, E commerce rating, Channel Partner Rating and Mobile application Ratings on a scale of 5. Happy Calling - 4.05 E-commerce rating- 3.85 CP rating - 4.23 Application Rating IOS Rating - 4.3 Android rating- 4.9 Overall : 4.266	Customer Satisfaction Survey (CSAT) carried out in FY22 (CSAT rating of 99% achieved)	Yearly Customer satisfaction survey carried out.	Yearly Customer satisfaction survey carried out. In order to provide customers with all the information they need on New Connection, Regulation, Safety Tips, Energy Conservation Advice, etc., we have built a 24x7 call centre, 14 customer care centres, website, mobile application, social media, and all of the field offices.	In order to provide customers with all the information they need on New Connection, Regulation, Safety Tips, Energy Conservation Advice, etc., we have built a 24x7 call centre, 14 customer care centre, website, mobile application, 24*7social media desk and Fuse call centres. Third party CSAT score of 96%.	Consumer feedbacks are captured through various platforms and forums - JAGRUTHI- Consumers interactive sessions VARTHALAAP- Live interactive sessions with Social media Opinion makers SAMBANDH- Consumer Connect @ Customer Care Centre Walk in Feedback- Written feedback in register at customer care centre for the walk in consumers Positive feedback/ satisfied score is at 83.29%. 3rd Party Agency has already taken been on board to conduct CSAT Surveys (Consumer Satisfaction Survey) and will be commenced from Q-3 FY24.	Service details are available in website: www.tpsouthernodisha.com CSAT survey for HT and EHT consumer have been done by external agency in FY 23 for the entire entity.	The surveys are carried out annually for the entity as a whole

5. **Provide the following information relating to data breaches:**

- Number of instances of data breaches along-with impact: Nil
- Percentage of data breaches involving personally identifiable information of customers: Nil

Independent Auditor's Report

To the Members of The Tata Power Company Limited

Report on the Audit of the Standalone Ind AS Financial Statements

Opinion

We have audited the accompanying standalone Ind AS financial statements of The Tata Power Company Limited ("the Company"), which comprise the Balance sheet as at March 31, 2023, the Statement of Profit and Loss, including the statement of Other Comprehensive Income, the Cash Flow Statement and the Statement of Changes in Equity for the year then ended, and notes to the standalone Ind AS financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone Ind AS financial statements give the information required by the Companies Act, 2013, as amended ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2023, its profit including other comprehensive income, its cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the standalone Ind AS financial statements in accordance with the Standards on Auditing (SAs), as specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the 'Auditor's

Responsibilities for the Audit of the Standalone Ind AS Financial Statements' section of our report. We are independent of the Company in accordance with the 'Code of Ethics' issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the standalone Ind AS financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the standalone Ind AS financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone Ind AS financial statements for the financial year ended March 31, 2023. These matters were addressed in the context of our audit of the standalone Ind AS financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have determined the matters described below to be the key audit matters to be communicated in our report. We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the standalone Ind AS financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the standalone Ind AS financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying standalone financial statements

Key audit matters	How our audit addressed the key audit matter
Management's assessment of appropriateness of Going Concern assumption (as described in Note 43.4.3 of the standalone Ind AS financial statements)	
The Company has current liabilities of ₹ 18,455.20 crore and current assets of ₹ 5,589.89 crore as at March 31, 2023. Current liabilities exceed current assets as at the year end. Given the nature of its business i.e. contracted long term power supply agreements and composition of cost plus contracts leading to stability of cashflows, the Company uses significant short term borrowings to reduce its borrowing costs. Management has made an assessment of the Company's ability to continue as a Going Concern as required by Ind AS 1 Presentation of Financial Statements considering all the available information. Going Concern assessment has been identified as a key audit matter considering the significant judgements and estimates involved in the assessment and its dependence upon management's ability to complete the planned divestments, raising long term capital and / or successful refinancing of certain current financial obligations.	Our procedures included the following: - Obtaining an understanding of the process which includes approval of annual business plan, raising short term borrowings and review of management reporting; - Discussing with management and assessing the assumptions, judgements and estimates used in developing business plan and cash flow projections having regards to past performance and current emerging business trends affecting the business and industry; - Assessing the consistency of the cashflow projections with our expectations based on our understanding of the Company's business; - Assessing the Company's ability to refinance its short-term obligation based on the past trends, credit ratings, analysis of solvency and liquidity ratios and ability to generate cash flows and access to capital; - Assessing the disclosures in the standalone Ind AS financial statements.

Key audit matters	How our audit addressed the key audit matter
Revenue recognition and accrual of regulatory deferrals (as described in Note 19, Note 31, Note 40(a), (b), (c) and (e) of the standalone Ind AS financial statements)	
In the regulated generation, transmission and distribution business of the Company, tariff is determined by the regulator on cost plus return on equity basis wherein the cost is subject to prudential norms. The Company invoices its customers on the basis of pre-approved tariff which is based on budget and is subject to true up. The Company recognizes revenue as the amount invoiced to customers based on pre-approved tariff rates agreed with regulator. As the Company is entitled to a fixed return on equity, the difference between the revenue recognized and entitlement as per the regulation is recognized as regulatory assets / liabilities. The Company has recognized ₹ 1,578.01 crore for generation and transmission business and ₹ 1,913.22 crore for distribution business as accruals as at March 31, 2023. Accruals are determined based on tariff regulations and past tariff orders and are subject to verification and approval by the regulators. Further the costs incurred are subject to prudential checks and prescribed norms. Significant judgements are made in determining the accruals including interpretation of tariff regulations. As at March 31, 2023, the total outstanding amount under litigation in relation to the Mumbai Regulatory business is ₹1,566.88 crore. Mundra power plant: The Company sells power to customers in accordance with the long-term Power Purchase Agreement (PPA) entered into with them. As per the PPA, the Companies entitlement to capacity revenue is dependent on availability declared. Accordingly, the Company accrues capacity revenue based on the actual declared capacity. During the current year, the Company has supplied power to customers under various arrangements and certain matters under such arrangements are under litigation. As at March 31, 2023, the total outstanding amount under litigation in relation to the Mundra Plant is ₹ 1,445.79 crore. However, based on management assessment, legal opinion obtained for some disputed matters and favourable orders by the Regulatory Authorities in respect of disputed matters, management believes that no significant reversal of revenue is expected. Revenue recognition and accrual of regulatory deferrals is a key audit matter considering the significance of the amount, interpretation of clauses in PPA and tariff regulations and significant judgements involved in the determination of revenue and regulatory accruals.	Our procedures included the following: - Read the Company's accounting policies with respect to revenue recognition and accrual of regulatory deferrals and assessing its compliance with Ind AS 114 "Regulatory Deferral Accounts" and Ind AS 115 "Revenue from Contract with Customers"; - Performing test of controls over revenue recognition and accrual of regulatory deferrals through inspection of evidence of performance of these controls; - Performing substantive audit procedures including: - Read the executed PPAs with the customer, tariff regulations and tariff orders and evaluating relevant clauses to understand management's assessment of the Company's right vis-a-vis the customers; - Evaluating the key assumptions used by the Company by comparing it with prior years, past precedents and the legal opinion obtained by the management; - Considering the independence, objectivity and competence of management's expert; - Assessing management's evaluation of the likely outcome of the key disputes based on past precedents and / or advice of management's expert; - Assessing the impact recognized by the Company in respect of tariff orders received, revenue adjustment on account of actual declared capacity and revenue recognized based on ongoing discussion in relation to proposed amendments in PPA; - Reading the legal opinion obtained by the management for assessing the Company's right with respect to power supply to customer for the period wherein terms of PPA are under discussion; - Assessing the disclosures in accordance with the requirements of Ind AS 114 "Regulatory Deferral Accounts" and Ind AS 115 "Revenue from Contract with Customers".

Independent Auditor's Report

Key audit matters	How our audit addressed the key audit matter
Impairment of assets (as described in Note 5a, 5b and 5c of the standalone Ind AS financial statements)	
At the end of every reporting period, the Company assesses whether there is any indication that an asset or cash generating unit (CGU) may be impaired. If any such indication exists, the Company estimates the recoverable amount of the asset or CGU. The determination of recoverable amount, being the higher of fair value less costs to sell and value-in-use involves significant estimates, assumptions and judgements of the long-term financial projections. The Company is carrying impairment provision amounting to ₹ 310.94 crore with respect to Mundra CGU (comprising of Mundra power plant, investment in companies owning coal mines and related infrastructure), ₹ 552.91 crore for investment in Company owning hydro power plant in Georgia and ₹ 100.00 crore with respect to a generating unit in Trombay. During the year, as the indication exists, the Company has reassessed its impairment assessment with respect to the specified CGUs and no additional impairment provisions has been created. . Impairment of assets is a key audit matter considering the significance of the carrying value, estimations and the significant judgements involved in the impairment assessment including projected generation, coal prices, exchange rate, energy prices post power purchase agreement period and weighted average cost of capital.	Our procedures included the following: • Read the Company's accounting policies with respect to impairment in accordance with Ind AS 36 "Impairment of assets"; • Performing test of controls over key financial controls related to accounting, valuation and recoverability of assets through inspection of evidence; • Performing substantive audit procedures including: - o Obtaining the management's impairment assessment; - o Evaluating the key assumptions including projected generation, coal prices, exchange rate, energy prices post power purchase agreement period and weighted average cost of capital by comparing them with prior years and external data, where available; - o Obtaining and evaluating the sensitivity analysis; • Assessing the disclosures in accordance with the requirements of Ind AS 36 "Impairment of assets".

Other Information

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual report, but does not include the standalone Ind AS financial statements and our auditor's report thereon.

Our opinion on the standalone Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone Ind AS financial statements, our responsibility is to read the other information and, in doing so, consider whether such other information is materially inconsistent with the standalone Ind AS financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management for the Standalone Ind AS Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these standalone Ind AS financial statements that give a true and fair view of the financial position, financial performance

including other comprehensive income, cash flows and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone Ind AS financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the standalone Ind AS Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone Ind AS financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone Ind AS financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone Ind AS financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to standalone Ind AS financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone Ind AS financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the standalone Ind AS financial statements, including the disclosures, and whether the standalone Ind AS financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone Ind AS financial statements for the financial year ended March 31, 2023 and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the "Annexure 1" a statement on the matters specified in paragraphs 3 and 4 of the Order.
2. As required by Section 143(3) of the Act, we report that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - (b) In our opinion, proper books of account as required by law have been kept by the Company, in electronic mode on servers physically located in India so far as it appears from our examination of those books except that we were unable to verify the back up of books of accounts maintained in electronic mode for the period from August 5, 2022 to January 12, 2023, as necessary logs in respect of such period are not available with the company as stated in note 51 to the standalone Ind AS financial statements;
 - (c) The Balance Sheet, the Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Cash Flow Statement and Statement of Changes in

Independent Auditor's Report

Equity dealt with by this Report are in agreement with the books of account;

- (d) In our opinion, the aforesaid standalone Ind AS financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended;
- (e) On the basis of the written representations received from the directors as on March 31, 2023 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2023 from being appointed as a director in terms of Section 164 (2) of the Act;
- (f) The qualification relating to the maintenance of accounts and other matters connected therewith are as stated in paragraph (b) above;
- (g) With respect to the adequacy of the internal financial controls with reference to these standalone Ind AS financial statements and the operating effectiveness of such controls, refer to our separate Report in "Annexure 2" to this report;
- (h) In our opinion, the managerial remuneration for the year ended March 31, 2023 has been paid / provided by the Company to its directors in accordance with the provisions of section 197 read with Schedule V to the Act;
- (i) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company has disclosed the impact of pending litigations on its financial position in its standalone Ind AS financial statements – Refer Note 39 and 40 to the standalone Ind AS financial statements;
 - ii. The Company has made provision, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts – Refer Note 11 and 25 to the standalone Ind AS financial statements;
 - iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company;
 - iv. a) The management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other persons or

entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

b) The management has represented that, to the best of its knowledge and belief, no funds have been received by the Company from any persons or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

c) Based on such audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (a) and (b) contain any material misstatement.

- v. The final dividend paid by the Company during the year in respect of the same declared for the previous year is in accordance with section 123 of the Act to the extent it applies to payment of dividend.

As stated in note 21 to the standalone Ind AS financial statements, the Board of Directors of the Company have proposed final dividend for the year which is subject to the approvals of the members at the ensuing Annual General Meeting. The dividend declared is in accordance with section 123 of the Act to the extent it applies to declaration of dividend.

- vi. As proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 is applicable for the Company only w.e.f. April 1, 2023, reporting under this clause is not applicable.

For S R B C & CO LLP
Chartered Accountants
ICAI Firm Registration Number: 324982E/E300003

per Abhishek Agarwal
Partner

Place of Signature: Mumbai
 Date: May 4, 2023

Membership Number: 112773
 UDIN: 23112773BGRIEQ2255

Annexure 1 referred to in paragraph under the heading “Report on Other Legal and Regulatory Requirements” of our report of even date of The Tata Power Company Limited (“the Company”)

In terms of the information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

- (i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.
- (a) (B) The Company has maintained proper records showing full particulars of intangibles assets.
- (b) All fixed assets have not been physically verified by the management during the year but there is a regular programme of verification which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. No material discrepancies were noticed on such verification.
- (c) The title deeds of immovable properties (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee) disclosed in note 5a, 5b and note 18a to the standalone Ind AS financial statements are held in the name of the Company except those as indicated in the below mentioned cases as at March 31, 2023 for which title deeds / lease arrangements are not in name of the Company.

Description of Property	Gross carrying value (₹ in crores)	Held in the name of	Whether promoter, director or their relative or employee	Period held – indicate range, where appropriate	Reason for not being held in the name of Company
Land at Dehrand*	225.65	Maharashtra Industrial Development Corporation (MIDC)	No	Since 2015 till date	The land was acquired from MIDC; which the Company is now in process of selling it back to MIDC. Hence, not transferred in the name of the Company.
Land at Mundra – 0.51 hectares	0.09	Sushilaba Fatehsinh Zala	No	Since 2009 till date	It is an agricultural land which is not converted to non-agricultural land and hence title deed is not registered in the name of the Company
Land at Haldia – 6.99 acres	4.18	Tata Steel Limited (TSL)	No	Since 2009 till date	Ongoing arbitration between TSL and Kolkata Port Trust

* Asset classified as held for sale

Certain title deeds of the immovable properties, in the nature of freehold land and buildings, as indicated in the below mentioned cases, which were acquired pursuant to a Composite Scheme of Arrangement of merger between Coastal Gujarat Power Limited and The Tata Power Company Limited approved by National Company Law Tribunal's (NCLT) Order dated March 31, 2022, and Scheme of Amalgamation of Chemical Terminal Trombay Limited and The Tata Power Company Limited approved by NCLT order dated July 27, 2017, are not individually held in the name of the Company as on March 31, 2023.

Description of Property	Gross carrying value (₹ in crores)	Held in the name of	Whether promoter, director or their relative or employee	Period held – indicate range, where appropriate	Reason for not being held in the name of Company
Land of erstwhile Chemical Terminal Trombay Ltd.	0.88	Chemical Terminal Trombay Ltd.(CTTL)	No	2014 to till date	Land is in name of erstwhile company.
Land and Building of Mundra power plant	872.70	Coastal Gujarat Power Limited (a wholly owned subsidiary)	No	Since April 1, 2020 till date	Land and Building are in name of erstwhile company

- (d) The Company has not revalued its Property, Plant and Equipment (including Right of use assets) or intangible assets during the year ended March 31, 2023.
- (e) There are no proceedings initiated or are pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder
- ii. (a) The management has conducted physical verification of inventory at reasonable intervals during the year. In our opinion the coverage and the procedure of such verification by the management is appropriate. No discrepancies of 10% or more in aggregate for each class of inventory were noticed on such physical verification.
- (b) The Company has been sanctioned working capital limits in excess of ₹ five crores in aggregate from banks and / or financial institutions during the year on the basis of security of current assets of the Company. Based on the records examined by us in the normal course of audit of the standalone Ind AS financial statements, the quarterly returns / statements filed by the Company with such banks and financial institutions are in agreement with the books of accounts of the Company.
- iii. (a) During the year the Company has provided loans and stood guarantee to the companies as follows:

(₹ in crores)

Particulars	Guarantees	Security	Loans	Advances in nature of loans
Aggregate amount granted / provided during the year				
- Subsidiaries	1,311.10	Nil	41.11	Nil
Balance outstanding as at balance sheet date in respect of above cases				
- Subsidiaries	5,143.26	Nil	Nil	Nil

- (b) During the year, the investments made, guarantees provided, security given and the terms and conditions of the grant of all loans and advances in the nature of loans and guarantees to companies, firms, limited liability partnerships or any other parties are not prejudicial to the Company's interest.
- (c) The Company has granted loans during the year to companies where the schedule of repayment of principal and payment of interest has been stipulated and the repayment or receipts are regular.
- (d) There are no amounts of loans and advances in the nature of loans granted to companies, firms, limited liability partnerships or any other parties which are overdue for more than ninety days.
- (e) The Company had granted loans to companies which had fallen due during the year and Company had extended / granted fresh loans during the year to the respective parties to settle the dues of the existing loans.

The aggregate amount of such dues extended / settled by fresh loans and the percentage of the aggregate to the total loans granted during the year are as follows:

(₹ in crore)

Name of Parties (Subsidiaries)	Aggregate amount of overdues of existing loans renewed or extended or settled by fresh loans
Tata Power Green Energy Limited	9.15
TP Saurya Limited	4.19
TP Kirnali Limited	118.08
Percentage of the aggregate to the total loans or advances in the nature of loans granted during the year	7.22%

- (f) The Company has not granted any loans or advances in the nature of loans, either repayable on demand or without specifying any terms or period of repayment to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(f) of the Order is not applicable to the Company.

- iv. There are no loans, investments, guarantees, and security in respect of which provisions of sections 185 and 186 of the Companies Act, 2013 are applicable and accordingly, the requirement to report on clause 3(iv) of the Order is not applicable to the Company.
- v. The Company has neither accepted any deposits from the public nor accepted any amounts which are deemed to be deposits within the meaning of sections 73 to 76 of the Companies Act and the rules made thereunder, to the extent applicable. Accordingly, the requirement to report on clause 3(v) of the Order is not applicable to the Company.
- vi. We have broadly reviewed the books of account maintained by the Company pursuant to the rules made by the Central Government for the maintenance of cost records under section 148(1) of the Companies Act, 2013, related to the generation of electricity, and are of the opinion that prima facie, the specified accounts and records have been made and maintained. We have not, however, made a detailed examination of the same.
- vii. (a) The Company is generally regular in depositing with appropriate authorities undisputed statutory dues including goods and services tax, provident fund, employees' state insurance, income-tax, sales-tax, service tax, duty of customs, duty of excise, value added tax, cess and other statutory dues applicable to it. According to the information and explanations given to us and based on audit procedures performed by us, no undisputed amounts payable in respect of these statutory dues were outstanding, at the year end, for a period of more than six months from the date they became payable.
- (b) The dues of goods and service tax, provident fund, employees' state insurance, income-tax, sales-tax, service tax, duty of customs, duty of excise, value added tax, cess and other statutory dues have not been deposited on account of any dispute, are as follows:

Name of the statute	Nature of the dues	Amount (₹ in crore)	Period to which the amount relates	Forum where the dispute is pending
The Customs Act, 1961	Customs Duty	34.43	2011-12 and 2012-13	The Customs Excise and Service Tax Appellate Tribunal (CESTAT)
		0.31	2004-05 and 2005-06	CESTAT
		23.87*	2011-12 and 2012-13	Supreme Court
The Water (Prevention & Control of Pollution) Cess Act 1977	Cess	2.08	2009-10	Chairman, Maharashtra Pollution Control Board (MPCB)
Income Tax Act, 1961	Income Tax	0.20	2009-10	Commissioner of Income Tax (Appeals)
		65.08	2010-11	Supreme Court
		0.09	2014-15	Income Tax Appellate Tribunal
		7.58	2018-19	Commissioner of Income Tax (Appeals)
	Tax deducted at source (TDS)	40.15#	2016-17	Commissioner of Income Tax (Appeals)
The Finance Act, 1994	Service Tax	375.29	July 2012 to June 2017	High Court
		5.86	2011-12 to 2014-15	CESTAT
		0.25	2007-08	Joint Commissioner (Appeals)
Green Cess Act, 2011	Green Cess	488.35	2011-12 to 2021-22	Supreme Court
Mumbai Municipal Corporation Act, 1888	Property Tax	0.99	2015-16	Supreme Court

* net of amount paid under protest of ₹ 52.45 crores for Custom Duty

net of amount paid under protest of ₹ 10.04 crores for TDS liability

- viii. The Company has not surrendered or disclosed any transaction, previously unrecorded in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year. Accordingly, the requirement to report on clause 3(viii) of the Order is not applicable to the Company.

- ix. (a) The Company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.
- (b) The Company has not been declared wilful defaulter by any bank or financial institution or government or any government authority.
- (c) Term loans were applied for the purpose for which the loans were obtained.
- (d) On an overall examination of the standalone Ind AS financial statements of the Company, the Company has used funds raised on short-term basis in the form of short-term loans, cash credits from banks, commercial papers, inter corporate deposits and other financial liabilities aggregating to ₹ 6,583.87 crore for long-term purposes.
- (e) On an overall examination of the standalone Ind AS financial statements of the Company, the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures.
- (f) The Company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies. Hence, the requirement to report on clause (ix)(f) of the Order is not applicable to the Company.
- x. (a) The Company has not raised any money during the year by way of initial public offer / further public offer (including debt instruments) hence, the requirement to report on clause 3(x)(a) of the Order is not applicable to the Company.
- (b) The Company has not made any preferential allotment or private placement of shares / fully or partially or optionally convertible debentures during the year under audit and hence, the requirement to report on clause 3(x)(b) of the Order is not applicable to the Company.
- xi. (a) No fraud by the Company and no material fraud on the Company has been noticed or reported during the year.
- (b) During the year, no report under sub-section (12) of section 143 of the Companies Act, 2013 has been filed by the cost auditor or secretarial auditor or by us in Form ADT – 4 as prescribed under Rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.
- (c) We have taken into consideration the whistle blower complaints received by the Company during the year while determining the nature, timing and extent of audit procedures.
- xii. The Company is not a nidhi Company as per the provisions of the Companies Act, 2013. Therefore, the requirement to report on clause 3(xii) of the Order is not applicable to the Company.
- xiii. Transactions with the related parties are in compliance with sections 177 and 188 of Companies Act, 2013 where applicable and the details have been disclosed in the notes to the financial statements, as required by the applicable accounting standards.
- xiv. (a) The Company has an internal audit system commensurate with the size and nature of its business.
- (b) The internal audit reports of the Company issued till the date of the audit report, for the period under audit have been considered by us.
- xv. The Company has not entered into any non-cash transactions with its directors or persons connected with its directors and hence requirement to report on clause 3(xv) of the Order is not applicable to the Company.
- xvi. (a) The provisions of section 45-IA of the Reserve Bank of India Act, 1934 (2 of 1934) are not applicable to the Company. Accordingly, the requirement to report on clause (xvi)(a) of the Order is not applicable to the Company.
- (b) The Company has not conducted any Non-Banking Financial or Housing Finance activities without obtaining a valid Certificate of Registration (CoR) from the Reserve Bank of India as per the Reserve Bank of India Act, 1934.
- (c) The Company is not a Core Investment Company as defined in the regulations made by Reserve Bank of India. Accordingly, the requirement to report on clause 3(xvi)(c) of the Order is not applicable to the Company.
- (d) The Group has five CICs which are registered with the Reserve Bank of India and one CIC which is not required to be registered with the Reserve Bank of India as per the Reserve Bank of India Act, 1934.
- xvii. The Company has not incurred cash losses in the current and immediately preceding financial year.

- xviii. There has been no resignation of the statutory auditors during the year and accordingly requirement to report on Clause 3(xviii) of the Order is not applicable to the Company.
- xix. On the basis of the financial ratios disclosed in note 44 to the standalone Ind AS financial statements, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the standalone Ind AS financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.
- xx. (a) In respect of other than ongoing projects, there are no unspent amounts that are required to be transferred to a fund specified in Schedule VII of the Companies Act (the Act), in compliance with second proviso to sub section 5 of section 135 of the Act. This matter has been disclosed in note 35 of the standalone Ind AS financial statements.
- (b) There are no unspent amounts in respect of ongoing projects, that are required to be transferred to a special account in compliance of provision of sub section (6) of section 135 of Companies Act. This matter has been disclosed in note 35 of the standalone Ind AS financial statements.

For **S R B C & COLLP**

Chartered Accountants

ICAI Firm Registration Number: 324982E/E300003

per **Abhishek Agarwal**

Partner

Membership Number: 112773

UDIN: 23112773BGRIEQ2255

Place of Signature: Mumbai

Date: May 4, 2023

Annexure 2 to the Independent Auditor's Report of even date on the Standalone Ind AS financial statements of The Tata Power Company Limited

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls with reference to standalone Ind AS financial statements of The Tata Power Company Limited ("the Company") as of March 31, 2023 in conjunction with our audit of the standalone Ind AS financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's Management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") issued by the Institute of Chartered Accountants of India (the "ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to these standalone Ind AS financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, as specified under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls, both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to these standalone Ind AS financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to these standalone Ind AS financial statements and their operating effectiveness. Our audit of internal financial controls with reference to standalone Ind AS financial statements included obtaining an understanding of internal financial controls with reference to these standalone Ind AS financial statements,

assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to these standalone Ind AS financial statements.

Meaning of Internal Financial Controls With Reference to these Standalone Ind AS Financial Statements

A company's internal financial controls with reference to standalone Ind AS financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of standalone Ind AS financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to standalone Ind AS financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of standalone Ind AS financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the standalone Ind AS financial statements.

Inherent Limitations of Internal Financial Controls With Reference to Standalone Ind AS Financial Statements

Because of the inherent limitations of internal financial controls with reference to standalone Ind AS financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to standalone Ind AS financial statements to future periods are subject to the risk that the internal financial control with reference to standalone Ind AS financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to standalone Ind AS financial statements and such internal financial controls with reference to standalone Ind AS financial statements were operating effectively as at March 31, 2023, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note issued by the ICAI.

For **SRBC & CO LLP**
Chartered Accountants
ICAI Firm Registration Number: 324982E/E300003

per **Abhishek Agarwal**
Partner

Place of Signature: Mumbai
Date: May 4, 2023

Membership Number: 112773
UDIN: 23112773BGRIEQ2255

Standalone Balance Sheet

as at March 31, 2023

	Notes	Page	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
ASSETS				
Non-Current Assets				
(a) Property, Plant and Equipment	5a	295	20,778.35	20,874.79
(b) Right of Use Assets	5b	299	2,921.24	2,833.74
(c) Capital Work-in-Progress	6	302	1,272.56	965.15
(d) Intangible Assets	5c	301	22.46	37.43
(e) Financial Assets				
(i) Investments	7	304	12,064.55	10,711.38
(ii) Loans	9	310	2.68	453.17
(iii) Finance Lease Receivables	10	312	475.29	520.91
(iv) Other Financial Assets	11	313	77.88	97.30
(f) Deferred Tax Assets (Net)	26	330	Nil	250.00
(g) Non-Current Tax Assets (Net)	12	314	610.60	338.00
(h) Other Non-Current Assets	13	314	1,847.64	1,649.45
Total Non-Current Assets			40,073.25	38,731.32
Current Assets				
(a) Inventories	14	315	2,457.95	2,292.33
(b) Financial Assets				
(i) Investments	15	315	64.17	67.60
(ii) Trade Receivables	8	308	1,904.34	1,026.65
(iii) Unbilled Revenue			66.56	58.86
(iv) Cash and Cash Equivalents	16	316	274.47	57.36
(v) Bank Balances other than (iv) above	17	317	21.45	21.19
(vi) Loans	9	310	Nil	1,328.48
(vii) Finance Lease Receivables	10	312	50.00	42.61
(viii) Other Financial Assets	11	313	504.70	1,987.03
(c) Other Current Assets	13	314	246.25	213.49
Total Current Assets			5,589.89	7,095.60
Assets Classified as Held For Sale	18a	317	596.35	600.56
Total Assets before Regulatory Deferral Account			46,259.49	46,427.48
Regulatory Deferral Account - Assets	19	318	1,913.22	725.92
TOTAL ASSETS			48,172.71	47,153.40
EQUITY AND LIABILITIES				
Equity				
(a) Equity Share Capital	20a	319	319.56	319.56
(b) Other Equity	21	321	13,380.03	10,560.24
Total Equity			13,699.59	10,879.80

Standalone Balance Sheet

as at March 31, 2023 (Contd.)

	Notes	Page	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Liabilities				
Non-Current Liabilities				
(a) Financial Liabilities				
(i) Borrowings	22	323	11,272.30	18,087.97
(ia) Lease Liabilities	23	326	2,735.93	2,555.11
(ii) Other Financial Liabilities	25	329	133.65	13.07
(b) Deferred Tax Liabilities (Net)	26	330	617.29	Nil
(c) Provisions	27	330	285.94	274.00
(d) Other Non-Current Liabilities	28	338	859.25	757.15
Total Non-Current Liabilities			15,904.36	21,687.30
Current Liabilities				
(a) Financial Liabilities				
(i) Borrowings	29	338	10,593.18	6,620.41
(ia) Lease Liabilities	23	326	318.45	303.76
(ii) Trade Payables				
(a) Total outstanding dues of micro enterprises and small enterprises	24	328	87.61	39.16
(b) Total outstanding dues of trade payables other than micro enterprises and small enterprises	24	328	1,897.41	4,040.73
(iii) Other Financial Liabilities	25	329	4,681.89	2,761.44
(b) Current Tax Liabilities (Net)	30	339	197.79	107.67
(c) Provisions	27	330	17.76	44.59
(d) Other Current Liabilities	28	338	661.11	554.98
Total Current Liabilities			18,455.20	14,472.74
Liabilities directly associated with Assets Classified as Held For Sale	18b	318	113.56	113.56
Total Liabilities			34,473.12	36,273.60
TOTAL EQUITY AND LIABILITIES			48,172.71	47,153.40
See accompanying notes to the Standalone Financial Statements				

As per our report of even date

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration No.324982E/E300003

per ABHISHEK AGARWAL

Partner

Membership No. 112773

Mumbai, May 4, 2023

For and on behalf of the Board,

PRAVEER SINHA

CEO & Managing Director

DIN 01785164

SANJEEV CHURIWALA

Chief Financial Officer

Mumbai, May 4, 2023

SAURABH AGRAWAL

Director

DIN 02144558

HANOZ M. MISTRY

Company Secretary

Standalone Statement of Profit and Loss

for the year ended March 31, 2023

	Notes	Page	For the year ended March 31, 2023	For the year ended March 31, 2022
			₹ crore	₹ crore
I Revenue from Operations	31	339	17,727.78	11,107.93
II Other Income	32	344	4,085.39	2,987.11
III Total Income			21,813.17	14,095.04
IV Expenses				
Cost of Power Purchased			1,395.16	797.64
Cost of Fuel			12,023.79	6,569.00
Transmission Charges			260.02	258.84
Employee Benefits Expense	33	345	746.17	737.59
Finance Costs	34	345	2,226.60	2,188.94
Depreciation and Amortisation Expenses	5d	302	1,167.47	1,134.23
Other Expenses	35	346	1,691.26	1,197.46
Total Expenses			19,510.47	12,883.70
V Profit/(Loss) Before Movement in Regulatory Deferral Balance, Exceptional Items and Tax			2,302.70	1,211.34
Add/(Less): Net Movement in Regulatory Deferral Balances	19	318	1,093.79	91.00
Add/(Less): Net Movement in Regulatory Deferral Balances in respect of earlier years	19	318	(8.53)	Nil
Add/(Less): Deferred Tax Recoverable/(Payable)	19	318	34.92	43.35
			1,120.18	134.35
VI Profit/(Loss) Before Exceptional Items and Tax			3,422.88	1,345.69
Add/(Less): Exceptional Items				
Gain on Sale of Investments in Subsidiaries	7	304	645.35	1,518.93
Gain on Sale of Business to Subsidiaries	5a	295	42.74	Nil
Provision for Impairment of Non Current Investments	7	304	Nil	(106.82)
			688.09	1,412.11
VII Profit/(Loss) Before Tax from Continuing Operations			4,110.97	2,757.80
VIII Tax Expense/(Credit)	36	347		
Current Tax			Nil	Nil
Current Tax in respect of earlier year			(29.73)	(105.11)
Deferred Tax			983.80	(8.91)
Deferred Tax in respect of earlier year			(111.00)	(738.56)
Deferred tax remeasurement on account of transition to New Tax regime (Net)			Nil	359.62
			843.07	(492.96)
IX Profit/(Loss) from Continuing Operations			3,267.90	3,250.76
X Profit/(Loss) Before Tax from Discontinued Operations			Nil	Nil
Impairment Loss on Remeasurement at Fair Value	18c	318	Nil	(467.83)
XI Profit/(Loss) from Discontinued Operations			Nil	(467.83)
XII Profit/(Loss) for the year			3,267.90	2,782.93
XIII Other Comprehensive Income/(Expenses) - Continuing Operations				
Add/(Less):				
(i) Items that will not be reclassified to Profit or Loss				
(a) Remeasurement of Defined Benefit Plans	27	330	(21.92)	9.64
(b) Equity Instruments classified at FVTOCI			127.47	307.12
(ii) Tax relating to items that will not be reclassified to Profit or Loss				
(a) Deferred Tax	36	347	5.52	(2.43)
			111.07	314.33

Standalone Statement of Profit and Loss

for the year ended March 31, 2023 (Contd.)

	Notes	Page	For the year ended March 31, 2023	For the year ended March 31, 2022
			₹ crore	₹ crore
XIV Total Comprehensive Income			3,378.97	3,097.26
XV Basic and Diluted Earnings Per Equity Share (of ₹ 1/- each) (₹)	41	354		
(i) From Continuing Operations before Net Movement in Regulatory Deferral Balances			7.60	9.76
(ii) From Continuing Operations after Net Movement in Regulatory Deferral Balances			10.22	10.07
(iii) From Discontinued Operations			Nil	(1.46)
(iv) Total Operations after net movement in Regulatory Deferral Balances			10.22	8.61
See accompanying notes to the Standalone Financial Statements				

As per our report of even date

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration No.324982E/E300003

per ABHISHEK AGARWAL

Partner

Membership No. 112773

Mumbai, May 4, 2023

For and on behalf of the Board,

PRAVEER SINHA

CEO & Managing Director

DIN 01785164

SANJEEV CHURIWALA

Chief Financial Officer

Mumbai, May 4, 2023

SAURABH AGRAWAL

Director

DIN 02144558

HANOZ M. MISTRY

Company Secretary

Standalone Cash Flow Statement

for the year ended March 31, 2023

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
A. Cash flow from Operating Activities		
Profit/(Loss) before tax from Continuing Operations	4,110.97	2,757.80
Profit/(Loss) before tax from Discontinued Operations	Nil	(467.83)
Adjustments to reconcile Profit/(Loss) before tax to Net Operating Cash Flows:		
Depreciation and Amortisation Expense	1,167.47	1,134.23
Interest Income	(140.96)	(250.36)
Delayed Payment Charges	(5.69)	(5.75)
Dividend Income	(3,895.04)	(2,639.95)
Finance Cost (Net of Capitalisation)	2,226.60	2,188.94
(Gain)/Loss on Disposal of Property, Plant and Equipment (Net)	8.70	10.77
Amortisation of Deferred Rent Liability	(0.97)	(0.97)
(Gain)/Loss on Sale of Current Investment measured at fair value through Profit and Loss	(14.22)	(8.43)
(Gain)/Loss on Sale of Non-Current Investments/Businesses	(645.35)	(1,518.93)
(Gain)/Loss on Sale of Business to Subsidiaries	(42.74)	Nil
Guarantee Commission from Subsidiaries and Joint Ventures	(25.51)	(25.51)
Amortisation of Service Line Contributions	(8.15)	(8.64)
Transfer to Statutory Consumer Reserve	13.68	12.57
Bad Debts	Nil	2.27
Allowance For Doubtful Debts and Advances (Net)	0.31	(10.78)
Provision / (Reversal) of Impairment of Non-Current Investments and Related Obligation	Nil	106.82
Recognition of Deferred Revenue	32.27	40.25
Impairment Loss on Remeasurement at fair value related to Discontinued Operations	Nil	467.83
Effect of Unrealised Foreign Exchange (Net)	(15.32)	(10.07)
	(1,344.92)	(515.71)
	2,766.05	1,774.26
Working Capital adjustments:		
Adjustments for (increase) / decrease in Operating Assets:		
Inventory	(144.49)	(1,090.31)
Trade Receivables	(852.26)	630.39
Finance Lease Receivables	12.60	26.03
Loans - Non-Current	0.45	1.11
Other Current Assets	(66.30)	(21.29)
Other Non-Current Assets	(231.28)	(266.36)
Unbilled Revenue	(14.11)	(3.70)
Other Financial Assets - Current	62.43	(63.05)
Other Financial Assets - Non-Current	22.30	(7.58)
Regulatory Deferral Account - Assets	(1,187.30)	(152.32)
	(2,397.96)	(947.08)
	368.09	827.18

Standalone Cash Flow Statement

for the year ended March 31, 2023 (Contd.)

		For the year ended March 31, 2023	For the year ended March 31, 2022
		₹ crore	₹ crore
Adjustments for increase / (decrease) in Operating Liabilities:			
Trade Payables		(2,045.96)	810.51
Other Current Liabilities		96.16	34.71
Current Provisions		(26.23)	15.16
Non-Current Provisions		24.48	(0.73)
Other Financial Liabilities - Current		2,209.51	111.87
Other Financial Liabilities - Non Current		0.47	1.45
		258.43	972.97
Cash flow from/(used in) operations		626.52	1,800.15
Income Tax Paid (Net of Refund Received)		(126.47)	(116.40)
Net cash flows from/(used in) Operating Activities	A	500.05	1,683.75
B. Cash flow from Investing Activities			
Capital Expenditure on Property, Plant and Equipment (Including Capital Advances)		(1,711.00)	(1,186.26)
Proceeds from Sale of Property, Plant and Equipment (Including Property, Plant and Equipment classified as held for sale)		10.19	18.01
Purchase of Non Current Investments		(5,383.28)	(779.22)
Redemption of Investment In Perpetual Securities		3,895.00	Nil
Investment In Perpetual Securities		(7.85)	Nil
Proceeds from Sale of Non Current Investments (Net of expenses)		1,010.78	2,130.25
(Purchase of) / Proceeds from Sale of Current Investments (Net)		20.30	242.99
Proceeds from Sale of Business to Subsidiaries		199.12	169.30
Interest Received		71.49	186.48
Delayed Payment Charges Received		5.69	5.75
Loans Given		(41.11)	(5,038.07)
Loans Repaid		1,726.59	4,991.50
Dividend Received		5,303.12	819.30
Guarantee Commission Received		25.07	25.05
Bank Balance not considered as Cash and Cash Equivalents		(0.05)	2.00
Net cash flow from/(used in) Investing Activities	B	5,124.06	1,587.08
C. Cash Flow from Financing Activities			
Repayment of Unsecured Perpetual Securities		Nil	(1,500.00)
Distribution on Unsecured Perpetual Securities		Nil	(100.26)
Proceeds from Non-Current Borrowings		4,021.00	4,733.00
Repayment of Non-Current Borrowings		(7,764.85)	(2,201.68)
Proceeds from Current Borrowings		28,010.08	20,539.62
Repayment of Current Borrowings		(26,490.08)	(22,347.89)
Interest and Other Borrowing Costs		(2,030.67)	(1,870.27)
Proceeds from/(Repayment) of Bills Discounted (Net)		(27.38)	54.09
Inter Corporate Deposit taken/(repaid) (net)		(224.66)	(177.20)
Increase in Capital/Service Line Contributions		9.36	8.19
Dividends paid		(559.18)	(495.28)
Payment of Lease Liability		(293.24)	(277.30)
Net Cash Flow from/(used in) Financing Activities	C	(5,349.62)	(3,634.98)

Standalone Cash Flow Statement

for the year ended March 31, 2023 (Contd.)

		For the year ended March 31, 2023	For the year ended March 31, 2022
		₹ crore	₹ crore
Net increase/(decrease) in Cash and Cash Equivalents	(A+B+C)	274.49	(364.15)
Cash and Cash Equivalents as at April 1, 2022 (Opening Balance)		(0.02)	364.13
Cash and Cash Equivalents as at March 31, 2023 (Closing Balance)		274.47	(0.02)
		As at March 31, 2023	As at March 31, 2022
		₹ crore	₹ crore
Cash and Cash Equivalents include:			
(a) Balances with banks			
In Current Accounts		274.47	57.35
In Deposits Accounts (with original maturity of three months or less)		Nil	0.01
(b) Bank Overdraft		Nil	(57.38)
Cash and Cash Equivalents related to Continuing Operations		274.47	(0.02)
Total of Cash and Cash Equivalents		274.47	(0.02)

Notes:

The above cash flow has been prepared under the "Indirect Method" as set out in Indian Accounting Standard (Ind AS) 7 - statement of cash flows

See accompanying notes to the Standalone Financial Statements

As per our report of even date

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration No.324982E/E300003

per ABHISHEK AGARWAL

Partner

Membership No. 112773

Mumbai, May 4, 2023

For and on behalf of the Board,

PRAVEER SINHA

CEO & Managing Director

DIN 01785164

SANJEEV CHURIWALA

Chief Financial Officer

Mumbai, May 4, 2023

SAURABH AGRAWAL

Director

DIN 02144558

HANOZ M. MISTRY

Company Secretary

Standalone Statement of Changes in Equity

for the year ended March 31, 2023

A. Equity Share Capital

		₹ crore
	No. of Shares	Amount
Balance as at April 1, 2021	3,19,53,39,547	319.56
Issued during the year	Nil	Nil
Balance as at March 31, 2022	3,19,53,39,547	319.56
Balance as at April 1, 2022	3,19,53,39,547	319.56
Issued during the year	Nil	Nil
Balance as at March 31, 2023	3,19,53,39,547	319.56

B. Unsecured Perpetual Securities

		₹ crore
	No. of Securities	Amount
Balance as at April 1, 2021	15,000	1,500.00
Repaid during the year	(15,000)	(1,500.00)
Issued during the year	Nil	Nil
Balance as at March 31, 2022	Nil	Nil
Balance as at April 1, 2022	Nil	Nil
Repaid during the year	Nil	Nil
Issued during the year	Nil	Nil
Balance as at March 31, 2023	Nil	Nil

Standalone Statement of Changes in Equity

for the year ended March 31, 2023 (Contd.)

C. Other Equity (Refer Note 21)										₹ crore
Description	Item of Other Comprehensive Income							Equity Instrument through Other Comprehensive Income	Total	
	Securities Premium	Debt Redemption Reserve	Capital Redemption Reserve	Capital Reserves	Statutory Reserve	Special Reserve	Retained Earnings			
Balance as at April 1, 2021	3,107.54	296.95	4.51	66.24	660.08	126.28	3,575.09	221.82	8,058.51	
Profit/(Loss) for the year	Nil	Nil	Nil	Nil	Nil	Nil	2782.93	Nil	2,782.93	
Other Comprehensive Income/(Expenses) for the year (Net of Tax)	Nil	Nil	Nil	Nil	Nil	Nil	7.21	307.12	314.33	
Total Comprehensive Income	Nil	Nil	Nil	Nil	Nil	Nil	2,790.14	307.12	3,097.26	
Dividend paid	Nil	Nil	Nil	Nil	Nil	Nil	(495.28)	Nil	(495.28)	
Transfer from Retained Earnings to Special Reserve (Refer Note 21)	Nil	Nil	Nil	Nil	Nil	(126.28)	126.28	Nil	Nil	
Distribution on Unsecured Perpetual Securities	Nil	Nil	Nil	Nil	Nil	Nil	(100.25)	Nil	(100.25)	
Balance as at March 31, 2022	3,107.54	296.95	4.51	66.24	660.08	Nil	5,895.98	528.94	10,560.24	
Balance as at April 1, 2022	3,107.54	296.95	4.51	66.24	660.08	Nil	5,895.98	528.94	10,560.24	
Profit/(Loss) for the year	Nil	Nil	Nil	Nil	Nil	Nil	3,267.90	Nil	3,267.90	
Other Comprehensive Income/(Expenses) for the year (Net of Tax)	Nil	Nil	Nil	Nil	Nil	Nil	(16.40)	127.47	111.07	
Total Comprehensive Income	Nil	Nil	Nil	Nil	Nil	Nil	3,251.50	127.47	3,378.97	
Dividend paid	Nil	Nil	Nil	Nil	Nil	Nil	(559.18)	Nil	(559.18)	
Transfer to/(from) Debt Redemption Reserve	Nil	(80.50)	Nil	Nil	Nil	Nil	80.50	Nil	Nil	
Balance as at March 31, 2023	3,107.54	216.45	4.51	66.24	660.08	Nil	8,668.80	656.41	13,380.03	
Notes:										
See accompanying notes to the Standalone Financial Statements										

Notes:

See accompanying notes to the Standalone Financial Statements

As per our report of even date

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration No.324982E/E300003

For and on behalf of the Board,

PRAVEER SINHA

CEO & Managing Director

DIN 01785164

SAURABH AGRAWAL

Director

DIN 02144558

per ABHISHEK AGARWAL

Partner

Membership No. 112773

Mumbai, May 4, 2023

SANJEEV CHURIWALA

Chief Financial Officer

HANOZ M. MISTRY

Company Secretary

Mumbai, May 4, 2023

Notes to the Standalone Financial Statements

1. Corporate Information

The Tata Power Company Limited (the 'Company') is a public limited company domiciled and incorporated in India under the Indian Companies Act, 1913. The registered office of the Company is located at Bombay House, 24, Homi Mody Street, Mumbai 400001, India. The Company is listed on the BSE Limited (BSE) and the National Stock Exchange of India Limited (NSE). The principal business of the Company is generation, transmission and distribution of electricity.

The Company was amongst the pioneers in generation of electricity in India more than a century ago. The Company has an installed generation capacity of 6,075 MW in India and a presence in all the segments of the power sector viz. Generation (thermal and hydro), Transmission and Distribution.

2. Significant Accounting Policies:

2.1 Statement of compliance

The Standalone Financial Statements have been prepared in accordance with Indian Accounting Standards (Ind AS) as notified under the Companies (Indian Accounting Standards) Rules, 2015 read with section 133 of the Companies Act, 2013 and presentation requirements of Division II of schedule III to the Companies Act, 2013 (as amended from time to time).

2.2 Basis of preparation and presentation

The Standalone Financial Statements have been prepared on a historical cost basis, except for the following assets and liabilities which have been measured at fair value

- derivative financial instruments;
- certain financial assets and liabilities measured at fair value (Refer accounting policy regarding financial instruments);
- employee benefit expenses (Refer Note 27 for accounting policy)

Historical cost is the amount of cash or cash equivalents paid or the fair value of the consideration given to acquire assets at the time of their acquisition or the amount of proceeds received in exchange for the obligation, or at the amounts of cash or cash equivalents expected to be paid to satisfy the liability in the normal course of business. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The standalone financial statements are presented in Indian Rupees (₹) and all amounts are in Crore unless otherwise stated.

3. Other Significant Accounting Policies

3.1 Foreign Currencies

The functional currency of the Company is Indian Rupee (₹).

Income and expenses in foreign currencies are recorded at exchange rates prevailing on the date of the transaction. Foreign currency denominated monetary assets and liabilities are translated at the exchange rate prevailing on the balance sheet date and exchange gains and losses arising on settlement and restatement are recognised in the Statement of Profit and Loss. Non-monetary assets and liabilities that are measured in terms of historical cost in foreign currencies are not retranslated. Exchange differences on monetary items are recognised in the Statement of Profit and Loss in the period in which they arise except for exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings.

3.2 Current versus non-current classification

The Company presents assets and liabilities in the balance sheet based on current / non-current classification. An asset is treated as current when it is:

- expected to be realised or intended to be sold or consumed in normal operating cycle,
- held primarily for the purpose of trading,
- expected to be realised within twelve months after the reporting period, or
- cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

Notes to the Standalone Financial Statements

3. Other Significant Accounting Policies (Contd.)

A liability is current when:

- it is expected to be settled in normal operating cycle,
- it is held primarily for the purpose of trading,
- it is due to be settled within twelve months after the reporting period, or
- there is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Company has identified twelve months as its operating cycle.

3.3 Onerous contracts

Present obligations arising under onerous contracts are recognised and measured as provisions. An onerous contract is considered to exist where the Company has a contract under which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received from the contract.

3.4 Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. Financial assets and financial liabilities are recognised when the Company becomes a party to the contractual provisions of the instruments.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities measured at fair value through profit or loss are recognised immediately in the statement of profit and loss.

3.5 Financial Assets

All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the market place. All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

3.5.1 Financial assets at amortised cost

Financial assets are subsequently measured at amortised cost using the effective interest rate method if these financial assets are held within a business whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

3.5.2 Financial assets at fair value through other comprehensive income (FVTOCI)

A financial asset is subsequently measured at fair value through other comprehensive income if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition, the Company makes an irrevocable election on an instrument-by-instrument basis to present the subsequent changes in fair value in other comprehensive income pertaining to investments in equity instruments, other than equity investment which are held for trading. Subsequently, they are measured at fair value with gains and losses arising from changes in fair value recognised in other comprehensive income and accumulated in the 'Equity Instruments through Other Comprehensive Income'. The cumulative gain or loss is not reclassified to profit or loss on disposal of the investments.

3.5.3 Financial assets at fair value through profit or loss (FVTPL)

Investments in equity instruments are classified as at FVTPL, unless the Company irrevocably elects on initial recognition to present subsequent changes in fair value in other comprehensive income for investments in equity instruments which are not held for trading. Other financial assets are measured at fair value through profit or loss unless it is measured at amortised cost or at fair value through other comprehensive income.

Notes to the Standalone Financial Statements

3. Other Significant Accounting Policies (Contd.)

3.5.4 Investment in subsidiaries, jointly controlled entities and associates

Investment in subsidiaries, jointly controlled entities and associates are measured at cost less impairment as per Ind AS 27 - 'Separate Financial Statements'.

Impairment of investments:

The Company reviews its carrying value of investments carried at cost annually, or more frequently when there is indication for impairment. If the recoverable amount is less than its carrying amount, the impairment loss is recorded in the Statement of Profit and Loss.

When an impairment loss subsequently reverses, the carrying amount of the Investment is increased to the revised estimate of its recoverable amount, so that the increased carrying amount does not exceed the cost of the Investment. A reversal of an impairment loss is recognised immediately in Statement of Profit or Loss.

3.5.5 Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e. removed from the Company's balance sheet) when:

- the right to receive cash flows from the asset have expired, or
- the Company has transferred its right to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Company has transferred its right to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognise the transferred asset to the extent of the Company's continuing involvement. In that case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

3.5.6 Impairment of financial assets

The Company assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognises lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. For all other financial assets, expected credit losses are measured at an amount equal to the 12 month expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

3.6 Financial liabilities and equity instruments

3.6.1 Classification as debt or equity

Debt and equity instruments issued by a Company are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

3.6.2 Equity Instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received, net of direct issue costs.

3.6.3 Financial liabilities

Financial liabilities are subsequently measured at amortised cost using the effective interest method or FVTPL. Gains and losses are recognised in statement of profit and loss when the liabilities are derecognised as well as through the Effective Interest Rate (EIR) amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the Statement of Profit and Loss.

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as FVTPL. Financial liabilities are classified as held for trading if these are incurred for the purpose of repurchasing in the near term. Financial liabilities at FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognised in the Statement of Profit and Loss.

Notes to the Standalone Financial Statements

3. Other Significant Accounting Policies (Contd.)

3.6.4 Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the Statement of Profit and Loss.

3.6.5 Financial guarantee contracts

Financial guarantee contracts issued by the Company are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the amount of loss allowance determined as per impairment requirements of Ind AS 109 - 'Financial Instruments' and the amount recognised less cumulative amortisation.

3.7 Derivative financial instruments

The Company enters into a variety of derivative financial instruments to manage its exposure to foreign exchange rate risks, including foreign exchange forward contracts. Derivatives are initially recognised at fair value at the date the derivative contracts are entered into and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in Statement of Profit and Loss immediately.

3.8 Reclassification of financial assets and liabilities

The Company determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. The Company's senior management determines change in the business model as a result of external or internal changes which are significant to the Company's operations. Such changes are evident to external parties. A change in the business model occurs when the Company either begins or ceases to perform an activity that is significant to its operations. If the Company reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Company does not restate any previously recognised gains, losses (including impairment gains or losses) or interest.

3.9 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

3.10 Dividend distribution to equity shareholders of the Company

The Company recognises a liability to make dividend distributions to its equity holders when the distribution is authorised and the distribution is no longer at its discretion. A corresponding amount is recognised directly in equity.

3.11 Cash Flow Statement

Cash flows are reported using the indirect method, where by profit before tax is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated.

3.12 Operating Cycle

Considering the nature of business activities, the operating cycle has been assumed to have a duration of 12 months. Accordingly, all assets and liabilities have been classified as current or non-current as per the Company's operating cycle and other criteria set out in Ind AS 1 'Presentation of Financial Statements' and Schedule III to the Companies Act, 2013.

4. Critical accounting estimates and judgements

In the application of the Company's accounting policies, management of the Company is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

Notes to the Standalone Financial Statements

4. Critical accounting estimates and judgements (Contd.)

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods. Detailed information about each of these estimates and judgements is included in relevant notes together with information about the basis of calculation for each affected line item in the Standalone Financial Statements.

The areas involving critical estimates or judgements are:

Estimations used for impairment of Property, Plant and Equipment of certain cash generating units (CGU) - Note 5a, 5b and 5c

Estimations used for fair value of unquoted securities and impairment of investments - Note 7

Estimation of defined benefit obligation - Note 27

Estimations used for determination of tax expenses and tax balances (including Minimum Alternate Tax credit) - Note 36

Estimates related to accrual of regulatory deferrals and revenue recognition - Note 19 and Note 31

Estimates and judgements related to the assessment of liquidity risk - Note 43.4.3

Judgement to estimate the amount of provision required or to determine required disclosure related to litigation and claims against the Company - Note 39

Estimates and judgements are continually evaluated. They are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Company and that are believed to be reasonable under the circumstances.

5a Property, Plant and Equipments

Accounting Policy

Property, Plant and Equipment is stated at cost less accumulated depreciation and accumulated impairment losses, if any. Cost includes purchase price (net of trade discount and rebates) and any directly attributable cost of bringing the asset to its working condition for its intended use and for qualifying assets, borrowing costs capitalised in accordance with the Ind AS 23. Capital work in progress is stated at cost, net of accumulated impairment loss, if any. When significant parts of plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipments as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in the Statement of Profit and Loss as incurred.

Depreciation

Depreciation commences when an asset is ready for its intended use. Freehold land and assets held for sale are not depreciated.

Regulated Assets

Depreciation on Property, Plant and Equipments in respect of electricity business of the Company covered under Part B of Schedule II of the Companies Act, 2013, has been provided on the straight line method at the rates specified in tariff regulation notified by respective state electricity regulatory commission.

Non-Regulated Assets

Depreciation is recognised on the cost of assets (other than freehold land and properties under construction) less their residual values over their estimated useful lives, using the straight-line method.

The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis. The Company, based on technical assessment made by technical expert and management estimate, depreciates certain items of building, plant and equipment over estimated useful lives which are different from the useful life prescribed in Schedule II to the Companies Act, 2013. The management believes that these estimated useful lives are realistic and reflect fair approximation of the period over which the assets are likely to be used.

Notes to the Standalone Financial Statements

5a Property, Plant and Equipments (Contd.)

Estimated useful lives of the Regulated and Non-Regulated assets are as follows:

Type of assets	Useful lives
Hydraulic Works	40 years
Buildings-Plant	5 to 60 years
Buildings-Others	3 to 30 years
Coal Jetty	25 years
Railway Sidings, Roads, Crossings, etc.	5 to 40 years
Plant and Equipments (excluding Computers and Data Processing units)	5 to 40 years
Plant and Equipments (Computers)	3 years
Plant and Equipments (Data Processing units)	6 years
Transmission Lines, Cable Network, etc.	5 to 40 years
Furniture and Fixtures	10 to 15 years
Office Equipments	5 years
Motor Cars	5 to 15 years
Motor Lorries, Launches, Barges etc.	25 to 40 years
Helicopters	25 years

Derecognition

An item of Property, Plant and Equipments is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of Property, Plant and Equipments is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the Statement of Profit and Loss.

Impairment

Impairment of tangible and intangible assets

The Company assesses, at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs of disposal and its value in use. Recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets.

When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using an appropriate discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators. The Company bases its impairment calculation on detailed budgets and forecast calculations, which are prepared separately for each of the Company's CGUs to which the individual assets are allocated.

Impairment losses of tangible and intangible assets are recognised in the Statement of Profit and Loss.

Notes to the Standalone Financial Statements

5a Property, Plant and Equipments (Contd.)

A. Owned Assets

Description	Freehold Land (Refer Note v & viii)	Hydraulic Works	Buildings - Plant (Refer Note viii)	Buildings - Others @ (Refer note viii)	Coal Jetty	Roads, Railway sidings, crossings	Plant and Equipment	Transmission lines and cable network	Furniture and Fixtures	Office Equipment	Motor Vehicles, Launches, Barges	Helicopters	₹ crore Total
Cost													
Balance as at April 1, 2022	323.80	564.20	1,614.98	500.65	106.10	91.52	25,546.20	4,023.23	80.76	32.51	36.71	35.30	32,955.96
Additions	Nil	13.78	72.21	2.73	Nil	Nil	397.27	629.95	3.64	1.47	16.31	Nil	1,137.36
Disposals/Adjustments (Refer Note ii below)	(8.21)	(0.04)	(17.56)	(1.28)	Nil	(2.63)	(321.39)	(7.32)	(1.56)	(1.65)	(7.50)	Nil	(369.14)
Reclassified from asset held for sale (Refer note vii below)	4.64	Nil	0.91	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	5.55
Balance as at March 31, 2023	320.23	577.94	1,670.54	502.10	106.10	88.89	25,622.08	4,645.86	82.84	32.33	45.52	35.30	33,729.73
Accumulated depreciation and impairment (Refer Note i below)													
Balance as at April 1, 2022	Nil	327.22	503.82	208.39	72.81	67.48	9107.28	1644.69	62.64	23.18	31.90	31.76	12,081.17
Depreciation Expense	Nil	11.89	48.07	16.20	5.60	1.03	768.79	185.31	3.83	1.77	2.04	0.02	1,044.55
Disposal of assets (Refer Note i below)	Nil	(0.03)	(3.92)	(0.42)	Nil	(0.79)	(157.39)	(3.73)	(0.96)	(1.01)	(6.51)	Nil	(174.76)
Reclassified from asset held for sale (Refer note vii below)	Nil	Nil	0.42	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	0.42
Balance as at March 31, 2023	Nil	339.08	548.39	224.17	78.41	67.72	9,718.68	1,826.27	65.51	23.94	27.43	31.78	12,951.38
Net carrying amount	320.23	238.86	1,122.15	277.93	27.69	21.17	15,903.40	2,819.59	17.33	8.39	18.09	3.52	20,778.35
As at March 31, 2023													

Description	Freehold Land (Refer Note v & viii)	Hydraulic Works	Buildings - Plant (Refer Note viii)	Buildings - Others @ (Refer note viii)	Coal Jetty	Roads, Railway sidings, crossings	Plant and Equipment	Transmission lines and cable network	Furniture and Fixtures	Office Equipment	Motor Vehicles, Launches, Barges	Helicopters	₹ crore Total
Cost													
Balance as at April 1, 2021	355.40	545.29	1,575.75	481.99	106.10	96.75	27,079.10	3,781.94	80.75	31.49	44.73	35.30	34,214.59
Additions	0.07	18.91	40.60	1.13	Nil	2.09	523.91	258.71	2.72	2.34	0.48	Nil	850.96
Disposals (Refer Note vi below)	(31.67)	Nil	(1.37)	(0.63)	Nil	(7.32)	(2,056.81)	(17.42)	(2.71)	(1.32)	(8.50)	Nil	(2,127.75)
Reclassified from asset held for sale	Nil	Nil	Nil	18.16	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	18.16
Balance as at March 31, 2022	323.80	564.20	1,614.98	500.65	106.10	91.52	25,546.20	4,023.23	80.76	32.51	36.71	35.30	32,955.96
Accumulated depreciation and impairment (Refer Note i below)													
Balance as at April 1, 2021	Nil	316.25	457.77	180.82	67.21	72.09	9,877.91	1,487.58	60.75	22.95	37.07	31.75	12,612.15
Depreciation Expense	Nil	10.97	47.29	17.71	5.60	1.04	751.60	169.89	4.47	1.50	2.36	0.01	1,012.44
Disposal of assets (Refer Note vi below)	Nil	Nil	(1.24)	(0.28)	Nil	(5.65)	(1,522.23)	(12.78)	(2.58)	(1.27)	(7.53)	Nil	(1,553.56)
Reclassified from asset held for sale	Nil	Nil	Nil	10.14	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	10.14
Balance as at March 31, 2022	Nil	327.22	503.82	208.39	72.81	67.48	9,107.28	1,644.69	62.64	23.18	31.90	31.76	12,081.17
Net carrying amount	323.80	236.98	1,111.16	292.26	33.29	24.04	16,438.92	2,378.54	18.12	9.33	4.81	3.54	20,874.79
As at March 31, 2022													

@ Buildings include cost of ordinary shares in co-operative housing societies.

Notes to the Standalone Financial Statements

5a Property, Plant and Equipments (Contd.)

Notes:

- i. The Company had in accordance with Ind AS 36 – “Impairment of Assets”, carried out impairment assessment of its assets of Mundra Ultra Mega Power Project (UMPP), along with investments in Indonesian mining companies PT Kaltim Prima Coal (KPC) and PT Baramulti Suksessarana TBK (BSSR) through intermediate holding companies (associates operating coal mines in Indonesia and supplying coal to Mundra plant for UMPP). All these investment in companies and assets of UMPP constitute a single cash generating unit (CGU) and form part of same segment due to interdependency of cash flows. There are significant losses being incurred in UMPP on account of significant increase in coal prices due to change in Indonesian laws which is offset by the profits earned by the mining companies

The Company bases its impairment calculation on detailed budgets and forecast calculations, which are prepared separately for each of the Company's CGUs to which the individual assets are allocated. For Mundra power plant, future cash flows is estimated based on remaining period of long term power purchase agreement (PPA) and thereafter based on management's estimate on tariff and other assumptions. Further as discussed in note no.31 to the financial statements, the Supplementary Power Purchase Agreement (SPPA) is likely to be signed and approved; and accordingly the same has been considered in estimating the cashflows. Cash flow projection of mines are derived based on estimated coal production considering renewed license for operating the mines. The license for operating mines are renewed for a period of 10 years with an option of renewal of further period of 10 years with Government of Indonesia. In the past, the Company had recognised an impairment provision of ₹ 311 crore in CGU.

A reassessment of the assumptions used in estimating the impact of impairment of the cash generating unit (CGU) comprising of UMPP and the Indonesian coal mines, combined with the significant impact of unwinding of a year's discount on the cash flows, would have resulted in a reversal of ₹ 311 crore of provision for impairment. Management believes that the reversal of impairment has not resulted from any significant improvement in the estimated service potential of the concerned CGU; and hence the Company has not effected reversal of impairment. Key assumptions used for value in use calculation include coal prices, energy prices post PPA period, signing of SPPA, discount rates and exchange rates. Short term coal prices and energy prices used in three to five years projections are based on market survey and expert analysis report. Afterwards increase in cost of coal and exchange rates are considered based on long term historical trend. Further the management strongly believes that mining Licenses will be renewed post expiry for further period of 10 years by Government of Indonesia. Discount rate represents the current market assessment of the risk specific to CGU taking into consideration the time value of money. Pre tax discount rate used in the calculation of value in use of Property, Plant and Equipments in power plant is 9.60% p.a. (March 31, 2022: 9.45% p.a.) and investment in coal mines and related infrastructure companies is 12.69% p.a. (March 31, 2022: 13.44% p.a.)

- ii. Pursuant to the agreements signed on April 14, 2022 with Green Forest New Energies Bidco Ltd. (UK) (“Investor”) for investment in Tata Power Renewable Energy Limited (TPREL) by the Investor, during the year, the Company has sold its wind assets, rooftop projects, Electric Vehicle (EV) charging business to TPREL and its subsidiary with effect from August 01, 2022 at a consideration of ₹ 199.12 crore. The said transactions have resulted in net profit of ₹ 42.74 crore which is disclosed as exceptional items under "Gain on Sale of business to subsidiaries" in the financial statement. The value of Property, Plant and Equipment and Intangible assets transferred in the above transaction is ₹ 145.88 crore (Gross block ₹ 244.36 crore & Net Block ₹ 98.48 crore) and ₹ 1.25 crore (Gross block ₹ 1.93 crore & Net Block ₹ 0.68 crore) respectively..
- iii. During the earlier years, the Company had recorded an impairment charge of ₹ 100 crore (March 31, 2022 - ₹ 100 crore) in respect of Unit 6 generating station (Generation Segment) located at Trombay.
- iv. Refer Note 22 for charge created on Property, Plant and Equipment.
- v. Includes gain on fair valuation of land which is not available for distribution is ₹ 87.88 crore (March 31, 2022 ₹ 87.88 crore).
- vi. During the previous year, the Company sold renewable assets of ₹ 557.90 crore to Tata Power Renewable Energy Limited and Tata Power Green Energy Limited, pursuant to Business Transfer Agreement as a “going concern” on a slump sale basis effective on or after April 1, 2021.
- vii. During the year, the Company has reclassified the following assets to Property, Plant and Equipments from assets held for sale:
 - a. Land at Tiruldih ₹ 1.43 crore
 - b. Land at Vadaval ₹ 3.21 crore
 - c. Building at Mumbai (Panvel) ₹ 0.49 crore

Notes to the Standalone Financial Statements

5a Property, Plant and Equipments (Contd.)

- viii. The title deeds of immovable properties included in Property, Plant and Equipment are held in the name of the Company, except for as shown in table below:

As on March 31, 2023 and As on March 31, 2022

Description	Relevant line item in the Balance Sheet	Gross carrying value (₹ in Crore)	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative# of promoter* / director or employee of promoter / director	Property held since which date	Reason for not being held in the name of the company
Land of Chemical Terminal Trombay Ltd.	Freehold Land	0.88	Chemical Terminal Trombay Ltd. (erstwhile subsidiary)	No	Since 2014 till date	Land is acquired by the Company on account of Amalgamation. Land is in name of erstwhile company.
Land and Building at Mundra	Freehold Land, Buildings - Plant and Buildings - Others	872.70	Coastal Gujarat Power Limited (erstwhile subsidiary)	No	Since April 1, 2020 till date (Refer Note 47). Merger order dated March 31, 2022	Land and Building are acquired by the Company on account of merger. Land and Building are in name of erstwhile company.
Land at Dehrand	Land classified as asset held for sale. (Refer Note 18a)	225.65	Maharashtra Industrial Development Corporation (MIDC)	No	Since 2015 till date	The land was acquired from MIDC, which the Company is now in process of selling it back to MIDC. Hence, the Company has not transferred the title deed of the land in its name.
Land at Mundra-0.51 hectare	Freehold Land	0.09	Sushilaba Fatehsinh Zala	No	Since April 1, 2020 till date (Refer Note 47). Merger order dated March 31, 2022	It is an agricultural land which is not converted to non - agricultural land and hence title deed is not registered in name of the Company.

- ix. The Company has not revalued its Property, Plant & Equipment (Including Right of use Assets). Thus valuation by registered valuer as defined under Rule 2 of the Companies (Registered Valuer & Valuation) Rules, 2017 is not applicable.

5b Right of Use Assets

Accounting Policy

The Company recognises right-of-use assets at the commencement date of the lease. Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, lease payments made at or before the commencement date less any lease incentives received and estimate of costs to dismantle. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets, as follows:

- Plant and Equipment - 2 years
- Port and Intake Channels - 40 years
- Leasehold land including sub surface right - 2 to 40 years

Notes to the Standalone Financial Statements

5b Right of Use Assets (Contd.)

The Company presents right-to-use assets that do not meet the definition of investment property in "Property, plant and equipment".

				₹ crore
Description	Leasehold Land (including sub-surface right)#	Plant and Equipment	Port and Intake Channels	Total
Cost				
Balance as on April 1, 2022	658.26	Nil	2,533.37	3,191.63
Additions	Nil	Nil	197.13	197.13
Deletions	Nil	Nil	Nil	Nil
Balance as at March 31, 2023	658.26	Nil	2,730.50	3,388.76
Accumulated depreciation and impairment				
Balance as on April 1, 2022	131.27	Nil	226.62	357.89
Depreciation Expense	24.32	Nil	85.31	109.63
Deletions	Nil	Nil	Nil	Nil
Balance as at March 31, 2023	155.59	Nil	311.93	467.52
Net carrying amount				
As at March 31, 2023	502.67	Nil	2,418.57	2,921.24

				₹ crore
Description	Leasehold Land (including sub-surface right)#	Plant and Equipment	Port and Intake Channels	Total
Cost				
Balance as on April 1, 2021	663.10	11.43	2422.32	3,096.85
Additions	Nil	Nil	111.05	111.05
Deletions *	(4.84)	(11.43)	Nil	(16.27)
Balance as at March 31, 2022	658.26	Nil	2,533.37	3,191.63
Accumulated depreciation and impairment				
Balance as on April 1, 2021	107.92	9.14	148.88	265.94
Depreciation Expense	23.69	1.52	77.74	102.95
Deletions *	(0.34)	(10.66)	Nil	(11.00)
Balance as at March 31, 2022	131.27	Nil	226.62	357.89
Net carrying amount				
As at March 31, 2022	526.99	Nil	2,306.75	2,833.74

* Deletion includes sale of renewables assets of ₹ 4.50 crore (Written down value) (forming part of renewable segment) to Tata Power Renewable Energy Limited and Tata Power Green Energy Limited, wholly owned subsidiaries of the Company pursuant to the Business Transfer Agreement as a "going concern" on a slump sale basis effective April 1, 2021.

The title deeds of the Right of Use Assets are held in the name of the Company, except for as shown in table below:

Description	Relevant line item in the Balance Sheet	Gross carrying value (₹ in crore)	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative# of promoter*/ director or employee of promoter / director	Property held since which date	Reason for not being held in the name of the company
Land at Haldia - 6.99 acres	Leasehold Land	4.18	Tata Steel Limited (TSL)	No	Since 2009 till date	Land taken on sub lease from Tata Steel, pending finalisation of agreement

Notes to the Standalone Financial Statements

5c Intangible Assets

Accounting Policy

Intangible Assets acquired separately

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses, if any.

Internally generated Intangible Assets

Internally generated intangibles, excluding capitalised development costs, are not capitalised and the related expenditure is reflected in profit or loss in the period in which the expenditure is incurred.

Derecognition of Intangible Assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in statement of profit and loss when the asset is derecognised.

Useful lives of Intangible Assets

Intangible assets with finite lives are amortised over the useful economic life on straight line basis and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit and loss unless such expenditure forms part of carrying value of another asset.

Estimated useful lives of the intangible assets are as follows:

Type of assets	Useful lives		
Computer softwares	5 years		
Copyrights, patents, other intellectual property rights, services and operating rights	5 years		

Description	Computer softwares \$	Copyrights, patents, other intellectual property rights, services and operating rights	₹ crore Total
Cost			
Balance as at April 1, 2022	274.95	0.57	275.52
Additions	1.30	Nil	1.30
Disposal	(64.61)	Nil	(64.61)
Balance as at March 31, 2023	211.64	0.57	212.21
Accumulated amortisation and impairment			
Balance as at April 1, 2022	237.54	0.55	238.09
Amortisation expense	15.01	0.01	15.02
Disposal	(63.36)	Nil	(63.36)
Balance as at March 31, 2023	189.19	0.56	189.75
Net carrying amount			
As at March 31, 2023	22.45	0.01	22.46

Notes to the Standalone Financial Statements

5c Intangible Assets (Contd.)

Description	Computer softwares \$	Copyrights, patents, other intellectual property rights, services and operating rights	₹ crore Total
Cost			
Balance as at April 1, 2021	275.93	0.57	276.50
Additions	3.35	Nil	3.35
Disposal	(4.33)	Nil	(4.33)
Balance as at March 31, 2022	274.95	0.57	275.52
Accumulated amortisation and impairment			
Balance as at April 1, 2021	214.98	0.55	215.53
Amortisation expense	22.97	Nil	22.97
Disposal	(0.41)	Nil	(0.41)
Balance as at March 31, 2022	237.54	0.55	238.09
Net carrying amount			
As at March 31, 2022	37.41	0.02	37.43

Notes:

\$ Other than internally generated intangible assets.

5d Depreciation/Amortisation - Continuing Operations:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Depreciation on Property, Plant & Equipments	1,044.55	1,012.44
Depreciation on Right of Use assets	109.63	102.95
Amortisation on Intangible assets	15.02	22.97
Other adjustments (including inventorisation)	(1.73)	(4.13)
Total	1,167.47	1,134.23

6. Capital Work-in-Progress ("CWIP")

Accounting Policy

Capital work in progress is stated at cost, net of accumulated impairment loss, if any.

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Balance at the beginning	965.15	322.43
Additions	1,794.57	1,535.79
Less: Assets transferred to subsidiaries (Refer Note 5a (ii) and Refer Note 5a (vi))	(340.07)	(2.78)
Less: Considered as finance lease during the year	(12.55)	(36.22)
Less: Capitalised during the year	(1,134.54)	(854.07)
Balance at the end	1,272.56	965.15

CWIP ageing Schedule as at March 31, 2023

Capital Work in Progress	Amount in CWIP for a period of				₹ crore Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	969.19	259.80	32.78	10.79	1,272.56
Projects temporarily suspended	Nil	Nil	Nil	Nil	Nil
Total	969.19	259.80	32.78	10.79	1,272.56

Notes to the Standalone Financial Statements

6. Capital Work-in-Progress ("CWIP") (Contd.)

CWIP ageing Schedule as at March 31, 2022

Capital Work in Progress	Amount in CWIP for a period of				₹ crore
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress	848.00	69.68	9.37	38.10	965.15
Projects temporarily suspended	Nil	Nil	Nil	Nil	Nil
Total	848.00	69.68	9.37	38.10	965.15

CWIP Completion Schedule whose completion is overdue or has exceeded its cost compared to its original plan as at March 31, 2023

Capital Work in Progress	To be completed in				₹ crore
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress					
Transmission projects:					
Replacement of Transmission Towers in Vashi	17.98	Nil	Nil	Nil	Nil
Installation of 110 KV GIS at Vikhroli	1.88	Nil	Nil	Nil	Nil
Installation of 220 KV GIS at Borivali	1.70	Nil	Nil	Nil	Nil
Replacement of Isolators	1.55	Nil	Nil	Nil	Nil
Others	4.27	Nil	Nil	Nil	Nil
Distribution projects					
Saki-Kurla 33 KV Interconnection	2.10	Nil	Nil	Nil	Nil
Replacement of fault prone UG cable sect	1.85	Nil	Nil	Nil	Nil
Others	13.05	Nil	Nil	Nil	Nil
Generation projects					
Replacement of Lonavala and Walwhan	1.46	Nil	Nil	Nil	Nil
RCC lining of tunnel-1 at Bhira	1.16	Nil	Nil	Nil	Nil
Fuel Gas Desulfurisation project at Mundra plant	Nil	762.45	Nil	Nil	Nil
Fuel Gas Desulfurisation project at Jojobera plant	Nil	219.41	Nil	Nil	Nil
Others	1.67	Nil	Nil	Nil	Nil
Projects temporarily suspended	Nil	Nil	Nil	Nil	Nil

CWIP Completion Schedule whose completion is overdue or has exceeded its cost compared to its original plan as at March 31, 2022

Capital Work in Progress	To be completed in				₹ crore
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress					
Transmission projects:					
220 KV Trombay Dharavi Salsette Lines	Nil	5.87	Nil	Nil	Nil
220 KV Receiving Station - Antop Hill	Nil	1.84	Nil	Nil	Nil
220 KV Kalwa Salsette Lines	109.49	Nil	Nil	Nil	Nil
Others	11.60	0.92	Nil	Nil	Nil
Distribution projects	2.69	Nil	Nil	Nil	Nil
Generation projects:					
Fuel Gas Desulfurisation project at Mundra plant	Nil	199.09	Nil	Nil	Nil
Fuel Gas Desulfurisation project at Jojobera plant	Nil	40.46	Nil	Nil	Nil
Projects temporarily suspended	Nil	Nil	Nil	Nil	Nil

Notes to the Standalone Financial Statements

7. Non-Current Investments

	As at March 31, 2023	As at March 31, 2022	Face Value (in ₹ unless stated otherwise)	As at March 31, 2023	As at March 31, 2022
	Quantity	Quantity		₹ crore	₹ crore
I Investments carried at cost less accumulated impairment, if any					
(A) Investment in Subsidiaries					
(i) Investment in Equity Shares fully paid-up					
Quoted					
Nelco Ltd.	1,14,18,090	1,14,18,090	10	14.02	14.02
				14.02	14.02
Unquoted					
Tata Power Trading Co. Ltd.	1,60,00,000	1,60,00,000	10	37.09	37.09
Maithon Power Ltd.	111,65,99,120	111,65,99,120	10	1,116.83	1,116.83
Bhira Investments Pte. Ltd. (Refer Note 5(a)(i))	10,00,000	10,00,000	USD 1	4.10	4.10
Bhivpuri Investments Ltd. (Refer Note 5(a)(i))	7,46,250	7,46,250	Euro 1	4.08	4.08
Tata Power Green Energy Ltd. (Refer Note xi below)	Nil	50,000	10	Nil	0.02
Khopoli Investments Ltd.	4,70,07,350	4,70,07,350	USD 1	255.20	255.20
Tata Power Delhi Distribution Ltd.	53,65,20,000	53,65,20,000	10	200.93	200.93
TP Ajmer Distribution Ltd.	1,00,00,000	1,00,00,000	10	10.00	10.00
Tata Power Jamshedpur Distribution Ltd.	80,50,000	80,50,000	10	8.05	8.05
TP Renewable Microgrid Ltd.	4,01,00,000	4,01,00,000	10	40.10	40.10
Tata Power Renewable Energy Ltd. (Refer Note vii & xi below)	129,58,73,131	104,51,07,715	10	6,214.03	1,054.03
Tata Power Solar Systems Ltd. (Refer Note xi below)	Nil	2,29,77,567	100	Nil	322.98
Tata Power International Pte. Ltd. (Refer Note 5(a)(i) & xii below)	6,77,30,650	6,77,30,650	USD 1	577.55	577.55
TP Central Odisha Distribution Ltd. (Refer Note vi below)	30,07,64,639	25,70,14,500	10	326.71	282.96
TP Southern Odisha Distribution Ltd (Refer Note vi below)	18,81,59,393	12,64,49,400	10	213.68	151.97
TP Western Odisha Distribution Ltd (Refer Note vi below)	24,49,01,993	18,35,66,646	10	346.94	285.60
Supa Windfarm Ltd. (Refer Note xi below)	Nil	1,10,00,000	10	Nil	10.95
TP Kirnali Solar Ltd. (Refer Note xi below)	Nil	1,15,65,090	10	Nil	11.57
TP Solapur Solar Ltd. (Refer Note xi below)	Nil	1,01,67,748	10	Nil	10.17
TP Saurya Ltd. (Refer Note xi below)	Nil	50,000	10	Nil	0.05
TP Solapur Saurya Ltd (Refer Note xi below)	Nil	50,000	10	Nil	0.05
TP RoofUrja Renewable Ltd (Refer Note xi below)	Nil	50,000	10	Nil	0.05
TP Akkalkot Renewable Energy Ltd. (Refer Note xi below)	Nil	95,90,400	10	Nil	9.59
TP North Odisha Distribution Ltd (Refer Note vi below)	20,30,55,626	15,04,21,236	10	266.81	214.17
				9,622.10	4,608.09
Less: Impairment in the value of Investments					
Tata Power Jamshedpur Distribution Ltd.				8.05	8.05
Tata Power International Pte. Ltd. (Refer Note x below)				552.91	552.91
				9,061.14	4,047.13

Notes to the Standalone Financial Statements

7. Non-Current Investments (Contd.)

	As at March 31, 2023	As at March 31, 2022	Face Value (in ₹ unless stated otherwise)	As at March 31, 2023	As at March 31, 2022
	Quantity	Quantity		₹ crore	₹ crore
(ii) Investment in Perpetual Securities					
Unquoted					
Tata Power Renewable Energy Ltd. (Refer Note xi below)	N.A.	N.A.		Nil	3,895.00
TP Ajmer Distribution Ltd. (Refer Note v below)	N.A.	N.A.		95.00	Nil
TP Renewable Microgrid Ltd. (Refer Note v below)	N.A.	N.A.		64.00	56.15
				159.00	3,951.15
				9,234.16	8,012.30
(B) Investment in Associates					
Investment in Equity Shares fully Paid-up					
Unquoted					
Yashmun Engineers Ltd.	19,200	19,200	100	0.01	0.01
The Associated Building Co. Ltd.	1,400	1,400	900	0.17	0.17
Tata Projects Ltd. (Refer Note viii below)	7,92,78,886	7,92,78,886	100	658.28	658.28
Dagachhu Hydro Power Corporation Ltd.	10,74,320	10,74,320	Nu 1,000	107.43	107.43
Brihat Trading Private Ltd.	3,350	3,350	10	0.00	0.00
				765.89	765.89
(C) Investment in Joint Ventures					
Investment in Equity Shares fully Paid-up					
Unquoted					
Tubed Coal Mines Ltd.	1,01,97,800	1,01,97,800	10	10.20	10.20
Itezhi Tezhi Power Corporation (Refer Note vii below)*	Nil	Nil	ZMW 1	Nil	Nil
Mandakini Coal Company Ltd. (Refer Note vii below)	3,93,00,000	3,93,00,000	10	39.30	39.30
Powerlinks Transmission Ltd. (Refer Note vii below)	23,86,80,000	23,86,80,000	10	238.68	238.68
Industrial Energy Ltd. (Refer Note vii below)	49,28,40,000	49,28,40,000	10	492.84	492.84
LTH Milcom Pvt. Ltd.*	Nil	Nil	10	Nil	Nil
Dugar Hydro Power Ltd.	4,34,25,002	4,34,25,002	10	43.42	43.42
				824.44	824.44
Less: Impairment in the value of Investments					
Tubed Coal Mines Ltd.				10.20	10.20
Dugar Hydro Power Ltd.				10.00	10.00
Mandakini Coal Company Ltd.				39.30	39.30
				59.50	59.50
				764.94	764.94
Sub-total I (A) + I (B) + I (C)				10,764.99	9,543.13

Notes to the Standalone Financial Statements

7. Non-Current Investments (Contd.)

	As at March 31, 2023	As at March 31, 2022	Face Value (in ₹ unless stated otherwise)	As at March 31, 2023	As at March 31, 2022
	Quantity	Quantity		₹ crore	₹ crore
II Investments designated at Fair Value through Other Comprehensive Income					
Investment in Equity Shares fully Paid-up					
Quoted					
Voltas Ltd.	2,33,420	2,33,420	1	19.10	29.07
Tata Consultancy Services Ltd.	766	766	1	0.25	0.29
Tata Teleservices (Maharashtra) Ltd. (Refer Note ix below)	12,67,20,193	12,67,20,193	10	447.96	447.96
Bharti Airtel Ltd.	62,919	62,919	10	4.71	4.75
Tata Motors Ltd.	3,57,159	3,57,159	15	15.03	15.49
Tata Motors Ltd. - Differential Voting rights	51,022	51,022	1	1.06	1.05
Tata Investment Corporation Ltd.	7,94,416	7,94,416	10	138.56	107.75
				626.67	606.36
Unquoted					
Tata Services Ltd.	1,664	1,664	1,000	Nil	Nil
Tata Industries Ltd. #	68,28,669	68,28,669	100	115.47	115.47
Tata Sons Pvt. Ltd. #	6,673	6,673	1,000	194.70	194.70
Haldia Petrochemicals Ltd.	2,24,99,999	2,24,99,999	10	56.48	56.48
Tata International Ltd.	36,000	36,000	1,000	165.60	58.44
Taj Air Ltd.	79,00,760	79,00,760	10	Nil	Nil
Tata Capital Ltd.	23,33,070	23,33,070	10	12.04	12.04
Others				0.50	0.50
				544.79	437.63
				1,171.46	1,043.99
III Investments carried at Amortised Cost					
(A) Statutory Investments					
Contingencies Reserve Fund Investments					
Government Securities (Unquoted) fully Paid-up				128.10	124.26
Sub-total III (A) + III (B)				128.10	124.26
Total				12,064.55	10,711.38

* Refer Asset Held For Sale (Refer Note 18a.)

The cost of these investments approximate their fair value because there is a wide range of possible fair value measurements and the cost represents the best estimate of fair value within that range.

Notes:

- Aggregate Market Value of Quoted Investments 1,472.21 3,089.45
- Aggregate Carrying Value of Quoted Investments [Refer Note 7(ix)] 640.69 620.38
- Aggregate Carrying Value of Unquoted Investments (Net) 11,423.86 10,091.00
- Aggregate amount of impairment in value of Investments 620.46 620.46
- The Company has invested in unsecured subordinated perpetual securities issued by TP Renewable Microgrid Limited and TP Ajmer Distribution Ltd, its subsidiary companies. These securities are redeemable at the issuer's option and carry non-cumulative interest coupon at the rate of dividend paid on the issuer's ordinary shares. The interest can be deferred if the issuer does not pay any dividend on its ordinary shares for the financial year. The issuer has classified this instrument as equity under Ind AS - 32 'Financial Instruments Presentation'. Accordingly, the Company has classified this investment as Equity Instrument and has accounted at cost as per Ind AS - 27 'Separate Financial Statements'.

Notes to the Standalone Financial Statements

7. Non-Current Investments (Contd.)

- vi. The Company had acquired 51 % stake in TP Central Odisha Distribution Limited ('TPCODL'), TP Western Odisha Distribution Limited ('TPWODL'), TP Southern Odisha Distribution Limited ('TPSODL') and TP Northern Odisha Distribution Limited ('TPNODL'). TPCODL, TPWODL, TPSODL and TPNODL are the licensees to carry out the function of distribution and retail supply of electricity covering the distribution circles of Central, Western, Southern Odisha and Northern Odisha for a period of 25 years effective from June 1, 2020, January 1, 2021, January 1, 2021 and April 1, 2021 respectively. Further during the current year and previous year, the Company has subscribed to the right issue of equity shares offered by TPCODL, TPWODL, TPSODL and TPNODL.

- vii. Shares pledged :

The Company has pledged shares of subsidiaries and joint ventures with the lenders for borrowings availed by the respective subsidiaries and joint ventures.

Details	Category	March 31, 2023 Nos.	March 31, 2022 Nos.
Tata Power Renewable Energy Ltd.	Subsidiary	Nil	25,81,14,935
Itezhi Tezhi Power Corporation *	Joint Venture	4,52,500	4,52,500
Mandakini Coal Company Ltd.	Joint Venture	2,00,43,000	2,00,43,000
Powerlinks Transmission Ltd.	Joint Venture	23,86,80,000	23,86,80,000
Industrial Energy Ltd.	Joint Venture	Nil	25,13,48,400

* Classified as Asset Held For Sale (Refer Note 18a.(ii))

- viii. During the previous year ended March 31, 2022, the Company has subscribed to the right issue of equity shares offered by Tata Projects Limited amounting to ₹ 573.27 crore.
- ix. The Company holds 12.67 crore shares of Tata Teleservices (Maharashtra) Limited ("TTML") designated as fair value through OCI which is carried out at each balance sheet date basis the quoted price. Quoted price of TTML has witnessed significant fluctuation and management believes that the quoted price may not represent the fair value of TTML shares since it has accumulated losses and negative net worth. Accordingly on a conservative basis, the management has not recognized any fair value gain in OCI after September 30, 2021.
- x. The Company holds investments in Adjaristsqali Netherlands B.V. (ABV) (a joint venture of the Company operating 187 MW hydro power plant in Georgia) through intermediate holding company Tata Power International Pte. Ltd. (TPIPL). In the past, the Company, in accordance with Ind AS 36 - 'Impairment of Assets' had recognized impairment provision on investment of ₹ 552.91 crore including provision of ₹ 106.82 crore during the year ended March 31, 2022. Based on the recoverability assessment performed by the Company the actual cashflows were in line with estimated cash flow projections. Accordingly there are no trigger for impairment of investments as on March 31, 2023.
- xi. i. Pursuant to the agreements signed on April 14, 2022 with Green Forest New Energies Bidco Ltd. (UK) ("Investor") for investment in Tata Power Renewable Energy Limited (TPREL) by the Investor, during the year, the Company has sold its equity investment in Tata Power Solar Systems Ltd., Tata Power Green Energy Ltd., TP Saurya Ltd., TP Kirnali Solar Ltd., TP Solapur Solar Ltd., TP Akkalkot Renewable Ltd., TP Solapur Saurya Ltd., TP Roofurja Renewable Ltd. and Supa Windfarm Ltd to TPREL at a consideration of ₹ 1,058.04 crore. The said transactions have resulted in net profit of ₹ 645.35 crore which is disclosed as exceptional items in the standalone financial statement.
- ii. During the year, the Company has subscribed to the 25,07,65,416 right issue of equity shares (face value of ₹ 10 per share) for ₹ 5,160.00 crore offered by Tata Power Renewable Energy Ltd ('TPREL') at a premium of ₹ 195.77 per share. Further during the year TPREL has exercised the option and repaid the investment of ₹ 3,895.00 crores made by the Company in the Unsecured Perpetual Securities of TPREL.
- xii. During the previous year, the Company has sold its investment in Trust Energy Resources Pte. Ltd., a wholly owned subsidiary of the Company to Tata Power International Pte Limited, another wholly owned subsidiary of the company for a consideration of ₹ 2,126.88 crore (\$286 million) and recognised a profit amounting to ₹ 1,518.93 crore in the standalone financial statement.

Notes to the Standalone Financial Statements

8. Trade Receivables

(Unsecured unless otherwise stated)

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Current		
Considered Good - Secured (Refer Note (a) below)	272.42	247.78
Considered Good - Unsecured (Refer Note (b) below)	1,656.65	803.15
Credit Impaired	145.50	140.23
	2,074.57	1,191.16
Less: Allowance for Doubtful Trade Receivables	170.23	164.51
Total	1,904.34	1,026.65

Note:

- Company holds security deposits of ₹ 272.42 crore (March 31, 2022 - ₹ 247.78 crore) in respect of electricity receivables.
- The carrying amount of trade receivable does not include receivables of ₹ 1,682.73 crore (March 31, 2022: ₹ 1,150.64 crore) which are subject to a factoring arrangement. Under this arrangement, the Company has transferred the relevant receivables to the factor in exchange for cash on non recourse basis. The Company, therefore, has derecognised the said receivables under the said arrangement. Amount received from such customers not transferred to factoring agent is disclosed as financial liability (Refer Note 25).

8 (a) Trade Receivables

As at March 31, 2023, ₹ 1,086.43 crore (March 31, 2022 - ₹ 628.66 crore) is due from Brihanmumbai Electric Supply & Transport Undertaking, Maharashtra State Electricity Transmission Company Ltd., Gujarat Urja Vikas Nigam Limited, and Tata Steel Ltd. which represents Company's large customers who owe more than 5% of the total balance of trade receivables.

In the Generation business, the Company supplies power only to a few customers which are State distribution companies and in Transmission business, the Company provides transmission services to Government Company and hence the Company assesses expected credit allowance on case to case basis.

The Company has used a practical expedient by computing the expected credit loss allowance for trade receivables relating to Distribution business, except for receivables from government entities, based on a provision matrix. The provision matrix takes into account historical credit loss experience and adjusted for forward looking information. The expected credit loss allowance is based on the ageing of the days the receivables are due and the rates as given in the provision matrix. The provision matrix at the end of the reporting period is as follows:

Ageing of Receivables	Expected Credit loss (%)	
	As at March 31, 2023	As at March 31, 2022
Within the credit period	0.19%	0.07%
1-90 days past due	1.02%	2.24%
91-182 days past due	3.39%	3.36%
More than 182 days past due	95.40%	94.32%

Notes to the Standalone Financial Statements

8. Trade Receivables (Contd.)

8 (b) Trade Receivables Ageing schedule as at March 31, 2023

Particulars	Outstanding for following periods from due date of payment #						₹ crore
	Not due	Less than 6 Months	6 Months - 1 Year	1-2 Years	2-3 years	More than 3 years	Total
(i) Undisputed Trade Receivables							
a) Considered good	966.33	175.88	72.88	13.48	6.91	17.87	1,253.35
b) Significant increase in credit risk	Nil	Nil	Nil	Nil	Nil	Nil	Nil
c) Credit Impaired	Nil	Nil	3.77	0.29	1.04	25.40	30.50
(ii) Disputed Trade Receivables							
a) Considered good	Nil	554.80	42.56	12.97	Nil	65.39	675.72
b) Significant increase in credit risk	Nil	Nil	Nil	Nil	Nil	Nil	Nil
c) Credit Impaired	Nil	Nil	Nil	Nil	3.00	112.00	115.00
Total (i) + (ii)	966.33	730.68	119.21	26.74	10.95	220.66	2,074.57

Where due date of payment is not available date of transaction has been considered

Trade Receivables Ageing schedule as at March 31, 2022

Particulars	Outstanding for following periods from due date of payment #						₹ crore
	Not due	Less than 6 Months	6 Months - 1 Year	1-2 Years	2-3 years	More than 3 years	Total
(i) Undisputed Trade Receivables							
a) Considered good	656.88	270.73	12.79	11.64	6.82	17.96	976.82
b) Significant increase in credit risk	Nil	Nil	Nil	Nil	Nil	Nil	Nil
c) Credit Impaired	Nil	Nil	0.56	1.26	5.89	17.24	24.95
(ii) Disputed Trade Receivables							
a) Considered good	Nil	1.35	12.80	Nil	Nil	59.96	74.11
b) Significant increase in credit risk	Nil	Nil	Nil	Nil	Nil	Nil	Nil
c) Credit Impaired	Nil	Nil	Nil	3.00	4.50	107.78	115.28
Total (i) + (ii)	656.88	272.08	26.15	15.90	17.21	202.94	1,191.16

Where due date of payment is not available date of transaction has been considered

Movement in the allowance for doubtful trade receivables

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Balance at the beginning of the year	164.51	171.08
Add/(Less): Expected credit loss provided/(reversed)	5.72	(6.57)
Balance at the end of the year	170.23	164.51

The average credit period ranges from 30 days to 60 days. The concentration of credit risk is very limited due to the fact that the large customers are mainly Government entities and remaining customer base is large and widely dispersed and secured with security deposit.

Notes to the Standalone Financial Statements

9. Loans

(Unsecured unless otherwise stated)

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-Current - At Amortised Cost		
Loans to Related Parties (Refer note 42)		
Considered Good	Nil	450.00
Credit Impaired	54.49	54.38
	54.49	504.38
Less: Allowance for Doubtful Loans	54.49	54.38
	Nil	450.00
Other Loans		
Loans to Employees		
Considered Good	2.68	3.17
Total	2.68	453.17
Current - At Amortised Cost		
Loans to Related Parties (Refer note 42)		
Considered Good	Nil	1,328.48
Credit Impaired	Nil	Nil
	Nil	1,328.48
Less: Allowance for Doubtful Loans	Nil	Nil
	Nil	1,328.48
Other Loans		
Credit Impaired	7.50	9.50
	7.50	9.50
Less: Allowances for Doubtful Loans	7.50	9.50
	Nil	Nil
Total	Nil	1,328.48

Notes to the Standalone Financial Statements

9. Loans (Contd.)

Disclosure under Regulation 53(f) and 34(3) read together with paragraph A Schedule V of Securities and Exchange Board of India (SEBI) (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Loans and advances in the nature of loans given to Subsidiaries, Joint Ventures and Associates:

₹ crore

Name of the Company	Relationship	Amount Outstanding as at the year end		Maximum Principal Amount Outstanding during the year (excluding interest accrued)	
		March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
Chirasthaayee Saurya Ltd.	Subsidiary	Nil	Nil	Nil	255.00
TP Wind Power Limited	Subsidiary	Nil	Nil	Nil	8.00
Mandakini Coal Company Ltd. \$	Joint Venture	54.49	54.38	54.49	54.38
Tata Power Green Energy Ltd.	Subsidiary	Nil	149.86	151.36	173.16
Tata Power Renewable Energy Ltd.	Subsidiary	Nil	1,000.81	1,000.81	1,209.15
Tata Power Solar Systems Ltd	Subsidiary	Nil	Nil	Nil	1,099.83
Tata Power Trading Company Ltd.	Subsidiary	Nil	Nil	Nil	10.00
TCL Ceramics Ltd. \$ (Ceased to be subsidiary w.e.f March 24, 2022)	Subsidiary	Nil	Nil	Nil	12.00
TP Ajmer Distribution Ltd.*	Subsidiary	Nil	95.00	95.00	95.00
TP Kirnali Ltd.	Subsidiary	Nil	314.00	314.00	499.00
TP Kirnali Solar Ltd.	Subsidiary	Nil	Nil	Nil	24.70
TP Renewable Microgrid Ltd.*	Subsidiary	Nil	Nil	Nil	54.50
TP Saurya Ltd.	Subsidiary	Nil	195.31	195.31	195.32
TP Solapur Solar Ltd.	Subsidiary	Nil	Nil	Nil	33.00
Vagarai Windfarm Ltd.	Subsidiary	Nil	Nil	Nil	8.50
Walwhan Renewable Energy Limited	Subsidiary	Nil	23.50	23.50	334.35
		54.49	1,832.86		
Itezhi Tezhi Power Corporation #	Joint Venture	18.59	18.59	18.59	18.59
Total		73.08	1,851.45		

Notes:

No Loan has been given to related parties which is repayable on demand and without terms of repayment.

\$ Provided for.

Reclassified as held for sale (including interest accrued).

* Converted to unsecured non-cumulative perpetual debt.

Notes to the Standalone Financial Statements

10. Finance Lease Receivable - At Amortised Cost

(Unsecured unless otherwise stated)

Accounting Policy

Leases are classified as finance lease whenever the terms of the lease transfer substantially all the risks and rewards incidental to ownership to the lessee. All other leases are classified as operating lease. Amount due from lessees under finance leases are recorded as receivables at the Company's net investment in the leases. Finance lease income is allocated to accounting periods so as to reflect a constant periodic rate of return on the net investment outstanding in respect of the lease. The Company recognises lease payments received under operating leases as income on a straight-line basis over the lease term.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Finance Lease Receivable - Non-current	475.29	520.91
Finance Lease Receivable - Current	50.00	42.61
Total	525.29	563.52

10.1 Leasing Arrangements

There are two types of leasing arrangement:

- Generation of Power: The Company has entered into Power Purchase Agreements (PPA) with a customer for its assets located at Jojobera. The PPA relate to 30 years of take or pay agreements with the customer to supply electricity at a fixed plus variable charge. The customer, during the term of the PPAs has a right to purchase the assets and at the end of the contract is obligated to purchase the same on the basis of the valuation to be determined as per the PPAs. The Company has recognised an amount of ₹ 75.42 crore (March 31, 2022 ₹ 77.68 crore) as income for finance lease during the year ended March 31, 2023.
- Electric Vehicle charging facilities : The Company has entered into arrangement with customer for providing Infrastructure facilities and chargers for public transport utilities. The arrangement is for the period of 10 years for providing and maintaining infrastructure facility at a fixed charge. During the year, the Company has transferred this facilities to TP Solapur Limited w.e.f. August 1, 2022. The Company has recognised an amount of ₹ 0.84 crore (March 31, 2022 ₹ 2.13 crore) as income for finance lease during the year ended March 31, 2023.

10.2 Amount receivable under Finance Lease

	₹ crore	
Particulars	Minimum Lease Payments as at March 31, 2023	Minimum Lease Payments as at March 31, 2022
	₹ crore	₹ crore
Less than a year	118.17	117.87
One to two years	113.37	113.39
Two to three years	111.36	112.45
Three to four years	117.13	110.65
Four to five years	77.19	108.31
Total (A)	537.22	562.67
More than five years (B)	368.90	455.33
Total (A + B)	906.12	1,018.00
Less: Unearned finance income	380.83	454.48
Present Value of Minimum Lease Payments Receivable	525.29	563.52

Lessor - Operating Lease

The Company has entered into operating leases for its certain building, plant and machinery and other equipment. These typically have lease terms of between 1 and 10 years. The Company has recognized an amount of ₹ 27.55 crore (March 31, 2022 - ₹ 20.01 crore) as rental income for operating lease during the year ended March 31, 2023.

Notes to the Standalone Financial Statements

11. Other Financial Assets - At Amortised Cost (Unless otherwise stated)

	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Non-Current		
(i) Security Deposits		
Considered Good	51.31	47.79
Credit Impaired	25.70	29.90
	77.01	77.69
Less: Allowance for Doubtful Deposits	25.70	29.90
	51.31	47.79
(ii) Interest accrued		
Doubtful		
Interest Accrued on Loans to Related Parties	1.24	1.24
	1.24	1.24
Less: Allowance for Doubtful Interest	1.24	1.24
	Nil	Nil
(iii) Others		
Unsecured, considered good		
Advance towards Equity	Nil	0.12
Balances with Banks:		
In Deposit Accounts (with remaining maturity of more than twelve months) (Refer Note 1 below)	0.95	1.90
Other Assets	25.62	47.49
	26.57	49.51
Total	77.88	97.30

Note:

- Balances with Banks held as Margin Money Deposits against Guarantees.

	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Current		
(i) Security Deposits		
Considered Good	4.35	4.69
	4.35	4.69
(ii) Interest accrued		
Unsecured, considered good		
Interest Accrued on Inter-corporate/Bank Deposits	0.12	0.06
Interest Accrued on Investments in Government Securities	0.85	3.50
Interest Accrued on Finance Lease Receivable	5.90	6.29
Interest Accrued on Loans to Related Parties	Nil	4.61
Doubtful		
Interest Accrued on Loans to Related Parties	0.55	0.55
Interest Accrued on Inter-corporate Deposits	1.31	1.40
	8.73	16.41
Less: Allowance for Doubtful Interest	1.86	1.95
	6.87	14.46
(iii) Others		
Unsecured, considered good		
Recoverable from Consumers	27.50	98.68
Dividend Receivable (Refer note 42)	412.57	1,820.65
Derivative Contracts	1.26	5.06
Other Receivables	51.19	43.49
Balances with Banks: (Refer Note 1 below)		
In Deposit Accounts (with remaining maturity of less than twelve months)	0.96	Nil
	493.48	1,967.88
Total	504.70	1,987.03

Note:

- Balances with Banks held as Margin Money Deposits against Guarantees.

Notes to the Standalone Financial Statements

12. Non-Current Tax Assets

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Advance Income-tax (Net)	610.60	338.00
Total	610.60	338.00

13. Other Assets

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current		
(i) Capital Advances		
Unsecured, considered good	115.72	148.81
Doubtful	0.11	0.53
	115.83	149.34
Less: Allowance for Doubtful Advances	0.11	0.53
	115.72	148.81
(ii) Balances with Government Authorities		
Unsecured, considered good		
Advances	13.41	13.28
Amount Paid Under Protest	62.82	62.82
VAT/Sales Tax Receivable	6.49	6.69
	82.72	82.79
(iii) Others		
Unsecured, considered good		
Prepaid Expenses	10.18	9.55
Recoverable from Consumers	1,639.02	1,408.30
	1,649.20	1,417.85
Total	1,847.64	1,649.45
Current		
(i) Balances with Government Authorities		
Unsecured, considered good		
Advances	11.56	8.83
Doubtful	0.76	0.37
	12.32	9.20
Less: Allowance for Doubtful Advances	0.76	0.37
	11.56	8.83
(ii) Others		
Unsecured, considered good		
Prepaid Expenses	9.27	11.51
Gratuity Fund Balance (Net) (Refer Note 27)	114.42	122.66
Advances to Vendors	108.51	68.15
Other Advances	2.49	2.34
Doubtful	0.19	0.19
	234.88	204.85
Less: Allowance for Doubtful Advances	0.19	0.19
	234.69	204.66
Total	246.25	213.49

Notes to the Standalone Financial Statements

14. Inventories

Accounting Policy

Inventories are stated at the lower of cost and net realisable value. Costs of inventories are determined on moving weighted average basis. Net realisable value represents the estimated selling price for inventories less all estimated costs of completion and costs necessary to make the sale. Cost of inventory includes cost of purchase and other costs incurred in bringing the inventories to their present location and condition. Unserviceable/damaged stores and spares are identified and written down based on technical evaluation.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Inventories		
(a) Fuel	1,661.61	1,257.26
(b) Fuel-in-Transit	195.61	533.40
(c) Stores and Spares	265.25	256.48
(d) Loose Tools	0.58	0.56
(e) Others		
Property under Development	334.90	244.63
Total	2,457.95	2,292.33

Notes:

1. Refer Note 22 for charge created on Inventories.
2. During the year ended March 31, 2023, the Company has recognised ₹ 0.39 crore (March 31, 2022 - ₹ 12.01 crore) as an expense for the write down of fuel and unserviceable stores and spares inventory.

15. Current Investments

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Investments carried at Amortised Cost		
Statutory Investments		
Government Securities (Unquoted)	64.17	55.67
Investments carried at Fair Value through Profit and Loss		
Mutual Funds (Unquoted)	Nil	11.93
Total	64.17	67.60
Note:		
Aggregate Carrying Value of Unquoted Investments	64.17	67.60

Notes to the Standalone Financial Statements

16. Cash and Cash Equivalents - At Amortised Cost

Accounting Policy

Cash and cash equivalents comprise cash at banks and short-term deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value. Cash and cash equivalents include balances with banks which are unrestricted for withdrawal and usage.

For the purpose of the Statement of Cash Flows, cash and cash equivalents comprise of cash at banks and short-term deposits, as defined above, net of outstanding bank overdraft as they are considered an integral part of the Company's cash management.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Balances with Banks:		
In Current Accounts	274.47	57.35
In Deposit Accounts (with original maturity three months or less)	Nil	0.01
Cash and Cash Equivalents as per Balance Sheet	274.47	57.36
Bank Overdraft (Refer Note 29)	Nil	(57.38)
Cash and Cash Equivalents as per Statement of Cash Flows - Continuing Operations	274.47	(0.02)

Reconciliation of Liabilities from Financing Activities

Particulars	As at April 1, 2022	Cash flows		Transferred along with renewable assets	Other Transactions*	₹ crore
		Proceeds	Repayment			As at March 31, 2023
Non-current Borrowings (including Current Maturities of Non-current Borrowings)	21,286.99	4,021.00	(7,764.85)	Nil	10.60	17,553.74
Current Borrowings (excluding Bank Overdraft)	3,364.01	28,010.08	(26,742.12)	(300.34)	(19.89)	4,311.74
Lease liabilities	2,858.87	Nil	(293.24)	Nil	488.75	3,054.38
Total	27,509.87	32,031.08	(34,800.21)	(300.34)	479.46	24,919.86

* includes interest on lease liabilities, remeasurement of lease liabilities and amortisation of processing charges on loans

Particulars	As at April 1, 2021	Cash flows		Transferred along with renewable assets	Other Transactions*	₹ crore
		Proceeds	Repayment			As at March 31, 2022
Non-current Borrowings (including Current Maturities of Non-current Borrowings)	18,740.60	4,733.00	(2,201.68)	Nil	15.07	21,286.99
Current Borrowings (excluding Bank Overdraft)	5,720.70	20,539.62	(22,471.00)	(425.31)	Nil	3,364.01
Lease liabilities	2,749.04	Nil	(277.30)	Nil	387.13	2,858.87
Total	27,210.34	25,272.62	(24,949.98)	(425.31)	402.20	27,509.87

* includes interest on lease liabilities, remeasurement of lease liabilities and amortisation of processing charges on loans

Notes to the Standalone Financial Statements

17. Other Balances with Banks - At Amortised Cost

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
(a) In Deposit Accounts (Refer Note below)	2.05	2.00
(b) In Earmarked Accounts-		
Unpaid Dividend Account	19.40	19.19
Total	21.45	21.19

Note:

Balances with banks held as margin money deposits against guarantees.

18a Assets Classified as Held For Sale

Accounting Policy

Non-current assets or disposal group are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the asset or disposal group is available for immediate sale in its present condition subject only to terms that are usual and customary for sale of such asset or disposal group and its sale is highly probable. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. As at each balance sheet date, the management reviews the appropriateness of such classification.

Non-current assets or disposal group classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Property, plant and equipments and intangible assets once classified as held for sale are not depreciated or amortised.

A disposal group qualifies as discontinued operation if it is a component of an entity that either has been disposed of, or is classified as held for sale, and:

- represents a separate major line of business or geographical area of operations,
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Land (Refer note i below)	297.86	301.58
Building and Plant and Equipment (Refer note iii below)	Nil	0.49
Investments carried at Cost in Joint Ventures (Refer note ii below)	275.75	275.75
Loans and other receivables from Joint Venture (Refer note ii below)	22.74	22.74
	596.35	600.56

Notes:

- Following Land has been classified as held for sale:
 - Land at Naraj Marthapur ₹ 82.30 crore (net of impairment loss of ₹ 37.00 crore) (March 31, 2022 - ₹ 81.38 crore (net of impairment loss of ₹ 37.00 crore))
 - Leasehold land at Dehrand ₹ 215.56 crore (net of accumulated depreciation of ₹ 10.09 crore) (March 31, 2022 - ₹ 215.56 crore (net of accumulated depreciation of ₹ 10.09 crore)). During the earlier year, the Company had received an advance of ₹ 113.56 crore (March 31, 2022 - ₹ 113.56 crore) against sale.
- The Company had decided to divest its investments in Itezhi Tezhi Power Corporation ('ITPC') of ₹ 275.75 crore along with loans and other receivables amounting to ₹ 22.74 crore. Accordingly, the said investments along with loans and other receivables have been classified as held for sale.
- During the year, the Company has reclassified the following assets to Property, Plant and Equipments from assets held for sale:
 - Land at Tiruldih ₹ 1.43 crore (net of impairment loss of ₹ 33.77 crore) (March 31, 2022 - ₹ 1.43 crore (net of impairment loss of ₹ 33.77 crore))
 - Land at Vadaval ₹ 3.21 crore (March 31, 2022 - ₹ 3.21 crore)
 - Building at Mumbai (Panvel) ₹ 0.49 crore (March 31, 2022 - ₹ 0.49 crore)

Notes to the Standalone Financial Statements

18b Liabilities directly associated with Assets Classified as Held For Sale

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Advance received for land classified as held for sale	113.56	113.56
Total	113.56	113.56

Note

The company has received an advance of ₹ 113.56 crore towards the sale of Dehrand land having net book value of ₹ 215.55 crore (March 31, 2022 - ₹ 215.55 crore).

18c Assets Classified as Held For Sale - Discontinued Operations

During the previous year, Company had reassessed the fair value of the contingent consideration receivable from sale of Strategic Engineering Division (SED) and recognized an impairment loss of ₹ 467.83 crore as exceptional item in the standalone financial statements. The fair value on consideration has been determined based on the expected value of the consideration using discounted present value technique.

19. Regulatory Deferral Account

Accounting Policy

The Company determines revenue gaps (i.e. surplus/shortfall in actual returns over returns entitled) in respect of its regulated operations in accordance with the provisions of Ind AS 114 - 'Regulatory Deferral Accounts' read with the Guidance Note on Rate Regulated Activities issued by The Institute of Chartered Accountants of India (ICAI) and based on the principles laid down under the relevant Tariff Regulations/Tariff Orders notified by the Electricity Regulator and the actual or expected actions of the regulator under the applicable regulatory framework. Appropriate adjustments in respect of such revenue gaps are made in the regulatory deferral account of the respective year for the amounts which are reasonably determinable and no significant uncertainty exists in such determination. These adjustments/accruals representing revenue gaps are carried forward as Regulatory deferral accounts debit/credit balances (Regulatory Assets/Regulatory Liabilities) as the case may be in the Standalone financial statements, which would be recovered/refunded through future billing based on future tariff determination by the regulator in accordance with the electricity regulations. The Company presents separate line items in the balance sheet for:

- the total of all regulatory deferral account debit balances and related deferred tax balances; and
- the total of all regulatory deferral account credit balances and related deferred tax balances.

A separate line item is presented in the Statement of Profit and Loss for the net movement in regulatory deferral account.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Regulatory Deferral Account - Liability - Current		
Regulatory Liabilities	Nil	Nil
Regulatory Deferral Account - Assets - Non-current		
Regulatory Assets	1,913.22	725.92
Net Regulatory Assets/(Liabilities)	1,913.22	725.92

Rate Regulated Activities

- As per Ind AS 114 - 'Regulatory Deferral Accounts', the business of electricity distribution is a Rate Regulated activity wherein Maharashtra Electricity Regulatory Commission ('MERC'), determines Tariff to be charged from consumers based on prevailing regulations.

MERC Multi Year Tariff Regulations, 2019 ('MYT Regulations'), is applicable for the period beginning from April 1, 2020 to March 31, 2025. These regulations require MERC to determine tariff in a manner wherein the Company can recover its fixed and variable costs including assured rate of return on approved equity base, from its consumers. The Company determines the Revenue, Regulatory Assets and Liabilities as per the terms and conditions specified in MYT Regulations.

Notes to the Standalone Financial Statements

19. Regulatory Deferral Account (Contd.)

(ii) Reconciliation of Regulatory Assets/Liabilities of distribution business as per Rate Regulated Activities is as follows:

		As at March 31, 2023	As at March 31, 2022
		₹ crore	₹ crore
Opening Regulatory Assets (Net of Liabilities)	(A)	725.92	573.60
Regulatory Income/(Expenses) during the year			
(i) Power Purchase Cost		3,934.82	2,642.77
(ii) Other expenses as per the terms of Tariff Regulations including return on equity		947.25	909.32
(iii) Billed during the year as per approved Tariff		(3,788.28)	(3,461.09)
Net Movement in Regulatory Deferral Balances (i + ii + iii)	(B)	1,093.79	91.00
Regulatory Assets/(Liabilities) on carrying cost recognised as revenue	(C)	67.12	18.00
Recovery from/(Payable to) Company's Generation Business	(D)	Nil	(0.03)
Net Movement in Regulatory Deferral Balances in respect of earlier years	(E)	(8.53)	Nil
Regulatory Assets/(Liabilities) on Deferred Tax Expense/(Income)	(F)	34.92	43.35
Closing Regulatory Assets (Net of Liabilities)	(A + B + C + D + E + F)	1,913.22	725.92

20a. Share Capital

	As at March 31, 2023		As at March 31, 2022	
	Number	₹ crore	Number	₹ crore
Authorised				
Equity Shares of ₹ 1/- each				
At the beginning of the year	10565,00,00,000	10,565.00	550,00,00,000	550.00
Add: Increase during the year	Nil	Nil	Nil	Nil
Add: Increase due to merger (Refer Note 47)	Nil	Nil	10015,00,00,000	10,015.00
Outstanding at the end of the year		10,565.00		10,565.00
Cumulative Redeemable Preference Shares of ₹ 100/- each	2,29,00,000	229.00	2,29,00,000	229.00
		10,794.00		10,794.00
Issued				
Equity Shares [including 28,32,060 shares (March 31, 2022- 28,32,060 shares) not allotted but held in abeyance, 44,02,700 shares cancelled pursuant to a Court Order and 4,80,40,400 shares of the Company held by the erstwhile The Andhra Valley Power Supply Company Ltd cancelled pursuant to the Scheme of Amalgamation sanctioned by the High Court of Judicature, Bombay]	325,22,67,007	325.23	325,22,67,007	325.23
Subscribed and Paid-up				
Equity Shares fully paid-up [excluding 28,32,060 shares (March 31, 2022 - 28,32,060 shares) not allotted but held in abeyance, 44,02,700 shares cancelled pursuant to a Court Order and 4,80,40,400 shares of the Company held by the erstwhile The Andhra Valley Power Supply Company Ltd cancelled pursuant to the Scheme of Amalgamation sanctioned by the High Court of Judicature, Bombay]	319,53,39,547	319.54	319,53,39,547	319.54
Less: Calls in arrears [including ₹ 0.01 crore (March 31, 2022 - ₹0.01 crore) in respect of the erstwhile The Andhra Valley Power Supply Company Ltd and the erstwhile The Tata Hydro-Electric Power Supply Company Ltd]		0.04		0.04
		319.50		319.50
Add: Equity Shares forfeited - Amount paid	16,52,300	0.06	16,52,300	0.06
Total Subscribed and Paid-up Share Capital		319.56		319.56

Notes to the Standalone Financial Statements

20a. Share Capital (Contd.)

(i) Reconciliation of the shares outstanding at the beginning and at the end of the reporting period:

	As at March 31, 2023		As at March 31, 2022	
	Number	₹ crore	Number	₹ crore
Equity Shares				
At the beginning of the year	3,19,69,91,847	319.56	3,19,69,91,847	319.56
Issued during the year	Nil	Nil	Nil	Nil
Outstanding at the end of the year	3,19,69,91,847	319.56	3,19,69,91,847	319.56

(ii) Terms/rights attached to equity shares

The Company has issued only one class of equity shares having a par value of ₹ 1/- per share. Each holder of equity shares is entitled to one vote per share. The final dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

(iii) Details of shareholders holding more than 5% shares in the Company

	As at March 31, 2023		As at March 31, 2022	
	Number	% Holding	Number	% Holding
Equity Shares of ₹ 1/- each fully paid				
Tata Sons Pvt. Ltd.	144,45,13,021	45.21	144,45,13,021	45.21
Life Insurance Corporation of India	24,01,67,154	7.52	21,57,53,479	6.75

(iv) Shareholding of Promoters

Shares held by promoters at the end of the year						
Sl No	Promoter name	March 31, 2023		March 31, 2022		% Change during the year
		No. of shares	% of total shares	No. of shares	% of total shares	
1	Tata Sons Pvt. Ltd.	144,45,13,021	45.21	1,44,45,13,021	45.21	Nil

Shares held by promoters at the end of the year						
Sl No	Promoter name	March 31, 2022		March 31, 2021		% Change during the year
		No. of shares	% of total shares	No. of shares	% of total shares	
1	Tata Sons Pvt. Ltd.	144,45,13,021	45.21	144,45,13,021	45.21	Nil

(v) The aggregate number of equity shares issued by way of bonus shares in immediately preceding five financial years ended March 31, 2023 - Nil (March 31, 2022 - Nil).

20b. Unsecured Perpetual Securities

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
11.40% Unsecured Perpetual Securities	Nil	1,500
Repayment during the year	Nil	(1,500)
Total	Nil	Nil

In the earlier year, the Company had raised ₹ 1,500 crore through issue of Unsecured Perpetual Securities (the "Securities"). These Securities were perpetual in nature with no maturity or redemption and were callable only at the option of the Company. As these Securities were perpetual in nature and ranked senior only to the Share Capital of the Company and the Company does not had any redemption obligation, these were considered to be in the nature of equity instruments. During the previous year, pursuant to debenture trust deed dated June 23, 2011, the Company had exercised the call option to redeem the Securities on June 2, 2021 along with final interest.

Notes to the Standalone Financial Statements

21. Other Equity

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Securities Premium	3,107.54	3,107.54
Capital Redemption Reserve	4.51	4.51
Capital Reserves	66.24	66.24
Statutory Reserve	660.08	660.08
Debenture Redemption Reserve		
Opening Balance	296.95	296.95
Add/(Less): Amount transferred from/(to) Retained Earnings (Net)	(80.50)	Nil
Closing Balance	216.45	296.95
Special Reserve		
Opening Balance	Nil	126.28
Add/(Less): Amount transferred to Retained Earnings	Nil	(126.28)
Closing Balance	Nil	Nil
Retained Earnings (Refer Note (ii) below)		
Opening Balance	5,895.98	3,575.09
Add/(Less): Profit/(Loss) for the year	3,267.90	2,782.93
Other Comprehensive Income/(Expense) arising from remeasurement of Defined Benefit Obligation (Net of Tax)	(16.40)	7.21
Payment of Dividend (Refer Note (i) below)	(559.18)	(495.28)
Transfer to/from Debenture Redemption Reserve	80.50	Nil
Distribution on Unsecured Perpetual Securities	Nil	(100.25)
Transfer to/from Special Reserve	Nil	126.28
	2,772.82	2,320.89
Closing Balance	8,668.80	5,895.98
Equity Instruments through Other Comprehensive Income		
Opening Balance	528.94	221.82
Add/(Less): Change in fair value of equity instruments through Other Comprehensive Income	127.47	307.12
Closing Balance	656.41	528.94
Total	13,380.03	10,560.24

Notes:

- The shareholders of the Company in their meeting held on July 7, 2022 approved final dividend of ₹1.75 per fully paid share aggregating to ₹ 559.18 crore for the financial year 2021-2022. The said dividend has been paid to the holders of fully paid equity shares on July 11, 2022.
- Includes gain on fair valuation of land which is not available for distribution is ₹ 87.88 crore (March 31, 2022 ₹ 87.88 crore).
- The Board of Directors at its meeting held on May 4, 2023 proposed a dividend of ₹ 2.00 per equity share subject to the approval of the shareholders in the upcoming annual general meeting and has not been included as a liability in the Standalone financial statements. The proposed equity dividend is payable to all holders of fully paid equity shares. The total estimated equity dividend to be paid is ₹ 639.06 crore.

Notes to the Standalone Financial Statements

21. Other Equity (Contd.)

Nature and purpose of reserves:

Securities Premium

Securities Premium is used to record the premium on issue of shares and is utilised in accordance with the provisions of the Companies Act, 2013.

Debenture Redemption Reserve

The Company was required to create a Debenture Redemption Reserve out of the profits which are available for payment of dividend for the purpose of redemption of debentures. Pursuant to Companies (Share Capital and Debentures) Amendment Rules, 2019 dated August 16, 2019, the Company is not creating additional debenture redemption reserve (DRR) from the effective date of amendment. DRR created till previous years will be transferred to retained earnings on redemption of debentures.

Capital Redemption Reserve

Capital Redemption Reserve represents amounts set aside on redemption of preference shares.

Capital Reserve

Capital Reserve consists of forfeiture of the amount received from Tata Sons Pvt. Ltd. on preferential allotment of convertible warrants in the Company, on the lapse of the period to exercise right to convert the said warrants and on forfeiture of amounts paid on Debentures.

Statutory Reserve

Statutory Reserve consists of Special Appropriation towards Project Cost, Development Reserve and Investment Allowance Reserve.

Special appropriation to project cost - Due to high capital investment required for the expansion in the electricity industry, the Maharashtra State Government permits part of the capital cost of approved projects to be collected through the electricity tariff and held as a special appropriation.

Development Reserve / Investment Allowance Reserve - Until 1978, the Companies made appropriations to a Development Reserve and an Investment Allowance Reserve as required by the Income Tax Act, 1956. New appropriations to these reserves are no longer required due to changes in law.

Special Reserve

Special Reserve Fund represents the amount transferred from the annual profits of Af-Taab pursuant to section 45 of the Reserve Bank of India Act, 1934. Pursuant to scheme of arrangement for merger as mentioned in note 47 to the standalone financial statement, erstwhile Af-taab has ceased to exist and hence the reserves is no longer required and accordingly has been transferred to retained earning.

Retained Earnings

Retained Earnings are the profits/losses of the Company earned/incurred till date net of appropriations.

Equity Instruments through Other Comprehensive Income

This reserve represents the cumulative gains and losses arising on revaluation of equity instruments measured at fair value through other comprehensive income, net of amounts reclassified to retained earnings when those equity instruments are disposed off.

Notes to the Standalone Financial Statements

22. Non-current Borrowings - At Amortised Cost

	As at March 31, 2023		As at March 31, 2022	
	Non-current (₹ crore)	Current* Maturities (₹ crore)	Non-current (₹ crore)	Current* Maturities (₹ crore)
(i) Unsecured				
Redeemable Non-Convertible Debentures				
(a) 10.75% Series 2072 (Refer note 22(1))	Nil	Nil	1,498.21	Nil
(b) 5.70% Series 2024	568.53	Nil	567.30	Nil
(c) 6.00% Series 2023	Nil	996.49	991.42	Nil
(d) 6.18% Series 2024	Nil	399.22	397.55	Nil
(e) 7.05% Series 2026	497.81	Nil	496.76	Nil
(f) 7.60% Series 2023	Nil	999.82	997.61	Nil
(g) 7.75% Series 2030	496.38	Nil	Nil	Nil
(h) 7.75% Series 2032	496.38	Nil	Nil	Nil
(i) 7.77% Series 2029	148.48	Nil	148.09	Nil
(j) 7.77% Series 2030	148.48	Nil	148.54	Nil
(k) 7.77% Series 2031	198.43	Nil	197.87	Nil
(l) 7.99% Series 2024	298.87	300.00	598.49	300.00
(m) 8.21% Series 2023	Nil	300.00	300.38	Nil
(n) 8.55% Series 2023	Nil	349.90	349.58	Nil
(o) 8.84% Series 2022	Nil	Nil	Nil	500.00
(p) 8.84% Series 2023	Nil	Nil	Nil	750.00
(q) 9.00% Series 2025	249.95	Nil	249.91	Nil
(r) 9.15% Series 2022	Nil	Nil	Nil	370.00
(s) 9.70% Series 2023	Nil	1,699.62	1,698.41	Nil
(t) 9.90% Series 2028	998.49	Nil	998.41	Nil
	4,101.80	5,045.05	9,638.53	1,920.00
Term Loans from Banks				
(u) Axis Bank	500.00	Nil	500.00	Nil
(v) Bank of Baroda	Nil	Nil	999.93	Nil
(w) Federal Bank	500.00	Nil	Nil	Nil
(x) First Abu Dhabi Bank	Nil	Nil	Nil	66.00
(y) ICICI Bank	800.00	Nil	1,000.00	Nil
(z) Kotak Mahindra Bank	199.38	150.00	348.94	150.00
(aa) Punjab National Bank	119.81	120.00	300.00	Nil
(ab) Sumitomo Mitsui Banking Corporation	34.37	45.00	78.84	205.00
(ac) UCO Bank	199.76	Nil	Nil	Nil
(ad) Yes Bank	Nil	Nil	500.00	Nil
	2,353.32	315.00	3,727.71	421.00
(A)	6,455.12	5,360.05	13,366.24	2,341.00
(ii) Secured				
Redeemable Non-Convertible Debentures				
(a) 7.55% Series 2028	Nil	Nil	164.70	16.25
(b) 8.85% Series 2028	148.44	16.25	Nil	Nil
(c) 9.15% Series 2025	42.00	16.00	57.92	16.00
(d) 9.15% Series 2025	40.00	20.00	60.07	20.00
(e) 9.40% Series 2022	Nil	Nil	Nil	210.00
	230.44	52.25	282.69	262.25

Notes to the Standalone Financial Statements

22. Non-current Borrowings - At Amortised Cost (Contd.)

	As at March 31, 2023		As at March 31, 2022	
	Non-current (₹ crore)	Current* Maturities (₹ crore)	Non-current (₹ crore)	Current* Maturities (₹ crore)
Term Loans from Banks				
(f) Axis Bank	99.86	130.00	230.55	60.00
(g) Canara Bank	Nil	Nil	Nil	18.40
(h) HDFC Bank	2,174.27	193.84	1,635.20	170.25
(i) ICICI Bank	Nil	238.94	237.63	150.00
(j) Kotak Mahindra Bank	364.32	61.48	425.78	61.48
(k) State Bank of India	851.11	151.30	1,002.43	75.64
	3,489.56	775.56	3,531.59	535.77
Term Loans from Others				
(l) HDFC Limited	837.76	70.00	907.45	60.00
(m) Bajaj Finance Limited	259.42	23.58	Nil	Nil
	1,097.18	93.58	907.45	60.00
(B)	4,817.18	921.39	4,721.73	858.02
Total	(A) + (B)	11,272.30	18,087.97	3,199.02

* Amount disclosed under Current borrowings (Refer Note 29)

Security

- (i) The debentures mentioned in (a) was secured by pari passu charge on all movable fixed assets (excluding land and building), present and future (except wind, solar and Haldia plant assets both present and future) including movable machinery, machinery spares, tools and accessories, present and future, but excluding vehicles, launches and barges.
- (ii) The loans and debentures mentioned in (b), (c), (e), (g), (h), (i), (j), (k) and (l) have been secured by pari passu charge on all movable fixed assets (excluding land and building), present and future (except assets of all wind projects both present and future) including movable machinery, machinery spares, tools and accessories, present and future, but excluding vehicles, launches and barges.
- (iii) The debentures mentioned in (d) have been secured by a charge on the land situated at Village Takve Khurd (Maharashtra) and movable fixed assets (except the wind assets) including movable machinery, machinery spares, tools and accessories but excluding vehicles, launches and barges, present and future.
- (iv) The loans mentioned in (f) have been secured by whole of current assets of the Company, present and future, in a first pari passu manner.
- (v) The loans mentioned in (h) for the facility of ₹ 277.11 Crore and (m) have been secured by first ranking and pari-passu charge by way of hypothecation on all the tangible fixed assets and capital work in progress of the Company (including its power plant at Jojobera and excluding its power plant at Mundra, land and building, leasehold assets/ right of use assets, motor vehicles, launches, barges, helicopters etc, furniture, fixtures and office equipment, solar & windmill assets), present and future.
- (vi) The loan mentioned in (h) for the facility of ₹ 455.00 Crore have been secured by negative lien of on all immovable properties of Mundra power plant, first pari-passu on all movable fixed assets including but not limited to plant & machinery, machinery spares, tools and accessories, furniture, fixtures, vehicles and other movable fixed assets, both present and future. The said security shall be shared on pari-passu basis inter se with other lenders of the borrower and excluding the other immovable and movable assets of the Company.

Notes to the Standalone Financial Statements

22. Non-current Borrowings - At Amortised Cost (Contd.)

Terms of Repayment

(₹ crore)

Particulars	Amount Outstanding as at March 31, 2023	FY 23-24	FY 24-25	FY 25-26	FY 26-27	FY 27-28	FY 28-33	FY 34 and onwards
(i) Unsecured - At Amortised Cost								
Redeemable Non-Convertible Debentures								
(b) 5.70% Series 2024	570.00	Nil	570.00	Nil	Nil	Nil	Nil	Nil
(c) 6.00% Series 2023	996.49	996.49	Nil	Nil	Nil	Nil	Nil	Nil
(d) 6.18% Series 2024	399.22	399.22	Nil	Nil	Nil	Nil	Nil	Nil
(e) 7.05% Series 2026	500.00	Nil	Nil	500.00	Nil	Nil	Nil	Nil
(f) 7.60% Series 2023	999.82	999.82	Nil	Nil	Nil	Nil	Nil	Nil
(g) 7.75% Series 2030	500.00	Nil	Nil	Nil	Nil	Nil	500.00	Nil
(h) 7.75% Series 2032	500.00	Nil	Nil	Nil	Nil	Nil	500.00	Nil
(i) 7.77% Series 2029	150.00	Nil	Nil	Nil	Nil	Nil	150.00	Nil
(j) 7.77% Series 2030	150.00	Nil	Nil	Nil	Nil	Nil	150.00	Nil
(k) 7.77% Series 2031	200.00	Nil	Nil	Nil	Nil	Nil	200.00	Nil
(l) 7.99% Series 2024	600.00	300.00	300.00	Nil	Nil	Nil	Nil	Nil
(m) 8.21% Series 2023	300.00	300.00	Nil	Nil	Nil	Nil	Nil	Nil
(n) 8.55% Series 2023	349.90	349.90	Nil	Nil	Nil	Nil	Nil	Nil
(q) 9.00% Series 2025	250.00	Nil	250.00	Nil	Nil	Nil	Nil	Nil
(s) 9.70% Series 2023	1,699.62	1,699.62	Nil	Nil	Nil	Nil	Nil	Nil
(t) 9.90% Series 2028	1,000.00	Nil	Nil	Nil	Nil	Nil	1,000.00	Nil
Term Loans from Banks (Refer Note 2 below)								
(u) Axis Bank	500.00	Nil	500.00	Nil	Nil	Nil	Nil	Nil
(w) Federal Bank	500.00	Nil	500.00	Nil	Nil	Nil	Nil	Nil
(y) ICICI Bank	800.00	Nil	800.00	Nil	Nil	Nil	Nil	Nil
(z) Kotak Mahindra Bank	350.00	150.00	200.00	Nil	Nil	Nil	Nil	Nil
(aa) Punjab National bank	240.00	120.00	120.00	Nil	Nil	Nil	Nil	Nil
(ab) Sumitomo Mitsui Banking Corporation	80.00	45.00	35.00	Nil	Nil	Nil	Nil	Nil
(ac) UCO Bank	200.00	Nil	200.00	Nil	Nil	Nil	Nil	Nil
(ii) Secured - At Amortised Cost								
Redeemable Non-Convertible Debentures								
(b) 8.85% Series 2028	164.69	16.25	16.25	16.25	16.25	99.69	Nil	Nil
(c) 9.15% Series 2025	58.00	16.00	16.00	26.00	Nil	Nil	Nil	Nil
(d) 9.15% Series 2025	60.00	20.00	20.00	20.00	Nil	Nil	Nil	Nil
Term Loans from Banks (Refer Note 2 below)								
(f) Axis Bank	230.00	130.00	100.00	Nil	Nil	Nil	Nil	Nil
(h) HDFC Bank	2,370.73	193.84	193.82	229.17	291.93	204.11	1,008.05	249.81
(i) ICICI Bank	238.94	238.94	Nil	Nil	Nil	Nil	Nil	Nil
(j) Kotak Mahindra Bank	425.80	61.48	61.48	87.73	76.48	110.23	28.40	Nil
(k) State Bank of India	1,002.41	151.30	302.59	548.52	Nil	Nil	Nil	Nil

Notes to the Standalone Financial Statements

22. Non-current Borrowings - At Amortised Cost (Contd.)

Particulars	Amount Outstanding as at March 31, 2023	FY 23-24	FY 24-25	FY 25-26	FY 26-27	FY 27-28	FY 28-33	FY 34 and onwards
Term Loans from Others (Refer Note 2 below)								
(l) HDFC Limited	910.00	70.00	90.00	120.00	140.00	140.00	350.00	Nil
(m) Bajaj Finance Limited	283.00	23.58	23.58	23.58	23.58	23.58	117.91	47.19
	17,578.62	6,281.44	4,298.72	1,571.25	548.24	577.61	4,004.36	297.00
Less: Impact of recognition of borrowing at amortised cost using effective interest method.	24.88							
	17,553.74							

Notes:

- The 10.75% Redeemable Non-Convertible Debentures are redeemable at par at the end of 60 years from the date of allotment viz. August 21, 2072. The Company has exercised the call option to redeem the same on August 21, 2022.
- The rate of interest for term loans from banks ranges from 5.05% p.a to 9.35% p.a (March 31, 2022 - 5.05% p.a to 8.15% p.a) and rate of interest for term loans from others is 5.70% p.a to 9.90% p.a (March 31, 2022 - 7.60% p.a).

23. Lease Liabilities

Accounting Policy

At inception of contract, the Company assesses whether the contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. At inception or on reassessment of a contract that contains a lease component, the Company allocates consideration in the contract to each lease component on the basis of their relative standalone price.

As a Lessee

i) Lease Liabilities

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. In calculating the present value of lease payments, the Company uses its incremental borrowing rate at the lease commencement date if the discount rate implicit in the lease is not readily determinable.

After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. The carrying amount is remeasured when there is a change in future lease payments arising from a change in index or rate. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments or a change in the assessment of an option to purchase the underlying asset.

ii) Short term leases and leases of low value of assets

The Company applies the short-term lease recognition exemption to its short-term leases. It also applies the lease of low-value assets recognition exemption that are considered to be low value. Lease payments on short-term leases and leases of low value assets are recognised as expense on a straight-line basis over the lease term.

Notes to the Standalone Financial Statements

23. Lease Liabilities (Contd.)

Leasing arrangement as Lessee

The Company has lease contracts for various items of plant, machinery, land, vehicles and other equipment used in its operations. Leases of Leasehold land including sub-surface rights and plant and equipment generally have lease term between 2 and 40 years. Generally, the Company is restricted from assigning and subleasing the leased assets.

Amount recognised in the Statement of Profit and Loss	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Depreciation of Right-of-use assets	109.63	102.95
Interest on lease liabilities	291.62	275.36
Expenses related to short term leases	31.06	29.84
Expenses related to leases of low value assets, excluding short term leases of low value assets	1.95	0.81

Refer Note 5(b) for additions to Right-of-Use Assets and the carrying amount of Right-of-Use Assets. Further, Refer Note 43.4.3 for maturity analysis of lease liabilities.

Amount as per the Statement of Cash Flows	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Total cash outflow of leases	293.24	277.30
	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-Current		
(i) Lease Liabilities	2,735.93	2,555.11
	2,735.93	2,555.11
Current		
(i) Lease Liabilities	318.45	303.76
	318.45	303.76

Notes to the Standalone Financial Statements

24. Trade Payables

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Current		
Outstanding dues of micro enterprises and small enterprises (Refer Note 37)	87.61	39.16
Outstanding dues of trade payables other than micro enterprises and small enterprises	1,897.41	4,040.73
Total	1,985.02	4,079.89

Trade Payables Ageing schedule as at March 31, 2023

Particulars	Others	Outstanding for following periods from due date of payment #					₹ crore
		Unbilled*	Not due	Less than 1 year	1-2 Years	2-3 years	More than 3 years
(i) Undisputed Trade Payables							
a) MSME	Nil	80.10	7.16	0.31	0.03	0.01	87.61
b) Others	406.72	665.77	730.39	20.54	7.79	6.87	1,838.08
(ii) Disputed Trade Payables							
a) MSME	Nil	Nil	Nil	Nil	Nil	Nil	Nil
b) Others	Nil	Nil	Nil	Nil	Nil	59.33	59.33
Total (i) + (ii)	406.72	745.87	737.55	20.85	7.82	66.21	1,985.02

Where due date of payment is not available date of transaction has been considered

* Provision for expenses which is certain and not related to any litigation

Trade Payables Ageing schedule as at March 31, 2022

Particulars	Others	Outstanding for following periods from due date of payment #					₹ crore
		Unbilled*	Not due	Less than 1 year	1-2 Years	2-3 years	More than 3 years
(i) Undisputed Trade Payables							
a) MSME	Nil	20.07	18.90	0.13	0.04	0.02	39.16
b) Others	177.51	3,319.25	423.93	28.13	12.57	20.01	3,981.40
(ii) Disputed Trade Payables							
a) MSME	Nil	Nil	Nil	Nil	Nil	Nil	Nil
b) Others	Nil	Nil	Nil	Nil	59.33	Nil	59.33
Total (i) + (ii)	177.51	3,339.32	442.83	28.26	71.94	20.03	4,079.89

Where due date of payment is not available date of transaction has been considered

* Provision for expenses which is certain and not related to any litigation

Notes to the Standalone Financial Statements

25. Other Financial Liabilities - At Amortised Cost (Unless otherwise stated)

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current		
(a) Security Deposits from Customers	11.68	11.21
(b) Guarantee Commission Obligation	1.42	1.86
(c) Payables for Capital Supplies and Services	120.55	Nil
Total	133.65	13.07
Current		
(a) Interest accrued but not due on Borrowings	422.18	506.46
(b) Interest accrued but not due on Borrowings from Related Party	0.07	2.61
(c) Investor Education and Protection Fund shall be credited by the following amounts namely: (Refer Note 2 below)		
Unpaid Dividend	23.56	23.35
Unpaid Matured Debentures	0.09	0.09
(d) Other Payables		
Payables for Capital Supplies and Services (Refer Note 37)	452.61	655.46
Security deposits from electricity consumers	272.42	247.78
Security deposits from others	24.11	38.22
Payable to Consumers	91.63	220.48
Supplier's Credit (Refer Note 1(i) and 1(ii) below)	2,491.99	330.53
Factoring Liability (Refer Note 8 b)	536.75	496.80
Derivative contracts (at Fair Value through Profit and Loss)	17.43	13.12
Other Financial Liabilities	349.05	226.54
Total	4,681.89	2,761.44

Notes

- 1 (i) The Company has entered into a Suppliers' Credit Program ("Facility") with a third party whereby the third party shall pay the said coal suppliers on behalf of the Company and the Company shall pay the third party on the due date along with interest. The Company has utilised USD 229.01 million (March 31, 2022 - USD 43.99 million) of this facility as at March 31, 2023. As the Facility provided by the third party is within the credit period provided by the coal vendors, the outstanding liability has been disclosed under other financial liabilities.
- (ii) The Company has entered into Usance Payable At Sight Letter of Credit (U-Pas LC) arrangement includes credit availed by the suppliers from banks for goods supplied to the Company. The arrangements are interest bearing, where the Company bears the interest cost and are payable within 180 days as stipulated in Letter of credit. As the Facility arranged is within the credit period provided by the coal vendors, the outstanding liability has been disclosed under other financial liabilities. The Company has utilised USD 74.23 million (March 31, 2022 - Nil) of this facility as at March 31, 2023.
- 2 Includes amounts outstanding aggregating ₹ 0.24 crore (March 31, 2022 - ₹ 0.24 crore) for more than seven years pending disputes and legal cases.

Notes to the Standalone Financial Statements

26. Deferred Tax Liabilities/(Asset)(Net)

(Refer Note 36)

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Deferred Tax Assets	3,287.81	4,140.70
Deferred Tax Liabilities	3,905.10	3,890.70
Net Deferred Tax Liabilities/(Assets)	617.29	(250.00)

27. Provisions

Accounting Policy

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that the Company will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

Present obligations arising under onerous contracts are recognised and measured as provisions with charge to Statement of Profit and Loss. An onerous contract is considered to exist where the Company has a contract under which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received from the contract.

Restructuring provisions are recognised only when the Company has a constructive obligation, which is when: (i) a detailed formal plan identifies the business or part of the business concerned, the location and number of employees affected, a detailed estimate of the associated costs, and the timeline; and (ii) the employees affected have been notified of the plan's main features.

Defined contribution plans

Payments to defined contribution retirement benefit plans are recognised as an expense when employees have rendered service entitling them to the contributions.

Defined benefits plans

The cost of providing benefits under the defined benefit plan is determined using the projected unit credit method. Remeasurements, comprising of actuarial gains and losses, the effect of the asset ceiling and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability), are recognised immediately in the balance sheet with a corresponding debit or credit to retained earnings through OCI in the period in which they occur. Remeasurements are not reclassified to profit or loss in subsequent periods.

Past service costs are recognised in the Statement of Profit and Loss on the earlier of:

- The date of the plan amendment or curtailment, and
- The date that the Company recognises related restructuring costs

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Company recognises the following changes in the net defined benefit obligation as an expense in the Statement of Profit and Loss:

- Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non routine settlements; and
- Net interest expense or income.

The cost of the defined benefit gratuity plan and other post-employment medical benefits are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases and mortality rates. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is sensitive to changes in these assumptions. All

Notes to the Standalone Financial Statements

27. Provisions (Contd.)

assumptions are reviewed at each reporting date. In determining the appropriate discount rate for plans operated in India, the management considers the interest rates of government bonds. The mortality rate is based on publicly available mortality tables. Those mortality tables tend to change only at interval in response to demographic changes. Future salary increases are based on expected future inflation rates.

A liability for a termination benefit is recognised at the earlier of when the entity can no longer withdraw the offer of the termination benefit and when the entity recognises any related restructuring costs.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current		
Provision for Employee Benefits		
Compensated Absences	87.30	82.48
Gratuity [Refer Note 27 (2.3b)]	Nil	15.19
Post-Employment Medical Benefits [Refer Note 27 (2.1) and (2.3)]	56.75	59.39
Other Defined Benefit Plans [Refer Note 27 (2.1) and (2.3)]	125.02	100.84
Other Employee Benefits	16.87	16.10
Total	285.94	274.00
Current		
Provision for Employee Benefits		
Compensated Absences	6.74	15.33
Post-Employment Medical Benefits [Refer Note 27 (2.1) and (2.3)]	2.31	3.27
Other Defined Benefit Plans [Refer Note 27 (2.1) and (2.3)]	6.79	23.57
Other Employee Benefits	1.92	2.06
	17.76	44.23
Other Provisions	Nil	0.36
	Nil	0.36
Total	17.76	44.59

Employee Benefit Plans

1. Defined Contribution plan

- a) The Company makes superannuation fund contributions to defined contribution plan for eligible employees. Under the scheme, the Company is required to contribute a specified percentage of the payroll costs. The Company has no obligation, other than the contribution payable to the fund. The Company recognises contribution payable to the superannuation fund scheme as an expense, when an employee renders the related service.

The Company has recognised ₹ 7.85 crore (March 31, 2022 - ₹ 7.16 crore) for superannuation contribution in the Statement of Profit and Loss. The contribution payable to the plan by the Company is at rates specified in the rules of the plan.

- b) The total expense recognized in Statement of Profit & Loss is ₹ 1.55 crore (for the year ended March 31, 2022 ₹ 1.43 crore) represents contribution for the year paid/payable to the Employee Provident Fund. The contribution outstanding as at March 31, 2023 of ₹ Nil (as at March 31, 2022 ₹ 0.35 crore) due in respect of financial year 2022-23 (financial year 2021-22) is payable in the subsequent reporting periods.

Notes to the Standalone Financial Statements

27. Provisions (Contd.)

2. Defined benefit plans

2.1 The Company operates the following unfunded/funded defined benefit plans:

Funded:

Provident Fund

The Company makes Provident Fund contributions to defined benefit plans for eligible employees. Under the scheme, the Company is required to contribute a specified percentage of the payroll costs to fund the benefits. The contributions as specified are paid to the provident fund trust set by the Company. The Company is generally liable for annual contributions. However, any shortfall in the fund assets based on the government specified minimum rates of return are recognised as an expense in the year it is incurred.

The significant assumptions used for the purpose of the actuarial valuations were as follows:

Particulars	As at March 31, 2023	As at March 31, 2022
Interest rate	8.15% p.a.	8.10% p.a.
Discount rate	7.30% p.a.	6.80% p.a.

The movements in the net defined benefit obligations for provident fund are as follows:

Funded Plan:	Present value of obligation ₹ crore	Fair value of plan assets ₹ crore	Net amount ₹ crore
Balance as at April 1, 2021	893.41	836.51	56.90
Current service cost	20.14	Nil	20.14
Interest Cost/(Income)	50.03	49.97	0.06
Amount recognised in Statement of Profit and Loss	70.17	49.97	20.20
<u>Remeasurement (gains)/losses</u>			
Return on plan assets excluding amounts included in interest cost/(income)	Nil	(20.41)	20.41
Actuarial (gains)/losses arising from changes in demographic assumptions	Nil	Nil	Nil
Actuarial (gains)/losses arising from changes in financial assumptions	(28.28)	Nil	(28.28)
Actuarial (gains)/losses arising from experience	(0.21)	Nil	(0.21)
Amount recognised in Other Comprehensive Income	(28.49)	(20.41)	(8.08)
Employer contribution	Nil	18.71	(18.71)
Employee contribution	42.43	42.43	Nil
Benefits paid	(56.02)	(60.17)	4.15
Acquisitions credit/(cost) (net)	16.89	16.89	Nil
Balance as at March 31, 2022	938.39	883.93	54.46
Balance as at April 1, 2022	938.39	883.93	54.46
Current service cost	22.36	Nil	22.36
Interest Cost/(Income)	63.91	60.21	3.70
Amount recognised in Statement of Profit and Loss	86.27	60.21	26.06
<u>Remeasurement (gains)/losses</u>			
Return on plan assets excluding amounts included in interest cost/(income)	Nil	(20.41)	20.41
Actuarial (gains)/losses arising from changes in demographic assumptions	Nil	Nil	Nil
Actuarial (gains)/losses arising from changes in financial assumptions	(29.36)	Nil	(29.36)
Actuarial (gains)/losses arising from experience	13.51	Nil	13.51
Amount recognised in Other Comprehensive Income	(15.85)	(20.41)	4.56
Employer contribution	Nil	21.43	(21.43)
Employee contribution	44.22	44.22	Nil
Benefits paid	(94.27)	(94.27)	Nil
Acquisitions credit/(cost)	31.72	31.72	Nil
Balance as at March 31, 2023	990.49	926.83	63.66

Notes to the Standalone Financial Statements

27. Provisions (Contd.)

Funded/Unfunded:

Post Employment Medical Benefits

The Company provides certain post-employment health care benefits to superannuated employees at some of its locations. In terms of the plan, the retired employees can avail free medical check-up and medicines at Company's facilities.

Pension (including Director pension)

The Company operates a defined benefit pension plan for employees who have completed 15 years of continuous service. The plan provides benefits to members in the form of a pre-determined lumpsum payment on retirement. Executive Director, on retirement, is entitled to pension payable for life including HRA benefit. The level of benefit is approved by the Board of Directors of the Company from time to time.

Ex-Gratia Death Benefit

The Company has a defined benefit plan granting ex-gratia in case of death during service. The benefit consists of a pre-determined lumpsum amount along with a sum determined based on the last drawn basic salary per month and the length of service.

Retirement Gift

The Company has a defined benefit plan granting a pre-determined sum as retirement gift on superannuation of an employee.

Gratuity

The Company has a defined benefit gratuity plan. The gratuity plan is primarily governed by the Payment of Gratuity Act, 1972. Employees who are in continuous service for a period of five years are eligible for gratuity. The level of benefits provided depends on the member's length of service and salary at the retirement date. In case of funded plan, the fund has the form of a trust and is governed by Trustees appointed by the Company. The Trustees are responsible for the administration of the plan assets and for the definition of the investment strategy in accordance with the trust regulations. From April 1, 2022 employees of CGPL covered in funded plan.

2.2 The principal assumptions used for the purposes of the actuarial valuations for funded and unfunded plan were as follows:

Valuation as at	As at March 31, 2023	As at March 31, 2022
Discount Rate	7.30% p.a.	6.80% p.a.
Salary Growth Rate		
- Management	7% p.a.	7% p.a.
- Non-Management	6% p.a.	6% p.a.
Turnover Rate - Age 21 to 44 years		
- Management	6% p.a.	6% p.a.
- Non-Management	0.50% p.a.	0.50% p.a.
Turnover Rate - Age 45 years and above		
- Management	2% p.a.	2% p.a.
- Non-Management	0.50% p.a.	0.50% p.a.
Pension Increase Rate	4% p.a.	4% p.a.
Mortality Table	Indian Assured Lives Mortality (2006-08) (modified) Ult	Indian Assured Lives Mortality (2006-08) (modified) Ult
Annual Increase in Healthcare Cost	8% p.a.	8% p.a.

Notes to the Standalone Financial Statements

27. Provisions (Contd.)

2.3 The amounts recognised in the Standalone financial statements and the movements in the net defined benefit obligations over the year are as follows:

(a) Gratuity Fund Plan:	Present value of obligation	Fair value of plan assets	Net amount
	₹ crore	₹ crore	₹ crore
Balance as at April 1, 2021 *	256.54	(346.06)	(89.52)
Current service cost	14.46	Nil	14.46
Interest Cost/(Income)	15.81	(22.84)	(7.03)
Amount recognised in Statement of Profit and Loss - Continuing Operations	30.27	(22.84)	7.43
<u>Remeasurement (gains)/losses</u>			
Return on plan assets excluding amounts included in interest cost/(income)	Nil	(6.46)	(6.46)
Actuarial (gains)/losses arising from changes in financial assumptions	(0.33)	Nil	(0.33)
Actuarial (gains)/losses arising from experience	5.68	Nil	5.68
Amount recognised in Other Comprehensive Income	5.35	(6.46)	(1.11)
Benefits paid	(33.96)	Nil	(33.96)
Acquisitions credit/(cost) (net)	(5.50)	Nil	(5.50)
Balance as at March 31, 2022 *	252.70	(375.36)	(122.66)
* Net asset is classified as "Other Current Assets".			
Balance as at April 1, 2022 *	252.70	(375.36)	(122.66)
Current service cost	14.63	Nil	14.63
Interest Cost/(Income)	16.09	(25.52)	(9.43)
Amount recognised in Statement of Profit and Loss - Continuing Operations	30.72	(25.52)	5.20
<u>Remeasurement (gains)/losses</u>			
Return on plan assets excluding amounts included in interest cost/(income)	Nil	13.58	13.58
Actuarial (gains)/losses arising from changes in financial assumptions	(9.30)	Nil	(9.30)
Actuarial (gains)/losses arising from experience	26.16	Nil	26.16
Amount recognised in Other Comprehensive Income	16.86	13.58	30.44
Benefits paid	(32.31)	Nil	(32.31)
Acquisitions credit/(cost) (net)	4.91	Nil	4.91
Balance as at March 31, 2023 *	272.88	(387.30)	(114.42)
* Net asset is classified as "Other Current Assets".			
(b) Unfunded Plan - Gratuity and Other Defined Benefit Plans:			
	Gratuity	Other Defined Benefit Plans	
	Amount ₹ crore	Amount ₹ crore	
Balance as at April 1, 2021	13.35	126.88	
Current service cost	1.14	5.47	
Interest Cost/(Income)	0.87	8.13	
Amount recognised in Statement of Profit and Loss - Continuing Operations	2.01	13.60	
<u>Remeasurement (gains)/losses</u>			
Actuarial (gains)/losses arising from changes in demographic assumptions	Nil	7.53	
Actuarial (gains)/losses arising from changes in financial assumptions	(0.31)	(2.93)	
Actuarial (gains)/losses arising from experience	(0.42)	(4.32)	
Amount recognised in Other Comprehensive Income	(0.73)	0.28	
Benefits paid	(0.11)	(8.11)	
Acquisitions credit/(cost) (net)	0.67	(0.04)	
Balance as at March 31, 2022	15.19	132.61	

Notes to the Standalone Financial Statements

27. Provisions (Contd.)

Employee Benefit Plans

Unfunded Plan - Gratuity and Other Defined Benefit Plans:

	Gratuity	Other Defined Benefit Plans
	Amount ₹ crore	Amount ₹ crore
Balance as at April 1, 2022	15.19	132.61
Current service cost	Nil	5.69
Interest Cost/(Income)	Nil	8.64
Amount recognised in Statement of Profit and Loss - Continuing Operations	Nil	14.33
<u>Remeasurement (gains)/losses</u>		
Actuarial (gains)/losses arising from changes in demographic assumptions	Nil	Nil
Actuarial (gains)/losses arising from changes in financial assumptions	Nil	(7.25)
Actuarial (gains)/losses arising from experience	Nil	(5.83)
Amount recognised in Other Comprehensive Income	Nil	(13.08)
Benefits paid	Nil	(8.14)
Transferred to funded Gratuity	15.19	Nil
Acquisitions credit/(cost) (net)	Nil	1.49
Balance as at March 31, 2023	Nil	127.21

2.4 Reconciliation with amount presented in Note 27 with above disclosures

	As at March 31, 2023	As at March 31, 2022
<u>Non Current</u>		
Post-Employment Medical Benefits	56.75	59.39
Other defined Benefit plans	125.02	100.84
<u>Current</u>		
Post-Employment Medical Benefits	2.31	3.27
Other defined Benefit plans	6.79	23.57
Total	190.87	187.07
<u>Closing defined benefit obligations</u>		
Provident Fund	63.66	54.46
Other defined Benefit plans	127.21	132.61
Total	190.87	187.07

Notes to the Standalone Financial Statements

27. Provisions (Contd.)

2.5 Sensitivity analysis

The sensitivity of the defined benefit obligations to changes in the weighted principal assumptions is:

Particulars	Change in assumption		Increase in assumption		Decrease in assumption	
			March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
	March 31, 2023	March 31, 2022	₹ crore	₹ crore	₹ crore	₹ crore
			Increase/(Decrease) in defined benefit obligation		Increase/(Decrease) in defined benefit obligation	
Discount rate	0.50%	0.50%	(16.67)	(18.86)	18.06	17.54
Salary/Pension growth rate	0.50%	0.50%	12.51	12.03	(11.83)	(11.35)
Mortality rates	1 year	1 year	(5.02)	(5.46)	4.96	5.36
Healthcare cost	0.50%	0.50%	4.44	4.91	(3.99)	(4.38)

The above sensitivity analysis is based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the defined benefit liability recognised in the balance sheet.

The method and types of assumptions used in preparing the sensitivity analysis did not change compared to the prior period.

These plans typically expose the Company to actuarial risks such as: Investment Risk, Interest Risk, Longevity Risk and Salary Risk.

Investment Risk The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on government bonds.

Interest Risk A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan debt investments.

Longevity Risk The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary Risk The present value of the defined plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

2.6 The expected maturity analysis of undiscounted defined benefit obligation is as follows:

	Funded- Provident Fund		Funded- Gratuity		Unfunded - Gratuity	
	March 31, 2023 ₹ crore	March 31, 2022 ₹ crore	March 31, 2023 ₹ crore	March 31, 2022 ₹ crore	March 31, 2023 ₹ crore	March 31, 2022 ₹ crore
Within 1 year	70.60	66.56	24.12	17.89	Nil	9.79
Between 1 - 2 years	107.49	100.75	35.27	31.26	Nil	10.38
Between 2 - 3 years	101.51	106.87	29.96	32.12	Nil	11.46
Between 3 - 4 years	119.92	95.81	36.15	25.49	Nil	12.02
Between 4 - 5 years	141.43	112.88	39.06	29.38	Nil	12.60
Between 6 - 10 years	564.69	581.36	160.59	165.82	Nil	57.90
The weighted average duration of:					March 31, 2023	March 31, 2022
Provident Fund					8.31 Years	8.0 Years
Gratuity Fund					7.4 Years	7.6 Years

The contribution expected to be made by the Company during the financial year 2023-24 is ₹ 22.87 crore.

Notes to the Standalone Financial Statements

27. Provisions (Contd.)

2.7 Risk exposure:

Through its defined benefit plans, the Company is exposed to a number of risks, the most significant of which are detailed below:

Asset volatility:

The plan liabilities are calculated using a discount rate set with reference to government bond yield. If plan assets underperform this yield, it will result in deficit. These are subject to interest rate risk. To offset the risk, the plan assets have been deployed in high grade insurer managed funds.

Inflation rate risk:

Higher than expected increase in salary and medical cost will increase the defined benefit obligation.

Demographic risk:

This is the risk of variability of results due to unsystematic nature of decrements that include mortality, withdrawal, disability and retirement. The effect of these decrements on the defined benefit obligations is not straight forward and depends upon the combination of salary increase, discount rate and vesting criterion.

2.8 Major categories of plan assets:

Plan assets are funded with the trust set up by the Company. The trust invests the funds in various financial instruments. Major categories of plan assets are as follows:

	Provident Fund				Gratuity			
	As at March 31, 2023		As at March 31, 2022		As at March 31, 2023		As at March 31, 2022	
	₹ crore	%	₹ crore	%	₹ crore	%	₹ crore	%
Quoted								
Equity Instruments	69.98	7.55%	59.13	6.69%	50.56	13.06%	78.06	20.80%
Government Securities	487.51	52.60%	472.55	53.46%	157.98	40.82%	117.37	31.27%
Debt and other Instruments	369.34	39.85%	352.24	39.85%	178.76	46.12%	179.93	47.93%
Total	926.83	100.00%	883.92	100.00%	387.30	100.00%	375.36	100.00%

Notes to the Standalone Financial Statements

28. Other Liabilities

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current		
Deferred Revenue - Service Line Contributions from Consumers	105.81	104.60
Deferred Revenue Liability	712.64	610.77
Deferred Rent Liability	40.80	41.78
Total	859.25	757.15
Current		
Statutory Liabilities	163.92	135.66
Advance from Customers/Public Utilities	191.22	152.18
Deferred Revenue - Service Line Contributions from Consumers	8.08	7.90
Statutory Consumer Reserves	205.25	191.57
Liabilities towards Consumers	61.01	40.25
Other Liabilities	31.63	27.42
Total	661.11	554.98

29. Current Borrowings - At Amortised Cost

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Unsecured (Refer note 1 below)		
From Banks		
(a) Bill Discounting	26.71	54.09
(b) Term Loans		
(i) Repayable on Demand	840.00	620.00
(ii) Others	Nil	640.00
(c) Bank Overdraft - Repayable on Demand	Nil	57.38
From Related Parties	75.00	600.00
From Others		
Commercial Paper [maximum amount outstanding during the year is ₹ 6,800 crore (March 31, 2022 - ₹ 6,900 crore)]	3,370.03	1,389.92
	4,311.74	3,361.39
Secured		
From Banks		
(a) Term Loans (Refer Note 1 below)	Nil	60.00
	Nil	60.00
Current Maturities of Non-current Borrowings (Refer Note 22)	6,281.44	3,199.02
Total	10,593.18	6,620.41

Notes:

- The rate of interest for term loans from banks ranges from 4.65% p.a. to 8.00% p.a. (March 31, 2022 - 4.60% p.a. to 9.50% p.a.) and loan from others is 4.50% p.a. to 7.60% p.a. (March 31, 2022 - 3.42% p.a. to 6.99% p.a.).
- The term loan mentioned in (a) above have been secured by pari passu first charge over all current assets of the Company, present and future, except for specific wind assets.

Notes to the Standalone Financial Statements

30. Current Tax Liabilities

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Income Tax Payable (Net)	197.79	107.67
Total	197.79	107.67

31. Revenue from Operations

Revenue recognition

Accounting Policy

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services.

Description of performance obligations are as follows :

(i) Sale of Power - Generation (Thermal and Hydro): Regulated

Revenue from sale of power is recognised net of cash discount over time for each unit of electricity delivered.

The Company as per the prevalent tariff regulations is required to recover its Annual Revenue Requirement ('ARR') comprising of expenditure on account of fuel cost, operations and maintenance expenses, financing costs, taxes and assured return on regulator approved equity with additional incentive for operational efficiencies. Accordingly, rate per unit is determined using input method based on the Company's efforts to the satisfaction of a performance obligation to deliver power.

As per tariff regulations, the Company determines ARR and any surplus/shortfall in recovery of the same is accounted as revenue.

(ii) Sale of Power - Generation: Non-regulated

Revenue from sale of power is recognised net of cash discount, rebate, etc. when the power is supplied as it best depicts the value to the customer and complete satisfaction of performance obligation.

Variable Consideration forming part of the total transaction price including compensation on account of change in law will be allocated and recognised when the terms of variable payment relate specifically to the Company's efforts to satisfy the performance obligation i.e. in the year of occurrence of event linked to variable consideration.

The transaction price has been adjusted for significant financing component, if any and the adjustment is accounted as finance cost. The difference between the revenue recognised and amount invoiced has been presented as deferred revenue/ unbilled revenue.

(iii) Sale of Power - Generation (Wind and Solar)

Revenue from sale of power is recognised net of cash discount over time for each unit of electricity delivered at the contracted rate.

(iv) Transmission of Power

Revenue from transmission of power is recognised net of cash discount over time for transmission of electricity. The Company as per the prevalent tariff regulations is required to recover its Annual Revenue Requirement ('ARR') comprising of expenditure on account of operations and maintenance expenses, financing costs, taxes and assured return on regulator approved equity with additional incentive for operational efficiencies.

Input method is used to recognize revenue based on the Company's efforts or inputs to the satisfaction of a performance obligation to deliver power.

As per tariff regulations, the Company determines ARR and any surplus/shortfall in recovery of the same is accounted as revenue.

Notes to the Standalone Financial Statements

31. Revenue from Operations (Contd.)

(v) Sale of Power - Distribution

Revenue from sale of power is recognised net of cash discount over time for each unit of electricity delivered at the pre determined rate.

(vi) Rendering of Services

Revenue from a contract to provide services is recognised over time based on :

Input method where the extent of progress towards completion is measured based on the ratio of costs incurred to date to the total estimated costs at completion of performance obligation. Revenue, including estimated fees or profits, are recorded proportionally based on measure of progress.

Output method where direct measurements of value to the customer based on survey's of performance completed to date.

Revenue is recognised net of cash discount at a point in time at the contracted rate.

(vii) Consumers are billed on a monthly basis and are given average credit period of 30 to 60 days for payment. Wherever applicable no delayed payment charges ('DPC') is charged for the initial 30 days from the date of receipt of invoice by customers. Thereafter, DPC is charged as per the relevant contracts on the outstanding balance. Revenue in respect of delayed payment charges and interest on delayed payments leviable as per the relevant contracts are recognised on actual realisation or accrued based on an assessment of certainty of realisation supported by either an acknowledgement from customers or on receipt of favourable order from regulator / authorities.

(viii) In the regulated operations of the Company where tariff recovered from consumers is determined on cost plus return on equity, the Income tax cost is pass through cost and accordingly the Company recognises Deferred tax recoverable/payable against any Deferred tax expense/ income. The same is included in 'Revenue from Operations' in case of Generation and Transmission business.

There are no significant judgements involved while evaluating the timing as to when customers obtain control of promised goods and services.

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
(a) Revenue from Power Supply and Transmission Charges (Refer Notes below)	15,712.87	9,443.46
Add/(Less): Income to be adjusted in future tariff determination (Net)	172.31	100.00
Add/(Less): Income to be adjusted in future tariff determination (Net) in respect of earlier years	(3.97)	Nil
Add/(Less): Deferred Tax Recoverable / (Payable)	47.76	46.12
	15,928.97	9,589.58
(b) Revenue from Power Supply - Assets Under Finance Lease	1,170.17	1,022.35
(c) Project/Operation Management Services	262.05	206.29
(d) Income from Finance Lease	76.26	79.81
(e) Other Operating Revenue		
Rental of Land, Buildings, Plant and Equipment, etc.	27.55	20.01
Income in respect of Services Rendered	158.02	91.11
Income from Storage and Terminal charges	18.49	16.67
Amortisation of Service Line Contributions	8.15	8.64
Sale of Fly Ash	18.38	10.77
Miscellaneous Revenue	59.74	62.70
	290.33	209.90
Total	17,727.78	11,107.93

Notes to the Standalone Financial Statements

31. Revenue from Operations (Contd.)

Details of Revenue from Contract with Customers

Particulars	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Total Revenue from Contract with Customers	17,562.25	10,947.56
Add/(Less): Significant Financing Component	(69.60)	(58.95)
Add: Cash Discount/Rebates etc.	149.71	94.06
Total Revenue as per Contracted Price	17,642.36	10,982.67

Transaction Price - Remaining Performance Obligation

The remaining performance obligation disclosure provides the aggregate amount of the transaction price yet to be recognised as at the end of the reporting period and an explanation as to when the Company expects to recognise these amounts in revenue. Applying the practical expedient as given in Ind AS 115, the Company has not disclosed the remaining performance obligation related disclosures for contracts where the revenue recognised corresponds directly with the value to the customer of the entity's performance completed to date.

The aggregate value of performance obligations that are partially unsatisfied as at March 31, 2023, other than those meeting the exclusion criteria mentioned above, is ₹ 74,806.16 crore (March 31, 2022 - ₹ 71,547.14 crore). Out of this, the Company expects to recognize revenue of around 12.52% within next one year and the remaining thereafter.

Note:

- (i) The Company supplied power to Gujarat Urja Vikas Nigam Ltd ("GUVNL") for the period January 1, 2022 to May 5, 2022 based on the draft Supplementary Power Purchase Agreement ("SPPA") which is still under discussion and accordingly, during the current year the Company has recognised additional revenue of ₹ 277.00 crore (March 31, 2022: ₹ 324.00 crore). Management believes that the Company has an enforceable right to recover the tariff as per the draft SPPA and does not expect any significant reversal in the amount recognised as revenue.
- (ii) On May 5, 2022, Ministry of Power ("MoP") issued directions under Section 11 of the Electricity Act, 2003 to all imported coal-based power plants including Mundra plant to operate and generate power to their full capacity. Accordingly, the Company has declared availability and supplied power as per the MoP directions from May 6, 2022 to December 31, 2022. Further, the Company has filed petitions with Central Electricity Regulatory Commission (CERC) seeking clarifications on determination of tariff. On September 13, 2022 and January 3, 2023 CERC passed favourable orders in relation to determination of tariff during such period. Accordingly, the Company has recognised revenue based on such orders (Refer note 40(e)).

Notes to the Standalone Financial Statements

31. Revenue from Operations (Contd.)

Revenue is disaggregated by type and nature of product or services. The table also includes the reconciliation of the disaggregated revenue with the Company's reportable segment.

Nature of Goods/Services	Revenue from Contracts with Customers		Others		Total	
	For the year ended March 31, 2023	For the year ended March 31, 2022	For the year ended March 31, 2023	For the year ended March 31, 2022	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
Generation of Power - Thermal and Hydro						
Sale of Power	11,022.00	5,142.08	Nil	Nil	11,022.00	5,142.08
Sale of Power from Assets Under Lease	1,170.17	1,022.35	Nil	Nil	1,170.17	1,022.35
Project/Operation Management Services	196.17	178.07	Nil	Nil	196.17	178.07
Income from Finance Lease	Nil	Nil	75.42	77.68	75.42	77.68
Others	18.57	13.31	19.61	29.08	38.18	42.39
Total (A)	12,406.91	6,355.81	95.03	106.76	12,501.94	6,462.57
Generation of Power - Wind and Solar						
Sale of Power	7.39	6.58	Nil	Nil	7.39	6.58
Income from Finance Lease	Nil	Nil	0.84	2.13	0.84	2.13
Others	12.64	17.83	Nil	0.04	12.64	17.87
Total (B)	20.03	24.41	0.84	2.17	20.87	26.58
Transmission and Distribution of Power						
Transmission of Power	1,062.25	975.64	Nil	Nil	1,062.25	975.64
Distribution of Power	3,837.29	3,465.23	Nil	Nil	3,837.29	3,465.23
Net Movement in Regulatory Deferral Balances	Nil	Nil	1,120.18	134.35	1,120.18	134.35
Project/Operation Management Services	61.40	22.04	Nil	Nil	61.40	22.04
Others	4.96	10.07	61.48	37.74	66.44	47.81
Total (C)	4,965.90	4,472.98	1,181.66	172.09	6,147.56	4,645.07
Others (D)	21.58	24.61	Nil	2.15	21.58	26.76
Unallocable Revenue (E)	147.83	69.75	8.18	11.55	156.01	81.30
Revenue from Continuing Operations (including Net Movement in Regulatory Deferral Balances) (A + B + C + D + E)	17,562.25	10,947.56	1,285.71	294.72	18,847.96	11,242.28
Revenue from Discontinued Operations	Nil	Nil	Nil	Nil	Nil	Nil
Reconciliation of Revenue						
					For the year ended March 31, 2023	For the year ended March 31, 2022
					₹ crore	₹ crore
Revenue from Continuing Operations as per above table					18,847.96	11,242.28
Less: Net Movement in Regulatory Deferral Balances					1,120.18	134.35
Total Revenue from Operations					17,727.78	11,107.93

Notes to the Standalone Financial Statements

31. Revenue from Operations (Contd.)

Contract Balances	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Contract Assets		
Recoverable from Consumers		
Non-current	1,639.02	1,408.30
Current	Nil	Nil
Total Contract Assets	1,639.02	1,408.30
Contract liabilities		
Liabilities towards Consumers		
Non-current	712.64	610.77
Current	61.01	40.25
Total Contract Liabilities	773.65	651.02
Receivables		
Trade Receivables (Gross)	2,074.57	1,191.16
Unbilled Revenue for passage of time	66.56	58.86
Recoverable from Consumers	27.50	98.68
(Less): Advance from Customers	(44.71)	(10.50)
(Less): Allowances for Doubtful Debts	(170.23)	(164.51)
Net Receivables	1,953.69	1,173.69

Contract assets

Contract asset is the right to consideration in exchange for goods or services transferred to the customer. Contract assets are transferred to receivables when the rights become unconditional.

Contract Liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Company has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Company transfers goods or services to the customer, a contract liability is recognised when the payment is made or the payment is due (whichever is earlier). Contract liabilities are recognised as revenue when the performance obligation is satisfied.

Significant changes in the contract assets and the contract liabilities balances during the year are as follows:

Particulars	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Opening Balance		
Recoverable from consumers	1,408.30	1,161.06
Liabilities towards consumers	(651.02)	(524.17)
(A)	757.28	636.89
Income to be adjusted in future tariff determination (Net)	172.31	100.00
Income to be adjusted in future tariff determination in respect of earlier years (Net)	(3.97)	Nil
Movement in Deferred Revenue Liability	(101.86)	(99.21)
Refund to customers	Nil	67.41
Deferred tax recoverable/(payable)	47.76	46.12
Others	(6.15)	6.07
(B)	108.09	120.39
Closing Balance		
Recoverable from consumers	1,639.02	1,408.30
Liabilities towards consumers	(773.65)	(651.02)
(A + B)	865.37	757.28

Notes to the Standalone Financial Statements

32. Other Income

Accounting Policy

Dividend and Interest income

Dividend income from investments is recognised when the shareholder's right to receive payment has been established.

Interest income from a financial asset is recognised when it is probable that the economic benefits will flow to the Company and the amount of income can be measured reliably. Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
(a) Interest Income		
(i) On Financial Assets carried at Amortised Cost		
Interest on Banks Deposits	12.80	1.57
Interest on Overdue Trade Receivables	47.77	107.05
Interest on Non-current Investment	10.20	12.19
Interest on Non-current Investment - Deferred Tax Liability Fund	Nil	0.10
Interest on Financial Assets - Subsidiaries	36.92	125.66
Other Interest	6.93	3.79
	114.62	250.36
(ii) Interest on Income-tax Refund	26.34	Nil
	140.96	250.36
(b) Dividend Income		
From Non-current Investments		
Subsidiaries	3,835.90	2,516.94
Joint Ventures	45.35	112.11
Associates	1.65	1.78
Others - Equity Investments designated as FVTOCI	12.14	9.12
	3,895.04	2,639.95
(c) Gain/(Loss) on Investments		
Gain on sale/Fair Value of current investment measured at FVTPL	14.22	8.43
	14.22	8.43
(d) Other Non-operating Income		
Guarantee Commission from Subsidiaries and Joint Ventures	25.51	25.51
Gain/(Loss) on Disposal of Property, Plant and Equipment (Net)	(8.70)	(10.77)
Delayed Payment Charges	5.69	5.75
Liability Written Back (Refer Note Below)	Nil	49.25
Other Income	12.67	18.63
	35.17	88.37
Total	4,085.39	2,987.11

Note:

Liability written back in previous year includes, reversal of provision pertaining to fly ash of ₹ 21.74 crore recognised in earlier years pursuant to an order passed by National Green Tribunal on February 12, 2020. During the previous year, Ministry of Environment, Forest and Climate Change (MoEF&CC) issued a Notification on December 31, 2021 prescribing timelines and manner of utilization of legacy ash as on the date of the notification. The Company believes that it will be able to utilize the legacy fly ash within the revised applicable timeline and accordingly the fly ash provision is reversed.

Notes to the Standalone Financial Statements

33. Employee Benefits Expense

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Salaries and Wages	606.76	587.74
Contribution to Provident Fund (Refer note 27 (2.1))	26.06	21.64
Contribution to Superannuation Fund (Refer note 27 (1a))	7.85	7.16
Gratuity (Refer note 27(2.3.a))	5.20	9.44
Compensated Absences	19.56	21.12
Pension	15.98	18.28
Staff Welfare Expenses	107.78	112.81
	789.19	778.19
Less:		
Employee Cost Capitalised	33.15	30.49
Employee Cost Inventorised	9.87	10.11
	43.02	40.60
Total	746.17	737.59

34. Finance Costs

Accounting Policy

Borrowing Costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. Interest income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation. All other borrowing costs are recognised in Statement of Profit and Loss in the period in which they are incurred.

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
(a) Interest Expense:		
On Borrowings - At Amortised Cost		
Interest on Debentures	899.98	1,066.10
Interest on Loans - Banks, Financial Institutions and Commercial Papers	820.09	688.03
Interest on Loans - Related Parties	11.04	21.76
Others		
Interest on Consumer Security Deposits - At Amortised cost	11.01	10.36
Interest on Lease Liabilities - At Amortised cost	291.62	275.36
Other Interest and Commitment Charges	81.08	13.79
	2,114.82	2,075.40
Less: Interest Capitalised	49.61	8.23
Less: Interest Inventorised	21.27	15.76
	2,043.94	2,051.41
(b) Other Borrowing Costs:		
Other Finance Costs	182.66	137.53
	182.66	137.53
Total	2,226.60	2,188.94

Note:

The weighted average capitalisation rate on the Company's general borrowings is 7.82% to 8.07% p.a. (March 31, 2022 - 6.90% p.a.).

Notes to the Standalone Financial Statements

35. Other Expenses

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Consumption of Stores and Oil	75.72	71.70
Rental of Land, Buildings, Plant and Equipment	16.16	25.11
Repairs and Maintenance -		
(i) Buildings and Civil Works	131.10	116.84
(ii) Machinery and Hydraulic Works	354.50	355.94
(iii) Furniture and Vehicles	6.28	5.94
	491.88	478.72
Rates and Taxes	89.74	54.97
Insurance	69.00	65.69
Other Operation Expenses	140.68	99.22
Ash Disposal Expenses	15.41	10.25
Travelling and Conveyance Expenses	30.85	21.94
Consultants' Fees	29.09	23.02
Auditors' Remuneration (Refer note (i) below)	7.34	6.40
Cost of Services Procured	128.94	121.27
Bad Debts	Nil	2.27
Net (gain)/ Loss on Foreign Exchange	260.74	128.88
Allowance for Doubtful Debts and Advances (Net)	0.31	(10.78)
Legal Charges	44.92	24.46
Corporate Social Responsibility (Refer note (ii) below)	4.06	2.09
Transfer to Statutory Consumer Reserve	13.68	12.57
Compensation Expense	202.48	10.31
Miscellaneous Expenses	70.26	49.37
Total	1,691.26	1,197.46

(i) Payment to the auditors

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
For Statutory Audit	5.51	4.73
For Taxation Matters	0.28	0.20
For Other Services	0.32	0.48
For Reimbursement of Expenses	0.11	0.01
Goods and Service Tax on above	1.12	0.98
Total	7.34	6.40

Notes to the Standalone Financial Statements

35. Other Expenses (Contd.)

(ii) Corporate Social Responsibility

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Contribution to Tata Power Community Development Trust	3.28	1.46
Other expenses	0.78	0.63
Total	4.06	2.09
Amount required to be spent as per section 135 of the Companies Act 2013.	Nil	2.09
Amount spent during the year on:		
(a) Construction/Acquisition of asset	Nil	Nil
(b) On purposes other than (a) above	4.06	2.09

36. Income taxes

Accounting Policy

Current Tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date.

Current income tax related to items recognised outside Statement of Profit and Loss are recognised either in other comprehensive income or in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Deferred Tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the Standalone financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from the initial recognition of assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit. Deferred tax assets include Minimum Alternative Tax (MAT) paid in accordance with the tax laws in India, which is likely to give future economic benefits in the form of availability of set off against future income tax liability.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

For operations carried out under tax holiday period (Section 80IA of Income Tax Act, 1961), deferred tax assets or liabilities, if any, have been recorded for the tax consequences of those temporary differences between the carrying values of assets and liabilities and their respective tax bases that reverse after the tax holiday ends.

Deferred tax related to items recognised outside profit or loss is recognised either in other comprehensive income or in equity. Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

Notes to the Standalone Financial Statements

36. Income taxes (Contd.)

(i) Income Tax Expenses

1. Income taxes recognised in the Statement of Profit and Loss (Continuing Operations)

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Current tax	Nil	Nil
Current tax in respect of earlier years (Refer Note a and c)	(29.73)	(105.11)
Deferred tax	983.80	(8.91)
Deferred tax relating to earlier years (Refer Note b)	(111.00)	(738.56)
Deferred tax remeasurement on account of transition of New Tax regime (Net) (Refer Note c)	Nil	359.62
Total income tax expense	843.07	(492.96)

Note:

- In previous year, subsequent to the merger of Coastal Gujarat Power Limited (CGPL) with the Company with effect from April 1, 2020, the Company had reassessed its provision for current taxes and had written back an amount of ₹87.30 crore relating to previous year.
- The Company had reassessed the recoverability of unabsorbed depreciation and has recognized deferred tax asset amounting to ₹ 111.00 crore (March 31, 2022 - ₹ 968.56 crore and deferred tax asset written off on capital losses amounting to ₹230.00 crore).
- The Company had transitioned to the new tax regime effective April 1, 2020 and accordingly, during the previous year, the Company had remeasured its tax balances and reversed the deferred tax asset amounting to ₹359.62 crore and written back current tax provision amounting to ₹17.81 crore.

2. The income tax expense for the year can be reconciled to the accounting profit as follows:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Profit/(Loss) before tax Continuing Operation	4,110.97	2,757.80
Profit/(Loss) before tax Discontinuing Operation	Nil	(467.83)
Profit/(Loss) Before Tax	4,110.97	2,289.97
Income tax expense @25.17% (March 31, 2022: 25.17%)	1,034.73	576.39
Add/(Less) tax effect on account of :		
Provision for impairment	Nil	144.64
Utilisation of unrecognised capital loss on sale of investment/asset	(63.19)	(382.21)
Non-Deductible expenses	12.62	5.41
Deferred tax asset in respect of earlier years (Refer Note 36 (i) (1) (b))	(111.00)	(968.56)
Utilisation of unrecognised unabsorbed depreciation	Nil	(353.14)
Current tax in respect of earlier years - (Refer Note 36(i) (1) (a) and (c))	(29.73)	(105.11)
Remeasurement of deferred tax balances on the expected sale of assets/investments ((Refer Note 36 (i) (1) (b))	Nil	230.00
Remeasurement of deferred tax on account of transition to new tax regime (Refer Note 36 (i) (1) (c))	Nil	359.62
Others	(0.36)	Nil
Income tax expenses recognised in Statement of Profit and Loss	843.07	(492.96)
Tax expense for the Continuing Operations	843.07	(492.96)
Tax expense for the Discontinued Operations	Nil	Nil
Income tax expense recognised in Statement of Profit and Loss	843.07	(492.96)

Notes to the Standalone Financial Statements

36. Income taxes (Contd.)

3. Income tax recognised in other comprehensive income

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Current Tax		
Remeasurement of defined benefit obligation	Nil	Nil
Deferred tax		
Remeasurements of defined benefit obligation	(5.52)	2.43
Total income tax recognised in other comprehensive income	(5.52)	2.43
Items that will not be reclassified to Statement of Profit and Loss	(5.52)	2.43

(ii) Deferred Tax

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Deferred Tax Assets	3,287.81	4,140.70
Deferred Tax Liabilities	3,905.10	3,890.70
Deferred Tax Liabilities/(Assets) (Net)	617.29	(250.00)

2022-23	Opening balance	Recognised in profit or loss (including discontinued operation)	Recognised in other comprehensive Income (including discontinued operation)	Closing balance
	₹ crore	₹ crore	₹ crore	₹ crore
Deferred tax assets in relation to				
Allowance for doubtful debts, deposits and advances	47.34	0.07	Nil	47.41
Provision for employee benefits, expenses allowed on cash basis and others	40.14	46.98	5.52	92.64
Impact of measuring derivative financial instrument at fair value	2.03	2.04	Nil	4.07
Capital loss on sale of investments and indexation benefit available on investments	110.00	(110.00)	Nil	Nil
Lease liability	642.47	(0.34)	Nil	642.13
Deferred revenue - Ind AS 115	153.71	25.64	Nil	179.35
Unabsorbed depreciation	3,145.00	(822.79)	Nil	2,322.21
	4,140.70	(858.40)	5.52	3,287.81
Deferred tax liabilities in relation to				
Property, Plant and Equipment (including finance leases)	3,273.25	41.36	Nil	3,314.61
Right of use asset	612.60	(27.16)	Nil	585.44
Others	4.85	0.20	Nil	5.05
	3,890.70	14.40	Nil	3,905.10
Deferred Tax Liabilities/(Assets) (Net)	(250.00)	872.80	(5.52)	617.29

Notes to the Standalone Financial Statements

36. Income taxes (Contd.)

2021-22	Opening balance	Recognised in profit or loss (including discontinued operation)	Recognised in other comprehensive income (including discontinued operation)	Closing balance
	₹ crore	₹ crore	₹ crore	₹ crore
Deferred tax assets in relation to				
Allowance for doubtful debts, deposits and advances	58.60	(11.26)	Nil	47.34
Provision for employee benefits, expenses allowed on cash basis and others	74.00	(31.43)	(2.43)	40.14
Minimum Alternate Tax credit	437.51	(437.51)	Nil	Nil
Impact of measuring derivative financial instrument at fair value	6.90	(4.87)	Nil	2.03
Capital loss on sale of investments and indexation benefit available on investments	492.56	(382.56)	Nil	110.00
Lease liability	633.85	8.62	Nil	642.47
Deferred revenue - Ind AS 115	128.74	24.97	Nil	153.71
Unabsorbed depreciation	2,045.97	1,099.03	Nil	3,145.00
	3,878.13	264.99	(2.43)	4,140.70
Deferred tax liabilities in relation to				
Property, Plant and Equipment (including finance leases)	3,381.97	(108.72)	Nil	3,273.25
Right of use asset	626.74	(14.14)	Nil	612.60
Others	4.85	Nil	Nil	4.85
	4,013.56	(122.86)	Nil	3,890.70
Deferred Tax Liabilities/(Assets) (Net)	135.43	(387.85)	2.43	(250.00)

The amount and the expiry of unrecognised deferred tax asset is as detailed below:

As at March 31, 2023	Within 1 year	Greater than 1 year, less than 5 years	Greater than 5 years	No expiry date	Closing balance
	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
Capital loss on sale of investment and indexation benefit*	Nil	287.50	141.96	Nil	429.46
Business loss	Nil	Nil	1,045.88	Nil	1,045.88
Total	Nil	287.50	1,187.84	Nil	1,475.34
As at March 31, 2022	Within 1 year	Greater than 1 year, less than 5 years	Greater than 5 years	No expiry date	Closing balance
	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
Capital loss on sale of investment and indexation benefit*	Nil	361.11	141.96	Nil	503.07
Business loss	Nil	Nil	1,045.88	Nil	1,045.88
Unabsorbed depreciation	Nil	Nil	Nil	134.00	134.00
Total	Nil	361.11	1,187.84	134.00	1,682.95

* The unrecognised deferred tax asset on impairment of investments of ₹ 141.96 crore (March 31, 2022 - ₹ 141.96 crore) relating to capital loss shall expire within 8 years from the date of sale of investment.

Notes to the Standalone Financial Statements

- 37.** Micro and small enterprises under the Micro, Small and Medium Enterprises Development Act, 2006 have been determined based on the information available with the Company and the required disclosures are given below:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
(a) Principal amount remaining unpaid*	126.18	58.28
(b) Interest due thereon for the year	1.31	0.55
	127.49	58.83
(c) The amount of interest paid by the buyer in terms of section 16 of the MSMED Act, 2006 along with the amounts of the payment made to the supplier beyond the appointed day during each accounting year.	Nil	Nil
(d) The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMED Act, 2006	Nil	Nil
(e) The amount of interest accrued and remaining unpaid at the end of each accounting year	2.06	0.75
(f) The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purpose of disallowance as a deductible expenditure under section 23 of the MSMED Act, 2006	Nil	Nil

* It includes amount payable in the nature of capital creditors as disclosed under note 25 - Other Financial Liabilities

38. Commitments:

- (a) Estimated amount of Contracts remaining to be executed on capital account and not provided for ₹ 1,508.23 crore (March 31, 2022 - ₹ 1,920.97 crore.)
- (b) Other Commitments
The Company has undertaken to arrange for the necessary financial support to its subsidiaries Bhira Investments Pte. Ltd., Bhivpuri Investments Ltd., TP Renewable Microgrid Ltd., Tata Power Jamshedpur Distribution Ltd. and Tata Power International Pte. Ltd.

39. Contingent liabilities

Accounting Policy

In the normal course of business, contingent liabilities arise from litigations and claims. It is a possible obligation that arises from the past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognised because it cannot be measured reliably. The Company does not recognise a contingent liability but discloses the same.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Contingent liabilities including:		
a) Claims against the Company not probable and hence not acknowledged as debts		
(i) Demand disputed by the Company relating to Service tax on transmission charges received for July 2012 to June 2017 (excluding interest and penalty).	375.29	375.29
(ii) Way Leave fees (including interest) claims disputed by the Company relating to rates charged	146.53	53.21
(iii) Custom duty claims disputed by the Company relating to applicability and classification of coal	111.08	110.81
(iv) Access Charges demand for laying underground cables.	19.89	24.04
(v) Rates, Cess, Excise and Custom Duty claims disputed by the Company.	7.37	7.31
(vi) Other claims against the Company not acknowledged as debts.	43.50	42.59
(vii) Applicability of Green cess on generation of electricity.	488.35	464.89
(viii) Applicability of Stamp Duty on import of coal	48.30	41.00
(ix) Petition seeking approval for additional Short term Renewable Power Purchase for Renewable Power obligation compliance.	Nil	9.41
(A)	1,240.31	1,128.55

Notes to the Standalone Financial Statements

39. Contingent liabilities (Contd.)

Notes:

1. Amounts in respect of employee related claims/disputes, regulatory matters is not ascertainable.
2. Future cash flows in respect of above matters are determinable only on receipt of judgements/decisions pending at various forums/authorities.
3. The above Contingent Liabilities include those pertaining to Regulated Business which on unfavourable outcome can be recovered from consumers.

	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
b) Others		
i) Taxation matters for which liability is disputed by the Company and not provided for (computed on the basis of assessments which have been re-opened / remaining to be completed).	115.45	115.45
ii) In an earlier year, Maharashtra State Electricity Distribution Company Limited (MSEDCL) had raised a demand for determination of fixed charges for unscheduled interchange of power. The Company had filed a petition against the said demand for which stay has been granted by the ATE till the methodology for the determination is fixed. Considering the same, currently, the amount of charges payable is not ascertainable and hence, no provision has been recognized during the year. Further, in case of unfavourable outcome, the Company believes that it will be allowed to recover the same from consumers through future adjustment in tariff.	215.02	215.02
iii) Demand towards use of the leased land for its Jojobera Power Plant During year ended March 31, 2023, the Company has received Demand notice of ₹ 896 crore from District Administration, Jamshedpur towards its use of the leased land for its Jojobera Power Plant through sub-leasing arrangement with Customer. Based on the legal opinion obtained, the Company strongly believes that there is strong case and hence no provision is required for the concerned matter. In case of unfavourable outcome, the Company believes that it will be allowed to recover from Customer through future tariff.	896.00	Nil
(B)	1,226.47	330.47
(A+B)	2,466.78	1,459.02

	As at March 31, 2023 ₹ crore*	As at March 31, 2022 ₹ crore*
c) Indirect exposures of the Company:		
Guarantees given :		
(i) Khopoli Investments Ltd.	Nil	946.51 (equivalent to USD 125.01 million)
(ii) Bhira Investments Pte. Ltd.	1,602.56 (equivalent to USD 195.01 million)	1,476.51 (equivalent to USD 195.01 million)
(iii) Bhivpuri Investments Ltd.	1,027.95 (equivalent to USD 125.00 million)	Nil
(iv) Tata Power Renewable Energy Ltd.	1,628.76	2,774.66
(v) Tata Power International Pte. Ltd.	822.10 (equivalent to USD 100.19 million)	754.52 (equivalent to USD 100.19 million)
(vi) Walwhan Renewable Energy Ltd.	Nil	164.17
(vii) Walwhan Solar TN Ltd.	51.65	104.39
(viii) Walwhan Wind RJ Ltd.	10.24	105.44

* The exposure is considered to the extent of borrowings outstanding (including accrued interest) of the respective subsidiaries.

- d) The Company has provided a Bank Guarantee of USD 85 Million (₹698.55 crore) (March 31, 2022 USD 87 Million (₹659.34 crore)) and Corporate Guarantee of USD 23 Million (₹ 189.02 crore) , (March 31, 2022 USD 32 Million (₹ 242.52 crore)) to Oldendorff as per the affreightment contract entered by Trust Energy Resources Pte. Ltd.
- e) The Company had acquired 51 % stake in TP Central Odisha Distribution Limited ('TPCODL'), TP Western Odisha Distribution Limited ('TPWODL') TP Southern Odisha Distribution Limited ('TPSODL') and TP Northern Odisha Distribution

Notes to the Standalone Financial Statements

39. Contingent liabilities (Contd.)

Limited ('TPNODL') to carry out the function of distribution and retail supply of electricity covering the distribution circles of central, western, southern and northern parts of Odisha. Pursuant to these acquisition and as per the terms of the vesting order, in earlier year the Company has issued bank guarantee to Odisha Electricity Regulatory Commission ('OERC') for TPCODL, TPWODL, TPSODL and TPNODL of ₹ 150.00 crore (March 31, 2022 ₹150.00 crore), ₹ 150.00 crore (March 31, 2022 ₹150.00 crore), ₹ 100.00 crore (March 31, 2022 ₹100.00 crore) and ₹ 150.00 crore (March 31, 2022 ₹150.00 crore) respectively.

- f) The Company has given performance guarantee and letter of credit on behalf of TP Ajmer Distribution Ltd of ₹ 108.05 crore (March 31, 2022 ₹ 107.17 crore) to Ajmer Vidyut Vitran Nigam Ltd as per the distribution franchisee agreement.
- g) The Company has given performance guarantee on behalf of Trust Energy Resources Pte. Ltd. to Maxpente Shipping Corporation of USD 10 Million (₹82.18 crore) (March 31, 2022 USD 10 Million (₹75.78 crore)) for its obligation under the cost of affreightment contract.

The Company, in respect of the above mentioned contingent liabilities has assessed that it is only possible but not probable that outflow of economic resources will be required.

40. Other disputes

- a. In the earlier years, Maharashtra Electricity Regulatory Commission has disallowed certain costs amounting to ₹ 413.00 crore (adjusted upto the current year) (March 31, 2022 ₹ 503.00 crore) recoverable from consumers in the tariff true up order. The Company has filed appeal against the said order to Appellate Tribunal for Electricity which is pending for final disposal. The Company believes it has a strong case and accordingly no adjustment is required in the standalone financial statement.
- b. In an earlier year, Maharashtra Electricity Regulatory Commission has disallowed carrying cost and other costs amounting to ₹ 269.00 crore (March 31, 2022 ₹ 269.00 crore) which was upheld by the Appellate Tribunal for Electricity (ATE). The Company has filed Special Leave Petition (SLP) against the order of ATE with the Supreme Court which is pending for final disposal. The Company believes it has a strong case and accordingly no adjustment is required in the standalone financial statement.
- c. During the year, Maharashtra State Electricity Regulatory Commission (MERC) issued true up order for Generation, Transmission and Distribution Business in Mumbai for period from FY20 to FY22 disallowing recovery of certain cost amounting to ₹ 884.68 crore (including ₹ 256.00 crore for FY 2023). The Company is in process of filing petition against these disallowances and based on legal opinion the Company believes that it has a good case and accordingly, no impact have been considered in the standalone financial statement.
- d. The Hon'ble Appellate Tribunal for Electricity (APTEL), vide its order dated April 27, 2021 allowed the appeal with respect to certain claims related to change in law for Mundra Power Plant. Accordingly, the Company has recognized an income amounting to ₹ 351.79 crore during the year ended March 31, 2022 comprising of ₹ 279.87 crore classified as Revenue from Operations (including an amount of ₹ 268.94 crore relating to earlier years) and ₹ 71.92 crore classified as Other Income (including an amount of ₹ 58.82 crore relating to earlier years). The Consumer has litigated the said order in the Supreme Court. The Company believes it has a strong case and does not expect any significant reversal of revenue.
- e. During the current year, the Company has recognised revenue amounting to ₹ 1,445.79 crore based on the favourable CERC orders dated September 13, 2022 and January 3, 2023 for the clarification obtained by the Company on determination of tariff as per MoP directions. The procurers have filed an appeal against the said CERC orders passed on in favour of the Company. The Company based on legal opinion believes that it has a good case and accordingly, no impact have been considered in the standalone financial statement.
- f. During the previous year, the Company had received Notice of Arbitration (NoA) filed by Kleros Capitals to commence arbitration in Singapore International Arbitration Centre (SIAC) against the Company. The NoA is served pursuant to alleged breach of various sections of Non disclosure agreements (NDA) entered by the Company in earlier years and circumvention of Kleros's economic interests in addition to loss of profits. The Company believes that there has been no use of confidential data and there was no breach to sections of NDA. Based on above assessment and legal opinion obtained, the Company strongly believes that there is strong case and hence no provision is required for the concerned matter of arbitration.

Notes to the Standalone Financial Statements

41. Earnings Per Share (EPS)

Accounting Policy

Basic earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Company by the weighted average number of equity shares outstanding during the period. Diluted earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Company by the weighted average number of equity shares considered for deriving basic earnings per equity share and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares. The dilutive potential equity shares are adjusted for the proceeds receivable had the equity shares been actually issued at fair value (i.e. the average market value of the outstanding equity shares). Dilutive potential equity shares are deemed converted as of the beginning of the period, unless issued at a later date. Dilutive potential equity shares are determined independently for each period presented. The number of equity shares and potentially dilutive equity shares are adjusted retrospectively for all periods presented for any share splits and bonus shares issues including for changes effected prior to the approval of the Standalone financial statements by the Board of Directors.

		For the year ended March 31, 2023	For the year ended March 31, 2022
		₹ crore	₹ crore
A.	EPS - Continuing operations (before net movement in Regulatory Deferral Balances)		
	Net Profit/ (Loss) from Continuing Operations	A 3,267.90	3,250.76
	Net movement in Regulatory Deferral Balances	B 1,120.18	134.35
	Income-tax attributable to Regulatory Deferral Balances	C (281.95)	(33.82)
	Net movement in Regulatory Deferral Balances (Net of tax)	D=(B+C) 838.23	100.53
	Net Profit/ (Loss) (before net movement in Regulatory Deferral Balances)	E=(A-D) 2,429.67	3,150.23
	Less: Distribution on Perpetual Securities (on accrual basis)	F Nil	(29.52)
	Profit/ (Loss) from Continuing Operations attributable to equity shareholders (before net movement in Regulatory Deferral Balances)	G=(E+F) 2,429.67	3,120.71
	No. of Equity Shares	3,19,81,71,607	3,19,81,71,607
	Weighted average number of equity shares for Basic and Diluted EPS	3,19,81,71,607	3,19,81,71,607
	EPS - Continuing Operations (before net movement in Regulatory Deferral Balances)		
	- Basic and Diluted (In ₹)	7.60	9.76
B.	EPS - Continuing Operations (after net movement in Regulatory Deferral Balances)		
	Net Profit/ (Loss) from Continuing Operations	3,267.90	3,250.76
	Less: Distribution on Perpetual Securities (on accrual basis)	Nil	(29.52)
	Profit/ (Loss) attributable to equity shareholders (after net movement in Regulatory Deferral Balances)	3,267.90	3,221.24
	Weighted average number of equity shares for Basic and Diluted EPS	3,19,81,71,607	3,19,81,71,607
	EPS - Continuing operations (after net movement in Regulatory Deferral Balances)		
	- Basic and Diluted (In ₹)	10.22	10.07

Notes to the Standalone Financial Statements

41. Earnings Per Share (EPS) (Contd.)

		For the year ended March 31, 2023	For the year ended March 31, 2022
		₹ crore	₹ crore
C. EPS - Discontinued operations			
Net Profit/(Loss) from Discontinued Operations		Nil	(467.83)
Weighted average number of equity shares for Basic and Diluted EPS		3,19,81,71,607	3,19,81,71,607
EPS - Discontinued Operations			
- Basic and Diluted (In ₹)		Nil	(1.46)
D. EPS - Total Operations (after net movement in Regulatory Deferral Balances)			
Net Profit/(Loss) from Operations (after net movement in Regulatory Deferral Balances)		3,267.90	2,782.93
Less: Distribution on Perpetual Securities (on accrual basis)		Nil	(29.52)
Net Profit/ (Loss) from Total Operations attributable to equity shareholders (after net movement in Regulatory Deferral Balances)		3,267.90	2,753.41
Weighted average number of equity shares for Basic and Diluted EPS		3,19,81,71,607	3,19,81,71,607
EPS - Total Operations (after net movement in Regulatory Deferral Balances)			
- Basic and Diluted (In ₹)		10.22	8.61

All numbers are in ₹ crore except weighted average number of equity shares and Basic and Diluted EPS.

42. Related Party Disclosures:

Disclosure as required by Ind AS 24 - "Related Party Disclosures" is as follows:

Names of the related parties and description of relationship:

(a) Related parties where control exists:

(i) Subsidiaries

- | | |
|--|--|
| 1) Tata Power Solar Systems Ltd.*** | 2) TP Vivagreen Ltd ** (w.e.f. January 13, 2023) |
| 3) Tata Power Trading Company Ltd. | 4) Tata Power Green Energy Ltd.*** |
| 5) Nelco Ltd. | 6) Tatanet Services Ltd. **(Now merged with the Nelco Ltd w.e.f. June 9, 2021) |
| 7) Maithon Power Ltd. | 8) TP Vardhaman Surya Ltd ** (w.e.f. January 12, 2023) |
| 9) Tata Power Renewable Energy Ltd. | 10) TP Renewable Microgrid Ltd. |
| 11) Bhira Investments Pte Limited | 12) Bhivpuri Investments Ltd. |
| 13) Khopoli Investments Ltd. | 14) Tata Power International Pte. Ltd. |
| 15) Trust Energy Resources Pte. Ltd.**
(Ceased to be direct subsidiary w.e.f July 22, 2021) | 16) Tata Power Jamshedpur Distribution Ltd. |
| 17) NDPL Infra Ltd. ** | 18) Supa Windfarm Ltd.*** |
| 19) PT Sumber Energi Andalan Tbk ** | 20) Nivade Windfarm Ltd. ** |
| 21) TCL Ceramics Ltd.
(Ceased to be a subsidiary w.e.f March 24, 2022) | 22) Walwhan Renewable Energy Ltd. ** |
| 23) Poolavadi Windfarm Ltd. ** | 24) Walwhan Solar AP Ltd. ** |
| 25) TP Wind Power Ltd. | 26) Northwest Energy Pvt. Ltd. ** |
| 27) Walwhan Urja Anjar Ltd. ** | 28) Dreisatz MySolar24 Pvt. Ltd. ** |

Notes to the Standalone Financial Statements

42. Related Party Disclosures: (Contd.)

29) Walwhan Solar Raj Ltd. **	30) Walwhan Energy RJ Ltd. **
31) Walwhan Solar Energy GJ Ltd. **	32) Walwhan Solar MH Ltd. **
33) MI MySolar24 Pvt. Ltd. **	34) Walwhan Solar PB Ltd. **
35) Walwhan Solar MP Ltd. **	36) Walwhan Wind RJ Ltd. **
37) Walwhan Solar KA Ltd. **	38) Walwhan Solar BH Ltd. **
39) Walwhan Solar RJ Ltd. **	40) Walwhan Urja India Ltd. **
41) Walwhan Solar TN Ltd. **	42) Chirasthaayee Saurya Ltd. **
43) Clean Sustainable Solar Energy Pvt. Ltd. **	44) Vagarai Windfarm Ltd. **
45) Solarsys Renewable Energy Pvt. Ltd. **	46) Far Eastern Natural Resources LLC **
47) Nelco Network Products Ltd. **	48) Tata Power Delhi Distribution Ltd.
49) TP Ajmer Distribution Ltd.	50) TP Kirnali Ltd. **
51) TP Solapur Ltd.**	52) TP Kirnali Solar Ltd. ***
53) TP Central Odisha Distribution Ltd.	54) TP Akkalkot Renewable Ltd. ***
55) TP Western Odisha Distribution Ltd.	56) TP Solapur Solar Ltd. ***
57) TP Southern Odisha Distribution Ltd.	58) TP Solapur Saurya Ltd. (w.e.f. May 27, 2021) ***
59) TP Saurya Ltd ***	60) TP Roofurja renewable Ltd. ***
61) TP Northern Odisha Distribution Ltd. (w.e.f. April 1, 2021)	62) TP Adhrit Solar Ltd ** (w.e.f. September 2, 2022)
63) TP Arya Saurya Ltd ** (w.e.f. September 6, 2022)	64) TP Atharva Solar Ltd ** (w.e.f. December 28, 2022)
65) TP Bhaskar Renewables Ltd ** (w.e.f. December 28, 2022)	66) TP Ekadash Ltd ** (w.e.f. September 14, 2022)
67) TP Govardhan Creatives Ltd ** (w.e.f. December 28, 2022)	68) TP Green Nature Ltd ** (w.e.f. August 5, 2022)
69) TP Kaunteya Saurya Ltd ** (w.e.f. January 11, 2023)	70) TP Nanded Ltd ** (w.e.f. July 4, 2022)
71) TP Narmada Solar Ltd ** (w.e.f. December 27, 2022)	72) TP Saurya Bandita Ltd ** (w.e.f. September 9, 2022)
73) TP Solar Limited ** (w.e.f. June 29, 2022)	74) PT Andalan Group Power** (w.e.f. March 2, 2021)
75) PT Sumber Power Nusantara** (w.e.f. April 19, 2021)	76) PT Indopower Energi Abadi** (w.e.f. April 19, 2021)
77) PT Andalan Power Teknikatama** (w.e.f. April 19, 2021)	

** Through Subsidiary Companies

*** From August 8, 2022 holding through Tata Power Renewable Energy Ltd. (Refer Note 7(xi))

(ii) Employment Benefit Funds

- | | |
|---|-----------------------------|
| 1) Tata Power Superannuation Fund | 2) Tata Power Gratuity Fund |
| 3) Tata Power Consolidated Provident Fund | |

Notes to the Standalone Financial Statements

42. Related Party Disclosures: (Contd.)

(b) Associates and its related entities

- | | |
|-------------------------------------|--|
| 1) Tata Projects Ltd. | 2) Yashmun Engineers Ltd. |
| 3) The Associated Building Co. Ltd. | 4) Dagacchu Hydro Power Corporation Ltd. |
| 5) Brihat Trading Pvt Ltd. | 6) Ind Project Engineering (Sanghai) Co Ltd ** |
| 7) TP Luminaire Pvt Ltd. ** | 8) Tata Projects Provident Fund Trust* |

* Fund of Associates

** 100% Subsidiary of Associates

(c) Joint Venture Companies

- | | |
|--|--|
| 1) Tubed Coal Mines Ltd. | 2) Mandakini Coal Company Ltd. |
| 3) Powerlinks Transmission Ltd. | 4) Itezhi Tezhi Power Corporation Limited |
| 5) PT Antang Gunung Meratus** | 6) PT Kaltim Prima Coal** |
| 7) Adjaristsqali Netherlands BV** | 8) Industrial Energy Ltd. |
| 9) LTH Milcom Pvt. Ltd. | 10) Dugar Hydro Power Ltd. |
| 11) Resurgent Power Ventures Pte. Ltd. ** | 12) Prayagraj Power Generation Co Ltd. ** |
| 13) Adjaristsqali Georgia LLC ** | 14) PT Arutmin Indonesia ** |
| 15) PT Baramulti Suksessarana Tbk** | 16) NRSS XXXVI Transmission Ltd ** |
| 17) PT Mitratama Perkasa ** | 18) IndoCoal Resources (Cayman) Ltd. ** |
| 19) PT Indocoal Kaltim Resources ** | 20) PT Nusa Tambang Pratama ** |
| 21) PT Marvel Capital Indonesia ** | 22) PT Dwikarya Prima Abadi ** |
| 23) PT Kalimantan Prima Power ** | 24) Koromkheti Netherlands B.V **
(Liquidated w.e.f. November 10, 2022) |
| 25) IndoCoal KPC Resources (Cayman) Ltd ** | 26) Renascent Ventures Private Limited ** |
| 27) PT Indocoal Kalsel Resources ** | 28) Candice Investments Pte. Ltd. ** |
| 29) Solace Land Holding Limited ** | 30) PT Mitratama Usaha ** |
| 31) PT Citra Prima Buana ** | 32) PT Guruh Agung ** |
| 33) PT Citra Kusuma Perdana ** | 34) Koromkheti Georgia LLC (Ceased to be Joint Venture w.e.f
February 7, 2022) ** |
| 35) South East UP Power Transmission Company Ltd. ** | |

** Joint Venture of Subsidiaries

(d) (i) Promoters holding more than 20% - 'Promoter'

- 1) Tata Sons Pvt. Ltd.

(ii) Subsidiaries and Jointly Controlled Entities of Promoter - Promoter Group (where transactions have taken place during the year or previous year / balances outstanding) :

- | | |
|--|--|
| 1) Ewart Investments Ltd. | 2) Tata AIG General Insurance Company Ltd. |
| 3) Tata Industries Ltd. | 4) Tata Communications Ltd. |
| 5) Tata Investment Corporation Ltd. | 6) Tata International Ltd. |
| 7) Tata Consultancy Services Ltd. | 8) Tata Ltd. |
| 9) Tata Realty and Infrastructure Ltd. | 10) Tata Play Broadband Pvt Ltd. |
| 11) Infiniti Retail Ltd. | 12) Ecofirst Services Ltd. |

Notes to the Standalone Financial Statements

42. Related Party Disclosures: (Contd.)

- | | |
|--|--|
| 13) Tata Consulting Engineers Ltd. | 14) Tata Housing Development Co. Ltd. Employees Provident Fund |
| 15) Niskalp Infrastructure Services Ltd. | 16) Tata Consultancy Services Employees Provident Fund |
| 17) Tata Housing Development Company Ltd. | 18) Tata AIA Life Insurance Company Ltd. |
| 19) Tata Capital Financial Services Ltd. | 20) Tata Teleservices Ltd. |
| 21) Tata Teleservices (Maharashtra) Ltd. | 22) Tata Elxsi Ltd. |
| 23) Tata Advanced System Ltd. | 24) Tata Capital Ltd. |
| 25) Air India SATS Airport Services Private Ltd. | 26) Tata Autocomp Systems Limited |
| 27) Air India Ltd | |

(e) Key Management Personnel

- | | |
|--|--|
| 1) N. Chandrasekaran, Non-Executive Director | 2) Praveer Sinha, CEO and Managing Director |
| 3) Banmali Agrawala, Non-Executive Director | 4) Saurabh Agrawal, Non-Executive Director |
| 5) Kesava Menon Chandrasekhar, Independent Director (upto February 19, 2023) | 6) Ashok Sinha, Independent Director |
| 7) Vibha U. Padalkar, Independent Director | 8) Anjali Bansal, Independent Director |
| 9) Sanjay V. Bhandarkar, Independent Director | 10) Hemant Bhargava, Nominee Director |
| 11) Ramesh N. Subramanyam, Chief Financial Officer (upto December 31, 2021) | 12) Hanoz Minoo Mistry, Company Secretary |
| 13) Sanjeev Churiwala, Chief Financial Officer (w.e.f January 1, 2022) | 14) Rajiv Mehrishi, Independent Director (w.e.f. October 28, 2022) |

(f) Relative of Key Managerial Personnel (where transactions have taken place during the year or previous year / balances outstanding) :

- 1) Neville Minoo Mistry (Brother of Hanoz Minoo Mistry - Company Secretary)

(g) Details of Transactions:

₹ crore

Sr. No.	Particulars	Subsidiaries		Associates/ Joint Ventures		Key Management Personnel & their relatives		Employee Benefit Funds / Trust		Promoter Group/ Promoter	
		March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
1)	Purchase of goods/power (Net of Discount Received on Prompt Payment)										
	Tata Power Green Energy Ltd.	126.48	49.07	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Renewable Energy Ltd.	235.48	170.68	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Trading Company Ltd.	146.96	18.85	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	PT Kaltim Prima Coal	Nil	Nil	2,046.53	2,057.69	Nil	Nil	Nil	Nil	Nil	Nil
	Tata International Singapore Limited	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	121.73
	Others	1.07	0.25	36.60	132.85	Nil	Nil	Nil	Nil	1.18	0.19
2)	Sale of goods/power (Net of Discount on Prompt Payment)										
	Tata Power Trading Company Ltd.	543.64	299.85	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	1.68	1.60	Nil	0.20	Nil	Nil	Nil	Nil	26.39	14.85

Notes to the Standalone Financial Statements

42. Related Party Disclosures: (Contd.)

Sr. No.	Particulars	Subsidiaries		Associates/ Joint Ventures		Key Management Personnel & their relatives		Employee Benefit Funds / Trust		Promoter Group/ Promoter	
		March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
3)	Purchase of Property, Plant and Equipment and Intangibles (including Capital Work In Progress)										
	Tata Projects Ltd.	Nil	Nil	764.60	158.15	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Solar Systems Ltd.	26.08	232.69	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Consultancy Services Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	2.78
	Tata Autocomp Systems Limited	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	32.48	17.99
	Others	0.79	0.20	0.02	0.65	Nil	Nil	Nil	Nil	0.90	0.67
4)	Rendering of services										
	Maithon Power Ltd.	69.23	68.80	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Prayagraj Power Generation Co Ltd.	Nil	Nil	112.50	89.76	Nil	Nil	Nil	Nil	Nil	Nil
	PT Antang Gunung Meratus	Nil	Nil	56.16	25.20	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power International Pte. Ltd.	25.31	27.34	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Renewable Energy Ltd.	17.27	1.88	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Solar Systems Ltd.	15.16	6.43	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Industrial Energy Limited	Nil	Nil	28.98	26.28	Nil	Nil	Nil	Nil	Nil	Nil
	Others	30.83	11.37	58.49	21.43	Nil	Nil	Nil	Nil	32.01	15.65
5)	Receiving of services										
	Tata AIG General Insurance Company Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	86.45	49.05
	Trust Energy Resources Pte. Ltd.	545.46	405.70	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Yashmun Engineers Ltd.	Nil	Nil	1.46	9.52	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Capital Financial Services Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	9.41	9.87
	Others	2.55	6.68	0.10	3.49	Nil	Nil	Nil	Nil	25.34	10.74
6)	Brand equity contribution										
	Tata Sons Pvt. Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	56.87	28.77
7)	Contribution to Employee Benefit Plans										
	Tata Power Consolidated Provident Fund	Nil	Nil	Nil	Nil	Nil	Nil	26.06	20.20	Nil	Nil
	Tata Power Superannuation Fund	Nil	Nil	Nil	Nil	Nil	Nil	7.85	7.17	Nil	Nil
8)	Guarantee, collaterals etc. given										
	Bhivpuri Investments Ltd.	1,034.51	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	TP Northern Odisha Distribution Ltd.	Nil	150.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Renewable Energy Ltd.	64.85	130.23	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Walwhan Renewable Energy Ltd.	Nil	196.02	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Walwhan Wind RJ Ltd.	Nil	105.43	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	323.34	213.93	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
9)	Guarantee, collaterals etc. cancelled										
	Khopoli Investments Ltd.	946.51	12.14	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Renewable Energy Ltd.	1,210.75	357.49	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Walwhan Renewable Energy Ltd.	164.17	1,352.40	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	291.23	153.88	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
10)	Sale of Renewable Net Assets										
	Tata Power Renewable Energy Ltd.	162.39	51.97	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Green Energy Ltd.	Nil	117.33	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	TP Solapur Ltd.	36.73	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
11)	Remuneration paid - short term employee benefits										
	Praveer Sinha	Nil	Nil	Nil	Nil	8.15	10.34	Nil	Nil	Nil	Nil
	Sanjeev Churiwala	Nil	Nil	Nil	Nil	2.95	1.18	Nil	Nil	Nil	Nil
	Others	Nil	Nil	Nil	Nil	5.91	7.70	Nil	Nil	Nil	Nil

Notes to the Standalone Financial Statements

42. Related Party Disclosures: (Contd.)

Sr. No.	Particulars	Subsidiaries		Associates/ Joint Ventures		Key Management Personnel & their relatives		Employee Benefit Funds / Trust		Promoter Group/ Promoter	
		March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
12)	Short term employee benefits paid										
	Hanoz Minoos Mistry	Nil	Nil	Nil	Nil	Nil	0.02	Nil	Nil	Nil	Nil
	Praveer Sinha	Nil	Nil	Nil	Nil	0.07	0.06	Nil	Nil	Nil	Nil
	Ramesh N. Subramanyam	Nil	Nil	Nil	Nil	Nil	0.14	Nil	Nil	Nil	Nil
	Others	Nil	Nil	Nil	Nil	Nil	0.01	Nil	Nil	Nil	Nil
13)	Interest income										
	Tata Power Green Energy Ltd.	5.02	6.67	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	TP Kirnali Ltd.	9.26	0.83	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Renewable Energy Ltd.	14.48	53.49	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	TP Saurya Ltd	5.98	3.88	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Solar Systems Ltd.	Nil	28.77	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	2.18	32.02	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
14)	Interest paid (including distribution on unsecured perpetual securities)										
	Maithon Power Ltd.	7.76	11.99	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Consultancy Services Employees Provident Fund	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	1.52	5.20
	Tata Power Trading Company Ltd.	3.28	7.32	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Walwhan Renewable Energy Ltd.	Nil	2.45	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Investment Corporation Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	2.26
	Others	Nil	Nil	Nil	0.01	Nil	Nil	Nil	Nil	0.02	0.35
15)	Dividend income										
	Bhira Investments Pte Limited	3,231.26	1,818.87	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Maithon Power Ltd.	466.20	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Trust Energy Resources Pte. Ltd.	Nil	632.35	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Industrial Energy Limited	Nil	Nil	Nil	73.93	Nil	Nil	Nil	Nil	Nil	Nil
	Powerlink Transmission Ltd	Nil	Nil	45.35	38.18	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Investment Company Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	4.37	1.91
	Tata Sons Pvt. Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	6.67	6.67
	Others	138.44	65.75	1.65	1.78	Nil	Nil	Nil	Nil	0.95	0.38
16)	Dividend paid										
	Tata Sons Pvt. Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	252.79	223.90
	Others	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	2.38	2.11
17)	Guarantee commission earned										
	Bhira Investments Pte Limited	7.98	7.48	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power International Pte. Ltd.	4.64	4.41	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Trust Energy Resources Pte. Ltd.	6.95	6.88	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Khopoli Investments Ltd.	1.90	3.62	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	4.04	3.12	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
18)	Loan Taken										
	Maithon Power Ltd.	450.00	800.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Trading Company Ltd.	75.00	165.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Walwhan Renewable Energy Ltd.	Nil	284.63	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	Nil	2.17	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
19)	Loans given										
	TP Kirnali Ltd.	13.60	809.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Renewable Energy Ltd.	10.00	1,955.31	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Walwhan Renewable Energy Ltd.	16.00	374.35	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Solar Systems Ltd.	Nil	1,519.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	1.50	380.41	0.11	Nil	Nil	Nil	Nil	Nil	Nil	Nil

Notes to the Standalone Financial Statements

42. Related Party Disclosures: (Contd.)

Sr. No.	Particulars	Subsidiaries		Associates/ Joint Ventures		Key Management Personnel & their relatives		Employee Benefit Funds / Trust		Promoter Group/ Promoter	
		March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
20)	Equity contribution (includes advance towards equity contribution, rights issue and perpetual bonds)										
	Tata Power Renewable Energy Ltd.	5,160.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	TP Renewable Microgrid Ltd.	7.85	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	TP Central Odisha Distribution Ltd.	43.75	104.01	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	TP Western Odisha Distribution Ltd.	61.34	30.61	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	TP Southern Odisha Distribution Ltd.	61.71	24.49	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	TP Northern Odisha Distribution Ltd.	52.63	22.96	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Projects Ltd.	Nil	Nil	Nil	573.27	Nil	Nil	Nil	Nil	Nil	Nil
	Others	Nil	10.23	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
21)	Loans taken repaid										
	Maithon Power Ltd.	900.00	550.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Trading Company Ltd.	150.00	155.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Walwhan Renewable Energy Ltd.	Nil	721.83	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	Nil	2.17	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
22)	Loans given repaid										
	TP Kirnali Ltd.	327.60	499.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Renewable Energy Ltd.	1,010.81	1,744.12	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	TP Saurya Ltd	195.32	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Solar Systems Ltd.	Nil	2,028.83	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	190.86	722.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
23)	Conversion of Loan Given into Perpetual Securities										
	TP Ajmer Distribution Ltd.	95.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	TP Renewable Microgrid Ltd.	Nil	56.15	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
24)	Deposits taken										
	Tata Consultancy Services Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	0.25	Nil
	Tata Power Green Energy Ltd.	Nil	0.88	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Advanced System Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	1.27
	Others	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	0.02	Nil
25)	Deposits Refunded										
	Tata Power Green Energy Ltd.	19.12	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	0.12
26)	Impairment of Receivable of Strategic Engineering Division										
	Tata Advanced System Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	467.83
27)	Advance Given										
	Tata Projects Ltd.	Nil	Nil	23.97	80.35	Nil	Nil	Nil	Nil	Nil	Nil
	Others	Nil	Nil	Nil	0.03	Nil	Nil	Nil	Nil	Nil	0.02
28)	Advance adjusted										
	Tata Projects Ltd.	Nil	Nil	90.01	13.51	Nil	Nil	Nil	Nil	Nil	Nil
	Others	0.07	Nil	Nil	0.03	Nil	Nil	Nil	Nil	Nil	0.02
29)	Sale of Investments										
	Tata Power Renewable Energy Ltd.	1,058.04	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power International Pte. Ltd.	Nil	2,126.88	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
30)	Redemption of Unsecured Perpetual Securities										
	Tata Power Renewable Energy Ltd.	3,895.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Projects Provident Fund Trust	Nil	Nil	Nil	0.70	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Consultancy Services Employees Provident Fund	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	67.50
	Tata Investment Corporation Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	115.00
	Others	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	15.00

Notes to the Standalone Financial Statements

42. Related Party Disclosures: (Contd.)

Sr. No.	Particulars	Subsidiaries		Associates/ Joint Ventures		Key Management Personnel & their relatives		Employee Benefit Funds / Trust		Promoter Group/ Promoter	
		March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
31)	Redemption of Non-convertible debentures										
	Tata Consultancy Services Employees Provident Fund	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	36.00	Nil
	Others	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	0.50	Nil

(h) Balances outstanding

Sr. No.	Particulars	Subsidiaries		Associates/ Joint Ventures		Key Management Personnel & their relatives		Employee Benefit Funds / Trust		Promoter Group/ Promoter	
		March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
1)	Redeemable Non-Convertible Debentures										
	Tata Consultancy Services Employees Provident Fund	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	36.00
	Others	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	0.50
2)	Investments before impairment (Refer Note 7) @	9,795.12	8,573.26	1,866.08	1,866.08	Nil	Nil	Nil	Nil	1,074.57	936.59
3)	Other receivables @										
	Maithon Power Ltd.	8.38	6.99	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	PT Antang Gunung Meratus	Nil	Nil	51.72	21.30	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Gratuity Fund	Nil	Nil	Nil	Nil	Nil	Nil	114.43	122.67	Nil	Nil
	Tata Power Renewable Energy Ltd.	20.16	1.53	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	TP Solapur Ltd.	24.27	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Solar Systems Ltd.	12.02	2.94	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Trading Company Ltd.	46.06	39.37	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Walwhan Renewable Energy Ltd.	9.16	1.99	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power International Pte. Ltd.	2.89	24.47	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	PT Baramulti Suksesarana Tbk	Nil	Nil	13.17	19.59	Nil	Nil	Nil	Nil	Nil	Nil
	South East UP Power Transmission Company Ltd.	Nil	Nil	14.82	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	25.61	17.63	28.97	11.94	Nil	Nil	Nil	Nil	12.22	9.70
4)	Loans given (including interest thereon) @										
	TP Kirnali Ltd.	Nil	314.02	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Renewable Energy Ltd.	Nil	1,000.81	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	TP Saurya Ltd	Nil	198.84	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Itezhi Tezhi Power Corporation	Nil	Nil	18.59	18.59	Nil	Nil	Nil	Nil	Nil	Nil
	Mandakini Coal Company Ltd.	Nil	Nil	54.49	54.38	Nil	Nil	Nil	Nil	Nil	Nil
	Others	Nil	269.51	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
5)	Loans taken (including interest thereon)										
	Tata Power Trading Company Ltd.	75.07	150.01	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Maithon Power Ltd.	Nil	452.60	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
6)	Deposits taken outstanding										
	Tata Advanced System Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	1.27	1.27
	Tata Power Green Energy Ltd.	4.26	23.38	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Sons Pvt. Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	2.00	2.00
	Others	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	0.73	0.11
7)	Advance given outstanding										
	Tata Projects Ltd.	Nil	Nil	117.89	183.93	Nil	Nil	Nil	Nil	Nil	Nil
	Others	Nil	0.07	Nil	Nil	Nil	Nil	Nil	Nil	6.77	6.77

Notes to the Standalone Financial Statements

42. Related Party Disclosures: (Contd.)

Sr. No.	Particulars	Subsidiaries		Associates/ Joint Ventures		Key Management Personnel & their relatives		Employee Benefit Funds / Trust		Promoter Group/ Promoter	
		March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
8)	Guarantees, collaterals etc. outstanding \$										
	Bhira Investments Pte Limited	1,602.56	1,476.51	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Bhivpuri Investments Ltd.	1,027.95	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power International Pte. Ltd.	822.10	754.52	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Renewable Energy Ltd.	1,628.76	2,774.66	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Trust Energy Resources Pte. Ltd.	969.75	977.64	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Khopoli Investments Ltd.	Nil	946.51	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	719.94	1,031.17	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
9)	Advance towards Equity										
	Others	Nil	0.12	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
10)	Dividend receivable										
	Bhira Investments Pte Limited	410.92	1,818.87	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Dagacchu Hydro Power Corporation Ltd.	Nil	Nil	1.65	1.78	Nil	Nil	Nil	Nil	Nil	Nil
	Others	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
11)	Other payables										
	Tata Advanced System Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	120.26	120.12
	Tata Power Green Energy Ltd.	27.50	8.72	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Renewable Energy Ltd.	67.17	83.89	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Projects Ltd.	Nil	Nil	244.48	73.28	Nil	Nil	Nil	Nil	Nil	Nil
	Trust Energy Resources Pte. Ltd.	309.59	223.24	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Solar Systems Ltd.	1.45	111.58	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	PT Kaltim Prima Coal	Nil	Nil	Nil	1,569.58	Nil	Nil	Nil	Nil	Nil	Nil
	Praveer Sinha	Nil	Nil	Nil	Nil	5.00	6.00	Nil	Nil	Nil	Nil
	Tata Power Consolidated Provident Fund	Nil	Nil	Nil	Nil	Nil	Nil	63.65	54.47	Nil	Nil
	Tata Sons Pvt. Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	55.78	29.49
	Others	17.03	15.40	3.50	1.29	4.07	4.97	Nil	Nil	21.02	9.52

Notes:

All outstanding balances are unsecured.

\$ Includes guarantees given and cancelled in foreign currency, converted in Indian currency by applying average exchange rates.

* Key Managerial Personnel are entitled to post-employment benefits and other long term employee benefits recognised as per Ind AS 19 - 'Employee Benefits' in the Standalone financial statements. As these employee benefits are lump sum amounts provided on the basis of actuarial valuation, the same is not included above.

@ Includes amount reclassified as held for sale

Notes to the Standalone Financial Statements

43. Financial Instruments

43.1 Fair values

Set out below, is a comparison by class of the carrying amount and fair value of the financial instruments:

	Carrying value		Fair Value	
	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore	₹ crore	₹ crore
Financial assets #				
Cash and Cash Equivalents	274.47	57.36	274.47	57.36
Other Balances with Banks	21.45	21.19	21.45	21.19
Trade Receivables	1,904.34	1,026.65	1,904.34	1,026.65
Unbilled Revenues	66.56	58.86	66.56	58.86
Loans	2.68	1,786.26	2.68	1,786.26
FVTPL Financial Investments	Nil	11.93	Nil	11.93
FVTOCI Financial Investments (Refer Note below)	1,171.47	1,043.99	1,171.47	1,043.99
Amortised cost Financial Investments	193.12	183.43	193.12	183.43
Derivative instruments not in Hedging relationship	1.26	5.06	1.26	5.06
Other Financial Assets	580.47	2,071.16	580.47	2,071.16
Asset Classified as Held For Sale (Refer Note 18)#				
- Loans and Other Receivables (including accrued interest)	22.74	22.74	22.74	22.74
Total	4,238.56	6,288.63	4,238.56	6,288.63
Financial liabilities				
Trade Payables	1,985.02	4,079.89	1,985.02	4,079.89
Floating rate Borrowings (including current maturities)	9,222.83	10,042.76	9,222.83	10,042.76
Fixed rate Borrowings (including current maturities)	13,021.98	15,152.63	13,056.36	15,169.26
Derivative Contracts (Net)	17.43	13.12	17.43	13.12
Other Financial Liabilities	4,418.78	2,274.39	4,418.78	2,274.39
	28,666.04	31,562.79	28,700.42	31,579.42

other than investments in subsidiaries, associates and joint ventures accounted at cost in accordance with Ind AS 27 'Separate Financial Statements'.

Note:

Certain unquoted investments are not held for trading, instead they are held for medium or long term strategic purpose. Upon the application of Ind AS 109 'Financial Instruments', the Company has chosen to designate these investments in equity instruments as at FVTOCI as the management believe this provides more meaningful presentation for medium and long term strategic investments, then reflecting changes in fair value immediately in profit or loss.

The management assessed that the fair value of cash and cash equivalents, other balances with banks, trade receivables, derivative contracts, loans, unbilled revenues, trade payables, other financial assets and liabilities approximate their carrying amounts largely due to the short term maturities of these instruments.

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties. The following methods and assumptions were used to estimate the fair values.

Notes to the Standalone Financial Statements

43. Financial Instruments (Contd.)

- Fair value of the government securities are based on the price quotations near the reporting date. Fair value of the unquoted equity shares have been estimated using market comparable method. The valuation requires management to make certain assumptions about the marketability, active market price, discount rate, credit risk and volatility. The probabilities of the various estimates within the range can be reasonably assessed and are used in management's estimate of fair value for those unquoted equity investments.
- The fair value of the remaining FVTOCI financial assets are derived from quoted market price in active markets.
- The fair value of debentures is determined by using the quoted prices. The own non-performance risk as on March 31, 2023 was assessed to be insignificant.
- The cost of certain unquoted investments approximate their fair value because there is a wide range of possible fair value measurements and the cost represents the best estimate of fair value within that range.
- The fair value of loans from banks, other current financial liabilities and other non-current financial liabilities is estimated by discounting future cash flow using rates currently available for debt on similar terms, credit risk and remaining maturities.

Reconciliation of Level 3 fair value measurement of unquoted equity shares classified as FVTOCI:

Unlisted shares irrevocably designated as at FVTOCI (Refer Note below)	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Opening Balance	437.63	437.63
Gain/(Loss)		
- in Other Comprehensive Income	107.16	Nil
Closing balance	544.79	437.63

Note:

- Unlisted shares irrevocably designated as at FVTOCI includes certain investments whose cost approximates to their fair value because there is a wide range of possible fair value measurements and their cost represents the best estimate of fair value within that range. Such investments have been excluded for quantitative sensitivity analysis as disclosed below.
- All gains and losses included in other comprehensive income related to unlisted shares held at the end of the reporting period and are reported under "Equity Instruments through Other Comprehensive Income".

The significant unobservable input used in the fair value measurement categorized within Level 3 of the fair value hierarchy together with a quantitative sensitivity analysis as at March 31, 2023 and March 31, 2022 are as shown below:

Description of significant unobservable inputs to valuation:

	Valuation techniques	Significant unobservable inputs	Range (weighted average)	Sensitivity of the input to fair value
Investments in unquoted equity shares	Price of recent transaction (PORT)	Transaction price	Varies on case to case basis	5% (March 31, 2022: 5%) increase (decrease) in the transaction price would result in increase (decrease) in fair value by ₹ 27.24 crore (March 31, 2022: ₹ 21.88 crore).

Notes to the Standalone Financial Statements

43. Financial Instruments (Contd.)

43.2 Fair value hierarchy

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

Quoted prices in an active market (Level 1): Inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities. This includes quoted equity instruments, government securities and quoted borrowings (fixed rate) that have quoted price.

Valuation techniques with observable inputs (Level 2): Inputs are other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices). This includes derivative financial instruments and unquoted floating and fixed rate borrowings.

Valuation techniques with significant unobservable inputs (Level 3): Inputs are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data. This includes unquoted equity shares and contingent consideration receivable.

The following table summarizes financial assets and liabilities measured at fair value on a recurring basis and financial assets that are not measured at fair value on a recurring basis (but fair value disclosures are required) :

	Date of valuation	Fair value hierarchy as at March 31, 2023			
		Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)	Total
		₹ crore	₹ crore	₹ crore	₹ crore
Asset measured at fair value					
FVTPL Financial Investments	March 31, 2023	Nil	Nil	Nil	Nil
FVTOCI Financial Investments:					
- Quoted Equity Shares	March 31, 2023	626.67	Nil	Nil	626.67
- Unquoted Equity Shares	March 31, 2023	Nil	Nil	544.79	544.79
Derivative instruments not in hedging relationship	March 31, 2023	Nil	1.26	Nil	1.26
Asset for which fair values are disclosed					
Amortised cost Financial Investments:					
- Government securities	March 31, 2023	193.12	Nil	Nil	193.12
		819.79	1.26	544.79	1,365.84
	Date of valuation	Fair value hierarchy as at March 31, 2023			
		Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)	Total
		₹ crore	₹ crore	₹ crore	₹ crore
Liabilities measured at fair value					
Derivative financial liabilities	March 31, 2023	Nil	17.43	Nil	17.43
Liabilities for which fair values are disclosed					
Fixed rate Borrowings	March 31, 2023	8,597.49	4,458.87	Nil	13,056.36
Floating rate Borrowings	March 31, 2023	1,066.30	8,156.53	Nil	9,222.83
Total		9,663.79	12,632.83	Nil	22,296.62

Notes to the Standalone Financial Statements

43. Financial Instruments (Contd.)

	Date of valuation	Fair value hierarchy as at March 31, 2022			
		Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)	Total
		₹ crore	₹ crore	₹ crore	₹ crore
Asset measured at fair value					
FVTPL Financial Investments	March 31, 2022	11.93	Nil	Nil	11.93
FVTOCI Financial Investments:					
- Quoted Equity Shares	March 31, 2022	606.36	Nil	Nil	606.36
- Unquoted Equity Shares	March 31, 2022	Nil	Nil	437.63	437.63
Derivative instruments not in hedging relationship	March 31, 2022	Nil	5.06	Nil	5.06
Asset for which fair values are disclosed					
Amortised Cost financial investments:					
- Government securities	March 31, 2022	183.43	Nil	Nil	183.43
		801.72	5.06	437.63	1,244.41
	Date of valuation	Fair value hierarchy as at March 31, 2022			
		Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)	Total
		₹ crore	₹ crore	₹ crore	₹ crore
Liabilities measured at fair value					
Derivative Financial Liabilities	March 31, 2022	Nil	13.12	Nil	13.12
Liabilities for which fair values are disclosed					
Fixed Rate Borrowings	March 31, 2022	11,357.55	3,811.71	Nil	15,169.26
Floating Rate Borrowings	March 31, 2022	1,069.07	8,973.69	Nil	10,042.76
Total		12,426.62	12,798.52	Nil	25,225.14

There has been no transfer between level 1 and level 2 during the period.

43.3 Capital Management & Gearing Ratio

For the purpose of the Company's capital management, capital includes issued equity capital and all other equity reserves attributable to the equity holders of the Company. The primary objective of the Company's capital management is to maximize the value for shareholders.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. From time to time, the Company reviews its policy related to dividend payment to shareholders, return capital to shareholders or fresh issue of shares. The Company monitors capital using gearing ratio, which is net debt divided by total capital plus net debt. The Company includes within net debt, interest bearing loans and borrowings, less cash and bank balances as detailed in the notes below.

The Company's capital management is intended to create value for shareholders by facilitating the meeting of its long-term and short-term goals. Its Capital structure consists of net debt (borrowings as detailed in notes below) and total equity.

Notes to the Standalone Financial Statements

43. Financial Instruments (Contd.)

Gearing ratio

The gearing ratio at the end of the reporting period was as follows:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Debt (i)	22,244.81	25,195.39
Less: Cash and Bank balances	274.47	57.36
Net debt	21,970.34	25,138.03
Total Capital (ii)	13,699.59	10,879.80
Capital and net debt	35,669.93	36,017.83
Net debt to Total Capital plus net debt ratio (%)	61.59	69.79

(i) Debt is defined as Non-current borrowings (including current maturities) and Current borrowings (excluding derivative, financial guarantee contracts and contingent considerations) and interest accrued on Non-current and Current borrowings.

(ii) Capital is defined as Equity share capital and other equity.

In order to achieve this overall objective, the Company's capital management, amongst other things, aims to ensure that it meets financial covenants attached to the interest-bearing loans and borrowings that define capital structure requirements. Breaches in meeting the financial covenants would permit the bank to immediately call loans and borrowings. There have been no significant breaches in the financial covenants of any interest-bearing loans and borrowing in the current year.

No changes were made in the objectives, policies or processes for managing capital during the years ended March 31, 2023 and March 31, 2022.

43.4 Financial risk management objectives and policies

The Company's principal financial liabilities, other than derivatives, comprise borrowings, trade and other payables, financial guarantee contracts and other financial liabilities. The main purpose of these financial liabilities is to finance the Company's operations and to provide guarantees to support its operations. The Company's principal financial assets include investments, loans, trade and other receivables, cash and cash equivalents, other bank balances, unbilled receivables, finance lease receivables and other financial assets that derive directly from its operations. The Company also holds FVTOCI investments and enters into derivative transactions.

The Company is exposed to market risk, credit risk and liquidity risk. The Company's senior management oversees the management of these risks. The Company's senior management is supported by a risk committee that reviews the financial risks and the appropriate financial risk governance framework for the Company. The Company's financial risk activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Company's policies and risk objectives. All derivative activities for risk management purposes are carried out by specialist teams that have the appropriate skills, experience and supervision. It is the Company's policy that no trading in derivatives for speculative purposes may be undertaken. The risk management policies are approved by the board of directors.

43.4.1 Market risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises of three types of risk: currency risk, interest rate risk and equity price risk. The impact of equity price risk is not significant. Financial instruments affected by market risk include loans and borrowings, derivative financial instruments and FVTOCI investments.

The sensitivity analysis in the following sections relate to the position as at March 31, 2023 and March 31, 2022.

The sensitivity analysis has been prepared on the basis that the amount of net debt, the ratio of fixed to floating interest rates of the debt and derivatives and the proportion of financial instruments in foreign currencies are all constant. The analysis excludes the impact of movements in market variables on: the carrying values of gratuity and other post-retirement obligation, provisions and the non-financial assets.

Notes to the Standalone Financial Statements

43. Financial Instruments (Contd.)

a. Foreign currency risk management

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Company is exposed to foreign exchange risk through its operations in international projects and purchase of coal from Indonesia. The results of the Company's operations can be affected as the rupee appreciates/depreciates against these currencies.

The following table analyses foreign currency assets and liabilities on balance sheet dates:

Foreign Currency Liabilities	As at March 31, 2023		As at March 31, 2022	
	Foreign Currency (In Millions)	₹ crore	Foreign Currency (In Millions)	₹ crore
In USD	379.59	3,119.56	434.07	3,289.66
In EURO	0.08	0.72	0.07	0.55
In GBP	0.21	2.13	0.06	0.64
In RUB	0.12	0.01	Nil	Nil
In SGD	0.36	2.25	0.04	0.22
In JPY	5.32	0.32	2.52	0.16

Foreign Currency Assets	As at March 31, 2023		As at March 31, 2022	
	Foreign Currency (In Millions)	₹ crore	Foreign Currency (In Millions)	₹ crore
In USD	57.68	474.02	248.97	1,886.81
In GBP	0.01	0.11	Nil	Nil
In ZAR	0.02	0.03	0.02	0.01
In SGD	0.05	0.34	0.04	0.24
In VND	Nil	Nil	3.37	0.00
In TAKA	0.20	0.02	Nil	Nil

(i) Foreign currency sensitivity analysis

The following tables demonstrate the sensitivity to a reasonably possible change in USD exchange rates, with all other variables held constant. The impact on the Company's equity is due to changes in the fair value of monetary assets and liabilities is given as under.

		Effect on profit before tax and consequential impact on equity before tax
		₹ crore
As of March 31, 2023	Rupee depreciate by ₹ 1 against USD	(-) ₹ 32.19
	Rupee appreciate by ₹ 1 against USD	(+) ₹ 32.19
As of March 31, 2022	Rupee depreciate by ₹ 1 against USD	(-) ₹ 18.51
	Rupee appreciate by ₹ 1 against USD	(+) ₹ 18.51

Notes:

- +/- Gain/Loss
- The impact of depreciation/appreciation on foreign currency other than USD on profit before tax of the Company is not significant.

43. Financial Instruments (Contd.)

The Company holds derivative financial instruments such as foreign currency forward to mitigate the risk of changes in exchange rate on foreign currency exposure. The counterparty for these contracts is generally a Bank or a Financial Institution. These derivative financial instrument are valued based on quoted prices for similar asset and liabilities in active markets or inputs that is directly or indirectly observable in the marketplace.

The following tables demonstrate the sensitivity to a reasonably possible change in USD exchange rates, with all other variables held constant. The impact on the Company's equity is due to changes in the fair value of non-designated foreign currency forward contracts is given as under.

		Effect on profit before tax and consequential impact on equity before tax
		₹ crore
As of March 31, 2023	Rupee depreciate by ₹1 against USD	(+) ₹ 33.60
	Rupee appreciate by ₹1 against USD	(-) ₹ 33.60
As of March 31, 2022	Rupee depreciate by ₹1 against USD	(+) ₹ 33.34
	Rupee appreciate by ₹1 against USD	(-) ₹ 33.34

Notes to the Standalone Financial Statements

43. Financial Instruments (Contd.)

b. Interest rate risk management

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's exposure to the risk of changes in market interest rates relates primarily to the Company's long-term debt obligations with floating interest rates.

The Company manages its interest rate risk by having a balanced portfolio of fixed and variable rate borrowings. The Company's policy is to keep between 40% and 60% of its borrowings at fixed rates of interest. To manage this, the Company enters into fixed rate borrowings, in which it agrees to exchange, at specified intervals, the difference between fixed and variable rate interest amounts calculated by reference to an agreed-upon notional principal amount.

Interest rate sensitivity:

The sensitivity analysis below have been determined based on exposure to interest rates for term loans and debentures that have floating rate at the end of the reporting period and the stipulated change taking place at the beginning of the financial year and held constant throughout the reporting period.

If the interest rates had been 50 basis points higher or lower and all the other variables were held constant, the effect on Interest expense for the respective financial years and consequent effect on Company's profit in that financial year would have been as below:

		Effect on profit before tax and consequential impact on Equity before tax
		₹ crore
As at March 31, 2023	Increase in interest rate by 50 bps	(-) ₹ 41.03
	Decrease in interest rate by 50 bps	(+) ₹ 41.03
As at March 31, 2022	Increase in interest rate by 50 bps	(-) ₹ 32.98
	Decrease in interest rate by 50 bps	(+) ₹ 32.98

43.4.2 Credit risk management

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Company is exposed to credit risk from its operating activities (primarily trade receivables) and from its financing activities including loans and other financial instruments.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Trade receivables	1,904.34	1,026.65
Loans	2.68	1,781.65
Finance lease receivables	525.29	563.52
Other financial assets	582.58	2,084.33
Unbilled Revenue	66.56	58.86
Financial Assets Classified as Held for Sale	22.74	22.74
Total	3,104.19	5,537.75

Refer Note 8 for credit risk and other information in respect of trade receivables. Other receivables as stated above are due from the parties under normal course of the business and as such the Company believes exposure to credit risk to be minimal.

The Company has not acquired any credit impaired asset.

Notes to the Standalone Financial Statements

43. Financial Instruments (Contd.)

43.4.3 Liquidity risk management

The current liabilities of the Company exceeds the current assets. The Company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities. Having regards to the nature of the business wherein the Company is able to generate fixed cash flows over a period of time and to optimize the cost of funding, the Company, from time to time, funds its long-term investment from short-term sources. The short-term borrowings can be rollforward or, if required, can be refinanced from long term borrowings. Hence, the Company considers the liquidity risk as low.

The table below summarizes the maturity profile of the Company's financial liabilities based on contractual undiscounted payments.

	Up to 1 year	1 to 5 years	5+ years	Total	Carrying Amount
	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
March 31, 2023					
Non-Derivatives					
Borrowings #	11,781.72	9,158.53	5,012.56	25,952.81	22,244.81
Trade Payables	1,985.02	Nil	Nil	1,985.02	1,985.02
Lease Liabilities#	344.37	1,578.03	6,872.72	8,795.12	3,054.38
Other Financial Liabilities	4,285.13	133.65	Nil	4,418.78	4,418.78
Total Non-Derivative Liabilities	18,396.24	10,870.21	11,885.28	41,151.73	31,702.99
Derivatives					
Other Financial Liabilities	17.43	Nil	Nil	17.43	17.43
Total Derivative Liabilities	17.43	Nil	Nil	17.43	17.43
March 31, 2022					
Non-Derivatives					
Borrowings #	8,754.19	16,453.75	12,597.07	37,805.01	25,195.39
Trade Payables	4,079.89	Nil	Nil	4,079.89	4,079.89
Lease Liabilities#	316.69	1,671.76	6,575.16	8,563.61	2,858.87
Other Financial Liabilities	2,261.32	13.07	Nil	2,274.39	2,274.39
Total Non-Derivative Liabilities	15,412.09	18,138.58	19,172.23	52,722.90	34,408.54
Derivatives					
Other Financial Liabilities	13.12	Nil	Nil	13.12	13.12
Total Derivative Liabilities	13.12	Nil	Nil	13.12	13.12

The table has been drawn up based on the undiscounted contractual maturities of the financial liabilities including interest that will be paid on those liabilities upto the maturity of the instruments, ignoring the call and refinancing options available with the Company. The amounts included above for variable interest rate instruments for non-derivative liabilities is subject to change if changes in variable interest rates differ to those estimates of interest rates determined at the end of the reporting period.

The amount included in Note 39 (c), (d), (e), (f) and (g) for financial guarantee contracts are the maximum amounts the Company could be forced to settle under respective arrangements for the full guaranteed amount if that amount is claimed by the counterparty to the guarantee. Based on expectations at the end of the reporting period, the Company considers that it is more likely than not that such amount will not be payable under the arrangement. However, this estimate is subject to change depending on the probability of the counterparty claiming under the guarantee which is a function of the likelihood that the financial receivables held by the counterparty which are guaranteed suffer credit losses.

Notes to the Standalone Financial Statements

44. Financial Ratios

SI No	Ratios	Numerator	Denominator	Note	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore	% of Variance	Reason for Variance in excess of 25%
a)	Current Ratio (in times)	Current Assets	Current Liabilities	a	0.33	0.53	(37%)	The decrease is mainly on account of significant decrease in dividend receivable from non current investments and increase in Current borrowings.
b)	Debt-equity ratio (in times)	Total Debt	Total Equity	b	1.85	2.58	(28%)	The decrease is mainly on account of reduction in total debt and increase in profit for the year.
c)	Debt service coverage ratio (in times)	Profit before exceptional items & tax + interest expenses + depreciation & amortisation - current tax expense	Interest expense + scheduled principal repayment of long-term debt and lease liabilities during the period	c	1.25	1.09	15%	
d)	Return on equity ratio (%) (ROE)	Net Profits after taxes (including continuing and discontinuing operations) - Interest on Perpetual securities	Average Shareholder's Equity	d	26.6%	28.60%	(7%)	
e)	Inventory turnover (in number of days)	Average fuel Inventories x number of days	Cost of fuel		55	71	(22%)	Decrease is mainly due to increase in fuel cost on account of higher generation at Mudra plant.
f)	Trade receivables turnover (in number of days)	Average receivable (including regulatory balances wherever applicable) x number of days	Gross Sales		54	76	(29%)	Improvement is mainly on account of better collection from customer during the year.
g)	Trade payables turnover (in number of days)	Average trade payable x number of days	Net credit purchases	e	70	149	(53%)	The decrease is due to reduction in trade payable and higher supplier credit facility arrangement.
h)	Net capital turnover ratio (in times)	Revenue from operation including net movement in Regulatory deferral balances	Working capital = Current assets – Current liabilities	f	(3.52)	(3.90)	(10%)	
i)	Net profit ratio (%) including exceptional item	Net Profit after tax (including exceptional item)	Revenue including net movement in Regulatory deferral balances		17.34%	24.75%	(30%)	Decrease is due to increase revenue on account of running of Mundra plant under Sec 11 of Electricity Act, 2003.
j)	Return on capital employed (%) (ROCE)	Profit before tax and exceptional item + interest expense excluding interest on consumer security deposit	Average Capital employed (Shareholder's equity + Total Debt + Deferred tax liability)	g	14.34%	9.37%	53%	Improvement is mainly on account of higher dividend income during the year.
k)	Return on investment (%) (ROI)	Interest income + Dividend income + Gain on fair value of current investment at Fair Value through Profit & Loss + Gain on Sale of Investment in Subsidiary.	Average (Investment + Fixed deposit+ Loans Given)	h	37.37%	34.93%	7%	

Notes to the Standalone Financial Statements

44. Financial Ratios (Contd.)

Notes:

- a Current Assets as per balance sheet and assets held for sale.
Current Liabilities as per balance sheet and liabilities classified as held for sale
- b Total Debt: Long term borrowings (including current maturities of long term borrowings), lease liabilities (current and non current), short term borrowings and interest accrued on these debts
Total Equity : Issued share capital and other equity
- c For the purpose of computation, scheduled principal repayment of long term borrowings does not include prepayments (including prepayment by exercise of call/put option)
- d Average Shareholders Equity: Issued share capital and other equity (excluding unsecured perpetual securities)
- e Net credit purchases comprise of (a) cost of power purchased; (b) cost of fuel; (c) Transmission charges and (d) Other expenses excluding (i) Bad debts (including provision); (ii) Net loss on foreign exchange; (iii) CSR expenses and (iv) Transfer to contingency reserve
Trade Payable: as per balance sheet less employee related trade payables
- f Working Capital:
 - i) Current Assets: as per balance sheet and assets held for sale
 - ii) Current Liabilities as per balance sheet (excluding current maturities of long term debt and lease liability and interest accrued on long-term debts) and liabilities classified as held for sale
- g Average Shareholders Equity: Issued share capital and other equity (excluding unsecured perpetual securities)
- h Interest Income:
Interest on bank deposits, Interest on non-current investment and Interest on loans given

45. Segment Reporting:

Information reported to the CODM for the purpose of resource allocation and assessment of segment performance focuses on business segment which comprises of Generation, Renewables, Transmission and Distribution and Others. Specifically, the Company's reportable segments under Ind AS are as follows:

Generation: Comprises of generation of power from hydroelectric sources and thermal sources (coal, gas and oil) from plants owned and operated under lease arrangement and related ancillary services.

Renewables: Comprises of generation of power from renewable energy sources i.e. wind and solar rooftop solar projects and electric vehicle charging stations. (Refer Note 5a(ii)).

Transmission and Distribution: Comprises of transmission and distribution network, sale of power to retail customers through distribution network and related ancillary services.

Others: Comprises of project management contracts/infrastructure management services, property development and lease rent of oil tanks.

Revenue and expenses directly attributable to segments are reported under each reportable segment. Expenses which are not directly identifiable to each reporting segment have been allocated on the basis of associated revenue/assets of the segment and manpower efforts. All other expenses which are not attributable or allocable to segments have been disclosed as unallocable expenses. Assets and liabilities that are directly attributable or allocable to segments are disclosed under each reportable segment. All other assets and liabilities are disclosed as unallocable.

Notes to the Standalone Financial Statements

45. Segment Reporting: (Contd.)

(a) Segment Information:

Particulars	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Segment Revenue		
Generation	15,160.55	8,375.92
Renewables	26.02	42.01
Transmission and Distribution	6,147.56	4,645.07
Others	21.58	26.76
	21,355.71	13,089.76
(Less): Inter Segment Revenue - Generation	(2,658.61)	(1,913.35)
(Less): Inter Segment Revenue - Renewables	(5.15)	(15.43)
Total Segment Revenue	18,691.95	11,160.98
Revenue / Income from Operations (including Net Movement in Regulatory Deferral Balances)	18,691.95	11,160.98
Segment Results		
Generation	928.08	(33.42)
Renewables	(12.73)	(26.15)
Transmission and Distribution	925.22	797.90
Others	1.37	6.35
Total Segment Results	1,841.94	744.68
(Less): Finance Costs	(2,226.60)	(2,188.94)
Add/(Less): Exceptional Item - Unallocable		
Gain on Sale of Investments in Subsidiaries (Refer Note 7)	645.35	1,518.93
Gain on Sale of Business to Subsidiaries (Refer Note 5a)	42.74	Nil
Provision for Impairment of Non Current Investments (Refer Note 7)	Nil	(106.82)
Add/(Less): Unallocable Income/(Expense) (Net)	3,807.54	2,789.95
Profit/(Loss) Before Tax from Continuing Operations	4,110.97	2,757.80
Impairment Loss on Remeasurement to Fair Value	Nil	(467.83)
Profit/(Loss) Before Tax from Discontinued Operations	Nil	(467.83)
Segment Assets		
Generation	23,527.44	22,327.40
Renewables	Nil	484.97
Transmission and Distribution	9,561.95	7,844.39
Others	376.29	294.83
Unallocable*	14,707.03	16,201.81
Total Assets	48,172.71	47,153.40
Segment Liabilities		
Generation	5,317.33	5,073.76
Renewables	Nil	149.25
Transmission and Distribution	1,668.90	1,620.44
Others	23.00	17.01
Unallocable*	27,463.89	29,413.14
Total Liabilities	34,473.12	36,273.60

Notes to the Standalone Financial Statements

45. Segment Reporting: (Contd.)

Particulars	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Capital Expenditure		
Generation	797.89	325.15
Renewables	127.20	237.18
Transmission and Distribution	773.66	618.53
Others	3.07	3.18
Unallocable	9.18	2.22
	1,711.00	1,186.26
Depreciation/Amortisation		
Generation	745.37	725.65
Renewables	4.71	10.64
Transmission and Distribution	388.52	357.96
Others	1.93	2.01
Unallocable	26.94	37.97
	1,167.47	1,134.23

RECONCILIATION OF REVENUE

Particulars	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue from Operations	17,727.78	11,107.93
Add/(Less): Net Movement in Regulatory Deferral Balances	1,093.79	91.00
Add/(Less): Net Movement in Regulatory Deferral Balances in respect of earlier years	(8.53)	Nil
Add/(Less): Deferred Tax Recoverable/(Payable)	34.92	43.35
Add/(Less): Unallocable Revenue	(156.01)	(81.30)
Total Segment Revenue as reported above	18,691.95	11,160.98

* Includes amount classified as held for sale.

Notes:

- Revenue from two DISCOMS on sale of electricity with which Company has entered into a Power Purchase Agreement, accounts for more than 10% of Revenue.
- Transfer pricing between operating segments are on an arm's length basis in a manner similar to transactions with third parties.

(b) Geographic Information:

The Company's operations is majorly confined within India. Accordingly there are no reportable geographical segments.

Notes to the Standalone Financial Statements

46. Relationship with Struck off Companies

SI No.	Name of struck off Company	Nature of transactions with struck off Company	Transaction during the year ended March 31, 2023	Balance outstanding as on March 31, 2023	Transaction during the year ended March 31, 2022	Balance outstanding as on March 31, 2022	Relationship with the Struck off company
			(₹) Crore	₹ crore	₹ crore	₹ crore	
1	G.V. Electricals Private Limited	Consumer funded job	*	0.01	Nil	Nil	Customer
2	Pride Motors Private Limited	Sale of EV charges	*	Nil	Nil	Nil	Customer
3	A One Cut Gems Pvt Ltd	Sale of electricity	*	*	0.01	*	Customer
4	Adorn Jew Pvt Ltd	Sale of electricity	0.01	*	*	*	Customer
5	Aloke Speciality Machines & Components Pvt. Ltd.	Sale of electricity	Nil	Nil	0.01	*	Customer
6	Chintamani Textiles Pvt Ltd	Sale of electricity	*	*	*	*	Customer
7	Highlands Garments Pvt Ltd	Sale of electricity	*	*	*	*	Customer
8	Optimus Properties Pvt. Ltd. .	Sale of electricity	*	*	*	*	Customer
9	Panacia Properties Pvt Ltd	Sale of electricity	0.06	*	0.12	*	Customer
10	Plant Genome Sciences Private Limited	Sale of electricity	0.02	*	0.03	*	Customer
11	Narayani Nivesh Nagam Pvt.Ltd.	Sale of electricity	Nil	*	0.02	*	Customer
12	Parth Developers	Sale of electricity	0.09	*	0.01	*	Customer
13	Sony Constructions Pvt Ltd	Repair work	*	*	Nil	(0.01)	Supplier
14	Ankit Developers Pvt Ltd	Sale of electricity	*	*	0.01	*	Customer
15	B G Shirke Constructions Private Limited	Sale of electricity	*	*	Nil	*	Customer
16	Blue Star Packplast P.Ltd.	Sale of electricity	0.01	-	0.03	0.02	Customer
17	Braz Housing Complex Private Limited	Sale of electricity	*	*	*	*	Customer
18	Cgs Infotech Limited	Sale of electricity	*	*	*	*	Customer
19	City Shelter Private Limited	Sale of electricity	*	*	Nil	*	Customer
20	Dylon Fastners Private Limited	Sale of electricity	0.01	-	0.01	*	Customer
21	Elleys' Industries (India) Private Limited	Sale of electricity	*	*	Nil	Nil	Customer
22	Esstech Software Services Private Limited	Sale of electricity	*	*	Nil	*	Customer
23	Ethnic Signs Trading Private Limited	Sale of electricity	*	*	*	*	Customer
24	Gemstar Enterprises Private Limited	Sale of electricity	*	*	*	*	Customer
25	Green Valley Developers Private Limited	Sale of electricity	*	*	Nil	*	Customer
26	Gupta Enterprises Pvt Ltd	Sale of electricity	0.02	0.01	0.01	0.01	Customer
27	Hirco Developments Private Limited	Sale of electricity	*	*	0.04	*	Customer
28	Industrial Enginners Pvt Ltd	Sale of electricity	*	*	*	*	Customer
29	Inventure Builders Private Limited	Sale of electricity	*	*	Nil	*	Customer
30	Jangid Chheda Developers Pvt Ltd.	Sale of electricity	0.01	*	0.01	*	Customer

Notes to the Standalone Financial Statements

46. Relationship with Struck off Companies (Contd.)

SI No.	Name of struck off Company	Nature of transactions with struck off Company	Transaction during the year ended March 31, 2023	Balance outstanding as on March 31, 2023	Transaction during the year ended March 31, 2022	Balance outstanding as on March 31, 2022	Relationship with the Struck off company
			(₹) Crore	₹ crore	₹ crore	₹ crore	
31	Jasmine Construction Private Limited	Sale of electricity	0.03	*	0.02	*	Customer
32	Jyoti Happy Home Private Limited	Sale of electricity	*	*	0.01	*	Customer
33	Jyotsna Constructions Private Limited	Sale of electricity	*	*	*	*	Customer
34	Kamdheni Paints Private Limited	Sale of electricity	0.02	*	0.03	*	Customer
35	Kishor Builders Private Limited	Sale of electricity	*	*	Nil	*	Customer
36	Lokhandwala Premises Private Limited	Sale of electricity	0.03	*	Nil	Nil	Customer
37	M L Builders Pvt Ltd	Sale of electricity	*	*	Nil	*	Customer
38	Mahavir Griha Nirman Private Limited	Sale of electricity	0.01	*	0.01	*	Customer
39	Maitreya Realtors And Constructions Private Limited	Sale of electricity	*	(0.01)	Nil	(0.01)	Customer
40	Natasha Builders Private Limited	Sale of electricity	*	*	*	*	Customer
41	Navdurga Developments Private Limited	Sale of electricity	*	*	*	*	Customer
42	Nityanand Vastu Private Limited	Sale of electricity	0.02	*	0.02	*	Customer
43	Oceanic Builders Pvt Ltd	Sale of electricity	*	*	*	*	Customer
44	Paras Propertie Pvt Ltd	Sale of electricity	0.01	*	*	*	Customer
45	Powai Developers Private Limited	Sale of electricity	*	*	Nil	*	Customer
46	Press Enterprises Private Limited	Sale of electricity	*	*	Nil	*	Customer
47	Prestige Writing Tips Private Limited	Sale of electricity	*	*	Nil	*	Customer
48	S. S. Diam Private Limited	Sale of electricity	*	*	*	*	Customer
49	Shanti Construction Co Pvt Ltd	Sale of electricity	0.01	*	0.01	*	Customer
50	Shardha Developers P Ltd	Sale of electricity	*	*	0.00	*	Customer
51	Shreeji Town Planners Private Limited	Sale of electricity	0.02	*	0.02	*	Customer
52	Shudh Properties Private Limited	Sale of electricity	*	*	Nil	*	Customer
53	Tarloid Private Limited	Sale of electricity	*	*	*	*	Customer
54	Trinity Private Limited	Sale of electricity	*	*	Nil	*	Customer
55	Udichi Investments Private Limited	Sale of electricity	*	*	*	*	Customer
56	Unique Combine Engineers Private Limited	Sale of electricity	0.01	*	*	*	Customer
57	Vaithara Constructions Pvt.Ltd.	Sale of electricity	*	*	Nil	*	Customer
58	Vibgyor Restaurants Private Limited	Sale of electricity	*	*	Nil	*	Customer
59	Vijay Sthapatya Private Limited	Sale of electricity	*	*	Nil	Nil	Customer
60	Associated Engineers Pvt Ltd	Sale of electricity	0.05	*	0.06	*	Customer

Notes to the Standalone Financial Statements

46. Relationship with Struck off Companies (Contd.)

Sl No.	Name of struck off Company	Nature of transactions with struck off Company	Transaction during the year ended March 31, 2023	Balance outstanding as on March 31, 2023	Transaction during the year ended March 31, 2022	Balance outstanding as on March 31, 2022	Relationship with the Struck off company
			(₹) Crore	₹ crore	₹ crore	₹ crore	
61	Boc India Pvt Limited	Sale of electricity	Nil	*	Nil	*	Customer
62	Chaitra Holdings Pvt Ltd	Sale of electricity	0.01	*	*	*	Customer
63	Classic Associates Private Limited	Sale of electricity	0.07	*	0.08	*	Customer
64	Club House Private Limited	Sale of electricity	0.42	0.03	0.20	0.03	Customer
65	Hotel Royal Pvt. Ltd	Sale of electricity	*	*	*	*	Customer
66	Sanghvi Landmark Builders Ltd	Sale of electricity	*	*	*	*	Customer
* Denotes below ₹ 50,000							

47. Merger of Coastal Gujarat Power Limited (CGPL) and Af-Taab Investment Company Limited (Af-Taab) (wholly owned subsidiary companies):

- (1) Pursuant to the Composite Scheme of Arrangement of erstwhile Coastal Gujarat Power Limited (CGPL) and Scheme of Amalgamation of erstwhile Af-Taab Investment Company Limited (Af-Taab) with the Company under Sections 230 to 232 of the Companies Act, 2013 sanctioned by National Company Law Tribunal, Mumbai on March 31, 2022 and March 15, 2022 respectively, all assets and liabilities of CGPL and Af-Taab were transferred and vested in the Company with appointed date of April 1, 2020.
- (2) Pursuant to the Scheme of merger, the authorised equity share capital of the Company has been increased by the authorised equity share capital of the erstwhile CGPL and Af-Taab.

48. Amendments not yet effective:

Ministry of Corporate Affairs ("MCA") notifies new standard or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. On March 31, 2023, MCA amended the Companies (Indian Accounting Standards) Amendment Rules, 2023, applicable from April 1, 2023, as below:

- (i) Ind AS 1 – Disclosure of material accounting policies:

The amendments related to shifting of disclosure of erstwhile "significant accounting policies" to "material accounting policies" in the notes to the financial statements requiring companies to reframe their accounting policies to make them more "entity specific. This amendment aligns with the "material" concept already required under International Financial Reporting Standards (IFRS). The Company does not expect this amendment to have any significant impact in its financial statements.

- (ii) Ind AS 8 – Definition of accounting estimates:

The amendments will help entities to distinguish between accounting policies and accounting estimates. The definition of a "change in accounting estimates" has been replaced with a definition of "accounting estimates." Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty." Entities develop accounting estimates if accounting policies require items in financial statements to be measured in a way that involves measurement uncertainty. The Company does not expect this amendment to have any significant impact in its financial statements

- (iii) Ind AS 12 – Income Taxes

The amendments narrowed the scope of the recognition exemption in paragraphs 15 and 24 of Ind AS 12. At the date of transition to Ind ASs, a first-time adopter shall recognize a deferred tax asset to the extent that it is probable that taxable

Notes to the Standalone Financial Statements

48. Amendments not yet effective: (Contd.)

profit will be available against which the deductible temporary difference can be utilized. Similarly, a deferred tax liability for all deductible and taxable temporary differences associated with:

- a) right-of-use assets and lease liabilities
- b) decommissioning, restoration and similar liabilities and the corresponding amounts recognized as part of the cost of the related asset.

Therefore, if a company has not yet recognised deferred tax on right-of-use assets and lease liabilities or has recognised deferred tax on net basis, the same need to recognize on gross basis based on the carrying amount of right-of-use assets and lease liabilities

- (iv) Ind AS 103 – Common control Business Combination

The amendments modify the disclosure requirement for business combination under common control in the first financial statement following the business combination. It requires to disclose the date on which the transferee obtains control of the transferor is required to be disclosed.

49. Other Statutory information

- (i) The Company do not have any Benami property, where any proceeding has been initiated or pending against the Company for holding any Benami property.
- (ii) The Company do not have any charges or satisfaction which is yet to be registered with ROC beyond the statutory period.
- (iii) The Company have not traded or invested in Crypto currency or Virtual Currency during the financial year.
- (iv) The Company have neither received nor given any fund from or to any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:
 - (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
 - (b) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.
- (v) The Company is in compliance with the number of layers prescribed under clause (87) of section 2 of the Companies Act, 2013 read with the Companies (Restriction on number of Layers) Rules, 2017 (as amended).
- (vi) The Company have not any such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961).
- (vii) The Company has not been declared as wilful defaulter by any bank or financial institution or other lender.
- (viii) The quarterly returns or statements of Current assets filed by the Company with the banks or financial institutions are in agreement with the books of accounts.

50. Cyber incident:

During the quarter ended September 2022, there was a cyber-attack on some of the Information Technology (IT) infrastructure of the Company. The Company had taken steps to retrieve and restore the systems. All critical operational systems are functioning, however as a measure of abundant precaution, restricted access and preventive checks had been put in place by the Company. The Company with the help of the external experts had investigated the matter and concluded that there is no significant impact on the operation of the Company and no impact on the financial statements of the Company for the year ended March 31, 2023 on account of this incident.

51. Maintenance of Books of Accounts under Section 128 of the Companies Act, 2013

The Company has defined process to take daily back-up of books of account maintained electronically and complied with the provisions of The Companies (Accounts) Rules, 2014 (as amended). However, the Company as a policy, has maintained logs of the daily back-up of such books of account only for 90 days and hence audit trail in relation to daily back up taken was not available for full year.

Notes to the Standalone Financial Statements

52. The Code on Social Security, 2020

The Code on Social Security 2020 ('Code') has been notified in the Official Gazette on September 29, 2020. The Code is not yet effective and related rules are yet to be notified. Impact if any of the change will be assessed and recognized in the period in which said Code becomes effective and the rules framed thereunder are notified.

53. Significant Events after the Reporting Period

There were no significant adjusting events that occurred subsequent to the reporting period other than the events disclosed in the relevant notes.

54. Previous year comparative

Previous year's numbers have been regrouped/reclassified, wherever necessary, to conform to current year classification.

55. Approval of Standalone Financial Statements

The Standalone financial statements were approved for issue by the Board of Directors on May 4, 2023.

As per our report of even date

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration No.324982E/E300003

per ABHISHEK AGARWAL

Partner

Membership No. 112773

Mumbai, May 4, 2023

For and on behalf of the Board,

PRAVEER SINHA

CEO & Managing Director

DIN 01785164

SANJEEV CHURIWALA

Chief Financial Officer

Mumbai, May 4, 2023

SAURABH AGRAWAL

Director

DIN 02144558

HANOZ M. MISTRY

Company Secretary

Independent Auditor's Report

To the Members of The Tata Power Company Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated Ind AS financial statements of The Tata Power Company Limited (hereinafter referred to as "the Holding Company"), its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group"), its associates and joint ventures comprising of the consolidated Balance sheet as at March 31, 2023, the consolidated Statement of Profit and Loss, including other comprehensive income, the consolidated Cash Flow Statement and the consolidated Statement of Changes in Equity for the year then ended, and notes to the consolidated Ind AS financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as "the consolidated financial statements").

In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of reports of other auditors on separate Ind AS financial statements and on the other financial information of the subsidiaries, associates and joint ventures, the aforesaid consolidated Ind AS financial statements give the information required by the Companies Act, 2013, as amended ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the consolidated state of affairs of the Group, its associates and joint ventures as at March 31, 2023, their consolidated profit including other comprehensive income, their consolidated cash flows and the consolidated statement of changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the consolidated Ind AS financial statements in accordance with the Standards on Auditing (SAs),

as specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Consolidated Ind AS Financial Statements' section of our report. We are independent of the Group, associates, joint ventures in accordance with the 'Code of Ethics' issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the consolidated Ind AS financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the consolidated Ind AS financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated Ind AS financial statements for the financial year ended March 31, 2023. These matters were addressed in the context of our audit of the consolidated Ind AS financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have determined the matters described below to be the key audit matters to be communicated in our report. We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the consolidated Ind AS financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated Ind AS financial statements. The results of audit procedures performed by us and by other auditors of components not audited by us, as reported by them in their audit reports furnished to us by the management, including those procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated Ind AS financial statements

Key audit matters	How our audit addressed the key audit matter
Management assessment of appropriateness of Going Concern assumptions (as described in Note 44.4.3 of the consolidated Ind AS financial statements)	
The Group has current liabilities of ₹ 43,979.22 crore and current assets of ₹ 27,791.63 crore as at March 31, 2023. Current liabilities exceed current assets as at the year end. Given the nature of its business i.e. contracted long term power supply agreements and composition of cost plus contracts leading to stability of cashflows, the Group uses significant short-term borrowings to reduce its borrowing costs. Management has made an assessment of the Group's ability to continue as a Going Concern as required by Ind AS 1 Presentation of Financial Statements considering all the available information. Going Concern assessment has been identified as a key audit matter considering the significant judgements and estimates involved in the assessment and its dependence upon management's ability to complete the planned divestments, raising long term capital and / or successful refinancing of certain current financial obligations.	Our audit procedures and procedures performed by component auditors, included the following: - Obtaining an understanding of the process which includes approval of annual business plan, raising short term borrowings and review of management reporting; - Discussing with management and assessing the assumptions, judgements and estimates used in developing business plan and cash flow projections having regards to past performance and current emerging business trends affecting the business and industry; - Assessing the consistency of the cashflow projections with our expectations based on our understanding of the Group's business; - Assessing the Group's ability to refinance its short-term obligation based on the past trends, credit ratings, analysis of solvency and liquidity ratios and ability to generate cash flows and access to capital; - Assessing the disclosures in the consolidated Ind AS financial statements
Revenue recognition and accrual of regulatory deferrals (as described in Note 20, 32 and 41(a), (b), (c) and (e) of the consolidated Ind AS financial statements)	
Regulated generation, transmission and distribution business of the Group: Tariff is determined by the regulator on cost plus return on equity basis wherein the cost is subject to prudential norms. The Group invoices its customers on the basis of pre-approved tariff which is based on budget and is subject to true up. The Group recognizes revenue as the amount invoiced to customers based on pre-approved tariff rates agreed with the regulator. As the Group is entitled to a fixed return on equity, the difference between revenue recognized and entitlement as per the regulation is recognized as regulatory assets / liabilities. The Group has recognized ₹ 1,322.57 crore for generation and transmission business and ₹ 7,198.09 crore for distribution business as accruals as at March 31, 2023. Accruals are determined based on tariff regulations and past tariff orders and are subject to verification and approval by the regulators. Further the costs incurred are subject to prudential checks and prescribed norms. Significant judgements are made in determining the accruals including interpretation of tariff regulations. As at March 31, 2023, the total outstanding amount under litigation in relation to the Mumbai Regulatory business is ₹ 1,566.68 crore. Mundra power generation plant: The Group sells power to customers in accordance with the long-term Power Purchase Agreement (PPA) entered into with them. As per the PPA, the Group's entitlement to capacity revenue is dependent on availability declared. Accordingly, the Group accrues capacity revenue based on the actual declared capacity.	Our audit procedures and procedures performed by component auditors included the following: - Read the Group's accounting policies with respect to accrual of regulatory deferrals and assessing its compliance with Ind AS 114 "Regulatory Deferral Accounts" and Ind AS 115 "Revenue from Contract with Customers". - Performing test of controls over revenue recognition and accrual of regulatory deferrals through inspection of evidence of performance of these controls. - Performing substantive audit procedures including: - Read the executed PPAs with the customer, tariff regulations and tariff orders and evaluating relevant clauses to understand management's assessment of the Group's right vis-a-vis the customers. - Evaluating the key assumptions used by the Group by comparing it with prior years, past precedents and the legal opinion obtained by the management. - Considering the independence, objectivity and competence of management's expert. - Assessing the management's evaluation of the likely outcome of the key disputes based on past precedents and / or advice of management's expert. - Assessing the impact recognized by the Group in respect of tariff orders received, revenue adjustment on account of actual declared capacity and revenue recognized based on ongoing discussion in relation to proposed amendments in PPA.

Independent Auditor's Report

Key audit matters	How our audit addressed the key audit matter
During the current year, the Group has supplied power to customers under various arrangements and certain matters under such arrangements are under litigation. As at March 31, 2023, the total outstanding amount under litigation in relation to the Mundra Plant is ₹ 1,445.79 crore. However, based on management assessment, legal opinion obtained for some disputed matters and favourable orders by the Regulatory Authorities in respect of disputed matters, management believes that no significant reversal of revenue is expected. Revenue recognition and accrual of regulatory deferrals is a key audit matter considering the significance of the amount, interpretation of clauses in PPA and tariff regulations and significant judgements involved in the determination of revenue and regulatory accruals.	• Reading the legal opinion obtained by the management for assessing the Group's right with respect to claims with customers and power supply to customer for the period wherein terms of PPA are under discussion. • Assessing the disclosures in accordance with the requirements of Ind AS 114 "Regulatory Deferral Accounts" and Ind AS 115 "Revenue from Contract with Customers".
Recognition and measurement of deferred tax (as described in Note 14 of the consolidated Ind AS financial statements)	
The Group has recognized Minimum Alternate Tax (MAT) credit receivable of ₹ 913.46 crore as at March 31, 2023. The recognition and measurement of MAT credit receivable and deferred tax balances; is a key audit matter considering the significance of the amount, judgement involved in assessing the recoverability of such credits, estimation of the financial projections for utilization of unabsorbed depreciation and determination of the year of transition to new tax regime and judgements involved in the interpretation of tax regulations and tax positions adopted by the Group.	Our audit procedures and procedures performed by component auditors included the following: • Read Group's accounting policies with respect to recognition and measurement of tax balances in accordance with Ind AS 12 "Income Taxes" • Performing test of controls over recognition and measurement of tax balance s through inspection of evidence of performance of these controls. • Performing substantive audit procedures including: • Involving tax specialists who evaluated the Group's tax positions basis the tax law and also by comparing it with prior years and past precedents • Discussing the future business plans and financial projections with the management • Assessing the management's long-term financial projections and the key assumptions used in the projections by comparing it to the approved business plan, projections used for estimation of likely year of transition to the new tax regime and projections used for impairment assessment where applicable. • Assessing the disclosures in accordance with the requirements of Ind AS 12 "Income Taxes".

Key audit matters

How our audit addressed the key audit matter

Impairment of Assets (as described in Note 4, 7, 8 and 19 of the consolidated Ind AS financial statements)

As per the requirements of Ind AS 36, the Group tests the Goodwill acquired in business combination for impairment annually. For other assets, the Group assesses at the end of every reporting period, whether there is any indication that an asset or cash generating unit (CGU) may be impaired. If any such indication exists, the Group estimates the recoverable amount of the asset or CGU.

The determination of recoverable amount, being the higher of fair value less costs to sell and value-in-use involves significant estimates, assumptions and judgements of the long-term financial projections.

The Group is carrying Goodwill of ₹ 1,636.03 crore relating to acquisition of renewable energy businesses. The Group is also carrying impairment provision amounting to ₹ 1,122.38 crore with respect to Mundra CGU (comprising Mundra power plant, investment in companies owning coal mines and related infrastructure), ₹ 439.08 crore for investment in company owning hydro power plant in Georgia and ₹ 100.00 crore with respect to a generating unit in Trombay.

Impairment of assets is a key audit matter considering the significance of the carrying value, estimations and the significant judgements involved in the impairment assessment.

Our audit procedures and procedures performed by component auditors, included the following:

- Read the Group's accounting policies with respect to impairment in accordance with Ind AS 36 "Impairment of assets".
- Performing test of controls over key financial controls related to accounting, valuation and recoverability of assets through inspection of evidence.
- Performing substantive audit procedures including:
 - Obtaining the management's impairment assessment
 - Evaluating the key assumptions including projected generation, coal prices, exchange rate, energy prices post power purchase agreement period and weighted average cost of capital by comparing them with prior years and external data, where available.
 - Obtaining and evaluating the sensitivity analysis
- Assessing the disclosures in accordance with the requirements of Ind AS 36 "Impairment of assets".

Receivables related to Group's distribution business in Odisha (as described in Note 9 of the consolidated Ind AS financial statements)

The Odisha Discoms ('Discoms') have outstanding trade receivables of ₹ 2,405.39 crore as at March 31, 2023, including overdue/ aged receivables.

Discoms supplies electricity to various types of customers including individual customers with wide ranging characteristics in the different region of Odisha. There exists inherent exposure to credit risk for these customers. Since the business was recently acquired by the Group, limited past experiences are available to estimate credit loss allowance.

Discoms have recognized Expected Credit Loss (ECL) allowance on trade receivables using its best estimate considering various factors including past payment behavior and categorization of customers in to various risk profile.

Based on the above mechanism and using its best estimate, the Discoms have recognized ECL provision of ₹ 556.80 crore as at March 31, 2023.

The appropriateness of the provision for ECL is subjective due to the high degree of judgement applied by the management. Due to the significance of trade receivables and the related estimation uncertainty this is considered to be a key audit matter.

Our audit procedures and procedures performed by component auditors, included the following:

- Obtaining an understanding of the process and testing the internal controls associated with the management's assessment of determining loss allowance for trade receivables.
- Obtaining an understanding of the management plan and steps being taken to collect overdue/ aged receivables.
- Evaluating management's assessment of recoverability of the outstanding receivables including recoverability of overdue / aged receivables through inquiry with management, and analysis of recent collection trends in respect of receivables particularly aged and pre-acquisition receivables.
- Evaluating management's assumption and judgment relating to collection considering business environment in which the Group operates and rights available with the Group to recover amount due from customers for estimating the amount of ECL allowance.
- Evaluating management's continuous assessment of the assumptions used in the credit loss provision computation. These considerations include whether there are regular receipts from the customers and Discoms past collection history.
- Assessing the disclosures in the financial statements.
- Obtaining necessary management representation

Independent Auditor's Report

Other Information

The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual report, but does not include the consolidated Ind AS financial statements.

Our opinion on the consolidated Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated Ind AS financial statements, our responsibility is to read the other information and, in doing so, consider whether such other information is materially inconsistent with the consolidated Ind AS financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management for the Consolidated Ind AS Financial Statements

The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated Ind AS financial statements in terms of the requirements of the Act that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated cash flows and consolidated statement of changes in equity of the Group including its associates and joint ventures in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended. The respective Board of Directors of the companies included in the Group and of its associates and joint ventures are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of their respective company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated Ind AS financial statements by the Directors of the Holding Company, as aforesaid.

In preparing the consolidated Ind AS financial statements, the respective Board of Directors of the companies included in the Group and of its associates and joint ventures are responsible for assessing the ability of their respective company to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless

management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those respective Board of Directors of the companies included in the Group and of its associates and joint ventures are also responsible for overseeing the financial reporting process of the Group and of its associates and joint ventures.

Auditor's Responsibilities for the Audit of the Consolidated Ind AS Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated Ind AS financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated Ind AS financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated Ind AS financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company has adequate internal financial controls with reference to consolidated Ind AS financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group and its associates and joint ventures to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated Ind AS financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit

evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and its associates and joint ventures to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated Ind AS financial statements, including the disclosures, and whether the consolidated Ind AS financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group and its associates and joint ventures of which we are the independent auditors and whose financial information we have audited, to express an opinion on the consolidated Ind AS financial statements. We are responsible for the direction, supervision and performance of the audit of the consolidated Ind AS financial statements of such entities included in the consolidated Ind AS financial statements of which we are the independent auditors. For the other entities included in the consolidated Ind AS financial statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance of the Holding Company and such other entities included in the consolidated Ind AS financial statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated Ind AS financial statements for the financial year ended March 31, 2023 and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matter

- (a) We did not audit the financial statements and other financial information, in respect of 25 subsidiaries, whose financial statements include total assets of ₹ 12,566.69 crore as at March 31, 2023, and total revenues of ₹ 10,809.20 crore and net cash outflows of ₹ 19.07 crore for the year ended on that date. These financial statement and other financial information have been audited by other auditors, which financial statements, other financial information and auditor's reports have been furnished to us by the management. The consolidated Ind AS financial statements also include the Group's share of net profit of ₹ 2,964.90 crore for the year ended March 31, 2023, as considered in the consolidated Ind AS financial statements, in respect of 4 associates and 6 joint ventures, whose financial statements, other financial information have been audited by other auditors and whose reports have been furnished to us by the Management. Our opinion on the consolidated Ind AS financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, joint ventures and associates, and our report in terms of sub-sections (3) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiaries, joint ventures and associates, is based solely on the reports of such other auditors.

Certain of these subsidiaries, associates, and joint ventures are located outside India whose financial statements and other financial information have been prepared in accordance with accounting principles generally accepted in their respective countries and which have been audited by other auditors under generally accepted auditing standards applicable in their respective countries. The Holding Company's management has converted the financial statements of such subsidiaries, associates and joint ventures located outside India from accounting principles generally accepted in their respective countries to accounting principles generally accepted in India. We have audited these conversion adjustments made by the Holding Company's management. Our opinion in so far as it relates to the balances and affairs of such subsidiaries, associates and joint ventures located outside India is based on the report of other auditors and the conversion adjustments prepared by the management of the Holding Company and audited by us.

- (b) The accompanying consolidated Ind AS financial statements include unaudited financial statements and other unaudited financial information in respect of 1 subsidiary, whose financial statements and other financial information reflect total assets of ₹ 15.08 crore as at March 31, 2023, and total revenues of ₹ Nil and net cash outflow of ₹ 2.11 crore for the year ended on that date. These unaudited financial statements and other unaudited financial information have been furnished to us by the management. The consolidated

Independent Auditor's Report

Ind AS financial statements also include the Group's share of net loss of ₹ 0.08 crore for the year ended March 31, 2023, as considered in the consolidated Ind AS financial statements, in respect of 1 associate and 6 joint ventures, whose financial statements, other financial information have not been audited and whose unaudited financial statements, other unaudited financial information have been furnished to us by the Management. Our opinion, in so far as it relates amounts and disclosures included in respect of these subsidiaries, joint ventures and associates, and our report in terms of sub-sections (3) of Section 143 of the Act in so far as it relates to the aforesaid subsidiaries, joint ventures and associates, is based solely on such unaudited financial statements and other unaudited financial information. In our opinion and according to the information and explanations given to us by the Management, these financial statements and other financial information are not material to the Group.

Our opinion above on the consolidated Ind AS financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial statements and other financial information certified by the Management.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, based on our audit and on the consideration of report of the other auditors on separate Ind AS financial statements and the other financial information of the subsidiary companies, associate companies and joint venture companies, incorporated in India, as noted in the 'Other Matter' paragraph we give in the "Annexure 1" a statement on the matters specified in paragraph 3(xxi) of the Order.
2. As required by Section 143(3) of the Act, based on our audit and on the consideration of report of the other auditors on separate financial statements and the other financial information of subsidiaries, associates and joint ventures, as noted in the 'Other Matter' paragraph we report, to the extent applicable, that:
 - (a) We / the other auditors whose report we have relied upon have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated Ind AS financial statements;
 - (b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidation of the financial statements have been kept in electronic mode on servers physically located in India so far as it appears from our examination of those books and reports of the other auditors except that we, along with auditors of certain subsidiaries, associates and joint ventures, incorporated in India, were unable to verify the back up of books of accounts maintained in electronic mode as necessary logs in respect of such period are not available with the Group as stated in Note 54 to the consolidated Ind AS financial statements;
 - (c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Consolidated Cash Flow Statement and Consolidated Statement of Changes in Equity dealt with by this Report are in agreement with the books of account maintained for the purpose of preparation of the consolidated Ind AS financial statements;
 - (d) In our opinion, the aforesaid consolidated Ind AS financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended;
 - (e) On the basis of the written representations received from the directors of the Holding Company as on March 31, 2023 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors who are appointed under Section 139 of the Act, of its subsidiary companies, associate companies and joint ventures, none of the directors of the Group's companies, its associates and joint ventures, incorporated in India, is disqualified as on March 31, 2023 from being appointed as a director in terms of Section 164 (2) of the Act;
 - (f) The qualification relating to the maintenance of accounts and other matters connected therewith are as stated in paragraph (b) above;
 - (g) With respect to the adequacy of the internal financial controls with reference to consolidated Ind AS financial statements of the Holding Company and its subsidiary companies, associate companies and joint ventures, incorporated in India, and the operating effectiveness of such controls, refer to our separate Report in "Annexure 2" to this report;
 - (h) In our opinion and based on the consideration of reports of other statutory auditors of the subsidiaries, associates and joint ventures incorporated in India, the managerial remuneration for the year ended March 31, 2023 has been paid / provided by the Holding Company, its subsidiaries, associates and joint ventures incorporated in India to their directors in accordance with the provisions of section 197 read with Schedule V to the Act;
 - (i) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the report of the other auditors on separate financial statements as also the other financial

information of the subsidiaries, associates and joint ventures, as noted in the 'Other matter' paragraph:

- i. The consolidated Ind AS financial statements disclose the impact of pending litigations on its consolidated financial position of the Group, its associates and joint ventures in its consolidated Ind AS financial statements – Refer Note 40 and Note 41 to the consolidated Ind AS financial statements;
- ii. Provision has been made in the consolidated Ind AS financial statements, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts;
- iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Holding Company, its subsidiaries, associates and joint ventures, incorporated in India during the year ended March 31, 2023;
- iv. a) The respective managements of the Holding Company and its subsidiaries, associates and joint ventures which are companies incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries, associates and joint ventures respectively that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Holding Company or any of such subsidiaries, associates and joint ventures to or in any other person or entity, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the respective Holding Company or any of such subsidiaries, associates and joint ventures ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
- b) The respective managements of the Holding Company and its subsidiaries, associates and joint ventures which are companies incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries, associates and joint ventures respectively that, to the best of its knowledge and belief, no funds have been received by the respective Holding Company or any of such subsidiaries, associates and joint ventures from any person or entity, including foreign entities ("Funding Parties"), with the understanding, whether recorded

in writing or otherwise, that the Holding Company or any of such subsidiaries, associates and joint ventures shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

- c) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances performed by us and that performed by the auditors of the subsidiaries, associates and joint ventures which are companies incorporated in India whose financial statements have been audited under the Act, nothing has come to our or other auditor's notice that has caused us or the other auditors to believe that the representations under sub-clause (a) and (b) contain any material mis-statement.
 - v. The final dividend paid by the Holding Company, its subsidiaries, associates and joint venture companies incorporated in India during the year in respect of the same declared for the previous year is in accordance with section 123 of the Act to the extent it applies to payment of dividend.
- As stated in note 22 to the consolidated Ind AS financial statements, the respective Board of Directors of the Holding Company, its subsidiaries, associates and joint venture companies, incorporated in India have proposed final dividend for the year which is subject to the approval of the members of the respective companies at the respective ensuing Annual General Meeting. The dividend declared is in accordance with section 123 of the Act to the extent it applies to declaration of dividend.
- vi. As proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 is applicable only w.e.f. April 1, 2023 for the Holding Company, its subsidiaries, associates and joint venture companies incorporated in India, hence reporting under this clause is not applicable.

For S R B C & CO LLP
Chartered Accountants
ICAI Firm Registration Number: 324982E/E300003

per Abhishek Agrawal
Partner

Membership Number: 112773
UDIN: 23112773BGRIEO5504

Mumbai
May 4, 2023

Annexure 1 referred to in Paragraph 1 under the heading 'Report on Other Legal and Regulatory Requirements' of our report of even date

In terms of the information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

(xxi) Qualifications or adverse remarks by the respective auditors in the Companies (Auditors Report) Order (CARO) reports of the companies included in the consolidated financial statements are:

Sr. No.	Name	CIN	Holding company/ subsidiary / Joint Venture	Clause number of the CARO report which is qualified or is adverse
1	The Tata Power Company Limited	L28920MH1919PLC000567	Holding Company	(i)(c); (iii)(e); (ix)(d)
2	Maithon Power Limited	U74899MH2000PLC267297	Subsidiary	(i)c
3	Tata Power Renewable Energy Limited	U40108MH2007PLC168314	Subsidiary	(iii)(c); (iii)(e); (vii)(a)
4	TP Wind Power Limited	U40300MH2012PLC316963	Subsidiary	(i)(c)
5	TP Saurya Limited	U40101MH2020PLC343139	Subsidiary	(ix)(d); (xiii)
6	Poolavadi Windfarm Ltd	U40300MH2016PLC271899	Subsidiary	(ix)(d); (xiii)
7	Walwhan Renewable Energy Limited	U40103MH2009PLC197021	Subsidiary	(iii)(e); (vii)(a)
8	Walwhan Solar MP Limited	U40106MH2010PLC206275	Subsidiary	(vii)(a)
9	Walwhan Solar TN Limited	U40106MH2010PLC326794	Subsidiary	(vii)(a)
10	Walwhan Wind RJ Limited	U40108MH2006PLC325050	Subsidiary	(vii)(a)
11	Clean Sustainable Solar Energy Private Limited	U40300MH2014PTC254371	Subsidiary	(iii)(e)
12	MI Mysolar24 Private Limited	U40106MH2009PTC326791	Subsidiary	(iii)(e); (vii)(a)
13	Walwhan Solar BH Limited	U40106MH2010PLC209615	Subsidiary	(iii)(e)
14	Walwhan Solar MH Limited	U40108MH2006PLC165673	Subsidiary	(vii)(a)
15	Walwhan Solar AP Limited	U40109MH2008PLC178769	Subsidiary	(iii)(e); (vii)(a)
16	Walwhan Solar KA Limited	U40300MH2012PLC233418	Subsidiary	(vii)(a)
17	Walwhan Urja Anjar Limited	U40300MH2010PLC326888	Subsidiary	(iii)(e); (vii)(a)
18	Northwest Energy Private Limited	U40108MH2008PTC182762	Subsidiary	(iii)(e)
19	Walwhan Solar Raj Limited	U40105MH2010PLC202097	Subsidiary	(iii)(e)
20	Dreisatz Mysolar 24 Private Limited	U40102MH2009PTC326890	Subsidiary	(iii)(e); (vii)(a)
21	Walwhan Urja India Limited	U40109MH2006PLC165964	Subsidiary	(ix)(d)
22	Walwhan Solar Energy GJ Limited	U40104MH2008PLC184134	Subsidiary	(iii)(e)
23	Tata Power Trading Co. Ltd.	U40100MH2003PLC143770	Subsidiary	(iii)(e)
24	TP Solar Limited	U40100MH2022PLC385685	Subsidiary	(ix)(a); (ix)(c); ii(b)
25	Chirasthaayee Saurya Limited	U40101MH2016PLC330252	Subsidiary	(ix)(a)
26	Tata Power Green Energy Limited	U40108MH2011PLC211851	Subsidiary	(i)(c)
27	TP Central Odisha Distribution Limited	U40100OR2020PLC032901	Subsidiary	(vii)(a)
28	TP Southern Odisha Distribution Limited	U40109OR2020PLC035195	Subsidiary	(vii)(a)
29	TP Western Odisha Distribution Limited	U40109OR2020PLC035230	Subsidiary	(vii)(a)
30	Tata Projects Limited	U45203TG1979PLC057431	Associate	(i)(a)(A); (i)(a)(B); (ii)(b); (iii)(c); (iii)(f); (vii)(a); (xi)(a); (xi)(c); (xvii); (xxi)
31	Industrial Energy Limited	U74999MH2007PLC167623	Joint Venture	(i)(c)

The report of the following components included in the consolidated financial statements has not been issued by its auditor till the date of our auditor's report:

Sr. No.	Name	CIN	Subsidiary/ associate/ joint venture
1	LTH Milcom Pvt Limited.	U74999MH2015PTC267502	Joint Venture
2	Tubed Coal Mines Limited	U10100MH2007PLC174466	Joint Venture
3	Mandakini Coal Co. Limited	U10100DL2008PLC175417	Joint Venture
4	Solace Land Hold Limited	U70109DL2012PLC242177	Joint Venture
5	Yashmun Engineers Limited	U29100MH1966PLC006109	Associate

For **S R B C & COLLP**
Chartered Accountants
ICAI Firm Registration Number: 324982E/E300003

Place of Signature: Mumbai
Date: May 4, 2023

per **Abhishek Agarwal**
Partner
Membership Number: 112773
UDIN: : 23112773BGRIEO5504

Annexure 2 to the Independent Auditor's Report of Even Date on the Consolidated Financial Statements of The Tata Power Company Limited

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

In conjunction with our audit of the consolidated Ind AS financial statements of The Tata Power Company Limited (hereinafter referred to as the "Holding Company") as of and for the year ended March 31, 2023, we have audited the internal financial controls with reference to consolidated Ind AS financial statements of the Holding Company and its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group"), its associates and joint ventures, which are companies incorporated in India, as of that date.

Management's Responsibility for Internal Financial Controls

The respective Board of Directors of the companies included in the Group, its associates and joint ventures, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Holding Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") issued by the Institute of Chartered Accountants of India (the "ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the Holding Company's internal financial controls with reference to consolidated Ind AS financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, specified under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls, both, issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to consolidated Ind AS financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to consolidated Ind AS financial statements and their operating effectiveness. Our audit of internal financial controls with reference to consolidated Ind AS financial statements

included obtaining an understanding of internal financial controls with reference to consolidated Ind AS financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the consolidated Ind AS financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matter paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls with reference to consolidated Ind AS financial statements.

Meaning of Internal Financial Controls With Reference to Consolidated Ind AS Financial Statements

A company's internal financial control with reference to consolidated Ind AS financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of consolidated Ind AS financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to consolidated Ind AS financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of consolidated Ind AS financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the consolidated Ind AS financial statements.

Inherent Limitations of Internal Financial Controls With Reference to Consolidated Ind AS Financial Statements

Because of the inherent limitations of internal financial controls with reference to consolidated Ind AS financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to consolidated Ind AS financial statements to future periods are subject to the risk that the internal financial controls with reference to consolidated Ind AS financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Group, its associates and joint ventures, which are companies incorporated in India, have, maintained in all material respects, adequate internal financial controls with reference to consolidated Ind AS financial statements and such internal financial controls with reference to consolidated Ind AS financial statements were operating effectively as at March 31, 2023, based on the internal control over financial reporting criteria established by the Holding Company considering the essential components of internal control stated in the Guidance Note issued by the ICAI.

Other Matter

Our report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls

with reference to consolidated Ind AS financial statements of the Holding Company, in so far as it relates to these 25 subsidiaries and 4 associates, which are companies incorporated in India, is based on the corresponding reports of the auditors of such subsidiaries and associates incorporated in India.

For **SRBC & COLLP**
Chartered Accountants
ICAI Firm Registration Number: 324982E/E300003

per **Abhishek Agarwal**
Partner

Place of Signature: Mumbai
Date: May 4, 2023

Membership Number: 112773
UDIN: 23112773BGRIEO5504

Consolidated Balance Sheet

as at March 31, 2023

	Notes	Page	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
ASSETS				
Non-Current Assets				
(a) Property, Plant and Equipments	4	413	54,524.96	50,502.96
(b) Right of Use Assets	5	417	3,982.05	3,661.99
(c) Capital Work-in-Progress	6	418	5,376.36	4,635.10
(d) Goodwill	7 a	418	1,858.31	1,858.31
(e) Other Intangible Assets	7 b	419	1,381.34	1,366.18
(f) Investments accounted for using the Equity Method	8 a&b	421&433	14,218.88	12,580.00
(g) Financial Assets				
(i) Other Investments	8 c	434	1,301.21	1,169.81
(ii) Trade Receivables	9	435	359.63	685.78
(iii) Loans	10	437	2.99	3.45
(iv) Finance Lease Receivables	11	438	567.22	588.69
(v) Other Financial Assets	12	439	1,726.66	1,684.53
(h) Non-current Tax Assets (Net)	13	440	739.07	520.54
(i) Deferred Tax Assets (Net)	14 a	442	252.90	334.60
(j) Other Non-current Assets	15	445	2,532.46	1,849.82
Total Non-current Assets			88,824.04	81,441.76
Current Assets				
(a) Inventories	16	446	3,942.88	4,231.52
(b) Financial Assets				
(i) Investments	17	447	1,149.60	410.52
(ii) Trade Receivables	9	435	6,952.15	5,979.74
(iii) Unbilled Revenue			2,456.71	2,285.57
(iv) Cash and Cash Equivalents	18 a	447	4,189.76	3,077.24
(v) Bank Balances other than (iv) above	18 b	448	7,016.77	3,563.46
(vi) Loans	10	437	11.55	9.34
(vii) Finance Lease Receivables	11	438	54.50	46.91
(viii) Other Financial Assets	12	439	688.30	501.45
(c) Current Tax Assets (Net)	13	440	0.69	0.01
(d) Other Current Assets	15	445	1,328.72	1,479.67
Total Current Assets			27,791.63	21,585.43
Assets Classified as Held For Sale	19 a	449	3,299.94	3,046.83
Total Assets before Regulatory Deferral Account			1,19,915.61	1,06,074.02
Regulatory Deferral Account - Assets	20	450	8,433.43	6,810.57
TOTAL ASSETS			1,28,349.04	1,12,884.59
EQUITY AND LIABILITIES				
Equity				
(a) Equity Share Capital	21 a	452	319.56	319.56
(b) Other Equity	22	454	28,467.87	22,122.00
Equity attributable to Shareholders of the Company			28,787.43	22,441.56
Non-controlling Interests	23	456	5,416.69	3,586.90
Total Equity			34,204.12	26,028.46

Consolidated Balance Sheet

as at March 31, 2023 (Contd.)

	Notes	Page	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Liabilities				
Non-Current Liabilities				
(a) Financial Liabilities				
(i) Borrowings	24	458	30,708.49	32,729.70
(ia) Lease Liabilities	25	459	3,510.70	3,207.79
(ii) Other Financial Liabilities	27	461	1,410.40	1,156.56
(b) Non-current Tax Liabilities (Net)	28	462	Nil	3.03
(c) Deferred Tax Liabilities (Net)	14 b	443	1,919.37	1,033.30
(d) Provisions	29	462	1,420.02	1,218.18
(e) Other Non-current Liabilities	30	471	9,847.82	8,139.29
Total Non-Current Liabilities			48,816.80	47,487.85
Current Liabilities				
(a) Financial Liabilities				
(i) Borrowings	31	472	18,265.94	14,860.30
(ia) Lease Liabilities	25	459	437.87	397.33
(ii) Trade Payables	26	460	7,407.20	10,459.60
(iii) Other Financial Liabilities	27	461	13,150.77	9,631.96
(b) Current Tax Liabilities (Net)	28	462	217.96	147.00
(c) Provisions	29	462	311.07	344.82
(d) Other Current Liabilities	30	471	4,188.41	2,779.08
Total Current Liabilities			43,979.22	38,620.09
Liabilities directly associated with Assets Classified as Held For Sale	19 b	450	113.56	113.56
Total Liabilities before Regulatory Deferral Account			92,909.58	86,221.50
Regulatory Deferral Account - Liability	20	450	1,235.34	634.63
TOTAL EQUITY AND LIABILITIES			1,28,349.04	1,12,884.59
See accompanying notes to the Consolidated Financial Statements				

As per our report of even date

For and on behalf of the Board,

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration No.324982E/E300003

PRAVEER SINHA

CEO & Managing Director

DIN 01785164

SAURABH AGRAWAL

Director

DIN 02144558

per ABHISHEK AGARWAL

Partner

Membership No. 112773

Mumbai, May 4, 2023

SANJEEV CHURIWALA

Chief Financial Officer

Mumbai, May 4, 2023

HANOZ M. MISTRY

Company Secretary

Consolidated Statement of Profit and Loss

for the year ended March 31, 2023

	Notes	Page	For the year ended March 31, 2023	For the year ended March 31, 2022
			₹ crore	₹ crore
I Revenue from Operations	32	473	55,109.08	42,815.67
II Other Income	33	480	1,438.02	919.96
III Total Income			56,547.10	43,735.63
IV Expenses				
Cost of Power Purchased			19,062.67	14,640.62
Cost of Fuel			13,763.59	8,290.92
Transmission Charges			1,194.95	1,018.19
Raw Material Consumed	34	481	3,882.30	3,832.83
Purchase of Finished Goods and Spares			56.15	49.11
(Increase)/Decrease in Stock-in-Trade and Work in Progress	34	481	43.53	(199.22)
Employee Benefits Expense (Net)	35	482	3,624.26	3,611.63
Finance Costs	36	483	4,371.65	3,859.02
Depreciation and Amortisation Expenses	4, 5 & 7b	413, 417 & 419	3,439.20	3,122.20
Other Expenses	37	484	5,775.31	4,060.42
Total Expenses			55,213.61	42,285.72
V Profit/(Loss) Before Movement in Regulatory Deferral Balances, Exceptional Items, Tax and Share of Net Profit of Associates and Joint Ventures accounted for using the Equity Method			1,333.49	1,449.91
Add/(Less): Net Movement in Regulatory Deferral Balances	20	450	815.70	(380.42)
Add/(Less): Net Movement in Regulatory Deferral Balances in respect of earlier years	20	450	(8.53)	Nil
Add/(Less): Deferred Tax Recoverable/(Payable)	20	450	116.88	140.95
			924.05	(239.47)
VI Profit/(Loss) Before Exceptional Items, Tax and Share of Net Profit of Associates and Joint Ventures accounted for using the Equity Method			2,257.54	1,210.44
Share of Net Profit of Associates and Joint Ventures accounted for using the Equity Method			3,199.46	1,942.83
VII Profit/(Loss) Before Exceptional Items and Tax			5,457.00	3,153.27
Add/(Less): Exceptional Items:				
Provision for Impairment of Investment	19a.(iv)(c)	449	Nil	(150.27)
			Nil	(150.27)
VIII Profit/(Loss) Before Tax for the Year from Continuing Operations			5,457.00	3,003.00
IX Tax Expense/(Credit)	38a	484		
Current Tax			804.33	580.30
Current Tax in respect of earlier years			(52.37)	(105.11)
Deferred Tax			1,010.30	133.31
Deferred Tax relating to earlier years			(114.93)	(588.56)
Remeasurement of Deferred Tax on account of New Tax Regime (net)			Nil	359.62
			1,647.33	379.56
X Profit/(Loss) for the Year from Continuing Operations			3,809.67	2,623.44
XI Profit/(Loss) before tax from Discontinued Operations	19c	450	Nil	Nil
Impairment Loss on remeasurement at Fair Value	19c	450	Nil	(467.83)
Tax Expense/(Credit) of Discontinued Operations			Nil	Nil
XII Profit/(Loss) for the Year from Discontinued Operations			Nil	(467.83)
XIII Profit/(Loss) for the Year			3,809.67	2,155.61

Consolidated Statement of Profit and Loss

for the year ended March 31, 2023 (Contd.)

	Notes	Page	For the year ended March 31, 2023	For the year ended March 31, 2022
			₹ crore	₹ crore
XIV Other Comprehensive Income/(Expenses) - Continuing Operations				
A Add/(Less):				
(i) Items that will not be reclassified to Profit or Loss				
(a) Remeasurement of the Defined Benefit Plans			(83.41)	(256.85)
(b) Movement in Regulatory Deferral Balance			56.13	265.28
(c) Equity Instruments classified at FVTOCI			126.17	307.12
(ii) Tax relating to items that will not be reclassified to Profit or Loss				
(a) Current Tax			0.76	(36.54)
(b) Deferred Tax			5.98	35.13
(iii) Share of Other Comprehensive Income/(Loss) of Associates and Joint Ventures accounted for using the Equity Method (net of tax)			(12.68)	(18.25)
B Add/(Less):				
(i) Items that will be reclassified to Profit or Loss				
(a) Exchange Differences in translating the financial statements of foreign operations			292.91	(13.07)
(b) Effective portion of cash flow hedge			251.60	130.88
(ii) Tax relating to items that will be reclassified to Profit or Loss				
(a) Deferred Tax			(63.52)	(32.94)
(iii) Share of Other Comprehensive Income/(Loss) of Associates and Joint Ventures accounted for using the Equity Method (net of tax)			267.56	92.65
XV Total Other Comprehensive Income for the Year			841.50	473.41
XVI Total Comprehensive Income for the Year (XIII + XV)			4,651.17	2,629.02
Profit for the year attributable to:				
- Owners of the Company			3,336.44	1,741.46
- Non-controlling Interest			473.23	414.15
			3,809.67	2,155.61
Other comprehensive Income for the year attributable to:				
- Owners of the Company			836.97	473.38
- Non-controlling Interest			4.53	0.03
			841.50	473.41
Total Comprehensive Income for the year attributable to:				
- Owners of the Company			4,173.41	2,214.84
- Non-controlling Interest			477.76	414.18
			4,651.17	2,629.02
XVII Basic and Diluted Earnings Per Equity Share (of ₹ 1/- each) (₹)	42	494		
(i) From Continuing Operations before net movement in Regulatory Deferral Balances			8.09	7.00
(ii) From Continuing Operations after net movement in Regulatory Deferral Balances			10.43	6.82
(iii) From Discontinued Operations			Nil	(1.46)
(iv) Total Operations after net movement in Regulatory Deferral Balances			10.43	5.36
See accompanying notes to the Consolidated Financial Statements				

As per our report of even date

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration No.324982E/E300003

per ABHISHEK AGARWAL

Partner

Membership No. 112773

Mumbai, May 4, 2023

For and on behalf of the Board,

PRAVEER SINHA

CEO & Managing Director

DIN 01785164

SAURABH AGRAWAL

Director

DIN 02144558

SANJEEV CHURIWALA

Chief Financial Officer

Mumbai, May 4, 2023

HANOZ M. MISTRY

Company Secretary

Consolidated Statement of Cash Flows

for the year ended March 31, 2023

		For the year ended March 31, 2023	For the year ended March 31, 2022
		₹ crore	₹ crore
A. Cash flow from Operating Activities			
Profit/(Loss) before tax from Continuing Operations		5,457.00	3,003.00
Profit/(Loss) before tax from Discontinued Operations		Nil	(467.83)
Adjustments to reconcile Profit/(Loss) before tax to Net Operating Cash Flows:			
Depreciation and Amortisation Expense		3,439.20	3,122.20
Transfer to Statutory Consumer Reserve		13.68	12.57
Impairment Loss on Remeasurement at fair value related to Discontinued Operations		Nil	467.83
(Gain)/Loss on disposal of Property, Plant and Equipment (Net)		29.97	41.09
Finance Cost (Net of Capitalisation)		4,371.65	3,859.02
Interest Income		(513.65)	(292.51)
Discount amortised/accrued on Bonds (Net)		(3.00)	Nil
Dividend Income		(524.14)	(6.79)
Gain on sale of Current Investment measured at fair value through Profit and Loss		(92.22)	(19.31)
Allowances for Doubtful Debts and Advances (Net)		383.81	127.62
Bad debts		51.54	11.94
Provision for Warranties		26.07	10.67
Provision for Impairment for Investment in Joint Venture		Nil	150.27
Delayed payment income		(94.77)	(68.31)
Amortisation of Service Line Contributions and Government Grant		(356.67)	(317.70)
Guarantee Commission from Joint Ventures		(11.15)	(9.61)
Share of Net Profit of Associates and Joint Ventures accounted for using the equity method		(3,199.46)	(1,942.83)
Amortisation of Deferred Revenue		53.59	55.41
Amortisation of Leasehold Land		2.06	1.44
Reclassification of Foreign Currency Translation Reserve from Other Comprehensive Income		Nil	(199.64)
Provision for future foreseeable losses		18.52	Nil
Effect of Exchange Fluctuation (Net)		(36.46)	37.56
		3,558.57	5,040.92
		9,015.57	7,576.09
Adjustments for (increase) / decrease in Operating Assets:			
Inventories		309.91	(2,308.21)
Trade Receivables		(1,070.43)	(887.56)
Unbilled Revenue		(171.14)	(694.43)
Finance Lease Receivables		13.88	4.46
Loans Current		(0.06)	(1.93)
Loans Non Current		0.46	1.15
Other Current Assets		154.35	(531.99)
Other Non-current Assets		(289.41)	(284.09)
Other Financial Assets - Current		19.69	(115.86)
Other Financial Assets - Non-current		(48.83)	(15.63)
Regulatory Deferral Account - Assets		(1,566.73)	(322.85)
Movement in Operating Assets		(2,648.31)	(5,156.94)

Consolidated Statement of Cash Flows

for the year ended March 31, 2023 (Contd.)

		For the year ended March 31, 2023	For the year ended March 31, 2022
		₹ crore	₹ crore
Adjustments for increase / (decrease) in Operating Liabilities:			
Trade Payables		(3,018.39)	3,221.69
Other Current Liabilities		1,332.48	261.32
Other Non-current Liabilities		7.17	64.14
Other Financial Liabilities - Current		2,655.34	341.00
Other Financial Liabilities - Non-current		45.57	79.54
Regulatory Deferral Account - Liability		600.71	535.70
Current Provisions		(162.15)	(85.98)
Non-current Provisions		201.84	550.91
Movement in Operating Liabilities		1,662.57	4,968.32
Cash Flow from/(used in) Operations		8,029.83	7,387.47
Income-tax Paid (net of refund received)		(870.70)	(694.74)
Net Cash Flows from/(used in) Operating Activities	A	7,159.13	6,692.73
B. Cash Flow from Investing Activities			
Capital expenditure on Property, Plant and Equipment (including capital advances)		(7,656.01)	(7,267.86)
Proceeds from sale of Property, Plant and Equipment (including property, plant and equipment classified as held for sale)		50.29	34.91
(Purchase)/ proceeds from sale of Current Investments (Net)		(638.42)	164.00
Purchase of Non-current Investments		(345.15)	(585.06)
Buy Back of Non-current Investments		10.45	Nil
Proceeds from sale of Non-current Investments (Including advance and investments classified as held for sale)		879.38	195.80
Inter-corporate Deposits (Net)		(2.15)	0.22
Interest Received		314.97	151.24
Delayed Payment Charges received		143.10	68.31
Guarantee Commission Received		11.15	9.61
Dividend Received		3,310.34	1,855.60
Bank Balance not considered as Cash and Cash Equivalents		(3,453.20)	(903.34)
Net Cash Flow from/(used in) Investing Activities	B	(7,375.25)	(6,276.57)
C. Cash Flow from Financing Activities			
Proceeds from Issue of Shares including shares issued to Minority Shareholders		4,008.41	11.33
Redemption of Unsecured Perpetual Securities		Nil	(1,500.00)
Increase in Capital/Service Line Contributions and contribution from consumers		1,452.30	746.26
Proceeds from Non-current Borrowings		10,730.41	11,473.88
Repayment of Non-current Borrowings		(11,838.99)	(5,684.28)
Proceeds/(repayment) from Current Borrowings (Net)		2,277.53	(1,632.59)
Finance Cost Paid		(4,108.41)	(3,555.18)
Payment of Lease Liability		(393.59)	(383.85)
Dividend Paid		(786.89)	(558.51)
Distribution on Unsecured Perpetual Securities		Nil	(100.26)
Net Cash Flow from/(used in) Financing Activities	C	1,340.77	(1,183.20)

Consolidated Statement of Cash Flows

for the year ended March 31, 2023 (Contd.)

		For the year ended March 31, 2023	For the year ended March 31, 2022
		₹ crore	₹ crore
Net Increase in Cash and Cash Equivalents	(A+B+C)	1,124.65	(767.04)
Cash and Cash Equivalents as at April 1 (Opening Balance)		2,829.02	3,569.96
Cash and Cash Equivalents Acquired on Business Combinations		Nil	(63.43)
Effect of Exchange Fluctuation on Cash and Cash Equivalents		118.61	89.53
Cash and Cash Equivalents as at March 31 (Closing Balance)		4,072.28	2,829.02

Notes:

- I) The above cash flow has been prepared under the "Indirect Method" as set out in Indian Accounting Standard (Ind AS) 7 - "Statement of Cash Flows".

		As at March 31, 2023	As at March 31, 2022
		₹ crore	₹ crore
II) Cash and Cash Equivalents include:			
(a) Balances with banks			
(i) In current accounts		2,110.13	1,254.84
(ii) In Deposit Accounts (with original maturity of three months or less)		1,986.15	1,702.09
(b) Cheques on Hand		26.14	23.30
(c) Cash on Hand		67.34	97.01
(d) Bank Overdraft		(117.48)	(248.22)
Total Cash and Cash Equivalents		4,072.28	2,829.02

See accompanying notes to the Consolidated Financial Statements

As per our report of even date

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration No.324982E/E300003

per ABHISHEK AGARWAL

Partner

Membership No. 112773

Mumbai, May 4, 2023

For and on behalf of the Board,

PRAVEER SINHA

CEO & Managing Director

DIN 01785164

SAURABH AGRAWAL

Director

DIN 02144558

SANJEEV CHURIWALA

Chief Financial Officer

Mumbai, May 4, 2023

HANOZ M. MISTRY

Company Secretary

Consolidated Statement of Changes in Equity

for the year ended March 31, 2023

A. Equity Share Capital

		₹ crore
	No. of Shares	Amount
Balance as at April 1, 2021	319,53,39,547	319.56
Issued during the year	Nil	Nil
Balance as at March 31, 2022	319,53,39,547	319.56
Issued during the year	Nil	Nil
Balance as at March 31, 2023	319,53,39,547	319.56

B. Unsecured Perpetual Securities

		₹ crore
	No. of Securities	Amount
Balance as at April 1, 2021	15,000	1,500.00
Redeemed during the year [Refer Note 21.b]	(15,000)	(1,500.00)
Balance as at March 31, 2022	Nil	Nil
Issued during the year	Nil	Nil
Balance as at March 31, 2023	Nil	Nil

Consolidated Statement of Changes in Equity

for the year ended March 31, 2023 (Contd.)

C. Other Equity (Refer Note 22)																	₹ crore
Description	Reserves and Surplus							Item of Other Comprehensive Income			Equity Component of Financial Instruments	Controlling Interests	Non-controlling Interests	Total			
	General Reserve	Securities Premium	Debt Redemption Reserve	Capital Redemption Reserve	Capital Reserve	Special Reserve Fund	Statutory Reserves	Retained Earnings	Equity Instrument through Other Comprehensive Income	Foreign Currency Translation Reserve					Effective portion of cash flow hedge		
Balance as at April 1, 2021	226.61	3,107.54	625.06	515.76	232.09	126.28	660.08	13,889.59	223.23	1,078.23	(181.77)	Nil	20,502.70	2,927.30	23,430.00		
Profit/(Loss) for the year	Nil	Nil	Nil	Nil	Nil	Nil	Nil	1,741.46	Nil	Nil	Nil	Nil	1,741.46	414.15	2,155.61		
Other Comprehensive Income/(Expenses) for the year (Net of Tax)	Nil	Nil	Nil	Nil	Nil	Nil	Nil	(11.26)	307.11	79.59	97.94	Nil	473.38	0.03	473.41		
Total Comprehensive Income	Nil	Nil	Nil	Nil	Nil	Nil	Nil	1,730.20	307.11	79.59	97.94	Nil	2,214.84	414.18	2,629.02		
Issue of Equity Shares during the year (Refer Note 18)	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	308.65	308.65		
Dividend paid	Nil	Nil	Nil	Nil	Nil	Nil	Nil	(495.28)	Nil	Nil	Nil	Nil	(495.28)	(63.23)	(558.51)		
Transfer to/(from) Debenture Redemption Reserve	Nil	Nil	(100.00)	Nil	Nil	Nil	Nil	100.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil		
Transfer to/(from) Special Reserve Fund (Refer note 22)	Nil	Nil	Nil	Nil	Nil	(126.28)	Nil	126.28	Nil	Nil	Nil	Nil	Nil	Nil	Nil		
Distribution on Unsecured Perpetual Securities	Nil	Nil	Nil	Nil	Nil	Nil	Nil	(100.26)	Nil	Nil	Nil	Nil	(100.26)	Nil	(100.26)		
Balance as at March 31, 2022	226.61	3,107.54	525.06	515.76	232.09	Nil	660.08	15,250.53	530.34	1,157.82	(83.83)	Nil	22,122.00	3,586.90	25,708.90		
Balance as at April 1, 2022	226.61	3,107.54	525.06	515.76	232.09	Nil	660.08	15,250.53	530.34	1,157.82	(83.83)	Nil	22,122.00	3,586.90	25,708.90		
Profit/(Loss) for the year	Nil	Nil	Nil	Nil	Nil	Nil	Nil	3,336.44	Nil	Nil	Nil	Nil	3,336.44	473.23	3,809.67		
Other Comprehensive Income/(Expenses) for the year (Net of Tax)	Nil	Nil	Nil	Nil	Nil	Nil	Nil	(32.83)	126.17	560.47	183.16	Nil	836.97	4.53	841.50		
Total Comprehensive Income	Nil	Nil	Nil	Nil	Nil	Nil	Nil	3,303.61	126.17	560.47	183.16	Nil	4,173.41	477.76	4,651.17		
Issue of Equity Shares during the year (Refer Note 18)	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	4,219.24	4,219.24		
Deemed Equity Contribution by Non Controlling interest	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	9.84	9.84		
Adjustments for change in ownership interests	(2.65)	Nil	(11.33)	(1.29)	(18.14)	Nil	Nil	Nil	Nil	Nil	(11.91)	Nil	(45.32)	45.32	Nil		
Gain/(Loss) on transaction with Non Controlling interest	Nil	Nil	Nil	Nil	Nil	Nil	Nil	2,694.66	Nil	Nil	Nil	Nil	2,694.66	(2,694.66)	Nil		
Dividend paid	Nil	Nil	Nil	Nil	Nil	Nil	Nil	(559.18)	Nil	Nil	Nil	Nil	(559.18)	(227.71)	(786.89)		
Capital Reserve created on acquisition of Joint Venture	Nil	Nil	Nil	Nil	4.57	Nil	Nil	Nil	Nil	Nil	Nil	Nil	4.57	Nil	4.57		
Equity Component of Financial Instruments issued by Associate	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	77.73	77.73	Nil	77.73		
Transfer to/(from) Debenture Redemption Reserve	Nil	Nil	(80.50)	Nil	Nil	Nil	Nil	80.50	Nil	Nil	Nil	Nil	Nil	Nil	Nil		
Balance as at March 31, 2023	223.96	3,107.54	433.23	514.47	218.52	Nil	660.08	20,770.12	656.51	1,718.29	87.42	77.73	28,467.87	5,416.69	33,884.56		
See accompanying notes to the Consolidated Financial Statements																	

See accompanying notes to the Consolidated Financial Statements

As per our report of even date

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration No.324982E/E300003

per ABHISHEK AGARWAL

Partner

Membership No. 112773

Mumbai, May 4, 2023

For and on behalf of the Board,

PRAVEER SINHA

CEO & Managing Director

DIN 01785164

SANJEEV CHURIWALA

Chief Financial Officer

Mumbai, May 4, 2023

SAURABH AGRAWAL

Director

DIN 02144558

HANOZ M. MISTRY

Company Secretary

Notes to the Consolidated Financial Statements

1. Corporate Information

The Tata Power Company Limited (the 'Company' or 'Parent Company') is a public limited company domiciled and incorporated in India under the Indian Companies Act, 1913. The registered office of the Company is located at Bombay House, 24, Homi Mody Street, Mumbai 400 001 India. The Company is listed on the Bombay Stock Exchange of India Limited (BSE) and the National Stock Exchange of India Limited (NSE). The principal business of the Company is generation, transmission, distribution and trading of electricity.

The Company, its subsidiaries, joint ventures and associates (collectively referred to as 'the Group') is one of India's largest integrated power companies with an international presence. The Group together with its joint venture companies has an installed gross generation capacity of 14,110 MW and a presence in all the segments of the power sector viz. Fuel Security and Logistics, Generation (thermal, hydro, solar and wind), Transmission, Distribution and Trading. The Group has developed the country's first 4,150 MW Ultra Mega Power Project at Mundra (Gujarat) based on super-critical technology. It is also one of the largest renewable energy players in India with a clean energy portfolio of 5,250 MW. It's international presence includes strategic investments in Indonesia, Singapore, Zambia, Georgia and Bhutan. With its track record of technology leadership, project execution excellence, world class safety processes, customer care and driving green initiatives, the Group is poised for multi-fold growth and is committed to 'lighting up lives' for generations to come.

2. Significant Accounting Policies

2.1 Statement of Compliance

The Consolidated Financial Statements have been prepared in accordance with Indian Accounting Standards (Ind AS) as notified under the Companies (Indian Accounting Standards) Rules, 2015 read with section 133 of the Companies Act, 2013 (as amended from time to time).

2.2 Basis of Preparation and Presentation

The Consolidated Financial Statements have been prepared on a historical cost basis, except for the following assets and liabilities which have been measured at fair value or revalued amount:

- Derivative financial instruments,
- Certain financial assets and liabilities measured at fair value (refer accounting policy regarding financial instruments).
- Employee benefit expenses (Refer Note 29 for accounting policy)
- Contingent consideration on sale and purchase of business

Historical cost is the amount of cash or cash equivalents paid or the fair value of the consideration given to acquire assets at the time of their acquisition or the amount of proceeds received in exchange for the obligation, or at the amount of cash or cash equivalents expected to be paid to satisfy the liability in the normal course of business. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The Consolidated Financial Statements are presented in Indian Rupees (₹) and all amounts are in crore unless otherwise stated.

2.3 Basis of Consolidation

The Group consolidates all entities which are controlled by it. The Consolidated Financial Statements comprise the financial statements of the Company and its subsidiaries. Control exists when the parent has power over the entity, is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns by using its power over the entity. Power is demonstrated through existing rights that give the ability to direct relevant activities, those which significantly affect the entity's returns. The entities are consolidated from the date control commences until the date control ceases.

2.3.1 Subsidiaries

The Consolidated Financial Statements of the Group companies are consolidated on a line-by-line basis and intra-group balances and transactions including unrealised gain/loss from such transactions are eliminated upon consolidation. These Consolidated Financial Statements are prepared by applying uniform accounting policies in use at the Group. Profit or loss and each component of Other Comprehensive Income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interest having a deficit balance.

Changes in the Group's holding that do not result in a loss of control are accounted for as equity transactions. The carrying amount of the Group's holding and the non-controlling interests are adjusted to reflect the changes in their relative holding. Any

Notes to the Consolidated Financial Statements

2. Significant Accounting Policies (Contd.)

difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to owners of the Company.

2.3.2 Joint Ventures and Associates

Joint Ventures are entities over which the Group has joint control. Associates are entities over which the Group has significant influence but not control. Investments in Joint Ventures and Associates are accounted for using the equity method of accounting. The investment is initially recognised at cost, and the carrying amount is increased or decreased to recognise the investor's share of the profit or loss of the investee after the acquisition date. The Group's investment in Joint Ventures and Associates includes goodwill identified on acquisition. (Refer Note 8a)

2.4 Business Combinations

The Group accounts for its business combinations under acquisition method of accounting. Acquisition related costs are recognised in Consolidated Statement of Profit and Loss as incurred. The acquiree's identifiable assets, liabilities and contingent liabilities that meet the condition for recognition are recognised at their fair values at the acquisition date.

Purchase consideration paid in excess of the fair value of net assets acquired is recognised as goodwill. Where the fair value of identifiable assets and liabilities exceed the cost of acquisition, after reassessing the fair values of the net assets and contingent liabilities, the excess is recognised as capital reserve.

The interest of non-controlling shareholders is initially measured either at fair value or at the non-controlling interests' proportionate share of the acquiree's identifiable net assets. The choice of measurement basis is made on an acquisition-by-acquisition basis. Subsequent to acquisition, the carrying amount of non-controlling interests is the amount of those interests at initial recognition plus the non-controlling interests' share of subsequent changes in equity of subsidiaries.

Business combinations arising from transfers of interests in entities that are under the common control are accounted at historical costs. The difference between any consideration given and the aggregate historical carrying amount of assets and liabilities of the acquired entity are recorded in shareholders' equity.

In case of bargain purchase, before recognising gain in respect thereof, the Group determines whether there exists clear evidence of the underlying reasons for classifying the business combination as a bargain purchase. Thereafter, the Group reassesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and recognizes any additional assets or liabilities that are identified in that reassessment. The Group then reviews the procedures used to measure the amount that Ind AS requires for the purposes of calculating the bargain purchase. If the gain remains after this reassessment and review, the Group recognises it in other comprehensive income and accumulates the same in equity as capital reserve. This gain is attributed to the acquirer. If there does not exist clear evidence of the underlying reasons for classifying the business combination as a bargain purchase, the Group recognises the gain, after reassessing and reviewing, directly in equity as capital reserve.

2.5 Goodwill

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests and any previous interest held, over the net identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amount to be recognised at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in Other Comprehensive Income (OCI) and accumulated in equity as capital reserve. However, if there is no clear evidence of bargain purchase, the entity recognises the gain directly in equity as capital reserve, without routing the same through OCI.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

A cash generating unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash generating unit is less than its carrying amount,

Notes to the Consolidated Financial Statements

2. Significant Accounting Policies (Contd.)

the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised in profit or loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

2.6 Details of the Group's subsidiaries considered in the preparation of the Consolidated Financial Statements are as follows:

Name	Country of Incorporation/ Principal Place of Business	% voting power held as at March 31, 2023	% voting power held as at March 31, 2022
Subsidiaries (Direct)			
Tata Power Trading Company Ltd.	India	100	100
Nelco Ltd.	India	50.04	50.04
Maithon Power Ltd.	India	74	74
Tata Power Delhi Distribution Ltd.	India	51	51
Bhira Investments Ltd.	Singapore	100	100
Bhivpuri Investments Ltd.	Mauritius	100	100
Khopoli Investments Ltd.	Mauritius	100	100
TP Renewable Microgrid Ltd.	India	100	100
TCL Ceramics Ltd. (Ceased to be Subsidiary w.e.f March 24, 2022)	India	Nil	Nil
Tata Power Solar Systems Ltd.*	India	Nil	100
Tata Power Green Energy Ltd.*	India	Nil	100
Supa Windfarm Ltd.*	India	Nil	100
TP Kirnali Solar Ltd.*	India	Nil	74
TP Solapur Solar Ltd.*	India	Nil	74
TP Saurya Ltd.*	India	Nil	100
TP Akkalkot Renewable Ltd.*	India	Nil	74
TP Roofurja Renewable Ltd.*	India	Nil	100
TP Solapur Saurya Ltd.(w.e.f. May 27, 2021)*	India	Nil	100
Tata Power International Pte. Ltd.	Singapore	100	100
Tata Power Renewable Energy Ltd.	India	93.94	100
Tata Power Jamshedpur Distribution Ltd.	India	100	100
TP Ajmer Distribution Ltd.	India	100	100
TP Central Odisha Distribution Ltd.	India	51	51
TP Western Odisha Distribution Ltd.	India	51	51
TP Southern Odisha Distribution Ltd.	India	51	51
TP Northern Odisha Distribution Ltd. (w.e.f. April 1, 2021)	India	51	51
Subsidiaries (Indirect)			
PT Sumber Energi Andalan Tbk. \$	Indonesia	92.50	92.50
PT Andalan Group Power (w.e.f. March 2, 2021) \$	Indonesia	92.50	92.50
PT Sumber Power Nusantara (w.e.f. April 19, 2021) \$	Indonesia	92.50	92.50
PT Indopower Energi Abadi (w.e.f. April 19, 2021) \$	Indonesia	92.50	92.50
PT Andalan Power Teknikatama (w.e.f. April 19, 2021) \$	Indonesia	92.50	92.50
NDPL Infra Ltd.	India	51	51
Poolavadi Windfarm Ltd.	India	69.52	74
Nivade Windfarm Ltd.	India	69.52	100
TP Wind Power Ltd.	India	93.94	100
TP Solapur Ltd.	India	93.94	100
TP Kirnali Ltd.	India	93.94	100
Walwhan Renewable Energy Ltd.	India	93.94	100
Clean Sustainable Solar Energy Pvt. Ltd. @	India	93.94	100
Dreisatz Mysolar24 Pvt. Ltd. @	India	93.94	100

Notes to the Consolidated Financial Statements

2. Significant Accounting Policies (Contd.)

Name	Country of Incorporation/ Principal Place of Business	% voting power held as at March 31, 2023	% voting power held as at March 31, 2022
MI Mysolar24 Pvt. Ltd. @	India	93.94	100
Northwest Energy Pvt. Ltd. @	India	93.94	100
Solarsys Renewable Energy Pvt. Ltd. @	India	93.94	100
Walwhan Solar Energy GJ Ltd. @	India	93.94	100
Walwhan Solar Raj Ltd. @	India	93.94	100
Walwhan Solar BH Ltd. @	India	93.94	100
Walwhan Solar MH Ltd. @	India	93.94	100
Walwhan Wind RJ Ltd. @	India	93.94	100
Walwhan Solar AP Ltd. @	India	93.94	100
Walwhan Solar KA Ltd. @	India	93.94	100
Walwhan Solar MP Ltd. @	India	93.94	100
Walwhan Solar PB Ltd. @	India	93.94	100
Walwhan Energy RJ Ltd. @	India	93.94	100
Walwhan Solar TN Ltd. @	India	93.94	100
Walwhan Solar RJ Ltd. @	India	93.94	100
Walwhan Urja Anjar Ltd. @	India	93.94	100
Walwhan Urja India Ltd. @	India	93.94	100
Chirasthayee Saurya Ltd.	India	93.94	100
Tata Power Solar Systems Ltd.*	India	93.94	Nil
Tata Power Green Energy Ltd.*	India	93.94	Nil
Supa Windfarm Ltd.*	India	93.94	Nil
TP Kirnali Solar Ltd.*	India	69.52	Nil
TP Solapur Solar Ltd.*	India	69.52	Nil
TP Saurya Ltd.*	India	93.94	Nil
TP Akkalkot Renewable Ltd.*	India	69.52	Nil
TP Roofurja Renewable Ltd.*	India	93.94	Nil
TP Solapur Saurya Ltd.(w.e.f. May 27, 2021)*	India	93.94	Nil
TP Solar Ltd. (w.e.f. June 29, 2022)	India	93.94	Nil
TP Nanded Ltd. (w.e.f. July 4, 2022)	India	69.52	Nil
TP Green Nature Ltd. (w.e.f. August 5, 2022)	India	69.52	Nil
TP Adhrit Solar Ltd. (w.e.f. September 2, 2022)	India	93.94	Nil
TP Arya Saurya Ltd. (w.e.f. September 6, 2022)	India	93.94	Nil
TP Saurya Bandita Ltd. (w.e.f. September 9, 2022)	India	93.94	Nil
TP Ekadash Ltd. (w.e.f. September 14, 2022)	India	93.94	Nil
TP Govardhan Creatives Ltd. (w.e.f. December 28, 2022)	India	93.94	Nil
TP Narmada Solar Ltd. (w.e.f. December 27, 2022)	India	93.94	Nil
TP Bhaskar Renewables Ltd. (w.e.f. December 28, 2022)	India	93.94	Nil
TP Atharva Solar Ltd. (w.e.f. December 28, 2022)	India	93.94	Nil
TP Vivagreen Ltd. (w.e.f. January 13, 2023)	India	93.94	Nil
TP Vardhaman Surya Ltd. (w.e.f. January 12, 2023)	India	93.94	Nil
TP Kaunteya Saurya Ltd. (w.e.f. January 11, 2023)	India	93.94	Nil
Nelco Network Products Ltd. (Consolidated with Nelco Ltd.)	India	50.04	50.04
Vagarai Windfarm Ltd.	India	58.62	62.40
Far Eastern Natural Resources LLC #	Russia	100	100
Trust Energy Resources Pte. Ltd	Singapore	100	100

* Sold by the Holding Company to its subsidiary Tata Power Renewable Energy Ltd.

Based on Unaudited Financial Information, certified by its Management for the year ended March 31, 2023.

@ Consolidated with Walwhan Renewable Energy Ltd.

Notes to the Consolidated Financial Statements

3. Other Significant Accounting Policies, critical accounting estimates and judgements

3.1 Foreign Currencies

The Group's Consolidated Financial Statements are presented in Indian Rupee (₹), which is also the parent company's functional currency. For each entity, the Group determines the functional currency and items included in the financial statements of each entity are measured using that functional currency.

Transactions in foreign currencies are initially recorded by the Group's entities at their respective functional currency spot rates at the date the transaction first qualifies for recognition. However, for practical reasons, the Group uses an average rate if the average approximates the actual rate at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gains or losses arising on translation of non-monetary items measured at fair value is treated in line with the recognition of the gains or losses on the change in fair value of the item (i.e., translation differences on items whose fair value gains or losses is recognised in OCI or profit or loss are also recognised in OCI or profit or loss, respectively).

The results and financial position of foreign operations (none of which has the currency of a hyper-inflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- Assets and liabilities are translated at the closing rate at the date of the Consolidated Balance Sheet
- Income and expenses are translated at average exchange rates (unless this is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions), and
- All resulting exchange differences are recognised in Other Comprehensive Income ("OCI").

3.2 Current versus Non-current classification

The Group presents assets and liabilities in the Consolidated Balance Sheet based on current/ non-current classification. An asset is treated as current when it is:

- expected to be realised or intended to be sold or consumed in normal operating cycle,
- held primarily for the purpose of trading,
- expected to be realised within twelve months after the reporting period, or
- cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- it is expected to be settled in normal operating cycle,
- it is held primarily for the purpose of trading,
- it is due to be settled within twelve months after the reporting period, or
- there is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents.

The Group has identified twelve months as its operating cycle.

3.3 Warranties

Provisions for the expected cost of warranty obligations under local sale of goods legislation are recognised at the date of sale of the relevant products, at the Group's best estimate of the expenditure required to settle the Group's obligation.

Notes to the Consolidated Financial Statements

3. Other Significant Accounting Policies, critical accounting estimates and judgements (Contd.)

3.4 Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets and financial liabilities are recognised when the Group becomes a party to the contractual provisions of the instruments.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities measured at fair value through profit or loss are recognised immediately in Consolidated Statement of Profit and Loss.

Effective Interest Method

The effective interest method is a method of calculating the amortised cost of a financial instrument and of allocating interest income or expenses over the relevant period. The effective interest rate is the rate that exactly discounts future cash receipts or payments through the expected life of the financial instrument, or where appropriate, a shorter period.

3.5 Financial Assets

All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the market place. All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

3.5.1 Financial Assets at Amortised Cost

Financial assets are subsequently measured at amortised cost using the effective interest rate method if these financial assets are held within a business whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

3.5.2 Financial Assets at Fair Value Through Other Comprehensive Income (FVTOCI)

A financial asset is subsequently measured at FVTOCI if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition, the Group makes an irrevocable election on an instrument-by-instrument basis to present the subsequent changes in fair value in Other Comprehensive Income pertaining to investments in equity instruments, other than equity investment which are held for trading. Subsequently, they are measured at fair value with gains and losses arising from changes in fair value recognised in Other Comprehensive Income and accumulated in the 'Reserve for equity instruments through other comprehensive income'. The cumulative gain or loss is not reclassified to Consolidated Statement of Profit and Loss on sale of the investments.

3.5.3 Financial Assets at Fair Value Through Profit and Loss (FVTPL)

Investments in equity instruments are classified as at FVTPL, unless the Group irrevocably elects on initial recognition to present subsequent changes in fair value in Other Comprehensive Income for investments in equity instruments which are not held for trading. Other financial assets are measured at fair value through profit or loss unless it is measured at amortised cost or at FVTOCI.

3.5.4 Investment in Joint Ventures and Associates

Investment in joint ventures and associates are accounted using equity method less impairment.

Notes to the Consolidated Financial Statements

3. Other Significant Accounting Policies, critical accounting estimates and judgements (Contd.)

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the joint arrangement. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

Impairment of Investments

The Group reviews its carrying value of investments carried at cost, amortised cost or equity method annually, or more frequently when there is an indication for impairment. If the recoverable amount is less than its carrying amount, the impairment loss is accounted for in the Consolidated Statement of Profit and Loss.

When an impairment loss subsequently reverses, the carrying amount of the Investment is increased to the revised estimate of its recoverable amount, so that the increased carrying amount does not exceed the cost of the Investment. A reversal of an impairment loss is recognised immediately in the Consolidated Statement of Profit and Loss.

3.5.5 Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a Group of similar financial assets) is primarily derecognised (i.e. removed from the Group's Consolidated Balance Sheet) when:

- the right to receive cash flows from the asset have expired, or
- the Group has transferred its right to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either
 - (a) the Group has transferred substantially all the risks and rewards of the asset, or
 - (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognise the transferred asset to the extent of the Group's continuing involvement. In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

3.5.6 Impairment of Financial Assets

The Group assesses at each date of balance sheet whether a financial asset or a Group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Group recognises lifetime expected losses for all contract assets and/or all trade receivables that do not constitute a financing transaction. For all other financial assets, expected credit losses are measured at an amount equal to the 12 month expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

3.6 Financial Liabilities and Equity Instruments

3.6.1 Classification as Debt or Equity

Debt and equity instruments issued by a Group are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

3.6.2 Equity Instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by a Group entity are recognised at the proceeds received, net of direct issue costs.

3.6.3 Financial Liabilities

All financial liabilities are subsequently measured at amortised cost using the effective interest rate method. Gains and losses are recognised in Consolidated Statement of Profit and Loss when the liabilities are derecognised as well as through the

Notes to the Consolidated Financial Statements

3. Other Significant Accounting Policies, critical accounting estimates and judgements (Contd.)

effective interest rate (EIR) amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the Consolidated Statement of Profit and Loss.

Financial liabilities measured at FVTPL include financial liabilities held for trading and financial liabilities designated upon initial recognition as FVTPL. Financial liabilities are classified as held for trading if these are incurred for the purpose of repurchasing in the near term. Financial liabilities at FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognised in the Consolidated Statement of Profit and Loss.

3.6.4 Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the Consolidated Statement of Profit and Loss.

3.6.5 Financial Guarantee Contracts

Financial guarantee contracts issued by the Group are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the amount of loss allowance determined as per impairment requirements of Ind AS 109 - 'Financial Instruments' and the amount recognised less cumulative amortisation.

3.7 Derivative Financial instruments and Hedge Accounting

The Group enters into a variety of derivative financial instruments such as forward contracts, options contracts and interest rate swaps, to manage its exposure to foreign exchange rate risks, including foreign exchange forward contracts and cross currency swaps.

Derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently re-measured at fair value.

Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

The purchase contracts that meet the definition of a derivative under Ind AS 109 are recognised in the Consolidated Statement of Profit and Loss. Any gains or losses arising from changes in the fair value of derivatives are taken directly to Consolidated Statement of Profit and Loss.

The Group adopts hedge accounting for forward, interest rate and commodity contracts wherever possible. At the inception of each hedge, there is a formal, documented designation of the hedging relationship. This documentation includes, inter alia, items such as identification of the hedged item transaction and nature of the risk being hedged. At inception, each hedge is expected to be highly effective in achieving an offset of changes in fair value or cash flows attributable to the hedged risk. The effectiveness of hedge instruments to reduce the risk associated with the exposure being hedged is assessed and measured at the inception and on an ongoing basis. The ineffective portion of designated hedges is recognised immediately in the Consolidated Statement of Profit and Loss.

When hedge accounting is applied:

- for fair value hedges of recognised assets and liabilities, changes in fair value of the hedged assets and liabilities attributable to the risk being hedged, are recognised in the Consolidated Statement of Profit and Loss and compensate for the effective portion of symmetrical changes in the fair value of the derivatives.
- for cash flow hedges, the effective portion of the change in the fair value of the derivative is recognised directly in Other Comprehensive Income and the ineffective portion is recognised in the Consolidated Statement of Profit and Loss. If the cash flow hedge of a firm commitment or forecasted transaction results in the recognition of a non-financial asset or liability,

Notes to the Consolidated Financial Statements

3. Other Significant Accounting Policies, critical accounting estimates and judgements (Contd.)

then, at the time the asset or liability is recognised, the associated gains or losses on the derivative that had previously been recognised in equity are included in the initial measurement of the asset or liability. For hedges that do not result in the recognition of a non-financial asset or a liability, amounts deferred in equity are recognised in the Consolidated Statement of Profit and Loss in the same period in which the hedged item affects the consolidated statement of profit and loss. In cases where hedge accounting is not applied, changes in the fair value of derivatives are recognised in the Consolidated Statement of Profit and Loss as and when they arise.

Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated, or exercised, or no longer qualifies for hedge accounting. At that time, any cumulative gain or loss on the hedging instrument recognised in equity is retained in equity until the forecasted transaction occurs. If a hedged transaction is no longer expected to occur, the net cumulative gain or loss recognised in equity is transferred to the consolidated statement of profit and loss for the period.

3.8 Reclassification of Financial Assets and Liabilities

The Group determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. The Group's senior management determines change in the business model as a result of external or internal changes which are significant to the Group's operations. Such changes are evident to external parties. A change in the business model occurs when the Group either begins or ceases to perform an activity that is significant to its operations. If the Group reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Group does not restate any previously recognised gains, losses (including impairment gains or losses) or interest.

3.9 Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount is reported in the Consolidated Balance Sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

3.10 Government Grants

Government grants are not recognised until there is reasonable assurance that the Group will comply with the conditions attaching to them and that the grant will be received.

Government grants relating to income are determined and recognised in the Consolidated Statement of Profit and Loss over the period necessary to match them with the cost that they are intended to compensate and presented within other income.

Government grants relating to the purchase of property, plant and equipment are reduced from the cost of the assets.

The benefit of a Government loan at a below market rate of interest is treated as a Government grant, measured as the difference between proceeds received and the fair value of loan based on prevailing market interest rates.

3.11 Dividend Distribution to Equity Shareholders of the Parent Company

The Parent Company recognises a liability to make dividend distributions to its equity holders when the distribution is authorised and the distribution is no longer at its discretion. As per the corporate laws in India, a distribution is authorised when it is approved by the shareholders. A corresponding amount is recognised directly in equity. In case of Interim Dividend, the liability is recognised on its declaration by the Board of Directors.

3.12 Service Concession Agreement (SCA)

A Group entity has entered into contract for design, part finance, engineering, manufacture, supply, erection, testing, commissioning and operation and maintenance for 25 years of Grid Interactive Solar Power Project through Public Private Partnership with a public sector power generator (PSU). The PSU has paid part of the project cost to the Group on commissioning of plant/Handover of Project. Remaining cost and the operations and maintenance cost is being recovered over the period of the project in accordance with the agreement with the PSU.

Notes to the Consolidated Financial Statements

3. Other Significant Accounting Policies, critical accounting estimates and judgements (Contd.)

Ind AS 115 establishes a five-step model to account for revenue arising from contracts with customers and requires that revenue be recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer. It requires entities to exercise judgement, taking into consideration all of the relevant facts and circumstances when applying each step of the model to contracts with their customers.

As per the arrangement, the share of electricity revenue is divided into three parts i.e. towards deferred payment, interest income and operation and maintenance revenue. The Group has initially measured financial asset at fair value and subsequently at amortized cost by recognising share of electricity sale revenue first towards operation and maintenance revenue. Subsequent thereto, amount is recognised as interest income at computed Internal Rate of Return (IRR) on opening balance of the financial asset. Further, surplus of revenue share over and above operation and maintenance revenue and interest income is recognised as recovery of the financial asset.

3.13 Critical Accounting Estimates and Judgements

In the application of the Group's accounting policies, the Management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods. Detailed information about each of these estimates and judgements is included in relevant notes together with information about the basis of calculation for each affected line item in the Consolidated Financial Statements.

The areas involving critical estimates or judgements are:

Estimates and judgements used for impairment assessment of certain cash generating units (CGU) (Refer Note 4 & 8)

Estimation and judgements for impairment assessment of goodwill (Refer Note 7a)

Estimations used for fair value of unquoted securities and impairment assessment of investments (Refer Note 8)

Estimation of defined benefit obligation (Refer Note 29)

Estimation of provision for warranty claims (Refer Note 29)

Estimates related to accrual of regulatory deferrals and revenue recognition (Refer Note 20 & 32)

Estimations used for determination of tax expenses and tax balances (Refer Note 14 & 38)

Estimates and judgements related to the assessment of liquidity risk (Refer Note 44.4.3)

Judgement to estimate the amount of provision required or to determine required disclosure related to litigation and claims against the Group (Refer Note 40 & 41)

Estimates and judgement are continually evaluated. They are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Group and that are believed to be reasonable under the circumstances.

Notes to the Consolidated Financial Statements

4. Property, Plant and Equipments

Accounting Policy

Property, plant and equipment is stated at cost less accumulated depreciation and accumulated impairment losses, if any. Cost includes purchase price (net of trade discount and rebates) and any directly attributable cost of bringing the asset to its working condition for its intended use and for qualifying assets, borrowing costs capitalised in accordance with Ind AS 23. Capital work in progress is stated at cost, net of accumulated impairment loss, if any. Other Indirect expenses incurred relating to project, net of income earned during the project development stage prior to its intended use, are considered as pre-operative expenses and disclosed under Capital Work-in-Progress. When significant parts of plant and equipment are required to be replaced at intervals, the Group depreciates them separately based on their specific useful lives. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in the Consolidated Statement of Profit and Loss as incurred.

Depreciation

Depreciation commences when an asset is ready for its intended use. Freehold land and assets held for sale are not depreciated.

Regulated Assets

Depreciation on Property, plant and equipment in respect of electricity business of the Group covered under Part B of Schedule II of the Companies Act, 2013, has been provided on the straight line method at the rates specified in tariff regulations notified by the respective Electricity Regulatory Commission ('Regulator').

Non Regulated Assets

Depreciation is recognised on the cost of assets (other than freehold land and properties under construction) less their residual values over their estimated useful lives, using the straight-line method.

The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis. The Group, based on technical assessment made by technical expert and management estimate, depreciates certain items of building, plant and equipment over estimated useful lives which are different from the useful life prescribed in Schedule II to the Companies Act, 2013. The management believes that these estimated useful lives are realistic and reflect fair approximation of the period over which the assets are likely to be used.

Estimated useful lives of the Regulated and Non Regulated assets are as follows:

Type of assets	Useful lives
Hydraulic Works	40 years
Buildings-Plant	3 to 60 years
Buildings-Others	3 to 50 years
Coal Jetty	25 years
Railway Sidings, Roads, Crossings, etc.	5 to 40 years
Plant and Equipments (excluding Computers and Data Processing units)	3 to 40 years
Plant and Equipments (Computers and Data Processing units)	3 to 6 years
Transmission Lines, Cable Network, etc.	5 to 40 years
Furniture and Fixtures	3 to 20 years
Office Equipments	3 to 15 years
Motor Cars	5 to 15 years
Motor Lorries, Launches, Barges etc.	25 to 40 years
Helicopters	25 years

Notes to the Consolidated Financial Statements

4. Property, Plant and Equipments (Contd.)

De-recognition

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in consolidated statement of profit and loss.

Impairment of Tangible and Intangible Assets

The Group assesses, at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs of disposal and its value in use. Recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets of or Group of assets.

When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future post tax cash flows are discounted to their present value using a appropriate discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used.

The Group basis its impairment calculation on detailed budgets and forecast calculations, which are prepared separately for each of the Group's CGUs to which the individual assets are allocated. These budgets and forecast calculations generally cover the PPA period. To estimate Cash flow projections beyond periods covered by the most recent budgets/forecasts, the Group extrapolates cash flow projections in the budget using a steady or declining growth rate for subsequent years, unless an increasing rate can be justified. In any case, this growth rate does not exceed the long-term average growth rate for the market in which the asset is used.

Impairment losses of tangible and intangible assets are recognised in the Consolidated Statement of Profit and Loss.

Notes to the Consolidated Financial Statements

4. Property, Plant and Equipment (Contd.)

A. Owned Assets

Description	Freehold Land	Hydraulic Works	Buildings - Plant	Buildings - Others @	Coal Jetty	Roads, Railway sidings, crossings etc.	Plant and Equip-ments	Transmission lines and cable network	Furniture and Fixtures	Office Equipment	Motor Vehicles, Launches, Barges, etc.	Helicopters	Total
Cost													
Balance as at April 1, 2022	1,253.40	564.20	2,529.42	910.93	106.10	603.00	52,639.05	14,932.11	143.94	268.32	83.87	35.30	74,069.64
Additions	203.35	13.78	186.61	226.65	Nil	0.53	3,379.98	3,212.28	25.18	129.17	36.23	Nil	7,413.76
Disposals	(99.35)	(0.04)	(22.62)	(1.28)	Nil	(1.83)	(242.72)	(16.37)	(1.92)	(40.58)	(14.61)	Nil	(441.32)
Exchange Movement	Nil	Nil	Nil	Nil	Nil	Nil	1.54	Nil	Nil	Nil	Nil	Nil	1.54
Reclassified from/(to) assets classified as held for sale (Refer Note 19a)	4.64	Nil	0.91	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	5.55
Balance as at March 31, 2023	1,362.04	577.94	2,694.32	1,136.30	106.10	601.70	55,777.85	18,128.02	167.20	356.91	105.49	35.30	81,049.17
Accumulated depreciation and impairment													
Balance as at April 1, 2022	Nil	327.22	754.51	314.73	72.81	92.97	18,131.52	3,589.44	94.50	111.45	45.77	31.76	23,566.68
Depreciation Expense	Nil	11.89	83.34	35.73	5.60	17.87	2,128.10	762.88	9.01	46.11	6.42	0.01	3,106.96
Disposals	Nil	(0.03)	(5.21)	(0.42)	Nil	(0.07)	(103.57)	(5.25)	(1.36)	(24.61)	(9.61)	Nil	(150.13)
Exchange Movement	Nil	Nil	Nil	Nil	Nil	Nil	0.28	Nil	Nil	Nil	Nil	Nil	0.28
Reclassified from/(to) assets classified as held for sale (Refer Note 19a)	Nil	Nil	0.42	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	0.42
Balance as at March 31, 2023	Nil	339.08	833.06	350.04	78.41	110.77	20,156.33	4,347.07	102.15	132.95	42.58	31.77	26,524.21
Net carrying amount													
As at March 31, 2023	1,362.04	238.86	1,861.26	786.26	27.69	490.93	35,621.52	13,780.95	65.05	223.96	62.91	3.53	54,524.96

Notes to the Consolidated Financial Statements

4. Property, Plant and Equipment (Contd.)

A. Owned Assets

Description	Freehold Land	Hydraulic Works	Buildings - Plant	Buildings - Others @	Coal Jetty	Roads, Railway sidings, crossings etc.	Plant and Equipments	Transmission lines and cable network	Furniture and Fixtures	Office Equipment	Motor Vehicles, Launches, Barges, etc.	Helicopters	Total
Cost													
Balance as at April 1, 2021	1,190.69	545.29	2,413.95	814.38	106.10	597.54	48,570.90	11,602.10	133.95	188.38	86.49	35.30	66,285.07
Additions	62.71	18.91	115.71	74.92	Nil	5.46	4,261.30	1,882.43	13.23	90.56	11.61	Nil	6,536.84
Acquisition through business combination (Refer Note 49)	Nil	Nil	Nil	3.47	Nil	Nil	Nil	1,468.10	0.28	1.41	0.15	Nil	1,473.41
Disposals	Nil	Nil	(0.24)	Nil	Nil	Nil	(194.03)	(20.52)	(3.52)	(12.03)	(14.38)	Nil	(244.72)
Exchange Movement	Nil	Nil	Nil	Nil	Nil	Nil	0.88	Nil	Nil	Nil	Nil	Nil	0.88
Reclassified from/(to) assets classified as held for sale	Nil	Nil	Nil	18.16	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	18.16
Balance as at March 31, 2022	1,253.40	564.20	2,529.42	910.93	106.10	603.00	52,639.05	14,932.11	143.94	268.32	83.87	35.30	74,069.64
Accumulated depreciation and impairment													
Balance as at April 1, 2021	Nil	316.25	679.19	274.37	67.21	74.31	16,300.27	2,948.72	89.93	97.85	48.76	31.75	20,928.61
Depreciation Expense	Nil	10.97	75.32	30.22	5.60	18.66	1,997.03	646.10	7.12	23.80	6.67	0.01	2,821.50
Disposals	Nil	Nil	Nil	Nil	Nil	Nil	(165.85)	(5.38)	(2.55)	(10.20)	(9.66)	Nil	(193.64)
Exchange Movement	Nil	Nil	Nil	Nil	Nil	Nil	0.07	Nil	Nil	Nil	Nil	Nil	0.07
Reclassified from/(to) assets classified as held for sale	Nil	Nil	Nil	10.14	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	10.14
Balance as at March 31, 2022	Nil	327.22	754.51	314.73	72.81	92.97	18,131.52	3,589.44	94.50	111.45	45.77	31.76	23,566.68
Net carrying amount													
As at March 31, 2022	1,253.40	236.98	1,774.91	596.20	33.29	510.03	34,507.53	11,342.67	49.44	156.87	38.10	3.54	50,502.96

@ Building includes cost of ordinary shares in co-operative housing societies.

Notes:

- The Group has recognised total impairment charge of ₹ 408.18 crore (March 31, 2022 ₹ 408.18 crore), the details are as under
 - ₹ 308.18 crore against the carrying value of the Mundra power generation plant. [Refer Note 8 b.(i)].
 - ₹ 100.00 crore in respect of Unit 6 generating station (Power Segment) located at Trombay.
- During the year, the Group has reclassified the following assets to Property, Plant and Equipments from assets held for sale:
 - Land at Tirulidih ₹ 1.43 crore
 - Land at Vadaval ₹ 3.21 crore
 - Building at Mumbai (Panvel) ₹ 0.49 crore
- Refer Note 24 and 31 for charge created on Property, Plant and Equipments.
- The Group has not revalued its Property, Plant & Equipment (including Right of use Assets). Thus valuation by registered valuer as defined under Rule 2 of the Companies (Registered Valuer & Valuation) Rules, 2017 is not applicable.

Notes to the Consolidated Financial Statements

5. Right of Use Assets ('ROU')

Accounting Policy

The Group recognises right of use assets at cost at the commencement date of the lease. The cost of right of use assets includes the amount of lease liabilities recognised, initial direct costs incurred, lease payments made at or before the commencement date less any lease incentives received and estimate of costs to dismantle. After the commencement date, ROU assets are measured at cost, less any accumulated depreciation and impairment losses and adjusted for any remeasurement of lease liabilities. Right of use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated remaining useful lives of the assets, as follows:

- Leasehold Land including sub-surface right - 1 to 99 years
- Plant and Equipment - 2 to 10 years
- Port and Intake channel - 40 years
- Ships - 12 to 13 years

The Group presents right of use assets that do not meet the definition of investment property in 'Property, plant and equipments'.

Description	Leasehold Land (including sub-surface right)	Plant and Equipment	Port and Intake Channel	Ships	₹ crore Total
Cost					
Balance as at April 1, 2022	1,030.41	25.04	2,533.36	672.15	4,260.96
Additions	279.82	2.97	197.13	Nil	479.92
Exchange Movement	Nil	0.17	Nil	56.73	56.90
Disposals	Nil	(6.63)	Nil	Nil	(6.63)
Balance as at March 31, 2023	1,310.23	21.55	2,730.49	728.88	4,791.15
Accumulated depreciation and impairment					
Balance as at April 1, 2022	201.27	9.77	226.60	161.33	598.97
Depreciation Expense	54.40	4.20	85.31	57.03	200.94
Exchange Movement	Nil	0.12	Nil	14.90	15.02
Disposals	Nil	(5.83)	Nil	Nil	(5.83)
Balance as at March 31, 2023	255.67	8.26	311.91	233.26	809.10
Net carrying amount					
As at March 31, 2023	1,054.56	13.29	2,418.58	495.62	3,982.05

Description	Leasehold Land (including sub-surface right)	Plant and Equipment	Port and Intake Channel	Ships	₹ crore Total
Cost					
Balance as at April 1, 2021	995.34	36.39	2,422.31	648.43	4,102.47
Additions	35.07	Nil	111.05	Nil	146.12
Exchange Movement	Nil	0.08	Nil	23.72	23.80
Disposals	Nil	(11.43)	Nil	Nil	(11.43)
Balance as at March 31, 2022	1,030.41	25.04	2,533.36	672.15	4,260.96
Accumulated depreciation and impairment					
Balance as at April 1, 2021	153.21	14.38	148.86	103.75	420.20
Depreciation Expense	48.06	6.00	77.74	52.87	184.67
Exchange Movement	Nil	0.05	Nil	4.71	4.76
Disposals	Nil	(10.66)	Nil	Nil	(10.66)
Balance as at March 31, 2022	201.27	9.77	226.60	161.33	598.97
Net carrying amount					
As at March 31, 2022	829.14	15.27	2,306.76	510.82	3,661.99

Notes to the Consolidated Financial Statements

6. Capital Work-in-Progress ('CWIP')

Accounting Policy

The Group recognises capital work in progress at cost, net of accumulated impairment loss, if any.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Balance at the beginning	4,635.10	3,270.26
Additions / (Capitalised) during the year (Net)	741.26	1,364.84
Balance at the end	5,376.36	4,635.10

CWIP ageing Schedule as at March 31, 2023

Capital Work in Progress	Amount in CWIP for a period of				₹ crore
	Less than 1 year	1-2 year	2-3 year	More than 3 years	Total
Projects in progress	4,412.79	764.64	166.34	28.42	5,372.19
Projects temporarily suspended	0.94	0.96	0.47	1.80	4.17
Total	4,413.73	765.60	166.81	30.22	5,376.36

CWIP ageing Schedule as at March 31, 2022

Capital Work in Progress	Amount in CWIP for a period of				₹ crore
	Less than 1 year	1-2 year	2-3 year	More than 3 years	Total
Projects in progress	4,105.37	424.19	32.25	69.04	4,630.85
Projects temporarily suspended	0.12	1.91	0.44	1.78	4.25
Total	4,105.49	426.10	32.69	70.82	4,635.10

Note:

- In case of Odisha Discoms, CWIP ageing has been determined from the date of acquisition of businesses by the Group.
- There is no material project whose completion is overdue or has exceeded its costs compared to its original plan except Fuel Gas Desulfurisation project at Mundra and Jojobera plant amounting to ₹ 981.86 crore (March 31, 2022 – ₹ 239.55 crore) which is expected to be completed in 1 - 2 year.

7a. Goodwill

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Cost		
Balance as at April 1 (Opening Balance)	1,858.31	1,794.57
Additions during the year (Refer Note 49)	Nil	63.74
Balance as at March 31 (Closing Balance)	1,858.31	1,858.31
Goodwill generated on account of the following acquisitions over the years:		
Renewables Segment		
Walwhan Renewable Energy Ltd.	1,622.93	1,622.93
TP Wind Power Ltd.	13.10	13.10
Transmission and Distribution Segment		
Tata Power Delhi Distribution Ltd.	5.54	5.54
TP Central Odisha Distribution Ltd.	25.50	25.50
TP Western Odisha Distribution Ltd.	102.00	102.00
TP Southern Odisha Distribution Ltd.	25.50	25.50
TP Northern Odisha Distribution Ltd.	63.74	63.74
	1,858.31	1,858.31

Notes to the Consolidated Financial Statements

7a. Goodwill (Contd.)

Impairment assessment of Goodwill (Renewables Segment)

In accordance with IND AS 36 "Impairment of Assets", the Group performed impairment testing of Goodwill assigned to each Cash Generating Unit (CGU) as at March 31, 2023 applying value in use approach across all the CGUs i.e. using cash flow projections based on financial budgets covering contracted power sale agreements with procurers (15 to 25 years) considering a discount rate mentioned below. The Group has used financial projections for 15 to 25 years as the tariff rates are fixed as per the Power Purchase Agreements (PPAs).

Based on the results of the Goodwill impairment test, the estimated value in use in all CGUs were higher than their respective carrying amount, hence impairment provision recorded during the current year is ₹ Nil (March 31, 2022 - ₹ Nil). Management believes that any reasonably possible change in the key assumptions on which recoverable amount is based would not cause the aggregate carrying amount to exceed the aggregate recoverable amount of the Goodwill.

The key assumptions used in the value in use calculations are as follows:

Operation & Maintenance cost inflation	Escalation of 4% (March 31, 2022: 4%)
Discount Rate	10.29% p.a. to 10.86% p.a. (March 31, 2022: 9.27% p.a.) Pre-Tax Discount rate has been derived based on current cost of borrowing and equity rate of return in line with the current market expectations.
Plant Load Factor (PLF)	Plant load factor is estimated for each CGU based on past trend of PLF and expected PLF in future years.

7b. Other Intangible Assets

Accounting Policy

Intangible Assets acquired separately

Intangible Assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses if any.

Internally generated intangibles

Internally generated intangibles, excluding capitalised development costs, are not capitalised and the related expenditure is reflected in profit or loss in the period in which the expenditure is incurred.

Subsequent Costs

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the entity and the cost can be measured reliably.

Derecognition of Intangible Assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in consolidated statement of profit and loss when the asset is derecognised.

Amortisation of Intangible Assets

Intangible assets with finite lives are amortised over the useful economic life on straight line basis and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the Consolidated Statement of Profit and Loss unless such expenditure forms part of carrying value of another asset.

Notes to the Consolidated Financial Statements

7b. Other Intangible Assets (Contd.)

Estimated useful lives of the Intangible Assets are as follows:

Type of assets	Useful lives
Copyrights, patents, other intellectual property rights, services and operating rights	5 to 20 years
Customer Contracts acquired under business combination	25 years
Computer Software	3 to 6 years
Power Distribution Rights	20 years

Description	Copyrights, patents, other intellectual property rights, services and operating rights	Customer Contracts acquired under business combination	Computer Software \$	Power Distribution Rights @	₹ crore Total
Cost					
Balance as at April 1, 2022	5.61	1,383.12	609.27	113.68	2,111.68
Reclassified to Other Non-current Financial Assets	Nil	Nil	Nil	(1.06)	(1.06)
Additions	1.13	Nil	135.09	16.27	152.49
Disposal	Nil	Nil	(64.61)	(0.03)	(64.64)
Balance as at March 31, 2023	6.74	1,383.12	679.75	128.86	2,198.47
Accumulated amortisation and impairment					
Balance as at April 1, 2022	5.34	344.18	380.71	15.27	745.50
Amortisation expense	0.53	62.42	65.08	6.98	135.01
Disposal	Nil	Nil	(63.36)	(0.02)	(63.38)
Balance as at March 31, 2023	5.87	406.60	382.43	22.23	817.13
Net carrying amount					
As at March 31, 2023	0.87	976.52	297.32	106.63	1,381.34

Description	Copyrights, patents, other intellectual property rights, services and operating rights	Customer Contracts acquired under business combination	Computer Software \$	Power Distribution Rights @	₹ crore Total
Cost					
Balance as at April 1, 2021	4.97	1,386.14	486.83	95.49	1,973.43
Reclassified to Other Non-current Financial Assets	Nil	Nil	Nil	(0.61)	(0.61)
Additions	0.64	Nil	133.74	18.86	153.24
Disposal	Nil	(3.02)	(11.30)	(0.06)	(14.38)
Balance as at March 31, 2022	5.61	1,383.12	609.27	113.68	2,111.68
Accumulated amortisation and impairment					
Balance as at April 1, 2021	4.59	286.16	327.44	9.39	627.58
Amortisation expense	0.75	61.04	53.69	5.92	121.40
Disposal	Nil	(3.02)	(0.42)	(0.04)	(3.48)
Balance as at March 31, 2022	5.34	344.18	380.71	15.27	745.50
Net carrying amount					
As at March 31, 2022	0.27	1,038.94	228.56	98.41	1,366.18

Notes:

\$ Other than internally generated Intangible Assets.

@ Power Distribution Rights relate to the value of construction service obligation for construction and upgradation of the power supply infrastructure in Ajmer city as per the agreement with Ajmer Vidyut Vitaran Nigam Ltd.

Notes to the Consolidated Financial Statements

7b. Other Intangible Assets (Contd.)

Depreciation and Amortisation Expenses

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Depreciation on Tangible Assets	3,106.96	2,821.50
Depreciation on Right of Use Assets	200.94	184.67
Amortisation on Intangible Assets	135.01	121.40
Depreciation/Amortisation Capitalised	(3.71)	(5.37)
Total	3,439.20	3,122.20

8a. Investments accounted for using the Equity Method

	As at March 31, 2023	As at March 31, 2022	Face Value (in ₹ unless stated otherwise)	As at March 31, 2023	As at March 31, 2022
	Quantity	Quantity		₹ crore	₹ crore
I Investment in Associates					
(a) Investment in Equity Shares fully Paid-up					
Unquoted					
Brihat Trading Pvt. Ltd.	3,350	3,350	10	0.01	0.01
The Associated Building Co. Ltd.	1,825	1,825	900	6.79	5.32
Yashmun Engineers Ltd.	19,200	19,200	100	3.51	3.51
Dagachhu Hydro Power Corporation Ltd.	10,74,320	10,74,320	Nu 1,000	104.59	104.35
Tata Projects Ltd. (Refer Note 5 below)	7,92,78,886	7,92,78,886	100	640.45	974.74
			A	755.35	1,087.93
II Investment in Joint Ventures					
(a) Investment in Equity Shares fully Paid-up					
Unquoted					
PT Kaltim Prima Coal	1,23,540	1,23,540	USD 100	5,887.31	4,702.74
Indocoal Resources (Cayman) Ltd.	300	300	USD 1	3,574.72	3,313.13
PT Indocoal Kaltim Resources	82,380	82,380	IDR 10,000	0.26	0.23
PT Nusa Tambang Pratama	18,000	18,000	IDR 10,000	670.58	696.86
Candice Investments Pte. Ltd.	3	3	SGD 1	38.72	32.86
PT Marvel Capital Indonesia	1,07,459	1,07,459	IDR 10,000	Nil*	Nil*
PT Dwikarya Prima Abadi	10,769	10,769	IDR 1,00,000	55.10	50.70
PT Kalimantan Prima Power	7,500	7,500	USD 100	228.25	220.51
Indocoal KPC Resources (Cayman) Ltd.	300	300	USD 1	0.84	0.83
Khoromkheti Netherlands BV [Refer Note 8.b.(iii)]	Nil	500	Euro 1	Nil	Nil
Resurgent Power Ventures Pte. Ltd. [Refer Note 8.b.(ii)]	8,69,957	4,66,205	USD 1	907.28	499.47
Powerlinks Transmission Ltd. (Refer Note 4 below)	23,86,80,000	23,86,80,000	10	493.48	497.42
Industrial Energy Ltd. (Refer Note 4 below)	49,28,40,000	49,28,40,000	10	802.00	716.07
Dugar Hydro Power Ltd.	4,32,50,002	4,32,50,002	10	32.29	31.86
Tubed Coal Mines Ltd.	1,01,97,800	1,01,97,800	10	Nil	Nil
Mandakini Coal Company Ltd. (Refer Note 4 below)	3,93,00,000	3,93,00,000	10	Nil	Nil
				12,690.83	10,762.68

Notes to the Consolidated Financial Statements

8a. Investments accounted for using the Equity Method (Contd.)

	As at March 31, 2023 Quantity	As at March 31, 2022 Quantity	Face Value (in ₹ unless stated otherwise)	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Quoted					
PT Baramulti Sukessarana Tbk.	68,02,90,000	68,02,90,000	IDR 100	1,649.14	1,540.83
				14,339.97	12,303.51
Less: Impairment in the value of Investments [Refer Note 8b(i)]					
PT Kaltim Prima Coal				575.50	531.03
PT Baramulti Sukessarana Tbk.				300.94	280.41
				876.44	811.44
			B	13,463.53	11,492.07
Total			A+B	14,218.88	12,580.00

Notes:

* Denotes figure below ₹ 50,000

- | | | | |
|----|--|-----------|-----------|
| 1. | Aggregate Market Value of Quoted Investments | 1,469.10 | 1,352.08 |
| 2. | Aggregate Carrying Value of Quoted Investments (Net of Impairment) | 1,348.20 | 1,260.42 |
| 3. | Aggregate Carrying Value of Unquoted Investments (Net of Impairment) | 12,870.68 | 11,319.58 |
| 4. | Shares pledged : | | |

The Group has pledged shares of joint ventures with the lenders for borrowings availed by the respective joint ventures.

Details	Category	As at March 31, 2023 Nos.	As at March 31, 2022 Nos.
Itezhi Tezhi Power Corporation \$	Joint Venture	4,52,500	4,52,500
Mandakini Coal Company Ltd.	Joint Venture	2,00,43,000	2,00,43,000
Powerlinks Transmission Ltd.	Joint Venture	23,86,80,000	23,86,80,000
Industrial Energy Ltd.	Joint Venture	Nil	25,13,48,400

\$ Classified as Assets Held for Sale (Refer note 19a)

5. During the previous year ended March 31, 2022, the Holding Company has subscribed to the right issue of equity shares offered by Tata Projects Limited amounting to ₹ 573.27 crore

III Details of Material Associates

Details of each of the Group's Material Associates at the end of the reporting period are as follows:

Sr. No.	Name of Associate	Principal Activity	Country of Incorporation and Principal Place of Business	Proportion of Ownership Interest / Voting Rights held by the Group	
				As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
A	Tata Projects Ltd.	EPC Contracts	India	47.78%	47.78%
B	Dagachhu Hydro Power Corporation Ltd.	Hydro Power Generation Company	Bhutan	26.00%	26.00%

Notes to the Consolidated Financial Statements

8a. Investments accounted for using the Equity Method (Contd.)

Summarised Financial Information of Material Associates:

A Tata Projects Ltd.

Summarised Balance Sheet:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	1,840.68	1,533.88
Current Assets	18,711.94	16,636.23
Non-current Liabilities	(1,223.76)	(1,237.33)
Current Liabilities	(16,524.17)	(14,905.60)
Net Assets- Gross	2,804.69	2,027.18
Less: Non-controlling interest	5.07	8.92
Less : Share Application money pending for allotment	1,500.00	Nil
Less: Equity Component in Non Convertible Debenture and Other Adjustments	7.97	26.97
Net Assets- Net	1,291.65	1,991.29

Summarised Statement of Profit and Loss:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue	16,947.62	13,679.37
Profit/(Loss) for the year	(852.19)	(619.93)
Other Comprehensive Income/(Expenses) for the year	(6.27)	14.50
Total Comprehensive Income/(Expenses) for the year	(858.46)	(605.43)

Reconciliation of the above summarised financial information to the carrying amount of the interest in Tata Projects Ltd. recognised in the Consolidated Financial Statements:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Net Assets of Tata Projects Ltd.	1,291.65	1,991.29
Proportion of the Group's ownership interest in Tata Projects Ltd.	47.78%	47.78%
	617.15	951.44
Goodwill	23.30	23.30
Carrying amount of the Group's interest in Tata Projects Ltd.	640.45	974.74

B Dagachhu Hydro Power Corporation Ltd.

Summarised Balance Sheet:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	934.40	969.36
Current Assets	41.25	118.94
Non-current Liabilities	(494.42)	(605.96)
Current Liabilities	(78.99)	(80.99)
Net Assets	402.24	401.35

Notes to the Consolidated Financial Statements

8a. Investments accounted for using the Equity Method (Contd.)

Summarised Statement of Profit and Loss:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue	158.67	183.62
Profit/(Loss) for the year	7.18	34.17
Other Comprehensive Income/(Expenses) for the year	0.09	(0.01)
Total Comprehensive Income/(Expenses) for the year	7.27	34.16
Dividend receivable by the Group during the year	1.65	1.78

Reconciliation of the above summarised financial information to the carrying amount of the interest in Dagachhu Hydro Power Corporation Ltd. recognised in the Consolidated Financial Statements:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Net Assets of Dagachhu Hydro Power Corporation Ltd.	402.24	401.35
Proportion of the Group's ownership interest in Dagachhu Hydro Power Corporation Ltd.	26.00%	26.00%
Carrying amount of the Group's interest in Dagachhu Hydro Power Corporation Ltd.	104.59	104.35

IV Details of individually not Material Associates

Name of Associate	Principal Activity	Country of Incorporation and Principal Place of Business	Proportion of Ownership Interest / Voting Rights held by the Group	
			As at March 31, 2023	As at March 31, 2022
			₹ crore	₹ crore
Yashmun Engineers Ltd.	Billing and other related Services	India	27.27%	27.27%
Brihat Trading Private Ltd.	Trading Business	India	33.21%	33.21%
The Associated Building Co. Ltd.	Services Provided for Building	India	33.14%	33.14%

Aggregate Summarised Financial Information of Associates that are not individually material

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
The Group's share of Profit/(Loss) from Continuing Operations	1.47	0.88
The Group's share of Other Comprehensive Income/(Expenses)	Nil	0.02
The Group's share of Total Comprehensive Income/(Expenses)	1.47	0.90

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Aggregate carrying amount of the Group's interests in these Associates	10.31	8.84

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Unrecognised share of loss of an Associates	Nil	Nil

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Cumulative share of loss of an Associates	Nil	Nil

Notes to the Consolidated Financial Statements

8a. Investments accounted for using the Equity Method (Contd.)

V Details and Financial Information of Material Joint Ventures at the end of the reporting period is as follows:

Sr. No.	Name of Joint Venture	Principal Activity	Country of Incorporation and Principal Place of Business	Proportion of Ownership Interest and Voting Rights held by the Group	
				As at March 31, 2023	As at March 31, 2022
				₹ crore	₹ crore
A	PT Kaltim Prima Coal	Coal mining and exploration	Indonesia	30.00%	30.00%
B	Indocoal Resources (Cayman) Ltd. #	Coal Trading	Cayman Island	30.00%	30.00%
C	PT Nusa Tambang Pratama	Infrastructure Support for Coal Business	Indonesia	30.00%	30.00%
D	PT Baramulti Suksesarana TBK	Coal mining and trading	Indonesia	26.00%	26.00%
E	Industrial Energy Ltd.	Power generation and operation of power plant	India	74.00%	74.00%
F	Resurgent Power Ventures Pte Ltd.	Investments and Services	Singapore	26.00%	26.00%
G	Powerlinks Transmission Ltd.	Power Transmission	India	51.00%	51.00%

Based on unaudited financial information, certified by its Management for the year ended March 31, 2023.

A PT Kaltim Prima Coal

Summarised Balance Sheet:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	3,918.19	1,855.91
Current Assets	12,506.61	7,490.07
Non-current Liabilities	(3,783.88)	(2,541.56)
Current Liabilities	(7,860.88)	(4,818.43)
Net Assets	4,780.04	1,985.99
The above amounts of assets and liabilities include the following:		
Cash and Cash Equivalents	852.89	928.70
Current Financial Liabilities (excluding trade payables and provisions)	(1,741.84)	(1,459.06)
Non-current Financial Liabilities (excluding trade payables and provisions)	(1,889.26)	(931.62)

Summarised Statement of Profit and Loss:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue	55,136.18	34,205.54
Profit/(Loss) for the year	9,163.57	4,615.00
Other Comprehensive Income/(Expense) for the year	(42.11)	(58.39)
Total Comprehensive Income/(Expenses) for the year	9,121.46	4,556.61
Dividend received by the Group during the year	1,966.55	1,222.47
The above profit/(loss) for the year include the following:		
Depreciation and Amortisation	468.75	2,425.39
Interest Income	216.83	49.19
Interest Expense	85.77	51.07
Income-tax Expense	3,075.19	3,232.50

Notes to the Consolidated Financial Statements

8a. Investments accounted for using the Equity Method (Contd.)

Reconciliation of the above summarised financial information to the carrying amount of the interest in PT Kaltim Prima Coal recognised in the Consolidated Financial Statements:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Net Assets of PT Kaltim Prima Coal	4,780.04	1,985.99
Proportion of the Group's ownership interest in PT Kaltim Prima Coal	30.00%	30.00%
	1,434.01	595.80
Goodwill	4,453.30	4,106.94
Carrying amount of the Group's interest in PT Kaltim Prima Coal	5,887.31	4,702.74
Impairment of Goodwill	(575.50)	(531.03)
Carrying amount of the Group's interest in PT Kaltim Prima Coal (net of impairment)	5,311.81	4,171.71

B Indocoal Resources (Cayman) Ltd.

Summarised Balance Sheet:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	351.13	314.48
Current Assets	1,158.65	1,195.12
Non-current Liabilities	Nil	Nil
Current Liabilities	(525.05)	(546.08)
Net Assets	984.73	963.52
The above amounts of assets and liabilities include the following:		
Current Financial Liabilities (excluding trade payables and provisions)	(511.40)	(1,151.55)

Summarised Statement of Profit and Loss:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue	Nil	Nil
Profit/(Loss) for the year	25.51	13.25
Other Comprehensive Income/(Expense) for the year	Nil	Nil
Total Comprehensive Income/(Expenses) for the year	25.51	13.25
Dividend received by the Group during the year	25.29	Nil
The above profit/(loss) for the year include the following:		
Interest Income	26.36	13.37

Notes to the Consolidated Financial Statements

8a. Investments accounted for using the Equity Method (Contd.)

Reconciliation of the above summarised financial information to the carrying amount of the interest in Indocoal Resources (Cayman) Ltd. recognised in the Consolidated Financial Statements:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Net Assets of Indocoal Resources (Cayman) Ltd.	984.73	963.52
Proportion of the Group's ownership interest in Indocoal Resources (Cayman) Ltd.	30.00%	30.00%
	295.42	289.06
Goodwill	3,279.30	3,024.07
Carrying amount of the Group's interest in Indocoal Resources (Cayman) Ltd.	3,574.72	3,313.13

C PT Nusa Tambang Pratama

Summarised Balance Sheet:	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	2,052.87	1,839.67
Current Assets	1,104.41	1,358.11
Non-current Liabilities	(111.51)	(134.57)
Current Liabilities	(810.51)	(740.33)
Net Assets	2,235.26	2,322.88
The above amounts of assets and liabilities include the following:		
Cash and Cash Equivalents	60.69	56.29
Current Financial Liabilities (excluding trade payables and provisions)	(404.35)	(372.88)
Summarised Statement of Profit and Loss:	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue	620.35	814.86
Profit/(Loss) for the year	242.30	466.03
Other Comprehensive Income/(Expenses) for the year	(0.15)	Nil
Total Comprehensive Income/(Expenses) for the year	242.15	466.03
Dividend received by the Group during the year	Nil	Nil
The above profit/(loss) for the year include the following:		
Depreciation and Amortisation	146.24	148.21
Interest Income	15.49	15.29
Interest Expense	38.83	36.00
Income-tax Expense	54.73	147.08

Notes to the Consolidated Financial Statements

8a. Investments accounted for using the Equity Method (Contd.)

Reconciliation of the above summarised financial information to the carrying amount of the interest in PT Nusa Tambang Pratama recognised in the Consolidated Financial Statements:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Net Assets of PT Nusa Tambang Pratama	2,235.26	2,322.88
Proportion of the Group's ownership interest in PT Nusa Tambang Pratama	30.00%	30.00%
Carrying amount of the Group's interest in PT Nusa Tambang Pratama	670.58	696.86

D PT Baramulti Suksessarana TBK

Summarised Balance Sheet:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	1,606.11	1,347.00
Current Assets	2,258.24	1,703.17
Non-current Liabilities	(108.43)	(92.26)
Current Liabilities	(1,560.64)	(856.42)
Net Assets	2,195.28	2,101.49
The above amounts of assets and liabilities include the following:		
Cash and Cash Equivalents	998.62	784.35
Current Financial Liabilities (excluding trade payables and provisions)	(23.81)	(38.70)
Non-current Financial Liabilities (excluding trade payables and provisions)	(39.46)	(37.03)

Summarised Statement of Profit and Loss:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue	9,513.88	5,413.34
Profit/(Loss) for the year	2,105.01	1,642.16
Other Comprehensive Income/(Expense) for the year	(0.36)	(1.09)
Total Comprehensive Income/(Expenses) for the year	2,104.65	1,641.07
Dividend received by the Group during the year	568.46	277.03
The above profit for the year include the following:		
Depreciation and amortisation	233.68	161.89
Interest Income	10.33	4.35
Interest Expense	3.46	5.20
Income-tax Expense	609.47	474.02

Notes to the Consolidated Financial Statements

8a. Investments accounted for using the Equity Method (Contd.)

Reconciliation of the above summarised financial information to the carrying amount of the interest in PT Baramulti Suksessarana TBK recognised in the Consolidated Financial Statements:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Net Assets of PT Baramulti Suksessarana TBK	2,195.28	2,101.49
Proportion of the Group's ownership interest in PT Baramulti Suksessarana TBK	26.00%	26.00%
	570.77	546.39
Goodwill	1,078.37	994.44
Carrying amount of the Group's interest in PT Baramulti Suksessarana TBK	1,649.14	1,540.83
Impairment of Goodwill	(300.94)	(280.41)
Carrying amount of the Group's interest in PT Baramulti Suksessarana TBK (net of impairment)	1,348.20	1,260.42

E Industrial Energy Ltd.

Summarised Balance Sheet:	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	1,735.23	1,745.30
Current Assets	301.59	245.70
Non-current Liabilities	(662.77)	(692.41)
Current Liabilities	(290.25)	(330.92)
Net Assets	1,083.80	967.67
The above amounts of assets and liabilities include the following:		
Cash and Cash Equivalents	23.49	4.45
Current Financial Liabilities (excluding trade payables and provisions)	(253.91)	(290.44)
Non-current Financial Liabilities (excluding trade payables and provisions)	(415.58)	(465.13)
Summarised Statement of Profit and Loss:	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue	338.60	300.30
Profit/(Loss) for the year	115.90	121.10
Other Comprehensive Income/(Expense) for the year	0.23	(0.33)
Total Comprehensive Income/(Expenses) for the year	116.13	120.77
Dividend received by the Group during the year	Nil	73.93
The above profit/(loss) for the year include the following:		
Depreciation and Amortisation	Nil	Nil
Interest Income	1.00	0.65
Interest Expense	40.28	42.04
Income-tax Expense	49.34	32.42

Notes to the Consolidated Financial Statements

8a. Investments accounted for using the Equity Method (Contd.)

Reconciliation of the above summarised financial information to the carrying amount of the interest in Industrial Energy Ltd. recognised in the Consolidated Financial Statements:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Net Assets of Industrial Energy Ltd.	1,083.80	967.67
Proportion of the Group's ownership interest in Industrial Energy Ltd.	74.00%	74.00%
Carrying amount of the Group's interest in Industrial Energy Ltd.	802.00	716.07

F Resurgent Power Ventures Pte Ltd. (Consolidated)

Summarised Balance Sheet:	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	10,085.51	6,363.92
Current Assets	2,020.65	2,281.36
Non-current Liabilities	(7,576.70)	(5,665.54)
Current Liabilities	(787.38)	(894.31)
Non -Controlling Interests	(252.52)	(164.35)
Net Assets	3,489.56	1,921.08
The above amounts of assets and liabilities include the following:		
Cash and Cash Equivalents	213.29	182.52
Current Financial Liabilities (excluding trade payables and provisions)	(179.42)	(172.05)
Non-current Financial Liabilities (excluding trade payables and provisions)	(6,233.06)	(4,475.07)
Summarised Statement of Profit and Loss:	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue	4,930.49	3,932.40
Profit/(Loss) for the year	412.56	466.86
Other Comprehensive Income/(Expense) for the year	(0.63)	(1.61)
Total Comprehensive Income/(Expenses) for the year	411.93	465.25
Dividend received by the Group during the year	22.99	Nil
The above profit/(loss) for the year include the following:		
Depreciation and Amortisation	197.02	182.63
Interest Income	44.12	194.53
Interest Expense	611.93	468.96
Income-tax Expense	33.79	37.31

Notes to the Consolidated Financial Statements

8a. Investments accounted for using the Equity Method (Contd.)

Reconciliation of the above summarised financial information to the carrying amount of the interest in Resurgent Power Ventures Pte Ltd (Consolidated), recognised in the Consolidated Financial Statements:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Resurgent Power Ventures Pte Ltd. (Consolidated)	3,489.56	1,921.08
Proportion of the Group's ownership interest in Resurgent Power Ventures Pte Ltd (Consolidated)	26.00%	26.00%
Carrying amount of the Group's interest in Resurgent Power Ventures Pte Ltd (Consolidated)	907.28	499.47

G Powerlinks Transmission Ltd

Summarised Balance Sheet:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	833.08	853.07
Current Assets	169.72	155.46
Non-current Liabilities	(9.32)	(8.95)
Current Liabilities	(25.85)	(24.21)
Net Assets	967.63	975.37
The above amounts of assets and liabilities include the following:		
Cash and Cash Equivalents	0.27	3.80
Current Financial Liabilities (excluding trade payables and provisions)	(6.61)	(6.19)
Non-current Financial Liabilities (excluding trade payables and provisions)	(7.47)	(7.14)

Summarised Statement of Profit and Loss:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue	128.61	138.70
Profit/(Loss) for the year	81.08	91.39
Other Comprehensive Income/(Expense) for the year	0.11	0.38
Total Comprehensive Income/(Expenses) for the year	81.19	91.77
Dividend received by the Group during the year	45.35	38.19
The above profit/(loss) for the year include the following:		
Depreciation and Amortisation	0.68	0.68
Interest Income	4.28	1.47
Interest Expense	0.77	0.81
Income-tax Expense	36.31	34.88

Notes to the Consolidated Financial Statements

8a. Investments accounted for using the Equity Method (Contd.)

Reconciliation of the above summarised financial information to the carrying amount of the interest in Powerlinks Transmission Ltd. recognised in the Consolidated Financial Statements:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Net Assets of Powerlinks Transmission Ltd	967.63	975.37
Proportion of the Group's ownership interest in Powerlinks Transmission Ltd	51.00%	51.00%
Carrying amount of the Group's interest in Powerlinks Transmission Ltd	493.48	497.43

VI Details and Financial Information of Individually not Material Joint Ventures at the end of the reporting period is as follows:

Name of Joint Venture	Principal Activity	Country of Incorporation and Principal Place of Business	Proportion of Ownership Interest and Voting Rights held by the Group	
			As at March 31, 2023	As at March 31, 2022
PT Indocoal Kaltim Resources #	Infrastructure Support for Coal Business	Indonesia	30.00%	30.00%
Candice Investments Pte. Ltd. #	Investments	Singapore	30.00%	30.00%
PT Marvel Capital Indonesia #	Infrastructure Support for Coal Business	Indonesia	30.00%	30.00%
PT Dwikarya Prima Abadi #	Infrastructure Support for Coal Business	Indonesia	30.00%	30.00%
PT Kalimantan Prima Power	Electricity Support Services	Indonesia	30.00%	30.00%
Indocoal KPC Resources (Cayman) Ltd. #	Coal Trading	Cayman Island	30.00%	30.00%
Adjaristsqali Netherlands BV*	Hydro power generation	Netherlands	50.00%	50.00%
Dugar Hydro Power Ltd.	Hydro power generation	India	50.00%	50.00%
Tubed Coal Mines Ltd. #	Coal mining and trading	India	40.00%	40.00%
Mandakini Coal Company Ltd. #	Coal mining and trading	India	33.33%	33.33%

Based on unaudited financial information, certified by its Management for the year ended March 31, 2023.

* Classified as Assets Held For sale (Refer Note 19a)

Aggregate Summarised Financial Information of Joint Ventures that are not individually material

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
The Group's share of profit/(loss) from continuing operations	(7.79)	16.42
The Group's share of Other Comprehensive Income/(Expenses)	Nil	Nil
The Group's share of Total Comprehensive Income/(Expenses)	(7.79)	16.42
	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Aggregate carrying amount of the Group's interests in these Joint Ventures	355.46	336.99
Impairment of Investments	Nil	Nil
Carrying amount of the Group's interest in these Joint Ventures	355.46	336.99
	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
The unrecognised share of profit of Joint Ventures for the year	*	*

Note:

* Denotes figures below ₹ 50,000/-.

Notes to the Consolidated Financial Statements

8b. Investments accounted for using the Equity Method

- (i) The Group had in accordance with Ind AS 36 – “Impairment of Assets”, carried out impairment assessment of its Mundra Ultra Mega Power Project (UMPP), along with investments in Indonesian mining companies PT Kaltim Prima Coal (KPC) and PT Baramulti Suksessarana TBK (BSSR). All these investments in Companies and assets of UMPP constitute a single cash generating unit (Mundra CGU) and form part of same segment due to inter-dependency of cash flows.

The Group has performed the impairment reassessment and determined the value in use based on estimated cash flow projections over the life of the assets included in CGU. The Group bases its impairment calculation on detailed budgets and forecast calculations, which are prepared separately for each of the Group's CGUs to which the individual assets are allocated.

For Mundra power plant, future cash flows is estimated based on remaining period of long term power purchase agreement (PPA) and thereafter based on management's estimate on tariff and other assumptions. Further, as discussed in note - 32(i), Group is in advance stage of discussion on supplementary Power Purchase Agreement (SPPA) which is likely to be executed and accordingly the same has been considered in estimating the future cashflows. Cash flow projection of mines are derived based on estimated coal production considering renewed license for operating the Mines. The License for operating mines are renewed for 10 years with an option of renewal of further period of 10 years with Government of Indonesia. In the past, the Group has recognised net impairment of ₹ 1,122.38 crore against carrying value of Mundra CGU which consists of impairment of investments of ₹ 811.44 crore, property, plant and equipment ₹ 308.18 crore and impairment of intangible assets ₹ 2.76 crore.

During the year, the Group has performed the impairment reassessment and determined the value in use based on estimated cash flow projections over the life of the assets included in Mundra CGU. A reassessment of the assumptions used in estimating the impact of impairment, combined with the significant impact of unwinding of a year's discount on the cash flows, would result in a reversal of ₹ 1,122.38 crore of provision for impairment. The Group believes that the reversal of impairment has not resulted from any significant improvement in the estimated service potential of the concerned CGU and hence the Group has not effected the reversal of impairment.

Key assumptions used for value in use calculation include coal prices, energy prices post the PPA period, signing of SPPA, discount rates and exchange rates. Short term coal prices and energy prices used in three to five years projections are based on market survey and expert analysis report. Afterwards increase in cost of coal and exchange rates are considered based on long term historical trend. Further, the management strongly believes that mining licenses will be renewed after post expiry for a further period of 10 years by Government of Indonesia. Discount rate represents the current market assessment of the risk specific to CGU taking into consideration the time value of money. Pre-tax discount rate used in the calculation of value in use of investment in power plant is 9.60% p.a. (March 31, 2022: 9.45% p.a.) and investment in coal mines and related infrastructure companies is 12.69% p.a. (March 31, 2022: 13.44% p.a.).

- (ii) During the year ended March 31, 2023, Resurgent Power Ventures Pte Limited ('Resurgent'), a joint venture of the Group has acquired 100% stake in NRSS XXXVI Transmission Limited (NRSS) and South East UP Power Transmission Company Limited ("SEUPPTCL") which is located in the state of Uttar Pradesh. The acquisitions entailed payment for one-time settlement of outstanding debt and purchase of equity shares for a total consideration of ₹ 127.00 crore and ₹ 3,251.00 crore in NRSS and SEUPPTCL respectively. These acquisitions have been recognised by Resurgent based on fair values that has been determined on provisional basis in accordance with Ind AS 103 - 'Business Combination'.
- (iii) Koromkheti Netherland B.V, a joint venture of the Group was liquidated on November 10, 2022 and accordingly the necessary adjustments have been considered in the Consolidated Financial Statement. There is no significant impact of the same on the Consolidated Financial Statements.

Notes to the Consolidated Financial Statements

8c. Other Investments

	As at March 31, 2023	As at March 31, 2022	Face Value (in ₹ unless stated otherwise)	As at March 31, 2023	As at March 31, 2022
	Quantity	Quantity		₹ crore	₹ crore
I Investments designated at FVTOCI					
(a) Investment in Equity Shares fully Paid-up					
Quoted					
Voltas Ltd.	2,33,420	2,33,420	1	19.10	29.07
Tata Consultancy Services Ltd.	766	766	1	0.25	0.29
Tata Teleservices (Maharashtra) Ltd. (Refer Note 4 below)	12,67,20,193	12,67,20,193	10	447.96	447.96
Bharti Airtel Ltd	62,919	62,919	10	4.71	4.75
Tata Motors Ltd.	3,57,159	3,57,159	10	15.03	15.49
Tata Motors Ltd. - Differential Voting Rights	51,022	51,022	10	1.07	1.05
Tata Investment Corporation Ltd.	7,94,416	7,94,416	2	138.56	107.76
				626.68	606.37
(b) Investment in Equity Shares fully Paid-up					
Unquoted					
Tata Services Ltd.	1,664	1,664	1,000	Nil	Nil
Tata Industries Ltd. *	68,28,669	68,28,669	100	115.47	115.47
Tata Sons Pvt. Ltd. *	6,673	6,673	1,000	194.70	194.70
Haldia Petrochemicals Ltd.	2,24,99,999	2,24,99,999	10	56.48	56.48
Tata International Ltd.	36,000	36,000	1,000	165.60	58.44
Taj Air Ltd.	79,00,760	79,00,760	10	Nil	Nil
Tata Capital Ltd.	23,33,070	23,33,070	10	12.04	12.04
Others				0.59	1.89
				544.88	439.02
Sub-total I (a) + I (b)				1,171.56	1,045.39
II Investments carried at FVTPL					
(a) Investment in Equity Shares fully Paid-up					
Unquoted					
Power Exchange India Limited	25,00,000	25,00,000	10	2.50	2.50
Sunengy Pte. Ltd.	3,04,838	3,04,838	AUD 2.10	5.23	4.82
Technopolis Knowledge Park Ltd.	18,10,000	18,10,000	10	1.81	1.81
Zoroastrian Co-operative Bank Ltd.	6,000	6,000	25	0.16	0.16
Less - Impairment of Investment Power Exchange India Limited				1.11	2.50
Sunengy Pte. Ltd.				5.23	4.82
Technopolis Knowledge Park Ltd.				1.81	1.81
Sub-total				1.55	0.16
III Investments carried at Amortised Cost					
(a) Statutory Investments					
Contingencies Reserve Fund					
Investments					
Government Securities (Unquoted) fully paid-up				128.10	124.26
Sub-total				128.10	124.26
Total				1,301.21	1,169.81

*The cost of these investments approximate their fair value because there is a wide range of possible fair value measurements and the cost represents the best estimate of fair value within that range.

Notes to the Consolidated Financial Statements

8c. Other Investments (Contd.)

Notes:

1. Aggregate Market Value of Quoted Investments	881.17	2,270.84
2. Aggregate Carrying Value of Quoted Investments (Refer Note 4 below)	626.68	606.37
3. Aggregate Carrying Value of Unquoted Investments	674.53	563.44
4. The Group holds 12.67 crore shares of Tata Teleservices (Maharashtra) Limited ("TTML") designated as fair value through OCI which is carried out at each balance sheet date basis the quoted price. Quoted price of TTML has witnessed significant fluctuation and management believes that the quoted price may not represent the fair value of TTML shares since it has accumulated losses and negative net worth. Accordingly on a conservative basis, the management has not recognised any fair value gain in OCI after September 30, 2021.		

9. Trade Receivables - At Amortised Cost

(Unsecured unless otherwise stated)

	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Non-current		
Considered Good	359.63	685.78
Credit Impaired	0.22	1.81
	359.85	687.59
Less: Allowance for Doubtful Trade Receivables	0.22	1.81
Total	359.63	685.78
Current		
Considered Good - Secured (Refer Note 1 below)	534.41	556.38
Considered Good - (Refer Note 2 below)	6,009.28	4,503.82
Significant Increase in Credit Risk	1,073.98	1,197.08
Credit Impaired	350.33	296.02
	7,968.00	6,553.30
Less: Allowance for Doubtful Trade Receivables	1,015.85	573.56
Total	6,952.15	5,979.74

Note:

- The Group holds security deposits and Letter of Credit of ₹ 534.41 crore (March 31, 2022 - ₹ 556.38 crore).
- The carrying amount of trade receivable does not include receivables of ₹ 1,682.73 crore (March 31, 2022: ₹ 1,150.64 crore) which are subject to a factoring arrangement. Under this arrangement, the Group has transferred the relevant receivables to the factor in exchange for cash on non recourse basis. The Group, therefore, has derecognised the said receivables under the said arrangement. Amount received from such customers not transferred to factoring agent is disclosed as financial liability (Refer Note 27).

9.1 Trade Receivables

The Group has used a practical expedient for computing the Expected Credit Loss ('ECL') allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience of Holding Company and respective subsidiaries and adjusted for forward looking information. The ECL allowance is based on the ageing of the receivables and has been calculated and applied at the respective entity level of the Group.

In case of Odisha Discoms, the management believes that collection data related to pre-acquisition period is not relevant to assess ECL allowance on receivables in the post-acquisition period. In absence of availability of adequate and relevant data related to payment behaviours, the Group has recognised Expected Credit Loss (ECL) allowance on trade receivables using its best estimate

Notes to the Consolidated Financial Statements

9. Trade Receivables (Contd.)

considering among other aspects factors such as segregation between government and non-government consumers, security deposit available, outcome of the Company's effort to reach consumers, their most recent payment behaviour as well as the fact that electricity is an essential commodity and regulations will require consumers to clear old dues to get continuous supply of electricity.

Post-acquisition of Odisha Discoms, the Group's endeavour has been to reduce AT&C losses, reducing provisional billing and improving collection through better reach to consumers. In the process, the Group has faced several challenges including Covid waves, Cyclones and delays in appointment/ working of metering, billing and collection (MBC) agencies for reasons beyond control of the Group. The Group has successfully dealt with these challenges. It has reduced provisional billing and also collected significant amount towards pre-acquisition receivables on behalf of the erstwhile Odisha Discom utilities. The management is confident it will be able to collect most of the outstanding receivables as it increases its reach to the consumers and also considering that electricity is an essential commodity for all consumers. Accordingly, the management believes the above ECL allowance reflects best estimate and is appropriate as per Ind AS 109 – Financial Instruments".

Trade Receivables Ageing schedule as at March 31, 2023

Particulars	₹ crore						Total
	Not due	Outstanding for following periods from due date of payment #					
		Less than 6 Months	6 Months - 1 Year	1-2 Year	2-3 Year	More than 3 Years	
Non - Current							
(i) Undisputed Trade Receivables							
a) Considered good	Nil	Nil	Nil	22.79	Nil	Nil	22.79
b) Significant increase in credit risk	Nil	Nil	Nil	Nil	Nil	Nil	Nil
c) Credit Impaired	Nil	Nil	Nil	Nil	0.22	Nil	0.22
(ii) Disputed Trade Receivables							
a) Considered good	1.61	6.02	59.19	249.44	6.50	14.08	336.84
b) Significant increase in credit risk	Nil	Nil	Nil	Nil	Nil	Nil	Nil
c) Credit Impaired	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Total	1.61	6.02	59.19	272.23	6.72	14.08	359.85
Current							
(i) Undisputed Trade Receivables							
a) Considered good	2,485.47	1,820.03	828.45	397.39	260.45	63.93	5,855.72
b) Significant increase in credit risk	3.69	142.17	237.51	463.83	219.84	1.99	1,069.03
c) Credit Impaired	2.80	4.29	7.97	13.47	11.90	86.84	127.27
(ii) Disputed Trade Receivables							
a) Considered good	Nil	554.80	42.56	12.98	Nil	77.63	687.97
b) Significant increase in credit risk	0.35	0.53	0.86	2.35	0.86	Nil	4.95
c) Credit Impaired	Nil	5.27	3.96	6.53	7.36	199.94	223.06
Total	2,492.31	2,527.09	1,121.31	896.55	500.41	430.33	7,968.00

Where due date of payment is not available date of transaction has been considered

Notes to the Consolidated Financial Statements

9. Trade Receivables (Contd.)

Trade Receivables Ageing schedule as at March 31, 2022

Particulars	Not due	Outstanding for following periods from due date of payment #					₹ crore
		Less than 6 Months	6 Months - 1 Year	1-2 Year	2-3 Year	More than 3 Years	Total
Non - Current							
(i) Undisputed Trade Receivables							
a) Considered good	44.92	197.60	49.30	98.78	102.88	82.53	576.01
b) Significant increase in credit risk	Nil	Nil	Nil	Nil	Nil	Nil	Nil
c) Credit Impaired	1.81	Nil	Nil	Nil	Nil	Nil	1.81
(ii) Disputed Trade Receivables							
a) Considered good	18.93	Nil	2.93	33.20	36.28	18.43	109.77
b) Significant increase in credit risk	Nil	Nil	Nil	Nil	Nil	Nil	Nil
c) Credit Impaired	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Total	65.66	197.60	52.23	131.98	139.16	100.96	687.59
Current							
(i) Undisputed Trade Receivables							
a) Considered good	2,182.10	1,493.10	805.46	194.87	114.45	102.88	4,892.86
b) Significant increase in credit risk	5.51	307.78	309.18	415.88	1.74	3.54	1,043.63
c) Credit Impaired	0.31	0.89	1.87	4.50	11.30	63.46	82.33
(ii) Disputed Trade Receivables							
a) Considered good	46.63	12.94	24.41	11.16	0.02	72.18	167.34
b) Significant increase in credit risk	3.21	94.02	30.42	23.97	0.31	1.52	153.45
c) Credit Impaired	Nil	4.35	2.83	6.31	13.55	186.65	213.69
Total	2,237.76	1,913.08	1,174.17	656.69	141.37	430.23	6,553.30

Where due date of payment is not available date of transaction has been considered

Movement in the allowance for doubtful trade receivables

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Balance at the beginning of the year	575.37	438.83
Add: Expected credit loss provided/(reversed)	440.70	136.54
Balance at the end of the year	1,016.07	575.37

The concentration of credit risk is very limited due to the fact that the large customers are mainly Government entities and remaining customers base is large and widely dispersed and secured with security deposit.

10. Loans - At Amortised Cost

(Unsecured unless otherwise stated)

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current		
(i) Loans to Related Parties (Refer Note 43)		
Considered Good*	Nil	Nil
Credit Impaired	54.50	54.39
	54.50	54.39
Less: Allowances for Doubtful Loans	54.50	54.39
	Nil	Nil
(ii) Other Loans		
Loans to Employees		
Considered Good	2.99	3.45
Total	2.99	3.45

Notes to the Consolidated Financial Statements

10. Loans - At Amortised Cost (Contd.)

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Current		
(i) Loans to Related Parties (Refer Note 43)		
Considered Good*	Nil	Nil
Credit Impaired	1.61	25.85
	1.61	25.85
Less: Allowances for Doubtful Loans	1.61	25.85
	Nil	Nil
(ii) Other Loans		
Loans to Employees (considered good)	11.55	9.34
Credit Impaired	7.50	9.50
	19.05	18.84
Less: Allowances for Doubtful Loans	7.50	9.50
Total	11.55	9.34

* Classified as Held for Sale. (Refer Note 19a)

11. Finance Lease Receivable - At Amortised Cost

(Unsecured unless otherwise stated)

Accounting Policy

Leases are classified as finance lease whenever the terms of the lease transfer substantially all the risks and rewards incidental to ownership to the lessee. All other leases are classified as operating lease. Amount due from lessees under finance leases are recorded as receivables at the Group's net investment in the leases. Finance lease income is allocated to accounting periods so as to reflect a constant periodic rate of return on the net investment outstanding in respect of the lease. The Group recognises lease payments received under operating leases as income on a straight-line basis over the lease term.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Finance Lease Receivable - Non-current	567.22	588.69
Finance Lease Receivable - Current	54.50	46.91
Total	621.72	635.60

11.1 Leasing Arrangements

- The Group has entered into Power Purchase Agreements (PPA) with a customer for its assets located at Jojobera. The PPA relate to 30 years of take or pay agreements with the customer to supply electricity at a fixed plus variable charge. The customer, during the term of the PPAs has a right to purchase the assets and at the end of the contract is obligated to purchase same on the basis of the valuation to be determined as per the PPAs. The Group has recognised an amount of ₹ 75.42 crore (March 31, 2022 ₹ 77.68 crore) as income for finance lease during the year ended March 31, 2023.
- The Group has entered into Power Purchase Agreements (PPA) with various customers for its rooftop solar assets located across various locations. As this arrangement is dependent on the use of a specific asset and conveys a right to use on the customer, it qualifies as a lease. As these are long tenor PPAs spread over a major part of the economic life of the asset, this arrangement has been categorized as a finance lease. The Group has recognised an amount of ₹ 7.96 crore (March 31, 2022 ₹ 3.09 crore) as income for finance lease during the year ended March 31, 2023.
- Electric Vehicle charging facilities
The Group has entered into arrangement with customer for providing Infrastructure facilities and chargers for public transport utilities. The arrangement is for the period of 10 years for providing and maintaining infrastructure facility at a fixed charge. The Group has recognised an amount of ₹ 4.54 crore (March 31, 2022 ₹ 2.13 crore) as income for finance lease during the year ended March 31, 2023.

Notes to the Consolidated Financial Statements

11. Finance Lease Receivable - At Amortised Cost (Contd.)

11.2 Amount receivable under Finance Lease

Particulars	Minimum Lease Payments as at March 31, 2023	Minimum Lease Payments as at March 31, 2022
	₹ crore	₹ crore
Less than a year	130.83	130.74
One to two years	126.12	123.97
Two to three years	124.33	123.00
Three to four years	130.47	121.16
Four to five years	90.93	118.79
Total (A)	602.68	617.66
More than five years (B)	476.00	549.87
Total (A + B)	1,078.68	1,167.53
Less: Unearned finance income	456.96	531.93
Present Value of Minimum Lease Payments Receivable	621.72	635.60

Lessor - Operating Lease

The Group has entered into operating leases for its certain building, plant and machinery and other equipments. These typically have lease terms of between 1 and 10 years. The Group has recognized an amount of ₹ 25.53 crore (March 31, 2022 - ₹ 18.95 crore) as rental income for operating lease during the year ended March 31, 2023.

12. Other Financial Assets - At Amortised Cost

(Unsecured unless otherwise stated)

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-Current		
(i) Security Deposits		
Considered Good	104.85	84.54
Credit Impaired	26.06	30.29
	130.91	114.83
Less: Allowances for Doubtful Security Deposits	26.06	30.29
	104.85	84.54
(ii) Receivables under Service Concession Agreement	191.10	194.02
(iii) Unbilled Revenue	118.69	114.64
(iv) Others		
Unsecured, considered good		
Government Grants Receivables	Nil	6.70
In Deposit Accounts (with maturity more than twelve months)	1,140.19	1,133.73
Other Receivables	171.83	150.90
	1,312.02	1,291.33
Total	1,726.66	1,684.53
Current		
(i) Security Deposits		
Considered Good	34.05	38.32
Credit Impaired	6.16	5.63
	40.21	43.95
Less: Allowances for Doubtful Security Deposits	6.26	5.63
	33.95	38.32

Notes to the Consolidated Financial Statements

12. Other Financial Assets - At Amortised Cost (Contd.)

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
(ii) Interest Accrued		
Unsecured, considered good		
Interest Accrued on Inter-corporate/Bank Deposits	89.39	71.08
Interest Accrued on Investments in Government Securities	0.85	3.51
Interest Accrued on Finance Lease Receivable	5.90	6.29
Interest Accrued on Loans to Related Parties	8.36	8.27
Unsecured, considered doubtful		
Interest Accrued on Inter-corporate/Bank Deposits	1.31	1.40
	105.81	90.55
Less: Provision for Doubtful Interest	1.31	1.40
	104.50	89.15
(iii) Receivables under Service Concession Agreement	4.66	4.43
(iv) Others		
Unsecured, considered good		
Dividend Receivable	1.65	1.78
Derivative Contract (at FVTPL)	115.07	5.06
Receivable on sale of Property, Plant and Equipments	0.78	2.69
Insurance Claims Receivable	0.03	1.55
Government Grants Receivables	16.67	41.70
Recoverable from consumers	27.41	98.68
Other Advances	232.52	216.47
Balances with Banks: (Refer Note below)		
In Deposit Accounts (with remaining maturity of less than twelve months)	151.00	1.62
Unsecured, considered doubtful		
Other Receivables	3.58	3.45
	548.77	373.00
Less: Allowances for Doubtful Receivables	3.58	3.45
	545.19	369.55
Total	688.30	501.45

Note: Balances with Banks held as Margin Money Deposits against Guarantees.

13. Tax Assets

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Tax Assets		
Advance Income-tax (Net)	739.07	520.54
Total	739.07	520.54
Current Tax Assets		
Advance Income-tax (Net)	0.69	0.01
Total	0.69	0.01

Notes to the Consolidated Financial Statements

14. Deferred Tax

Accounting Policy

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the Consolidated Financial Statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from the initial recognition of assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

For operations carried out under tax holiday period (Section 80IA of Income Tax Act, 1961), deferred tax assets or liabilities, if any, have been recorded for the tax consequences of those temporary differences between the carrying values of assets and liabilities and their respective tax bases that reverse after the tax holiday ends.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

Deferred tax related to items recognised outside profit or loss is recognised either in Other Comprehensive Income or in Equity. Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

Deferred tax assets include Minimum Alternative Tax (MAT) paid in accordance with the tax laws in India, which is likely to give future economic benefits in the form of availability of set off against future income tax liability. Accordingly, MAT is recognised as deferred tax asset in the balance sheet when the asset can be measured reliably and it is probable that the future economic benefit associated with the asset will be realised. The Group reviews the "MAT credit entitlement" asset at each reporting date and writes down the asset to the extent that it is no longer probable that it will pay normal tax during the specified period.

In the situations where one or more units of the Group are entitled to a tax holiday under the tax law, no deferred tax (asset or liability) is recognised in respect of temporary differences which reverse during the tax holiday period, to the extent the concerned unit's gross total income is subject to the deduction during the tax holiday period. Deferred tax in respect of temporary differences which reverse after the tax holiday period is recognised in the year in which the temporary differences originate. However, the Group restricts recognition of deferred tax assets to the extent it is probable that sufficient future taxable income will be available against which such deferred tax assets can be realized. For recognition of deferred taxes, the temporary differences which originate first are considered to reverse first.

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

Notes to the Consolidated Financial Statements

14a. Deferred Tax Assets

	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Deferred Tax Assets	894.43	4,827.58
Deferred Tax Liabilities	641.53	4,492.98
Net Deferred Tax Assets	252.90	334.60

2022-23	Opening Balance	Recognised in Profit and Loss / Reclassified from Deferred tax liability [Refer Note 14(b)]	Recognised in Other Comprehensive Income	Recognised in Equity	Closing Balance
	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
Deferred Tax Assets in relation to:					
Allowance for Doubtful Debts, Deposits and Advances	83.60	5.32	Nil	Nil	88.92
Provision for Employee Benefits, expenses allowed on cash basis and Others	157.76	(51.07)	0.46	Nil	107.15
Unabsorbed Depreciation	3,105.07	(3,105.07)	Nil	Nil	Nil
Measuring of Derivative Financial Instruments at Fair Value	30.23	(2.03)	(63.52)	Nil	(35.32)
Carry Forward Losses	2.55	0.46	Nil	Nil	3.01
Deferred Revenue	203.90	(144.36)	Nil	Nil	59.54
MAT Credit Entitlement	548.18	70.18	Nil	Nil	618.36
Lease Liabilities	649.74	(642.97)	Nil	Nil	6.77
Others	46.56	(0.55)	Nil	Nil	46.01
	4,827.58	(3,870.09)	(63.06)	Nil	894.43
Deferred Tax Liabilities in relation to:					
Property, Plant and Equipment*	4,485.82	(3,842.61)	Nil	Nil	643.21
Others	7.16	(8.84)	Nil	Nil	(1.68)
	4,492.98	(3,851.45)	Nil	Nil	641.53
Net Deferred Tax Assets	334.60	(18.64)	(63.06)	Nil	252.90

*including Finance lease receivables, Right of Use Assets and Intangible Assets

2021-2022	Opening Balance	Recognised in Profit and Loss / Reclassified from Deferred tax liability [Refer Note 14(b)]	Recognised in Other Comprehensive Income	Recognised in Equity	Closing Balance
	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
Deferred Tax Assets in relation to:					
Allowance for Doubtful Debts, Deposits and Advances	47.85	35.75	Nil	Nil	83.60
Provision for Employee Benefits, expenses allowed on cash basis and Others	39.01	83.10	35.65	Nil	157.76
Unabsorbed Depreciation	2,051.63	1,053.44	Nil	Nil	3,105.07
Measuring of Derivative Financial Instruments at Fair Value	68.41	(5.24)	(32.94)	Nil	30.23
Carry Forward Losses	6.60	(4.05)	Nil	Nil	2.55
Deferred Revenue	171.81	32.09	Nil	Nil	203.90
MAT Credit Entitlement	94.09	454.09	Nil	Nil	548.18
Lease Liabilities	638.72	11.02	Nil	Nil	649.74
Others	46.56	Nil	Nil	Nil	46.56
	3,164.67	1,660.20	2.71	Nil	4,827.58
Deferred Tax Liabilities in relation to:					
Property, Plant and Equipment*	2,978.78	1,507.04	Nil	Nil	4,485.82
Others	1.87	5.29	Nil	Nil	7.16
	2,980.65	1,512.33	Nil	Nil	4,492.98
Net Deferred Tax Assets	184.02	147.87	2.71	Nil	334.60

*including Finance lease receivables, Right of Use Assets and Intangible Assets

Notes to the Consolidated Financial Statements

14b. Deferred Tax Liabilities

	As at March 31, 2023		As at March 31, 2022	
	₹ crore		₹ crore	
Deferred Tax Assets	4,614.26		741.50	
Deferred Tax Liabilities	6,533.63		1,774.80	
Net Deferred Tax Liabilities	1,919.37		1,033.30	

2022-23	Opening Balance	Recognised in Profit and Loss/ Reclassified to Deferred tax assets [Refer Note 14(a)]	Recognised in Other Comprehensive Income	Recognised in Equity	Closing Balance
	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
Deferred tax assets in relation to					
Allowance for Doubtful Debts, Deposits and Advances	53.64	148.57	Nil	Nil	202.21
Provision for Employee Benefits, expenses allowed on cash basis and Others	29.33	41.06	5.52	Nil	75.91
Unabsorbed Depreciation	157.66	2,887.80	Nil	Nil	3,045.46
Carry Forward Losses	91.00	(12.07)	Nil	Nil	78.93
MAT Credit Entitlement	341.92	(46.82)	Nil	Nil	295.10
Government Grant	0.17	(0.17)	Nil	Nil	Nil
Deferred Revenue	38.25	184.66	Nil	Nil	222.91
Lease Liabilities	Nil	642.13	Nil	Nil	642.13
Others	29.53	22.08	Nil	Nil	51.61
	741.50	3,867.24	5.52	Nil	4,614.26
Deferred tax liabilities in relation to					
Property, Plant and Equipments*	1,491.04	4,675.88	Nil	Nil	6,166.92
Borrowings	4.63	32.33	Nil	Nil	36.96
Deferred Revenue - Ind AS 115	28.85	0.81	Nil	Nil	29.66
Revaluation on Consolidation	82.71	Nil	Nil	Nil	82.71
Undistributed Profits of Joint Ventures	76.19	62.67	Nil	Nil	138.86
Deemed Equity Contribution of Compound Financial Instrument	Nil	Nil	Nil	3.31	3.31
Others	91.38	(16.17)	Nil	Nil	75.21
	1,774.80	4,755.52	Nil	3.31	6,533.63
Net Deferred Tax Liabilities	1,033.30	888.28	(5.52)	3.31	1,919.37

* including Finance lease receivables, Right of Use Assets and Intangible Assets

2021-2022	Opening Balance	Recognised in Profit and Loss / Reclassified to Deferred tax assets [Refer Note 14(a)]	Recognised in Other Comprehensive Income	Recognised in Equity	Closing Balance
	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
Deferred tax assets in relation to					
Allowance for Doubtful Debts, Deposits and Advances	65.53	(11.89)	Nil	Nil	53.64
Provision for Employee Benefits, expenses allowed on cash basis and Others	100.28	(68.45)	(2.50)	Nil	29.33
Unabsorbed Depreciation	134.25	23.41	Nil	Nil	157.66
Carry Forward Losses	594.12	(503.12)	Nil	Nil	91.00
MAT Credit Entitlement	1,234.65	(892.73)	Nil	Nil	341.92
Government Grant	0.48	(0.31)	Nil	Nil	0.17
Deferred Revenue	32.90	5.35	Nil	Nil	38.25
Lease Liabilities	1.65	(1.65)	Nil	Nil	Nil
Others	26.84	2.69	Nil	Nil	29.53
	2,190.70	(1,446.70)	(2.50)	Nil	741.50

Notes to the Consolidated Financial Statements

14b. Deferred Tax Liabilities (Contd.)

2021-2022	Opening Balance	Recognised in Profit and Loss / Reclassified to Deferred tax assets [Refer Note 14(a)]	Recognised in Other Comprehensive Income	Recognised in Equity	Closing Balance
	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
Deferred tax liabilities in relation to					
Property, Plant and Equipments*	2,870.33	(1,379.29)	Nil	Nil	1,491.04
Borrowings	11.51	(6.88)	Nil	Nil	4.63
Deferred Revenue - Ind AS 115	26.30	2.55	Nil	Nil	28.85
Revaluation on Consolidation	82.71	Nil	Nil	Nil	82.71
Undistributed Profits of Joint Ventures	95.18	(18.99)	Nil	Nil	76.19
Others	80.82	8.16	2.40	Nil	91.38
	3,166.85	(1,394.45)	2.40	Nil	1,774.80
Net Deferred Tax Liabilities	976.15	52.25	4.90	Nil	1,033.30

* including Finance lease receivables, Right of Use Assets and Intangible Assets

Notes:

- i. The amount and the expiry of unrecognised deferred tax asset is as detailed below:

As at March 31, 2023

Unrecognised deferred tax assets	Within 1 year	Greater than 1 year, less than 5 years	Greater than 5 years	No expiry date	Closing balance
	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
Capital Loss on sale of investment and indexation benefit*	Nil	287.50	141.96	Nil	429.46
Business losses	Nil	Nil	1,045.88	Nil	1,045.88
Unabsorbed depreciation	Nil	Nil	Nil	24.88	24.88
Total	Nil	287.50	1,187.84	24.88	1,500.22

As at March 31, 2022

Unrecognised deferred tax assets	Within 1 year	Greater than 1 year, less than 5 years	Greater than 5 years	No expiry date	Closing balance
	₹ crore	₹ crore	₹ crore	₹ crore	
Capital Loss on sale of investment and indexation benefit*	Nil	361.11	141.96	Nil	503.07
Business losses	Nil	Nil	1,045.88	Nil	1,045.88
Unabsorbed depreciation	Nil	Nil	Nil	156.63	156.63
Total	Nil	361.11	1,187.84	156.63	1,705.58

* The unrecognised deferred tax asset on impairment of investments of ₹ 141.96 crore (March 31, 2022: ₹ 141.96 crore) relating to capital loss shall expire within 8 years from the date of sale of investment.

- ii. The Group has not recognized any deferred tax liabilities for taxes amounting to ₹ 3,113.19 crore (March 31, 2022 - ₹ 2,673.90 crore) that would be payable on the Group's share in undistributed earnings of its subsidiaries and its interest in joint ventures because the Group controls the distribution and is not likely to cause the distribution in the foreseeable future.

Notes to the Consolidated Financial Statements

14c. Reconciliation of Deferred Tax Expense amount recognised in the Consolidated Statement of Profit and Loss and Other Comprehensive Income

	Recognised in Profit and Loss		Recognised in Other Comprehensive Income	
	For the year ended March 31, 2023	For the year ended March 31, 2022	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore	₹ crore	₹ crore
Deferred Tax Assets (Net) - (Refer Note 14 a.)				
Net (increase)/decrease in Deferred Tax Assets	18.64	(147.87)	63.06	(2.71)
Deferred Tax Liabilities (Net) - (Refer Note 14 b.)				
Net increase/(decrease) in Deferred Tax Liabilities	888.28	52.24	(5.52)	4.90
Foreign Currency Translation Impact of Deferred Tax on undistributed profits	(11.55)	Nil	Nil	Nil
Deferred Tax Expense/(Credit) (Net)	895.37	(95.63)	57.54	2.19

15. Other Assets

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current		
(i) Capital Advances		
Unsecured, considered good	650.76	257.76
Doubtful	0.53	0.53
	651.29	258.29
Less: Allowance for Doubtful Advances	0.53	0.53
	650.76	257.76
(ii) Balances with Government Authorities		
Unsecured, considered good		
Advances	35.79	15.85
Amount Paid Under Protest	86.04	62.82
VAT/Sales Tax Receivable	15.06	15.51
	136.89	94.18
(iii) Others		
Unsecured, considered good		
Prepaid Expenses	13.47	37.46
Recoverable from Consumers	1,639.02	1,408.30
Others	92.32	52.12
	1,744.81	1,497.88
Total	2,532.46	1,849.82
Current		
(i) Balances with Government Authorities		
Unsecured, considered good		
Advances	291.61	491.37
VAT/Sales Tax Receivable	0.27	0.28
	291.88	491.65

Notes to the Consolidated Financial Statements

15. Other Assets (Contd.)

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
(ii) Other Loans and Advances		
Unsecured, considered good		
Prepaid Expenses	231.16	238.88
Advances to Vendors	792.21	602.10
Deferred Rent Expense	1.11	1.11
Unbilled Revenue (contract assets)	9.44	27.81
Power Banking Receivable	Nil	113.18
Other Advances	2.83	4.94
Doubtful	0.21	0.19
	1,037.05	988.21
Less: Allowance for Doubtful Advances	0.21	0.19
	1,036.84	988.02
Total	1,328.72	1,479.67

16. Inventories

Accounting Policy

Inventories are stated at the lower of cost and net realisable value (NRV). Cost of inventory includes cost of purchase and other costs incurred in bringing the inventories to their present location and condition. Costs of inventories are determined on weighted average basis.

Raw materials, land and stores and spares: Cost includes cost of purchase and other costs incurred in bringing the inventories to their present location and condition.

Finished goods and work in progress cost includes cost of direct materials and labour and a proportion of manufacturing overheads based on the normal operating capacity, but excluding borrowing costs. NRV represents the estimated selling price for inventories less all estimated costs of completion and costs necessary to make the sale. Unserviceable/damaged stores and spares are identified and written down based on technical evaluation.

Property acquired or being constructed for sale in the ordinary course of business, rather than to be held for rental or capital appreciation, is held as inventory property and is measured at the lower of cost and NRV.

Principally, this is residential property that the Group develops and intends to sell before, or on completion of, development.

Cost incurred in bringing each property to its present location and condition includes:

- Freehold and leasehold rights for land
- Amounts paid to contractors for development
- Planning and design costs, costs of site preparation, professional fees for legal services, property transfer taxes, development overheads and other related costs

NRV is the estimated selling price in the ordinary course of the business, based on market prices at the reporting date, less estimated costs of completion and the estimated costs necessary to make the sale. When an inventory property is sold, the carrying amount of the property is recognised as an expense in the period in which the related revenue is recognised. The carrying amount of inventory property recognised in profit or loss is determined with reference to the directly attributable costs incurred on the property sold and an allocation of any other related costs based on the relative size of the inventory property sold.

Notes to the Consolidated Financial Statements

16. Inventories (Contd.)

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Inventories		
(a) Raw Materials and Fuel		
Fuel - Stores	1,798.28	1,383.57
Fuel-in-Transit	328.21	521.43
Material and Land related to Solar Plant EPC contracts	649.50	1,296.99
(b) Work-In-Progress	6.99	11.99
(c) Finished goods	256.97	287.81
(d) Stores and Spares (Refer Note 1 below)	566.46	483.44
(e) Loose Tools	1.57	1.66
(f) Others		
Property under Development	334.90	244.63
Total	3,942.88	4,231.52

Notes:

- The Group has recognised ₹ 0.39 crore (March 31, 2022 ₹ 19.11 crore) as an expense for the write down of unserviceable stores and spares and fuel inventory.
- Refer Note 24 and Note 31 for Inventories pledged as security for liabilities.

17. Current Investments

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
I Investments carried at Amortised Cost		
Statutory Investments		
Government Securities (Unquoted) fully paid up	64.17	55.67
II Investments carried at Fair Value through Profit and Loss (FVTPL)		
Unquoted		
Investment in Mutual Funds	1,085.43	354.85
Total	1,149.60	410.52
Note:		
1. Aggregate Carrying Value of Unquoted Investments	1,149.60	410.52

18a. Cash and Cash Equivalents

Accounting Policy

Cash and cash equivalent comprise of cash at banks, cash/cheques on hand and short-term deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value. Cash and cash equivalents include balances with banks which are unrestricted for withdrawal and usage.

Notes to the Consolidated Financial Statements

18a. Cash and Cash Equivalents (Contd.)

For the purpose of the Statement of Cash Flows, cash and cash equivalents comprise of cash at bank, cash/cheques on hand and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Group's cash management.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
(a) Balances with Banks:		
(i) In Current Accounts	2,110.13	1,254.84
(ii) In Deposit Accounts (with original maturity of less than three months)	1,986.15	1,702.09
(b) Cheques on Hand	26.14	23.30
(c) Cash on Hand	67.34	97.01
Cash and Cash Equivalents as per the Consolidated Balance Sheet	4,189.76	3,077.24
Bank Overdraft and Cash Credit (Refer Note 31)	(117.48)	(248.22)
Cash and Cash Equivalents as per the Consolidated Statement of Cash Flows	4,072.28	2,829.02

Reconciliation of Liabilities from Financing Activities

Particulars	As at April 1, 2022	Cash flows		Foreign Exchange	Others*	As at March 31, 2023
	₹ crore	Proceeds ₹ crore	Repayment ₹ crore			₹ crore
Non-current Borrowings (including Current Maturities of Non-current Borrowings)	40,614.98	10,730.41	(11,838.99)	267.84	(0.96)	39,773.28
Current Borrowings (excluding Bank Overdraft and Cash Credit from bank)	6,726.80	64,840.21	(62,562.68)	78.62	0.72	9,083.67
Lease Liabilities	3,605.12	Nil	(393.59)	Nil	737.04	3,948.57
Total	50,946.90	75,570.62	(74,795.26)	346.46	736.80	52,805.52

* includes interest on lease liabilities, remeasurement of lease liabilities and amortisation of processing charges on loans

Note:

During the year, the Group has issued shares of ₹ 4,219.23 crore (March 31, 2022 - ₹ 308.65 crore) to Non-controlling Shareholders of subsidiaries which consist of shares issued for consideration other than Cash amounting to ₹ 210.82 crore (March 31, 2022 - 297.32 crore).

Particulars	As at April 1, 2021	Cash flows		Foreign Exchange	Others*	As at March 31, 2022
	₹ crore	Proceeds ₹ crore	Repayment ₹ crore			₹ crore
Non-current Borrowings (including Current Maturities of Non-current Borrowings)	34,734.52	11,473.88	(5,684.28)	111.94	(21.08)	40,614.98
Current Borrowings (excluding Bank Overdraft and Cash Credit from bank)	8,336.46	28,004.33	(29,636.92)	25.69	(2.76)	6,726.80
Lease Liabilities	3,537.31	Nil	(383.25)	20.11	431.55	3,605.12
Total	46,608.29	39,478.21	(35,705.05)	157.74	407.71	50,946.90

* includes interest on lease liabilities, remeasurement of lease liabilities and amortisation of processing charges on loans

18b. Other Balances with Banks- At Amortised Cost

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
(a) In Deposit Accounts (Refer Note below)	6,997.37	3,544.17
(b) In Earmarked Accounts-		
Unpaid Dividend Account	19.40	19.29
Total	7,016.77	3,563.46

Note: Balances with banks held as margin money deposits against guarantees, consumer security deposits, consumer contribution for work under progress and short term borrowings.

Notes to the Consolidated Financial Statements

19a. Assets Classified as Held For Sale

Accounting Policy

Non-current assets or disposal group are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the asset or disposal Group is available for immediate sale in its present condition subject only to terms that are usual and customary for sale of such asset or disposal Group and its sale is highly probable. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. As at each balance sheet date, the management reviews the appropriateness of such classification.

Non-current assets or disposal group classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell.

Property, plant and equipment and intangible assets once classified as held for sale/distribution to owners are not depreciated or amortised.

A disposal Group qualifies as discontinued operation if it is a component of an entity that either has been disposed of, or is classified as held for sale, and:

- represents a separate major line of business or geographical area of operations,
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as profit or loss after tax from discontinued operations in the statement of profit and loss. Additional disclosures are provided hereunder. All other notes to the Consolidated Financial Statements mainly include amounts for continuing operations, unless otherwise mentioned.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Land [Refer Note (i) & (ii) below]	297.86	301.58
Building [Refer Note (ii) below]	Nil	0.49
Other Property, Plant and Equipments [Refer Note (iii) below]	20.04	20.04
Investments in Associates and Joint Ventures [Refer Note (iv) below]	2,959.21	2,701.89
Loan to and other receivables from Joint Venture [Refer Note iv(b) below]	22.83	22.83
Total	3,299.94	3,046.83

Notes:

- (i) The following land has been classified to as assets held for sale:
 - (a) Land at Naraj Marthapur ₹ 82.30 crore (net of impairment loss of ₹ 37.00 crore) [March 31, 2022 - ₹ 81.38 crore (net of impairment loss of ₹ 37.00 crore)]
 - (b) Leasehold Land at Dehrand ₹ 215.56 crore (net of accumulated depreciation of ₹10.09 Crore) [March 31, 2022 - ₹ 215.56 crore (net of accumulated depreciation of ₹10.09 Crore)]. During the earlier year, the Group had received an advance of ₹ 113.56 crore (March 31, 2022 - ₹ 113.56 crore) against sale.
- (ii) During the year, the Group has reclassified the following assets to Property, Plant and Equipments from assets held for sale:
 - (a) Land at Tiruldih ₹ 1.43 crore (net of impairment loss of ₹ 33.77 crore) [March 31, 2022 - ₹ 1.43 crore (net of impairment loss of ₹ 33.77 crore)]
 - (b) Land at Vadaval ₹ 3.21 crore (March 31, 2022 - ₹ 3.21 crore)
 - (c) Building at Mumbai (Panvel) ₹ 0.49 crore (March 31, 2022 - ₹ 0.49 crore)
- (iii) The following plant and equipment has been classified as assets held for sale:

Rithala power generation plant ₹ 20.04 crore (net of impairment loss of ₹ 143.96 crore) (March 31, 2022 - ₹ 20.04 crore).
- (iv) (a) In the earlier years, the Group had signed definitive agreements for sale of PT Arutmin Indonesia and its associated infrastructure (including infrastructure in other Joint Venture Companies) and trading companies and the sale consideration

Notes to the Consolidated Financial Statements

19a. Assets Classified as Held For Sale (Contd.)

of USD 400.92 million (subject to closing adjustments), out of which USD 368.85 million is already received and the balance is expected to be received in next year. Accordingly, the investments (including investment in PT Mitratama Perkasa) have been classified as assets held for sale at ₹ 2,101.46 crore as at March 31, 2023 (March 31, 2022 - ₹ 1,938.38 crore).

- (b) In the earlier years, the Group decided to divest its investment in Itezhi Tezhi Power Corporation ('ITPC') of ₹ 686.41 crore (March 31, 2022 - ₹ 632.99 crore) and loan and other receivables from ITPC of ₹ 22.83 crore (March 31, 2022 - ₹ 22.83 crore). Accordingly, the said investment along with loan and other receivables has been classified as held for sale. No impairment loss has been recognised on reclassification as the Group expects that the fair value less costs to sell is higher than the carrying amount as at March 31, 2023.
- (c) The Group holds investments in Adjaristsqali Netherlands B.V. (ABV) (a Joint Venture of the Group) operating 187 MW hydro power plant in Georgia. During the previous year, the Group has decided to divest its investment in ABV and accordingly the said investment along with perpetual securities has been classified as held for sale.

During the year, the Group has reassessed the recoverability of its investment in ABV and the fair value is higher than the carrying amount as on March 31, 2023 and accordingly no further impairment provision was made in the Consolidated Financial Statement. The net investment value in ABV including perpetual securities after impairment provision is ₹ 171.34 crore as on March 31, 2023 (March 31, 2022 - ₹ 130.53 crore).

The Group has performed the recoverability assessment and determined the value in use based on estimated cash flow projections over the life of the assets included in CGU. Projected cash flows include cash flow projections approved by management covering 3 years and the cash flows beyond that has been projected based on the long term forecast.

The following key assumptions were used for performing the valuation:

- Tariff post PPA period of 15 years.
- A pre-tax discount rate of 5.94% p.a. was applied;

19b. Liabilities directly associated with Assets Classified as Held For Sale

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Advance received for land classified as held for sale	113.56	113.56
Total	113.56	113.56

The Group has received an advance of ₹ 113.56 crore towards the sale of Dehrand land having net book value of ₹ 215.55 crore (March 31, 2022 - ₹ 215.55 crore).

19c. Assets Classified as Held For Sale - Discontinued Operations

During the previous year, the Group had reassessed the fair value of the contingent consideration receivable from sale of Strategic Engineering Division (SED) and recognised an impairment loss of ₹ 467.83 crore as exceptional item in the Consolidated Financial Statements. The fair value on consideration has been determined based on the expected value of the consideration using discounted present value technique.

20. Regulatory Deferral Account

Accounting Policy

The Group determines revenue gaps (i.e. surplus/shortfall in actual returns over returns entitled) in respect of its regulated operations in accordance with the provisions of Ind AS 114 "Regulatory Deferral Accounts" read with the Guidance Note on Rate Regulated Activities issued by ICAI and based on the principles laid down under the relevant Tariff Regulations/Tariff Orders notified by the Electricity Regulatory Commission (Regulator) and the actual or expected actions of the regulator under the applicable regulatory framework. Appropriate adjustments in respect of such revenue gaps are made in the regulatory deferral account of the respective year for the amounts which are reasonably determinable and no significant uncertainty exists in such determination. These adjustments/accruals representing revenue gaps are carried forward as Regulatory deferral accounts debit/

Notes to the Consolidated Financial Statements

20. Regulatory Deferral Account (Contd.)

credit balances (Regulatory Assets/Regulatory Liabilities) as the case may be in the Consolidated Financial Statements, which would be recovered/refunded through future billing based on future tariff determination by the regulator in accordance with the electricity regulations. The Group presents separate line items in the Consolidated Balance Sheet for:

- (i) the total of all regulatory deferral account debit balances and related deferred tax balances; and
- (ii) the total of all regulatory deferral account credit balances and related deferred tax balances.

A separate line item is presented in the Consolidated Statement of Profit and Loss for the net movement in regulatory deferral account and deferred tax recoverable payable.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Regulatory Deferral Account - Liability		
Regulatory Liabilities - Non-Current	622.39	Nil
Regulatory Assets - Current	612.95	634.63
Total	1,235.34	634.63
Regulatory Deferral Account - Assets		
Regulatory Liabilities - Non-Current	6,460.16	5,613.67
Regulatory Assets - Current	1,973.27	1,196.90
Total	8,433.43	6,810.57
Net Regulatory Assets/(Liabilities)	7,198.09	6,175.94

Rate Regulated Activities

- (i) As per the Ind AS-114 'Regulatory Deferral Accounts', the business of electricity distribution is a Rate Regulated activity wherein the regulators determine Tariff to be charged from consumers based on prevailing regulations in place.

The Group is governed by the tariff regulations and tariff orders issued by Regulatory Commissions in Maharashtra, Delhi and Odisha. These regulations determine tariff in a manner wherein the Group can recover its fixed and variable costs including assured rate of return on approved equity base, from its consumers. The Group determines the Revenue, Regulatory Assets and Liabilities as per the terms and conditions specified in these Regulations.

- (ii) Reconciliation of Regulatory Assets/Liabilities of distribution business as per Rate Regulated Activities as on March 31, 2023, is as follows:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Opening Regulatory Assets (Net of Liabilities) (A)	6,175.94	6,123.51
Regulatory Deferral Balances (net) during the year		
(i) Power Purchase Cost	23,303.59	17,603.08
(ii) Other expenses as per the terms of Tariff Regulations including Return On Equity	7,655.53	6,432.10
(iii) Billed during the year as per approved Tariff	(30,168.55)	(24,414.80)
(iv) Regulatory Assets/(Liabilities) on Deferred Tax Expense/(Income)	116.88	140.15
Net movement in Regulatory Deferral Balances recognised in Consolidated Statements of Profit and Loss (i + ii + iii + iv) (B)	907.45	(239.47)
Regulatory Income/(Expenses) recognised in OCI (C)	56.13	265.28
Net movement in Regulatory Deferral Balances (B+C) (D)	963.58	25.81
Regulatory Assets/(Liabilities) on carrying cost recognised as revenue (E)	67.10	18.01
Regulatory deferral asset in respect of opening assets deletion (F)	Nil	8.64
Recovery from/(Payable to) Group's Generation Business (G)	Nil	(0.03)
Net movement in Regulatory Deferral Balances in respect of earlier years (H)	(8.53)	Nil
Closing Regulatory Asset (Net of Liabilities) (A+D+E+F+G+H)	7,198.09	6,175.94

Notes to the Consolidated Financial Statements

21a. Share Capital

	As at March 31, 2023		As at March 31, 2022	
	Number	₹ crore	Number	₹ crore
Authorised				
Equity Shares of ₹ 1/- each				
At the beginning of the year	1,05,65,00,00,000	10,565.00	5,50,00,00,000	550.00
Add: Increase during the year	Nil	Nil	Nil	Nil
Add: Increase due to merger (Refer Note 22.4)	Nil	Nil	1,00,15,00,00,000	10,015.00
Outstanding for the year		10,565.00		10,565.00
Cumulative Redeemable Preference Shares of ₹ 100/- each	2,29,00,000	229.00	2,29,00,000	229.00
		10,794.00		10,794.00
Issued				
Equity Shares [including 28,32,060 shares (March 31, 2022 - 28,32,060 shares) not allotted but held in abeyance, 44,02,700 shares cancelled pursuant to a Court Order and 4,80,40,400 shares of the Company held by the erstwhile The Andhra Valley Power Supply Company Ltd. cancelled pursuant to the Scheme of Amalgamation sanctioned by the High Court of Judicature, Bombay]	3,25,22,67,007	325.23	3,25,22,67,007	325.23
Subscribed and Paid-up				
Equity Shares fully Paid-up [excluding 28,32,060 shares (March 31, 2022 - 28,32,060 shares) not allotted but held in abeyance, 44,02,700 shares cancelled pursuant to a Court Order and 4,80,40,400 shares of the Company held by the erstwhile The Andhra Valley Power Supply Company Ltd. cancelled pursuant to the Scheme of Amalgamation sanctioned by the High Court of Judicature, Bombay]	3,19,53,39,547	319.54	3,19,53,39,547	319.54
Less: Calls in arrears [including ₹ 0.01 crore (March 31, 2022 - ₹ 0.01 crore) in respect of the erstwhile The Andhra Valley Power Supply Company Ltd. and the erstwhile The Tata Hydro-Electric Power Supply Company Ltd.]		0.04		0.04
		319.50		319.50
Add: Equity Shares forfeited - Amount paid	16,52,300	0.06	16,52,300	0.06
Total Subscribed and Paid-up Share Capital		319.56		319.56

(i) Reconciliation of the shares outstanding at the beginning and at the end of the reporting year

	As at March 31, 2023		As at March 31, 2022	
	Number	₹ crore	Number	₹ crore
Equity Shares				
At the beginning of the year	3,19,69,91,847	319.56	3,19,69,91,847	319.56
Issued during the year	Nil	Nil	Nil	Nil
Outstanding at the end of the year	3,19,69,91,847	319.56	3,19,69,91,847	319.56

(ii) Terms/rights attached to equity shares

The Parent Company has issued only one class of equity shares having a par value of ₹ 1/- per share. Each holder of equity shares is entitled to one vote per share. The final dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting.

Notes to the Consolidated Financial Statements

21a. Share Capital (Contd.)

In the event of liquidation of the Parent Company, the holders of equity shares will be entitled to receive remaining assets of the Parent Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

(iii) Details of shareholders holding more than 5% shares in the Parent Company

	As at March 31, 2023		As at March 31, 2022	
	Number	% Holding	Number	% Holding
Equity Shares of ₹ 1/- each fully paid				
Tata Sons Pvt. Ltd.	144,45,13,021	45.21	144,45,13,021	45.21
Life Insurance Corporation of India	24,01,67,154	7.52	21,57,53,479	6.75

*Shareholding has been reported based on common Permanent Account Number

(iv) Shareholding of Promoters

Shares held by promoters at the end of the year						
Sl No	Promoter name	March 31, 2023		March 31, 2022		% Change during the year
		No. of shares	% of total shares	No. of shares	% of total shares	
1	Tata Sons Pvt. Ltd.	144,45,13,021	45.21	144,45,13,021	45.21	Nil

Shares held by promoters at the end of the year						
Sl No	Promoter name	March 31, 2022		March 31, 2020		% Change during the year
		No. of shares	% of total shares	No. of shares	% of total shares	
1	Tata Sons Pvt. Ltd.	144,45,13,021	45.21	144,45,13,021	45.21	Nil

(v) The aggregate number of equity shares issued by way of bonus shares in immediately preceding five financial years ended March 31, 2023 - Nil (March 31, 2022 - Nil).

21b. Unsecured Perpetual Securities

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
11.40% Unsecured Perpetual Securities	Nil	1,500.00
Less: Repayment during the year	Nil	(1,500.00)
Total	Nil	Nil

In an earlier year, the Holding Company had raised ` 1,500 crore through issue of Unsecured Perpetual Securities (the "Securities"). These Securities were perpetual in nature with no maturity or redemption and were callable only at the option of the Holding Company. As these Securities were perpetual in nature and ranked senior only to the Share Capital of the Holding Company and the Holding Company did not have any redemption obligation, these were considered to be in the nature of equity instruments. During the previous year, pursuant to debenture trust deed dated June 23, 2011, the Holding Company has exercised the call option to redeem the Securities on June 2, 2021 along with interest.

Notes to the Consolidated Financial Statements

22. Other Equity

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
General Reserve		
Opening Balance	226.61	226.61
Add/(Less): Adjustments for change in ownership interests	(2.65)	Nil
Closing Balance	223.96	226.61
Securities Premium		
Opening Balance	3,107.54	3,107.54
Closing Balance	3,107.54	3,107.54
Capital Reserves		
Opening Balance	232.09	232.09
Add/(Less): Adjustments for change in ownership interests	(18.14)	Nil
Add/(Less): Capital Reserve created on acquisition of Joint Venture	4.57	Nil
Closing Balance	218.52	232.09
Statutory Reserves		
Opening Balance	660.08	660.08
Closing Balance	660.08	660.08
Debenture Redemption Reserve		
Opening Balance	525.06	625.06
Add/(Less): Adjustments for change in ownership interests	(11.33)	Nil
Add/(Less): Amount transferred (to) Retained Earnings (Net)	(80.50)	(100.00)
Closing Balance	433.23	525.06
Capital Redemption Reserve		
Opening Balance	515.76	515.76
Add/(Less): Adjustments for change in ownership interests	(1.29)	Nil
Closing Balance	514.47	515.76
Special Reserve fund		
Opening Balance	Nil	126.28
Add/(Less): Amount transferred from/(to) Retained Earnings	Nil	(126.28)
Closing Balance	Nil	Nil
Retained Earnings (Refer Note 1 below)		
Opening Balance	15,250.53	13,889.59
Add: Profit/(Loss) for the year	3,336.44	1,741.46
Adjustments for change in ownership interests	2,694.66	Nil
Transfer from Debenture Redemption Reserve (Net)	80.50	100.00
Less: Distribution on Unsecured Perpetual Securities	Nil	100.26
Other Comprehensive Income/(Expense) arising from Remeasurement of Defined Benefit Obligation (Net of Tax)	32.83	11.26
Less: Other Appropriations:		
Payment of Dividend (Refer Note 2 below)	559.18	495.28
Transfer to / (from) Special Reserve Fund	Nil	(126.28)
Closing Balance	20,770.12	15,250.53
Equity Instrument through Other Comprehensive Income		
Opening Balance	530.34	223.23
Add/(Less): Change in Fair Value of Equity Instruments through OCI	126.17	307.11
Closing Balance	656.51	530.34
Foreign Currency Translation Reserve		
Opening Balance	1,157.82	1,078.23
Add/(Less): Addition during the year	560.47	79.59
Closing Balance	1,718.29	1,157.82

Notes to the Consolidated Financial Statements

22. Other Equity (Contd.)

	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Effective Portion of Cash Flow Hedge		
Opening Balance	(83.83)	(181.77)
Add/(Less): Adjustments for change in ownership interests	(11.91)	Nil
Add/(Less): Effective Portion of Cash Flow Hedge for the year #	183.16	97.94
Closing Balance	87.42	(83.83)
# The details of Other comprehensive income recognised during the year is as below:		
Fair value changes recognised during the year	269.87	109.51
Fair value changes reclassified to the Consolidated Statement of Profit and Loss/cost of hedged items	(23.21)	21.37
Tax impact on above	(63.50)	(32.94)
Effective Portion of Cash Flow Hedge for the year	183.16	97.94
Breakup of Closing balance of Hedge Reserve:		
Continued hedges	87.42	(83.83)
Discontinued hedges	Nil	Nil
Equity Component of Financial Instruments		
Opening Balance	Nil	Nil
Add/(Less): Equity Component of Financial Instruments issued by Associate	77.73	Nil
Closing Balance	77.73	Nil
Total	28,467.87	22,122.00

Notes:

- Includes gain on fair valuation of land which is not available for distribution ₹ 227.03 crore (March 31, 2022 - ₹ 227.03 crore).
- The shareholders of the Holding Company in their meeting held on July 7, 2022 approved final dividend of ₹ 1.75 per share aggregating ₹ 559.18 crore for the FY22. The said dividend was paid to the holders of fully paid equity shares on July 11, 2022.
- The Board of Directors at its meeting held on May 4, 2023 proposed a dividend of ₹ 2.00 per equity share subject to the approval of the shareholders in the upcoming annual general meeting and has not been included as a liability in the Consolidated Financial Statements. The proposed equity dividend is payable to all holders of fully paid equity shares. The total estimated equity dividend to be paid is ₹ 639.06 crore.
- During the previous year, the Hon'ble National Company Law Tribunal (NCLT) had approved the composite scheme of arrangement for merger of Coastal Gujarat Power Limited (CGPL) along with the capital re-organization and the scheme of arrangement for merger of Af-Taab Investment Company Limited (Af-taab) with the Holding Company effective April 1, 2020. There is no effect of merger in the consolidated financial statements. However, the necessary adjustments have been made pursuant to the scheme of capital re-organisation as on April 1, 2020 i.e the appointed date of the scheme.

Nature and purpose of reserves

General Reserve

General Reserve is used to transfer profits from retained earnings for appropriation purposes. The amount is to be utilised in accordance with the provision of the Companies Act, 2013.

Securities Premium

Securities Premium is used to record the premium on issue of shares and is utilised in accordance with the provisions of the Companies Act, 2013.

Debenture Redemption Reserve

The Group was required to create a Debenture Redemption Reserve out of the profits which are available for payment of dividend for the purpose of redemption of debentures. Pursuant to Companies (Share Capital and Debentures) Amendment Rules, 2019 dated August 16, 2019, the Group is not creating additional debenture redemption reserve (DRR) from the effective date of amendment. DRR created till previous years will be transferred to retained earnings on redemption of debentures.

Notes to the Consolidated Financial Statements

22. Other Equity (Contd.)

Capital Redemption Reserve

Capital Redemption Reserve represents amounts set aside on redemption of preference shares.

Capital Reserve

Capital Reserve consists of forfeiture of the amount received from Tata Sons Pvt. Ltd. on preferential allotment of convertible warrants in the Group, on the lapse of the period to exercise right to convert the said warrants and on forfeiture of amounts paid on Debentures.

Special Reserve Fund

Special Reserve Fund represents the amount transferred from the annual profits of Af-taab pursuant to section 45 of the Reserve Bank of India Act, 1934. Pursuant to scheme of arrangement for merger as mentioned in note 4 above, erstwhile Af-taab has ceased to exist and hence the reserves is no longer required and accordingly has been transferred to retained earning.

Statutory Reserve

Statutory Reserve consists of Special Appropriation towards Project Cost, Development Reserve and Investment Allowance Reserve.

Special appropriation to project cost - Due to high capital investment required for the expansion in the electricity industry, the Maharashtra State Government permits part of the capital cost of approved projects to be collected through the electricity tariff and held as a special appropriation.

Development Reserve / Investment Allowance Reserve - Until 1978, the Companies made appropriations to a Development Reserve and an Investment Allowance Reserve as required by the Income Tax Act, 1956. New appropriations to these reserves are no longer required due to changes in Indian law.

Retained Earnings

Retained Earnings are the profits/(losses) of the Group earned/incurred till date net of appropriations.

Equity Instruments through Other Comprehensive Income

This reserve represents the cumulative gains and losses arising on revaluation of equity instruments measured at fair value through other comprehensive income, net of amounts reclassified to retained earnings when those equity instruments are disposed off.

Foreign Currency Translation Reserve

Exchange differences relating to the translation of the results and net assets of the Group's foreign operations from their functional currencies to the Group's presentation currency (i.e. ₹) are recognised directly in Other Comprehensive Income and accumulated in the foreign currency translation reserve.

Effective Portion of Cash Flow Hedge

The cash flow hedging reserve represents the cumulative effective portion of gains or losses arising on changes in fair value of designated portion of hedging instruments entered into for cash flow hedges. The cumulative gain or loss arising on changes in fair value of the designated portion of the hedging instruments that are recognised and accumulated under the heading of cash flow hedging reserve will be reclassified to profit or loss only when the hedged transaction affects the profit or loss, or included as a basis adjustment to the non-financial hedged item.

Equity Component of Financial Instruments

Equity Component of Financial Instruments represents the difference between the liability portion (determined using effective interest method) and the issued amount of non convertible debentures issued by one of the Associate of the Group.

23. Non-controlling Interests (NCI)

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Opening Balance	3,586.90	2,927.30
Share of Profit/(Loss) for the year	473.23	414.15
Other Comprehensive Income/(Expenses) for the year (Net of Tax)	4.53	0.03
Issue of Equity Shares during the year (net of dilution gain)	1,569.90	308.65
Dividend paid	(227.71)	(63.23)
Deemed Equity Contribution by Non Controlling interest	9.84	Nil
Closing Balance	5,416.69	3,586.90

Notes to the Consolidated Financial Statements

23. Non-controlling Interests (NCI) (Contd.)

Name of the Entity	Proportion of ownership rights and voting rights held by NCI		Profit/(Loss) allocated to NCI		Other Comprehensive Income/(Expenses) allocated to NCI		Accumulated NCI	
	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022
	%	%	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
Indian Subsidiaries								
Nelco Ltd. (Consolidated)	49.96	49.96	9.91	8.03	(0.12)	(0.15)	52.23	44.49
Maithon Power Ltd.	26.00	26.00	89.78	72.94	(0.21)	(0.01)	570.80	645.03
Tata Power Delhi Distribution Ltd.	49.00	49.00	215.79	214.94	(0.09)	0.19	2,154.46	2,000.62
NDPL Infra Ltd.	49.00	49.00	0.49	0.40	Nil	Nil	13.11	12.62
Poolavadi Windfarm Ltd.	26.00	26.00	Nil	2.18	Nil	Nil	28.43	26.61
TP Kirnali Solar Ltd.	26.00	26.00	0.91	0.07	Nil	Nil	4.99	4.08
TP Solapur Solar Ltd.	26.00	26.00	0.22	(0.08)	Nil	Nil	3.70	3.45
TP Akkalkot Renewable Ltd.	26.00	26.00	0.42	(0.04)	Nil	Nil	3.76	3.33
TP Nanded Ltd	26.00	Nil	Nil	Nil	Nil	Nil	0.01	Nil
TP Green Nature Ltd	26.00	Nil	0.46	Nil	Nil	Nil	7.04	Nil
Nivade Windfarm Ltd.	26.00	Nil	0.14	Nil	Nil	Nil	1.96	Nil
TP Central Odisha Distribution Ltd.	49.00	49.00	6.51	14.44	Nil	Nil	313.21	264.67
TP Western Odisha Distribution Ltd.	49.00	49.00	44.63	31.23	Nil	Nil	310.66	207.10
TP Southern Odisha Distribution Ltd.	49.00	49.00	16.05	33.82	Nil	Nil	241.64	166.30
TP Northern Odisha Distribution Ltd.	49.00	49.00	56.68	36.22	Nil	Nil	287.99	180.75
Tata Power Renewable Energy Ltd (Consolidated)	6.06	Nil	31.26	Nil	4.96	Nil	1,396.72	Nil
Foreign Subsidiaries								
PT Sumber Energi Andalan Tbk. (Consolidated)	7.50	7.50	Nil	Nil	Nil	Nil	1.01	0.93
Foreign Jointly Control Entities								
PT Mitratama Perkasa (Consolidated)	1.62	1.62	Nil	Nil	Nil	Nil	24.96	26.92
Total			473.23	414.15	4.53	0.03	5,416.69	3,586.90

Notes to the Consolidated Financial Statements

24. Non-current Borrowings - At Amortised Cost

	As at March 31, 2023		As at March 31, 2022	
	Non-current (₹ crore)	Current Maturities* (₹ crore)	Non-current (₹ crore)	Current Maturities* (₹ crore)
(i) Unsecured				
Debentures				
Redeemable Non-Convertible Debentures	4,697.98	5,045.05	9,639.16	2,454.86
Term Loans				
From Banks	2,948.29	315.00	3,730.06	421.71
	7,646.27	5,360.05	13,369.22	2,876.57
(ii) Secured				
Debentures				
Redeemable Non-Convertible Debentures	1,387.58	467.05	1,853.40	559.75
Term Loans				
From Banks	19,637.57	3,056.34	15,570.52	4,325.65
From Others	2,037.07	181.35	1,936.56	123.31
	23,062.22	3,704.74	19,360.48	5,008.71
Total	30,708.49	9,064.79	32,729.70	7,885.28

* Amount disclosed under Current Borrowings (Refer Note 31).

Security

Redeemable Non-convertible Debentures issued by the Group are secured by charge on movable and immovable assets of the respective entities.

Term Loans availed by various entities of the Group from various Banks and Financial Institutions are secured by way of charge on all present and future moveable and immovable assets, stores and spares, raw materials, work-in-progress, finished goods, book debts, project receivables, intangibles, uncalled capital receivables, rights under project documents of the respective entities, project cash flows, regulatory deferral accounts, accounts including Debt Service Reserve Accounts and bank accounts, bank guarantees and pledge of shares of subsidiaries held by their respective holding companies.

Terms of Repayment

Particulars	Amount Outstanding as at March 31, 2023	(₹ crore)						
		Financial Year						
		FY 23-24	FY 24-25	FY 25-26	FY 26-27	FY 27-28	FY 28-33	FY 33-34 and onwards
(i) Unsecured - At Amortised Cost								
Debentures								
Redeemable Non-Convertible Debentures	9,765.04	5,045.04	1,120.00	500.00	Nil	Nil	3,100.00	Nil
Term Loans								
From Banks	3,270.00	315.00	2,355.00	600.00	Nil	Nil	Nil	Nil
(ii) Secured - At Amortised Cost								
Debentures								
Redeemable Non-Convertible Debentures	1,859.79	467.05	319.45	371.75	348.75	144.69	208.10	Nil

Notes to the Consolidated Financial Statements

24. Non-current Borrowings - At Amortised Cost (Contd.)

Particulars	Amount Outstanding as at March 31, 2023	Financial Year						
		FY 23-24	FY 24-25	FY 25-26	FY 26-27	FY 27-28	FY 28-33	FY 33-34 and onwards
Term Loans								
From Banks	22,727.64	3,056.35	2,652.44	6,259.12	1,521.38	1,291.82	4,760.52	3,186.01
From Others	2,222.21	181.35	214.95	249.11	276.40	288.95	898.72	112.73
	39,844.68	9,064.79	6,661.84	7,979.98	2,146.53	1,725.46	8,967.34	3,298.74
Less: Impact of recognition of borrowing at amortised cost using effective interest method	71.40							
Total	39,773.28							

Range of interest rates for:

1. Debentures - 5.70% p.a. to 9.90% p.a.
2. (a) Term loan of foreign Companies - 5.82% p.a. to 6.38% p.a.
(b) Term loan of Indian Companies - 5.05% p.a. to 10.25% p.a..
3. Term loan from others - 5.70% p.a. to 9.90% p.a.

25. Lease Liabilities

Accounting Policy

At inception of contract, the Group assesses whether the contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. At inception or on reassessment of a contract that contains a lease component, the Group allocates consideration in the contract to each lease component on the basis of their relative standalone price.

As a Lessee

i) Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date if the discount rate implicit in the lease is not readily determinable.

After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. The carrying amount is remeasured when there is a change in future lease payments arising from a change in index or rate. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments or a change in the assessment of an option to purchase the underlying asset.

ii) Short term leases and leases of low value of assets

The Group applies the short-term lease recognition exemption to its short-term leases. It also applies the lease of low-value assets recognition exemption that are considered to be low value. Lease payments on short-term leases and leases of low value assets are recognised as expense on a straight-line basis over the lease term.

Leasing arrangement as Lessee

The Group has lease contracts for various items of plant, machinery, land, vehicles and other equipment used in its operations. Leases of Leasehold land including sub-surface rights generally have lease terms between 2 years and 95 years, while plant and machinery, motor vehicles and other equipment generally have lease terms 3 years and 40 years. Generally, the Group is restricted from assigning and subleasing the leased assets.

Notes to the Consolidated Financial Statements

25. Lease Liabilities (Contd.)

Amount recognised in the Consolidated Statement of Profit and Loss	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Depreciation of Right of use assets	200.94	184.67
Interest on lease liabilities	343.00	319.78
Expenses related to short term leases	38.09	36.30
Expenses related to leases of low value assets, excluding short term leases of low value assets	1.95	0.81
Refer Note (5) for additions to Right of Use Assets and the carrying amount of Right of Use Assets. Further, refer Note 44.4.3 for maturity analysis of lease liabilities.		
Amount as per the Consolidated Statement of Cash Flows	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Total cash outflow of leases	393.59	383.85
	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-Current		
(i) Lease Liabilities	3,510.70	3,207.79
Total	3,510.70	3,207.79
Current		
(i) Lease Liabilities	437.87	397.33
Total	437.87	397.33

26. Trade Payables - At Amortised Cost

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Current		
(i) Outstanding dues of micro enterprises and small enterprises	537.60	332.14
(ii) Outstanding other than micro enterprises and small enterprises	6,869.60	10,127.46
Total	7,407.20	10,459.60

Trade Payables Ageing schedule as at March 31, 2023

Particulars	Unbilled Dues*	Outstanding for following periods from due date of payment #					₹ crore Total
		Not Due	Less than 1 Year	1-2 Year	2-3 Year	More than 3 Years	
Current							
(i) Undisputed Trade Payables							
a) MSME	1.15	217.86	274.74	27.64	13.57	2.43	537.39
b) Others	826.02	2,422.17	3,253.42	65.91	171.12	30.43	6,769.07
(ii) Disputed Trade Payables							
a) MSME	Nil	Nil	Nil	Nil	0.09	0.12	0.21
b) Others	Nil	Nil	17.71	5.27	3.79	73.76	100.53
Total	827.17	2,640.03	3,545.87	98.82	188.57	106.74	7,407.20

Notes to the Consolidated Financial Statements

26. Trade Payables - At Amortised Cost (Contd.)

Trade Payables Ageing schedule as at March 31, 2022

Particulars	Unbilled Dues*	Outstanding for following periods from due date of payment #					₹ crore
		Not Due	Less than 1 Year	1-2 Year	2-3 Year	More than 3 Years	Total
Current							
(ii) Undisputed Trade Payables							
a) MSME	1.37	142.00	174.94	10.73	2.86	0.02	331.92
b) Others	1,294.13	5,578.44	2,761.38	335.71	25.26	41.40	10,036.32
(iii) Disputed Trade Payables							
a) MSME	Nil	Nil	Nil	0.10	0.12	Nil	0.22
b) Others	Nil	0.05	14.99	0.36	59.91	15.83	91.14
Total	1,295.50	5,720.49	2,951.31	346.90	88.15	57.25	10,459.60

* Includes provision for expenses which is certain and not related to any litigation

Where due date of payment is not available date of transaction has been considered

27. Other Financial Liabilities - At Amortised Cost (Unless otherwise stated)

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current		
(a) Security Deposits from Customers	915.84	850.82
(b) Payables for Capital Supplies and Services	195.50	11.62
(c) Payable to Customer	299.06	294.12
Total	1,410.40	1,156.56
Current		
(a) Interest accrued but not due on Borrowings from Others	550.82	656.13
(b) Interest accrued but not due on Borrowings from Joint Ventures	73.96	160.12
(c) Investor Education and Protection Fund shall be credited by the following amounts namely (Refer Note 1 below):		
Unpaid Dividend	23.70	23.45
Unpaid Matured Debentures	0.09	0.09
(d) Other Payables		
Payables for Capital Supplies and Services	1,772.31	1,854.37
Advance Received for Sale of Investments [Refer Note 19a (iv)(a)]	2,925.10	1,843.67
Contingent Consideration Payable (at FVTPL)	16.93	16.93
Derivative Contract s (Net) (at FVTPL)	18.58	40.79
Security Deposits from Electricity Consumers (including interest accrued but not due)	3,709.90	3,098.27
Security Deposits from Customers	57.72	46.09
Tender Deposits from Vendors	6.94	42.74
Supplier's Credit (Refer Note 2 below)	2,491.99	330.53
Payable to Consumers	91.63	220.48
Factoring Liability [Refer Note 9(ii)]	576.31	582.67
Other Financial Liabilities Pending Reconciliation [Refer Note - 49(5)]	156.51	117.62
Other Financial Liabilities (Refer Note 3 below)	678.28	598.01
	13,150.77	9,631.96

Notes

- Includes amounts outstanding aggregating ₹ 0.24 crore (March 31, 2022 - ₹ 0.21 crore) for more than seven years pending disputes and legal cases.

Notes to the Consolidated Financial Statements

27. Other Financial Liabilities - At Amortised Cost (Contd.)

2. (a) The Group has entered into a Suppliers' Credit Program ("Facility") with a third party whereby the third party shall pay the said coal suppliers on behalf of the Group and the Group shall pay the third party on the due date along with interest. The Group has utilised USD 229.01 million (March 31, 2022 - USD 43.99 million) of this facility as at March 31, 2023. As the Facility provided by the third party is within the credit period provided by the coal vendors, the outstanding liability has been disclosed under other financial liabilities.
- (b) The Group has entered into Usance Payable At Sight Letter of Credit (U-Pas LC) arrangement includes credit availed by the suppliers from banks for goods supplied to the Group. The arrangements are interest bearing, where the Group bears the interest cost and are payable within 180 days as stipulated in Letter of credit. As the Facility arranged is within the credit period provided by the coal vendors, the outstanding liability has been disclosed under other financial liabilities. The Group has utilised USD 74.23 million (March 31, 2022 - Nil) of this facility as at March 31, 2023.
3. Includes Contract liability aggregating ₹ 59.99 crore (March 31, 2022- ₹ 48.74 crore).

28. Tax Liabilities

	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Non Current		
Income-Tax Payable (Net)	Nil	3.03
Total	Nil	3.03
Current		
Income-Tax Payable (Net)	217.96	147.00
Total	217.96	147.00

29. Provisions

Accounting Policy

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that the Group will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

Present obligations arising under onerous contracts are recognised and measured as provisions with charge to consolidated Statement of Profit and Loss. An onerous contract is considered to exist where the Group has a contract under which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received from the contract.

Restructuring provisions are recognised only when the Group has a constructive obligation, which is when:

- (i) a detailed formal plan identifies the business or part of the business concerned, the location and number of employees affected, a detailed estimate of the associated costs, and the timeline; and
- (ii) the employees affected have been notified of the plan's main features.

Defined contribution plans

Payments to defined contribution retirement benefit plans are recognised as an expense when employees have rendered service entitling them to the contributions.

Defined benefits plans

The cost of providing benefits under the defined benefit plan is determined using the projected unit credit method. Remeasurements, comprising of actuarial gains and losses, the effect of the asset ceiling and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability), are recognised immediately in the Consolidated Balance Sheet with a corresponding debit or credit to retained earnings through OCI in the period in which they occur. Remeasurements are not reclassified to profit or loss in subsequent periods.

Notes to the Consolidated Financial Statements

29. Provisions (Contd.)

Past service costs are recognised in the Consolidated Statement of Profit and Loss on the earlier of:

- the date of the plan amendment or curtailment, and
- the date that the Group recognises related restructuring costs

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Group recognises the following changes in the net defined benefit obligation as an expense in the Consolidated Statement of Profit and Loss:

- Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non-routine settlements; and
- Net interest expense or income.

The cost of the defined benefit gratuity plan and other post-employment medical benefits and the present value of the gratuity obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases and mortality rates. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. In determining the appropriate discount rate for plans operated in India, the management considers the interest rates of government bonds. The mortality rate is based on publicly available mortality tables. Those mortality tables tend to change only at interval in response to demographic changes. Future salary increases are based on expected future inflation rates.

A liability for a termination benefit is recognised at the earlier of when the entity can no longer withdraw the offer of the termination benefit and when the entity recognises any related restructuring costs.

The parameter most subject to change is the discount rate. In determining the appropriate discount rate for plans operated in India, the management considers the interest rates of government bonds. The mortality rate is based on publicly available mortality tables. Those mortality tables tend to change only at interval in response to demographic changes. Future salary increases and gratuity increases are based on expected future inflation rates.

Current and other non-current employee benefits

A liability is recognised for benefits accruing to employees in respect of wages and salaries, annual leave and sick leave in the period the related service is rendered at the undiscounted amount of the benefits expected to be paid in exchange for that service. Liabilities recognised in respect of current employee benefits are measured at the undiscounted amount of the benefits expected to be paid in exchange for the related service.

Liabilities recognised in respect of other non-current employee benefits are measured at the present value of the estimated future cash outflows expected to be made by the Group in respect of services provided by employees up to the reporting date.

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current		
Provision for Employee Benefits		
Compensated Absences	330.36	375.21
Gratuity (Net) [Refer Note 29 (2.3)]	261.22	298.11
Post-Employment Medical Benefits [Refer Note 29 (2.3)]	69.36	74.96
Other Defined Benefit Plans [Refer Note 29 (2.3)]	721.05	377.61
Other Employee Benefits	38.03	42.29
	1,420.02	1,168.18
Other Provisions		
Provision for Warranties	Nil	50.00
	Nil	50.00
Total	1,420.02	1,218.18

Notes to the Consolidated Financial Statements

29. Provisions (Contd.)

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Current		
Provision for Employee Benefits		
Compensated Absences	48.61	32.49
Gratuity (Net) [Refer Note 29 (2.3)]	9.54	34.07
Post-Employment Medical Benefits [Refer Note 29 (2.3)]	2.51	30.73
Other Defined Benefit Plans [Refer Note 29 (2.3)]	22.58	42.15
Other Employee Benefits	2.55	4.35
	85.79	143.79
Other Provisions		
Provision for Warranties	70.01	9.32
Provision for Losses/Onerous Contracts/Contingencies	155.27	191.71
	225.28	201.03
Total	311.07	344.82

Movement of Other Provisions

	Provision for Warranties	Provision for Losses/ Onerous Contracts	Provision for Rectification Work	Total
	₹ crore	₹ crore	₹ crore	₹ crore
Balance as at April 1, 2021	61.86	74.86	2.00	138.72
Additional provisions recognised	11.10	117.07	Nil	128.17
Reductions arising from payments	(13.64)	(0.22)	(2.00)	(15.86)
Balance as at March 31, 2022	59.32	191.71	Nil	251.03
Balance as at April 1, 2022	59.32	191.71	Nil	251.03
Additional provisions recognised	26.07	80.96	Nil	107.03
Reductions arising from payments	(15.38)	(117.40)	Nil	(132.78)
Balance as at March 31, 2023	70.01	155.27	Nil	225.28

Notes:

- The provision for warranty claims represents estimated warranty liability for the products sold. These estimates are established using historical information on the nature, frequency and average cost of warranty claims and management estimates regarding possible future incidence based on corrective actions on product failures.
- The provision for losses includes provision for estimated losses on onerous contracts and provision for contingency on regulatory assets recognised.
- The provision for rectification work relates to the estimated cost of work agreed to be carried out for the rectification of goods supplied to the customers.

Employee Benefit Plans

1. Defined Contribution plan

The Group makes Provident Fund and Superannuation Fund contributions to defined contribution plans for eligible employees. Under the schemes, the Group is required to contribute a specified percentage of the payroll costs. The provident fund contributions as specified under the law are paid to the Government approved provident fund trust or statutory provident fund authorities. The Group has no obligation, other than the contribution payable to the respective

Notes to the Consolidated Financial Statements

29. Provisions (Contd.)

fund. The Group recognises such contribution payable to the respective fund scheme as an expense, when an employee renders the related service.

The Group has recognised ₹ 91.63 crore (March 31, 2022 - ₹ 72.50 crore) for provident fund contributions and ₹ 9.33 crore (March 31, 2022 - ₹ 8.49 crore) for superannuation contributions in the Consolidated Statement of Profit and Loss. The contributions payable to these plans by the Group are at rates specified in the rules of the plans.

2. Defined benefit plans

2.1 The Group operates the following unfunded/funded defined benefit plans:

Funded:

Provident Fund

The Parent Company makes Provident Fund contributions to defined benefit plans for eligible employees. Under the scheme, the Parent Company is required to contribute a specified percentage of the payroll costs to fund the benefits. The contributions as specified under the law are paid to the provident fund set up as a trust by the Parent Company. The Parent Company is generally liable for annual contributions and any shortfall in the fund assets based on the government specified minimum rates of return and recognises such contributions and shortfall, if any, as an expense in the year it is incurred.

Pension Fund

The Odisha Distribution Companies have a defined benefit pension plan, the pension plan which is primarily governed by the Odisha Civil Services (Pension) Rules, 1992. The level of benefits, eligibility depends on the date of joining, member's length of service and salary at the retirement date. The pension plan is funded plan. The fund is in the form of a trust and is governed by Trustees appointed by the respective subsidiaries and regulations framed in this regard. The Trustees are responsible for the administration of the plan assets and for defining the investment strategy in accordance with the regulations.

The significant assumptions used for the purpose of the actuarial valuations were as follows:

	As at March 31, 2023	As at March 31, 2022
Interest rate	8.15% p.a.	8.10% p.a.
Discount rate	7.30% p.a.	6.80% p.a.

The movements in the net defined benefit obligations are as follows:

Funded Plan:	Present value of obligation ₹ crore	Fair value of plan assets ₹ crore	Net amount ₹ crore
Balance as at April 1, 2021	853.12	836.57	16.55
Liability (includes amount recoverable from consumers for the pre-acquisition period - Refer Note 35)	4,292.06	526.86	3,765.20
Current service cost	76.97	Nil	76.97
Past service cost	12.49	Nil	12.49
Interest Cost/(Income)	254.72	70.75	183.97
Amount recognised in Consolidated Statement of Profit and Loss	344.18	70.75	273.43
Remeasurement (gains)/losses			
Return on plan assets excluding amounts included in interest cost/(income)	Nil	(18.78)	18.78
Actuarial (gains)/losses arising from changes in demographic assumptions	18.88	Nil	18.88
Actuarial (gains)/losses arising from changes in financial assumptions	(25.53)	Nil	(25.53)
Actuarial (gains)/losses arising from experience*	509.55	Nil	509.55
Amount recognised in Other Comprehensive Income	502.90	(18.78)	521.68
Employer contribution	Nil	157.88	(157.88)
Employee contribution	42.43	42.43	Nil
Benefits paid	(323.77)	(213.63)	(110.14)
Acquisitions credit/(cost)	16.89	16.89	Nil
Less: Amount recoverable from consumers for pre-acquisition period (Refer Note 35)	(4,549.23)	(534.33)	(4,014.90)
Others	Nil	(0.65)	0.65
Balance as at March 31, 2022	1,178.58	883.99	294.59

Notes to the Consolidated Financial Statements

29. Provisions (Contd.)

Funded Plan:	Present value of obligation	Fair value of plan assets	Net amount
	₹ crore	₹ crore	₹ crore
Balance as at April 1, 2022	1,178.58	883.99	294.59
Liability (includes amount recoverable from consumers for the pre-acquisition period Refer Note 35)	4,549.23	534.33	4,014.90
Current service cost	98.04	2.10	95.94
Past service cost	Nil	Nil	Nil
Interest Cost/(Income)	281.69	78.31	203.38
Amount recognised in Consolidated Statement of Profit and Loss	379.73	80.41	299.32
Remeasurement (gains)/losses			
Return on plan assets excluding amounts included in interest cost/(income)	Nil	(7.97)	7.97
Actuarial (gains)/losses arising from changes in demographic assumptions	Nil	Nil	Nil
Actuarial (gains)/losses arising from changes in financial assumptions	(105.95)	Nil	(105.95)
Actuarial (gains)/losses arising from experience *	134.77	(6.11)	140.88
Amount recognised in Other Comprehensive Income	28.82	(14.08)	42.90
Employer contribution	Nil	244.60	(244.60)
Employee contribution	44.22	44.22	Nil
Benefits paid	(373.53)	(356.98)	(16.55)
Acquisitions credit/(cost)	31.72	31.72	Nil
Less: Amount recoverable from consumers for pre-acquisition period (Refer Note 35)	(4,214.42)	(299.43)	(3,914.99)
Balance as at March 31, 2023	1,624.35	1,148.78	475.57

* Includes ₹ 60.45 crore (March 31, 2022 - ₹ 339.26 crore) pertaining to pre-acquisition liabilities not transferred to the Group

Unfunded:

Post Employment Medical Benefits

The Group provides certain post-employment health care benefits to superannuated employees at some of its locations. In terms of the plan, the retired employees can avail free medical check-up and medicines at Group's facilities.

Pension (including Director pension)

The Group operates a defined benefit pension plan for employees who have completed 15 years of continuous service. The plan provides benefits to members in the form of a pre-determined lumpsum payment on retirement. Executive Director, on retirement, is entitled to pension payable for life including HRA benefit. The level of benefit is approved by the Board of Directors of the Group from time to time.

Ex-Gratia Death Benefit

The Group has a defined benefit plan granting ex-gratia in case of death during service. The benefit consists of a pre-determined lumpsum amount along with a sum determined based on the last drawn basic salary per month and the length of service.

Retirement Gift

The Group has a defined benefit plan granting a pre-determined sum as retirement gift on superannuation of an employee.

Funded/Unfunded:

Gratuity

The Group has a defined benefit gratuity plan. The gratuity plan is primarily governed by the Payment of Gratuity Act, 1972. The gratuity plan of the Odisha Distribution Companies acquired by the Group during the year is governed by the Odisha Civil Services (Pension) Rules, 1992 and the Payment of Gratuity Act, 1972. Employees who are in continuous service for a period of five years are eligible for gratuity. The level of benefits provided depends on the member's length of service and salary at the retirement date. The gratuity plan is a combination of funded plan and unfunded plan for various companies in the Group. In case of funded plan, the fund has the form of a trust and is governed by Trustees appointed by the Group. The Trustees are responsible for the administration of the plan assets and for the definition of the investment strategy in accordance with the trust regulations.

Notes to the Consolidated Financial Statements

29. Provisions (Contd.)

2.2 The principal assumptions used for the purposes of the actuarial valuations for funded and unfunded plan were as follows:

Valuation as at	As at March 31, 2023	As at March 31, 2022
Discount Rate	7.1% to 7.6% p.a.	6.8% to 7.2% p.a.
Salary Growth Rate	5% to 8% p.a.	5% to 8% p.a.
Turnover Rate	0.5% to 8% p.a.	0.5% to 8% p.a.
Pension Increase Rate	4% to 12% p.a.	4% to 5% p.a.
Annual Increase in Healthcare Cost	8% p.a.	8% p.a.
Mortality Table	Indian Assured Lives Mortality (2006-08) (modified) Ult & 100% of Indian Assured Lives Mortality (2012-2014)	Indian Assured Lives Mortality (2006-08) (modified) Ult & 100% of Indian Assured Lives Mortality (2012-2014)

2.3 The amounts recognised in the consolidated financial statements and the movements in the net defined benefit obligations over the year are as follows:

(a) Gratuity Fund Plan:	Present value of obligation ₹ crore	Fair value of plan assets ₹ crore	Net amount ₹ crore
Balance as at April 1, 2021*	444.59	(397.40)	47.19
Liability (includes amount recoverable from consumers for the pre-acquisition period - Refer Note 35)	194.76	(89.69)	105.07
Current service cost	42.02	Nil	42.02
Interest Cost/(Income)	43.97	(32.66)	11.31
Amount recognised in Consolidated Statement of Profit and Loss	85.99	(32.66)	53.33
Remeasurement (gains)/losses			
Return on plan assets excluding amounts included in interest cost/(income)	Nil	(8.68)	(8.68)
Actuarial (gains)/losses arising from changes in financial assumptions	(10.47)	Nil	(10.47)
Actuarial (gains)/losses arising from experience	113.44	Nil	113.44
Amount recognised in Other Comprehensive Income	102.97	(8.68)	94.29
Employer contribution	Nil	(64.42)	(64.42)
Benefits paid	(117.22)	77.93	(39.29)
Acquisitions credit/(cost)	(3.65)	Nil	(3.65)
Less: Amount recoverable from consumers for pre-acquisition period (Refer Note 35)	(146.28)	88.71	(57.57)
Others	0.26	0.16	0.42
Balance as at March 31, 2022 *	561.42	(426.05)	135.37

Notes to the Consolidated Financial Statements

29. Provisions (Contd.)

(a) Gratuity Fund Plan:	Present value of obligation	Fair value of plan assets	Net amount
	₹ crore	₹ crore	₹ crore
Balance as at April 1, 2022*	561.42	(426.05)	135.37
Liability (includes amount recoverable from consumers for the pre-acquisition period - Refer Note 35)	146.28	(88.71)	57.57
Current service cost	44.42	(0.03)	44.39
Interest Cost/(Income)	48.82	(37.64)	11.18
Amount recognised in Consolidated Statement of Profit and Loss	93.24	(37.67)	55.57
Remeasurement (gains)/losses			
Return on plan assets excluding amounts included in interest cost/(income)	Nil	12.11	12.11
Actuarial (gains)/losses arising from changes in financial assumptions	(22.33)	Nil	(22.33)
Actuarial (gains)/losses arising from experience	56.26	1.41	57.67
Amount recognised in Other Comprehensive Income	33.93	13.52	47.45
Employer contribution	Nil	(43.67)	(43.67)
Benefits paid	(99.14)	52.47	(46.67)
Acquisitions credit/(cost)	8.03	Nil	8.03
Less: Amount recoverable from consumers for pre-acquisition period (Refer note 35)	(217.93)	88.06	(129.87)
Others	(0.75)	Nil	(0.75)
Balance as at March 31, 2023 *	525.08	(442.05)	83.03

* Net assets is classified as "Other Current Assets"

(b) Unfunded Plan - Gratuity and Other Defined Benefit Plans:	Gratuity	Other Defined Benefit Plans
	Amount ₹ crore	Amount ₹ crore
Balance as at April 1, 2021	52.11	143.94
Liability (includes amount recoverable from consumers for the pre-acquisition period - Refer Note 35)	Nil	152.29
Current service cost	5.02	10.34
Past service cost	3.10	33.87
Interest Cost/(Income)	3.37	25.54
Amount recognised in Consolidated Statement of Profit and Loss	11.49	69.75
Remeasurement (gains)/losses		
Actuarial (gains)/losses arising from changes in demographic assumptions	(0.05)	7.79
Actuarial (gains)/losses arising from changes in financial assumptions	(2.02)	(7.19)
Actuarial (gains)/losses arising from experience	0.72	(19.11)
Amount recognised in Other Comprehensive Income	(1.35)	(18.51)
Benefits paid	(1.61)	(19.54)
Acquisitions credit/(cost)	11.92	Nil
Less: Amount recoverable from consumers for pre-acquisition period (Refer note 35)	Nil	(97.97)
Balance as at March 31, 2022	72.56	230.86

Notes to the Consolidated Financial Statements

29. Provisions (Contd.)

(b) Unfunded Plan - Gratuity and Other Defined Benefit Plans:

	Gratuity	Other Defined Benefit Plans
	Amount ₹ crore	Amount ₹ crore
Balance as at April 1, 2022	72.56	230.86
Liability (includes amount recoverable from consumers for the pre-acquisition period - Refer Note 35)	Nil	97.98
Current service cost	5.81	15.62
Past service cost	Nil	0.07
Interest Cost/(Income)	3.84	27.31
Amount recognised in Consolidated Statement of Profit and Loss	9.65	43.00
Remeasurement (gains)/losses		
Actuarial (gains)/losses arising from changes in demographic assumptions	0.09	(0.12)
Actuarial (gains)/losses arising from changes in financial assumptions	(2.02)	(14.46)
Actuarial (gains)/losses arising from experience	3.40	6.18
Amount recognised in Other Comprehensive Income	1.47	(8.40)
Benefits paid	(3.38)	(27.50)
Acquisitions credit/(cost)	(6.99)	2.66
Less: Amount recoverable from consumers for pre-acquisition period (Refer note 35)	Nil	1.33
Balance as at March 31, 2023	73.31	339.93

Reconciliation with amount presented in the Consolidated Balance Sheet

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Gratuity provision - funded	83.03	135.37
Gratuity provision - unfunded	73.31	72.56
	156.34	207.93
Non current provision for Gratuity (net)	261.22	298.11
Add : Current provision for Gratuity (net)	9.54	34.07
Less: Gratuity Assets classified as other assets	114.42	124.25
Gratuity provision (net)	156.34	207.93

Provision for Other defined benefit obligation

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Funded Plans other than Gratuity	475.57	294.59
Other Defined Benefit Plans - unfunded	339.93	230.86
Closing provision	815.50	525.45
Non current provision for Post-Employment Medical benefits	69.36	74.96
Add: Non current provision for Other defined benefit plans	721.05	377.61
Add: Current provision for Post-Employment Medical benefits	2.51	30.73
Add: Current provision for Other defined benefit plans	22.58	42.15
Closing provision as per above	815.50	525.45

Notes to the Consolidated Financial Statements

29. Provisions (Contd.)

2.4 Sensitivity analysis

The sensitivity of the defined benefit obligations to changes in the weighted principal assumptions is:

	Change in assumption		Increase in assumption		Decrease in assumption	
	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
			₹ crore	₹ crore	₹ crore	₹ crore
			Increase/(Decrease) in defined benefit obligation		Increase/(Decrease) in defined benefit obligation	
Discount rate	0.5% to 1%	0.5% to 1%	(225.95)	(202.51)	273.52	264.63
Salary/Pension growth rate	0.5% to 1%	0.5% to 1%	100.16	132.27	(95.58)	(25.98)
Mortality rates	1 year	1 year	(5.09)	(5.87)	5.02	3.12
Healthcare cost	0.5% to 5%	0.5% to 5%	4.75	5.17	(4.25)	(4.17)

The above sensitivity analysis is based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the defined benefit liability recognised in the Consolidated Balance Sheet.

The method and types of assumptions used in preparing the sensitivity analysis did not change compared to the prior period.

These plans typically expose the Group to actuarial risks such as: Investment Risk, Interest Risk, Longevity Risk and Salary Risk.

Investment Risk The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on government bonds.

Interest Risk A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan debt investments.

Longevity Risk The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary Risk The present value of the defined plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

2.5 The expected maturity analysis of undiscounted defined benefit obligation (Funded and Unfunded) is as follows:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Within 1 year	444.92	372.33
Between 1 - 2 years	504.57	460.43
Between 2 - 3 years	476.21	423.58
Between 3 - 4 years	497.16	376.57
Between 4 - 5 years	529.60	398.26
Beyond 5 years	2,489.24	2,093.92
The weighted average duration of:	As at March 31, 2023	As at March 31, 2022
Provident Fund	8.31 Years	8.00 Years
Gratuity Fund	7.4 Years to 10 Years	7.4 Years to 10 Years

2.6 Risk exposure:

Through its defined benefit plans, the Group is exposed to a number of risks, the most significant of which are detailed below:

Asset volatility:

The plan liabilities are calculated using a discount rate set with reference to government bond yield. If plan assets underperform this yield, it will result in deficit. These are subject to interest rate risk.

Notes to the Consolidated Financial Statements

29. Provisions (Contd.)

Inflation rate risk:

Higher than expected increase in salary and medical cost will increase the defined benefit obligation.

Demographic risk:

This is the risk of variability of results due to unsystematic nature of decrements that include mortality, withdrawal, disability and retirement. The effect of these decrements on the defined benefit obligations is not straight forward and depends upon the combination of salary increase, discount rate and vesting criterion.

2.7 Major categories of plan assets:

Plan assets are funded with the trust set up by the Group. The Insurer trust invests the funds in various financial instruments. Major categories of plan assets are as follows:

	Provident Fund		Gratuity		Pension	
	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022
	%	%	%	%	%	%
Quoted Equity Instruments	8%	7%	11%	18%	4%	3%
Debt & Other Instruments	40%	40%	42%	45%	46%	48%
Government Securities	52%	53%	47%	37%	50%	49%

30. Other Liabilities

	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Non-current		
Consumers' Benefit Account	Nil	14.32
Deferred Revenue - Service Line Contributions from Consumers	5,859.05	5,159.21
Advance from Customers	36.68	35.77
Payable to Beneficiaries	67.36	35.61
Deferred Rent Liability	40.79	41.78
Deferred Revenue Liability	1,854.52	1,362.69
Deferred Revenue Grant	332.45	262.19
Government Grant towards cost of capital assets (Pending to be utilised)	1,656.97	1,227.72
Total	9,847.82	8,139.29
	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Current		
Statutory Liabilities	672.49	655.56
Advance from Customers/Public Utilities	953.19	182.08
Advance from Consumers	1,504.72	997.52
Liabilities towards Consumers	249.09	226.17
Statutory Consumer Reserves	205.25	191.57
Deferred Revenue Liability	37.07	36.79
Other Liabilities	566.60	489.39
Total	4,188.41	2,779.08

Notes to the Consolidated Financial Statements

31. Current Borrowings - At Amortised Cost

	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Unsecured		
(i) From Banks		
(a) Buyer's Line of Credit	257.45	373.13
(b) Bank Overdraft - repayable on demand	32.82	169.59
(c) Short-term Loans	1,775.00	1,880.20
From Others		
(d) From Related Parties	1,290.59	830.31
(e) Commercial Papers	4,387.36	2,186.12
	7,743.22	5,439.35
(ii) Secured		
From Banks		
(a) Short-term Loans	1,373.27	1,457.04
(b) Cash Credit from Bank	25.98	18.64
(c) Bank Overdraft - repayable on demand	58.68	59.99
	1,457.93	1,535.67
(iii) Current Maturities of Long-term Debt (Refer Note 24)	9,064.79	7,885.28
Total	18,265.94	14,860.30

Security

Short-term Loans and Buyer's Line of Credit availed by various entities of the Group are secured by a charge on immovable property of certain entities, both present and future and are also secured by way of charge on tangible and intangible assets, current assets, receivables and stores and spares, uncalled capital receivables, rights under project documents, project cash flows, pledge of shares and monies receivable of the respective entities.

Notes to the Consolidated Financial Statements

32. Revenue from Operations

Revenue recognition

Accounting Policy

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services.

Description of performance obligations are as follows:

(i) Sale of Power - Generation (Thermal and Hydro)

Revenue from sale of power is recognised net of cash discount over time for each unit of electricity delivered.

a) Contract price determined as per tariff regulations

The Group as per the prevalent tariff regulations is required to recover its Annual Revenue Requirement ('ARR') comprising of expenditure on account of fuel cost, operations and maintenance expenses, financing costs, taxes and assured return on regulator approved equity with additional incentive for operational efficiencies. Accordingly, rate per unit is determined using input method based on the Group's efforts to the satisfaction of a performance obligation to deliver power. As per tariff regulations, the Group determines ARR and any surplus/shortfall in recovery of the same is accounted as revenue.

b) Contract Price as per long term agreements

Rate per unit is determined using input method based on the Group's efforts to the satisfaction of a performance obligation to deliver power. Variable consideration forming part of total transaction price will be allocated and recognised when the terms of variable payment relate specifically to the Group's efforts to satisfy the performance obligation i.e. in the year of occurrence of event linked to variable consideration. The transaction price is adjusted for significant financing component, if any and the adjustment is accounted as finance cost.

(ii) Sale of Power - Generation (Wind and Solar)

Revenue from sale of power is recognised net of cash discount over time for each unit of electricity delivered at the contracted rate. The transaction price is adjusted for significant financing component, if any and the adjustment is accounted as finance cost.

(iii) Transmission of Power

Revenue from transmission of power is recognised net of cash discount over time for transmission of electricity. The Group as per the prevalent tariff regulations is required to recover its Annual Revenue Requirement ('ARR') comprising of expenditure on account of operations and maintenance expenses, financing costs, taxes and assured return on regulator approved equity with additional incentive for operational efficiencies.

Input method is used to recognise revenue based on the Group's efforts or inputs to the satisfaction of a performance obligation to deliver power.

As per tariff regulations, the Group determines ARR and any surplus/shortfall in recovery of the same is accounted as revenue.

(iv) Sale of Power - Distribution

Revenue from sale of power is recognised net of cash discount over time for each unit of electricity delivered at the predetermined rate.

(v) Trading of power

In the arrangements where the Group is acting as an agent, the revenue is recognised on net basis when the units of electricity are delivered to power procurers because this is when the Group transfers control over its services and the customer benefits from the Group's such agency services.

The Group determines its revenue on certain contracts net of power purchase cost based on the following factors:

- a. another party is primarily responsible for fulfilling the contract as the Group does not have the ability to direct the use of power supplied or obtain benefits from supply of power.
- b. the Group does not have inventory risk before or after the power has been delivered to customers as the power is directly supplied to customer.
- c. the Group has no discretion in establishing the price for supply of power. The Group's consideration in these contracts is only based on the difference between sales price charged to procurer and purchase price given to supplier.

For other contracts which does not qualify the conditions mentioned above, revenue is determined on gross basis.

Notes to the Consolidated Financial Statements

32. Revenue from Operations (Contd.)

(vi) Sale of Solar Products

Revenue from turnkey contracts, which are generally time bound fixed price contracts, are recognised over the life of the contract using the proportionate completion method, with contracts costs determining the degree of completion. Foreseeable losses on such contracts are recognised when probable.

(vii) Rendering of Services

Revenue from a contract to provide services is recognised over time based on :

Input method where the extent of progress towards completion is measured based on the ratio of costs incurred to date to the total estimated costs at completion of performance obligation. Revenue, including estimated fees or profits, are recorded proportionally based on measure of progress.

Output method where direct measurements of value to the customer based on survey's of performance completed to date.

Revenue is recognised net of cash discount at a point in time at the contracted rate.

(viii) Consumers are billed on a monthly basis and are given credit period of 30 to 60 days for payment.

There is no significant judgement involved while evaluating the timing as to when customers obtain control of promised goods and services.

(ix) In the regulated operations of the Group where tariff recovered from consumers is determined on cost plus return on equity, the Income tax cost is pass through cost and accordingly the Group recognises Deferred tax recoverable / payable against any Deferred tax expense/ income. The same has now been included in 'Revenue from Operations' in case of Generation and Transmission Divisions and 'Net Movement in Regulatory Deferral Balances' in case of Distribution Division.

There is no significant judgement involved while evaluating the timing as to when customers obtain control of promised goods and services.

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
(a) Revenue from Power Supply and Transmission Charges [Refer Note below]	55,161.40	41,447.09
Add/(Less): Cash Discount	(444.19)	(279.59)
Add/(Less): Income to be adjusted in future tariff determination (Net)	182.03	109.90
Add/(Less): Income to be adjusted in future tariff determination (Net) in respect of earlier years	(3.97)	Nil
Add/(Less): Deferred Tax Recoverable/Payable	16.01	46.12
Add/(Less): Power Purchase Cost (where Group acts as an agent)	(7,787.42)	(5,840.59)
	47,123.86	35,482.93
(b) Revenue from Power Supply - Assets Under Finance Lease	1,170.17	1,022.35
(c) Project/Operation Management Services	238.18	174.03
(d) Revenue from Sale of		
Solar Products	4,894.93	4,598.48
Electronic Products	74.69	66.29
	4,969.62	4,664.77
(e) Income from Finance Lease	87.92	82.90
(f) Finance Income from Service Concession Agreement	34.14	34.70

Notes to the Consolidated Financial Statements

32. Revenue from Operations (Contd.)

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
(g) Other Operating Revenue		
Rental of Land, Buildings, Plant and Equipment, etc.	25.53	18.95
Charter Hire	57.42	46.12
Income in respect of Services Rendered	430.40	384.99
Amortisation of Capital Grants	1.20	1.93
Amortisation of Service Line Contributions	355.47	315.77
Income from Storage & Terminal charges	18.49	16.67
Sale of Fly Ash	19.16	10.77
Sale of Carbon Credits	2.03	Nil
Sale of Products - Trading	0.70	1.02
Freight Revenue	Nil	1.02
Sale of Renewable Energy Certificates	48.68	42.91
Meter Rent	161.20	114.90
Open access cross subsidy	63.32	57.98
Miscellaneous Revenue and Sundry Credits	301.59	340.96
Total	1,485.19	1,353.99
	55,109.08	42,815.67

Note:

- (i) In relation to Mundra Power Plant,
- The Group supplied power to Gujarat Urja Vikas Nigam Ltd ("GUVNL") for the period January 1, 2022 to May 5, 2022 based on the draft Supplementary Power Purchase Agreement ("SPPA") which is still under discussion and accordingly, during the current year the Group has recognised additional revenue of ₹ 277.00 crore (March 31, 2022: ₹ 324.00 crore). Management believes that the Group has an enforceable right to recover the tariff as per the draft SPPA and does not expect any significant reversal in the amount recognised as revenue.
 - On May 5, 2022, Ministry of Power ("MoP") issued directions under Section 11 of the Electricity Act, 2003 to all imported coal-based power plants including Mundra plant to operate and generate power to their full capacity. Accordingly, the Group has declared availability and supplied power as per the MoP directions from May 6, 2022 to December 31, 2022. Further, the Group has filed petitions with Central Electricity Regulatory Commission (CERC) seeking clarifications on determination of tariff. On September 13, 2022 and January 3, 2023 CERC passed favourable orders in relation to determination of tariff during such period. Accordingly, the Group has recognised revenue based on such orders [Refer Note 41(e)].
- (ii) During the previous year, Tata Power Renewables Energy Limited and its subsidiaries ("Renewable entities") based on various orders by judicial authorities and legal opinions obtained, have assessed its claims under various contracts with customers and vendors. Accordingly, Renewable entities have recognised revenue from operations amounting to ₹ 259.46 crore (including an amount of ₹ 170.45 crore relating to earlier years). Management believes that the Group has an enforceable right to recover the claims and does not expect any significant reversal in the amount recognised as revenue.

Details of Revenue from Contract with Customers

Particulars	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Total Revenue from Contract with Customers	54,110.84	41,884.93
Less: Significant Financing Component	(42.64)	(95.88)
Add: Cash Discount/Rebates etc.	444.19	279.59
Total Revenue as per Contracted Price	54,512.39	42,068.64

Notes to the Consolidated Financial Statements

32. Revenue from Operations (Contd.)

Transaction Price - Remaining Performance Obligation

The remaining performance obligation disclosure provides the aggregate amount of the transaction price yet to be recognised as at the end of the reporting period and an explanation as to when the Group expects to recognise these amounts in revenue. Applying the practical expedient as given in Ind AS 115, the Group has not disclosed the remaining performance obligation related disclosures for contracts as the revenue recognised corresponds directly with the value to the customer of the entity's performance completed to date.

The aggregate value of performance obligations that are partially unsatisfied as at March 31, 2023, other than those meeting the exclusion criteria mentioned above is ₹ 78,900.93 crore (March 31, 2022 - ₹ 75,855.47 crore). Out of this, the Group expects to recognise revenue of around 11.93% (March 31, 2022 - 10.88%) within the next one year and the remaining thereafter.

Revenue Disaggregation

Revenue is disaggregated by type and nature of product or services. The table also includes the reconciliation of the disaggregated revenue with the Group's reportable segment.

Nature of Goods/Services	Revenue from Contracts with Customers		Other than Revenue from Contracts with Customers		Total (Before Inter Segment Elimination)		Inter Segment		Total	
	For the year ended March 31, 2023	For the year ended March 31, 2022	For the year ended March 31, 2023	For the year ended March 31, 2022	For the year ended March 31, 2023	For the year ended March 31, 2022	For the year ended March 31, 2023	For the year ended March 31, 2022	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
Generation										
Sale of Power	16,708.90	9,837.76	Nil	Nil	16,708.90	9,837.76	4,950.69	3,768.98	11,758.21	6,068.78
Sale of Power from Assets Under Lease	1,170.17	1,022.35	Nil	Nil	1,170.17	1,022.35	Nil	Nil	1,170.17	1,022.35
Project/Operation Management Services	129.58	111.25	Nil	Nil	129.58	111.25	0.15	0.13	129.43	111.12
Charter Hire	57.42	46.12	Nil	Nil	57.42	46.12	Nil	Nil	57.42	46.12
Income in respect of Services Rendered	5.41	55.76	Nil	Nil	5.41	55.76	Nil	Nil	5.41	55.76
Sale of Fly Ash	19.16	10.77	Nil	Nil	19.16	10.77	Nil	Nil	19.16	10.77
Income from Finance Lease	Nil	Nil	75.42	77.68	75.42	77.68	Nil	Nil	75.42	77.68
Rental of Land, Buildings, Plant and Equipment, etc.	Nil	Nil	5.53	4.17	5.53	4.17	0.22	Nil	5.31	4.17
Amortisation of Service Line Contributions	Nil	Nil	Nil	0.05	Nil	0.05	Nil	Nil	Nil	0.05
Miscellaneous Revenue, Meter Rent, Open access cross subsidy and Sundry Credits	Nil	Nil	39.76	44.10	39.76	44.10	Nil	0.66	39.76	43.44
Freight Revenue	Nil	1.02	Nil	Nil	Nil	1.02	Nil	Nil	Nil	1.02
Total (A)	18,090.64	11,085.03	120.71	126.00	18,211.35	11,211.03	4,951.05	3,769.77	13,260.29	7,441.26
Renewables										
Sale of Power	3,088.39	2,776.86	Nil	Nil	3,088.39	2,776.86	367.74	236.67	2,720.65	2,540.19
Project/Operation Management Services	48.68	39.29	Nil	Nil	48.68	39.29	0.80	0.57	47.88	38.72
Sale of Solar Products	4,904.07	4,830.16	Nil	Nil	4,904.07	4,830.16	9.13	231.69	4,894.94	4,598.47
Electronic Products	7.53	Nil	Nil	Nil	7.53	Nil	Nil	Nil	7.53	Nil
Income in respect of Services Rendered	40.17	3.23	Nil	Nil	40.17	3.23	Nil	Nil	40.17	3.23
Sale of REC certificates	47.51	41.52	Nil	Nil	47.51	41.52	Nil	Nil	47.51	41.52
Finance Income from Service Concession Agreement	33.80	34.53	Nil	Nil	33.80	34.53	Nil	Nil	33.80	34.53
Income from Finance Lease	Nil	Nil	12.50	3.09	12.50	3.09	Nil	Nil	12.50	3.09
Rental of Land, Buildings, Plant and Equipment, etc.	Nil	Nil	1.00	1.12	1.00	1.12	Nil	Nil	1.00	1.12
Amortisation of Capital Grants	Nil	Nil	0.62	1.23	0.62	1.23	Nil	Nil	0.62	1.23

Notes to the Consolidated Financial Statements

32. Revenue from Operations (Contd.)

	Revenue from Contracts with Customers		Other than Revenue from Contracts with Customers		Total (Before Inter Segment Elimination)		Inter Segment		Total	
	For the year ended March 31, 2023	For the year ended March 31, 2022	For the year ended March 31, 2023	For the year ended March 31, 2022	For the year ended March 31, 2023	For the year ended March 31, 2022	For the year ended March 31, 2023	For the year ended March 31, 2022	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
Miscellaneous Revenue, Meter Rent, Open access cross subsidy and Sundry Credits	Nil	Nil	10.61	17.87	10.61	17.87	Nil	Nil	10.61	17.87
Sale of Carbon Credits	Nil	Nil	2.03	Nil	2.03	Nil	Nil	Nil	2.03	Nil
Total (B)	8,170.15	7,725.59	26.76	23.31	8,196.91	7,748.90	377.67	468.93	7,819.24	7,279.97
Transmission and Distribution of Power										
Sale of Power	32,639.08	26,867.43	Nil	Nil	32,639.08	26,867.43	Nil	Nil	32,639.08	26,867.43
Project/Operation Management Services	57.22	22.04	Nil	Nil	57.22	22.04	Nil	Nil	57.22	22.04
Electronic Products	0.26	Nil	Nil	Nil	0.26	Nil	Nil	Nil	0.26	Nil
Income in respect of Services Rendered	60.99	69.99	Nil	Nil	60.99	69.99	Nil	Nil	60.99	69.99
Sale of Products - Trading	0.70	1.02	Nil	Nil	0.70	1.02	Nil	Nil	0.70	1.02
Sale of REC certificates	1.17	1.41	Nil	Nil	1.17	1.41	Nil	Nil	1.17	1.41
Finance Income from Service Concession Agreement	0.33	0.17	Nil	Nil	0.33	0.17	Nil	Nil	0.33	0.17
Income from Finance Lease	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Rental of Land, Buildings, Plant and Equipment, etc.	Nil	Nil	15.48	8.16	15.48	8.16	Nil	Nil	15.48	8.16
Amortisation of Capital Grants	Nil	Nil	0.57	0.70	0.57	0.70	Nil	Nil	0.57	0.70
Amortisation of Service Line Contributions	Nil	Nil	355.47	315.71	355.47	315.71	Nil	Nil	355.47	315.71
Miscellaneous Revenue, Meter Rent, Open access cross subsidy and Sundry Credits	Nil	Nil	474.04	446.01	474.04	446.01	Nil	Nil	474.04	446.01
Net movement in Regulatory Deferral Balances	Nil	Nil	924.05	(239.47)	924.05	(239.47)	Nil	Nil	924.05	(239.47)
Total (C)	32,759.75	26,962.06	1,769.61	531.11	34,529.36	27,493.17	Nil	Nil	34,529.36	27,493.17
Others										
Sale of Power	5.88	6.58	Nil	Nil	5.88	6.58	Nil	Nil	5.88	6.58
Project/Operation Management Services	0.83	0.06	Nil	Nil	0.83	0.06	0.83	Nil	Nil	0.06
Sale of Electronic Products	67.95	66.29	Nil	Nil	67.95	66.29	1.05	Nil	66.90	66.29
Income in respect of Services Rendered	317.70	223.85	Nil	Nil	317.70	223.85	68.60	7.97	249.10	215.88
Income from Storage & Terminal Charges	18.49	16.67	Nil	Nil	18.49	16.67	Nil	Nil	18.49	16.67
Income from Finance Lease	Nil	Nil	Nil	2.13	Nil	2.13	Nil	Nil	Nil	2.13
Rental of Land, Buildings, Plant and Equipment, etc.	Nil	Nil	2.71	2.22	2.71	2.22	2.70	2.22	0.01	Nil
Miscellaneous Revenue, Meter Rent, Open access cross subsidy and Sundry Credits	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Total (D)	410.85	313.45	2.71	4.35	413.56	317.80	73.18	10.19	340.38	307.61
Unallocable										
Project/Operation Management Services	3.65	2.14	Nil	Nil	3.65	2.14	Nil	Nil	3.65	2.14
Rental of Land, Buildings, Plant and Equipment, etc.	Nil	Nil	3.73	5.48	3.73	5.48	Nil	Nil	3.73	5.48
Income in respect of Services Rendered	74.73	40.07	Nil	Nil	74.73	40.07	Nil	Nil	74.73	40.07
Miscellaneous Revenue, Meter Rent, Open access cross subsidy and Sundry Credits	Nil	2.64	1.75	3.90	1.75	6.54	Nil	0.04	1.75	6.50
Total (E)	78.38	44.85	5.48	9.38	83.86	54.23	Nil	0.04	83.86	54.19
Revenue from Continued Operations (A + B + C +D +E)	59,509.78	46,130.98	1,925.27	694.15	61,435.04	46,825.13	5,401.90	4,248.93	56,033.13	42,576.20

Notes to the Consolidated Financial Statements

32. Revenue from Operations (Contd.)

Reconciliation of Revenue	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue from Continued Operations as per above	56,033.13	42,576.20
Net movement in Regulatory Deferral Balances	(924.05)	239.47
Total Revenue from Operations	55,109.08	42,815.67
Contract Balances	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Contract Assets		
Recoverable from Consumers		
Non-Current	1,639.02	1,408.30
Unbilled Revenue other than passage of time	9.44	27.81
Total Contract Assets	1,648.46	1,436.11
Contract Liabilities		
Deferred Revenue Liability		
Non-Current	1,854.52	1,362.69
Current	37.07	85.53
Advance from Consumers		
Non-Current	36.68	35.77
Current	1,504.72	997.52
Liabilities towards Consumers		
Non-Current	67.36	35.61
Current	249.09	226.17
Total Contract Liabilities	3,749.44	2,743.29
Receivables		
Trade Receivables (Gross)		
Non-Current	359.85	687.59
Current	7,968.00	6,553.30
Recoverable from Consumers		
Current	27.41	98.68
Unbilled Revenue for passage of time		
Non-Current	118.69	114.64
Current	2,456.71	2,285.57
(Less): Allowances for Doubtful Debts		
Non-Current	(0.22)	(1.81)
Current	(1,015.85)	(573.56)
Net Receivables	9,914.59	9,164.41

Notes to the Consolidated Financial Statements

32. Revenue from Operations (Contd.)

Contract assets

A contract asset is the right to consideration in exchange for goods or services transferred to the customer. Contract assets are transferred to receivables when the rights become unconditional.

Contract Liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before transfer of goods or services, a contract liability is recognised when actual payment is made or the payment is due (whichever is earlier). Contract liabilities are recognised as revenue when the performance obligation is satisfied.

Significant changes in the contract assets and the contract liabilities balances during the year are as follows:

Movement in Recoverable from consumers and Liabilities towards consumers

Particulars	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Opening Balance		
- Recoverable from consumers	1,408.30	1,161.06
- Liabilities towards consumers	(261.78)	(240.09)
	1,146.52	920.97
Income to be adjusted in future tariff determination (Net)	182.03	109.90
Income to be adjusted in future tariff determination (Net) in respect of earlier years	(3.97)	Nil
Refund to Customers (including Group's Distribution Business)	Nil	67.40
Deferred tax recoverable/(payable)	16.01	46.12
Others	(18.02)	2.13
	176.05	225.55
Closing Balance		
- Recoverable from consumers	1,639.02	1,408.30
- Liabilities towards consumers	(316.45)	(261.78)
	1,322.57	1,146.52

Movement in Unbilled Revenue other than passage of time, Advance from consumers and Deferred Revenue Liabilities

Particulars	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Opening Balance		
- Unbilled Revenue other than passage of time	27.81	40.84
- Advance from consumers	1,033.29	921.89
- Deferred Revenue	1,448.22	1,183.96
	2,509.32	2,146.69
Revenue recognised during the year	(581.32)	(821.95)
Advance received during the year	1,608.49	1,212.75
Interest for the year	42.64	95.88
Transfer to receivables	(136.70)	(124.05)
	933.11	362.63
Closing Balance		
- Unbilled Revenue other than passage of time	9.44	27.81
- Advance from consumers	1,541.40	1,033.29
- Deferred Revenue	1,891.59	1,448.22
	3,442.43	2,509.32

Notes to the Consolidated Financial Statements

33. Other Income

Accounting Policy

Dividend income from investments is recognised when the shareholder's right to receive payment has been established.

Interest income from a financial asset is recognised when it is probable that the economic benefits will flow to the Group and the amount of income can be measured reliably. Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

Consumers are billed on a monthly basis and are given average credit period of 30 to 60 days for payment. No delayed payment charges ('DPC') is charged for the initial 30 days from the date of receipt of invoice by customer. Thereafter, DPC is charged at the rate prescribed by the Power Purchase Agreement on the outstanding balance once the dues are received. Revenue in respect of delayed payment charges and interest on delayed payments leviable as per the relevant contracts are recognised on actual realisation or accrued based on an assessment of certainty of realization supported by either an acknowledgement from customers or on receipt of favourable order from regulatory authorities.

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
(a) Interest Income		
(i) Financial Assets held at Amortised Cost		
Interest on Banks Deposits	275.49	143.18
Interest on Overdue Trade Receivables (Refer Note 2 below)	155.96	108.30
Interest on Non-current Investment - Statutory Consumer Reserve	19.85	19.08
Interest on Non-current Investment - Deferred Tax Liability Fund	Nil	0.10
Interest on Loans to Joint Controlled Entity	Nil	0.39
Interest on Loans and Advances	32.58	14.95
	483.88	286.00
(ii) Interest on Income-Tax Refund	29.77	6.50
	513.65	292.50
(b) Dividend Income		
From Non-current Investments measured at FVTPL	12.14	6.79
Dividend from Joint Venture classified as assets held for sale (Refer Note 1 below)	512.00	Nil
	524.14	6.79
(c) Gain/(Loss) on Investments		
Gain on Sale of Current Investment measured at FVTPL	92.22	18.96
Reclassification of Foreign Currency Translation Reserve from OCI (Refer Note 4 below)	Nil	199.64
	92.22	218.60
(d) Other Non-operating Income		
Discount amortised/accrued on Bonds (Net)	3.00	Nil
Commission earned	11.15	9.61
Gain/(Loss) on Disposal of Property, Plant and Equipment (Net)	(29.97)	(41.09)
Delayed Payment Charges	94.77	68.31
Liability written back (Refer Note 3 below)	13.29	71.97
Management Fees	48.80	113.91
Miscellaneous Income (Refer Note - 5 below)	166.97	179.36
	308.01	402.07
Total	1,438.02	919.96

Note:

- During the year, the Board of Directors of PT Arutmin Indonesia, an investment classified as asset held as sale, in its meeting dated March 21, 2023 has declared a dividend and accordingly the Group has recognised ₹ 512 crore (March 31, 2022 - ₹ Nil) as other Income in the Consolidated Financial Statement.
- During the year ended March 31, 2023, Tamil Nadu Generation and Distribution Corporation Limited ("TN Discom") has accepted the Group claim of late payment surcharges for solar assets amounting to ₹ 107.63 crore (March 31, 2022 - ₹ Nil). TN Discom had given Bill of Exchange (BOE) for 90% of the claim amount. Accordingly, the Group has accounted the said amount as Other Income in the Consolidated Financial Statement.

Notes to the Consolidated Financial Statements

33. Other Income (Contd.)

- 3) With respect to Mundra Power Plant, the Group is required to comply with ash disposal requirements in accordance with the requirements of the Environment Clearance (EC) and the relevant notifications issued by the Ministry of Environment & Forests (MOEF) from time to time. On February 12, 2020, National Green Tribunal (NGT) had passed an order prescribing the formula for determination of Environment Compensation for non-compliance. The order was subject to proceedings pending before the Hon'ble Supreme Court. The Supreme Court had granted an Interim Stay in the matter. On December 31, 2021, MOEF issued a notification prescribing revised timelines and manner of utilization of legacy ash. The Group believes that it will be able to utilize the legacy fly ash within the revised applicable timeline. Accordingly during the previous year, the Group has reversed the provision of ₹ 21.74 crore recognised in earlier years pursuant to the order passed by National Green Tribunal on February 12, 2020.
- 4) During the previous year, the Holding Company had sold its investment in Trust Energy Resources Pte. Limited ("TERPL"), a wholly owned subsidiary to Tata Power International Pte Limited, another wholly owned subsidiary for a consideration of ₹ 2,127.00 crore (USD 286.00 Million). Accordingly, the cumulative amount of the translation differences relating to consolidation of TERPL amounting to ₹ 199.64 crore, recognised in Other Comprehensive Income and accumulated as a separate component of equity, was reclassified from equity to Consolidated Statement of Profit and Loss as other income.
- 5) During the previous year, the Group through, the one of its subsidiary Tata Power Renewable Energy Limited ('TPREL') has accrued and subsequently received a sum of ₹ 61.27 crore from an overseas module supplier, being total discharge of warranty obligations towards three operating plants of Walwhan Renewable Energy Limited.

34. Raw Materials Consumed and Decrease/(Increase) in Work-in-Progress/Finished Goods/Stock-in-Trade

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
(a) Raw Materials Consumed		
Opening Stock	1,296.99	316.79
Add: Purchases	3,234.81	4,813.03
	4,531.80	5,129.82
Less: Closing Stock	649.50	1,296.99
Total	3,882.30	3,832.83
b) Decrease/(Increase) in Work-in-Progress/Finished Goods/Stock-in-Trade		
Work-in-Progress		
Inventory at the beginning of the year	11.99	6.42
Add: Additions during the year	Nil	Nil
	11.99	6.42
Less: Inventory at the end of the year	6.99	11.99
	5.00	(5.57)
Finished Goods		
Inventory at the beginning of the year	287.81	94.15
Add: Purchase/Used during the year	7.69	0.01
	295.50	94.16
Less: Inventory at the end of the year	256.97	287.81
	38.53	(193.65)
Total	43.53	(199.22)

Notes to the Consolidated Financial Statements

35. Employee Benefits Expense (Net)

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Salaries and Wages	2,619.74	2,466.19
Contribution to Provident and Pension Fund [Refer Note 29(1) & 29(2.1)]#	685.51	731.99
Contribution to Superannuation Fund [Refer Note 29(1)]	9.33	8.49
Gratuity [Refer Note 29 (2.3)]*	81.40	128.03
Compensated Absences	86.82	68.55
Pension	44.98	71.73
Staff Welfare Expenses	283.49	266.42
	3,811.27	3,741.40
Less:		
Employee Cost Capitalised	177.14	119.66
Employee Cost Inventorised	9.87	10.11
	187.01	129.77
Total	3,624.26	3,611.63

Includes ₹ 294.40 crore (March 31, 2022- ₹ 427.99 crore), being direct payment made towards acquisition date liabilities of past employees (Refer Note below)

* Includes ₹ 16.18 crore (March 31, 2022- ₹ 63.20 crore), being direct payment made towards acquisition date liabilities of past employees (Refer Note below)

Note:

In relation to acquisition of Odisha Discoms, as per terms of the Vesting Order and the Carve Out Order states that for entire liabilities towards pension, gratuity and compensated absences of employees retired before the acquisition date and acquisition date liabilities of continuing employees on the acquisition date, the Group's responsibility is limited only to remitting fixed amount requested by the respective Trusts and the same shall be allowed to be recovered from consumers on behalf of the respective Trusts for disbursement to the beneficiaries covered under the Trusts. The Group has recognised amount payable to the Trusts for the current year for onward payment of the said liabilities and have as an expense as they fall due.

Notes to the Consolidated Financial Statements

36. Finance Costs

Accounting Policy

Borrowing Costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. Interest income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in Consolidated Statement of Profit and Loss in the period in which they are incurred.

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
(a) Interest Expense:		
On Borrowings - At Amortised Cost		
Interest on Debentures	1,073.06	1,346.75
Interest on Loans - Banks & Financial Institutions	2,241.28	1,659.23
Interest paid to Joint Ventures	115.19	34.79
Others		
Interest on Consumer Security Deposits (Carried at Amortised Cost)	257.99	167.77
Other Interest and Commitment Charges	196.42	123.37
Interest on Lease Liability (at amortised cost)	343.00	319.78
	4,226.94	3,651.69
Less: Interest Capitalised	161.55	45.48
Less: Interest Inventorised	21.27	15.76
	4,044.12	3,590.45
(b) Other Borrowing Cost:		
Other Finance Costs	343.95	273.79
Foreign Exchange Loss/(Gain) on Borrowings (Net)	(0.25)	(5.22)
Less: Finance Charges Capitalised	(16.17)	Nil
	327.53	268.57
Total	4,371.65	3,859.02

Note:

The weighted average capitalisation rate on the Group's general borrowings is in the range of 5.73% to 8.07% p.a. (March 31, 2022 - 5.49% to 9.00% p.a.).

Notes to the Consolidated Financial Statements

37. Other Expenses

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Consumption of Stores, Oil, etc.	180.37	170.59
Rental of Land, Buildings, Plant and Equipment, etc.	158.56	114.07
Repairs and Maintenance -		
(i) Buildings and Civil Works	163.80	144.67
(ii) Machinery and Hydraulic Works	1,558.01	1,221.15
(iii) Furniture, Vehicles, etc.	104.44	87.30
	1,826.25	1,453.12
Rates and Taxes	145.51	93.68
Insurance	147.12	131.40
Other Operation Expenses	568.76	601.32
Ash Disposal Expenses	59.39	40.49
Warranty Charges	26.07	10.67
Travelling and Conveyance Expenses	160.10	99.87
Consultants' Fees	125.38	71.45
Compensation Expense (Net)	192.85	Nil
Auditors' Remuneration	18.10	13.57
Cost of Services Procured	1,032.93	697.41
Agency Commission	18.87	1.06
Bad Debts	51.54	11.94
Allowance for Doubtful Debts and Advances (Net)	383.81	127.62
Provision for foreseeable losses	18.52	Nil
Net Loss on Foreign Exchange	325.01	167.09
Legal Charges	110.93	104.26
Corporate Social Responsibility Expenses	45.50	35.20
Transfer to Statutory Consumer Reserve	13.68	12.57
Marketing Expenses	1.33	3.25
Miscellaneous Expenses	164.73	99.79
Total	5,775.31	4,060.42

38a. Current Tax

Accounting Policy

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date in the countries where the respective subsidiary companies operates and generates taxable income.

Current income tax relating to items recognised outside statement of profit and loss is recognised outside statement of profit and loss (either in Other Comprehensive Income or in Equity). Current tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Notes to the Consolidated Financial Statements

38a. Current Tax (Contd.)

(i) Income taxes recognised in Consolidated Statement of Profit and Loss

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Current Tax	804.33	580.30
Current Tax in respect of earlier years [Refer Note 3 (i) & (iii) below]	(52.37)	(105.11)
Deferred Tax	1,010.30	133.31
Deferred Tax relating to earlier years [Refer Note 3(ii) below]	(114.93)	(588.56)
Remeasurement of Deferred Tax on account of New Tax Regime (net) [Refer Note 3(iii) below]	Nil	359.62
Total income tax expense recognised in the current year	1,647.33	379.56

The income tax expense for the year can be reconciled to the accounting profit as follows:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Profit/(Loss) before tax for Continuing Operation	5,457.00	3,003.00
Profit/(Loss) before tax for Discontinuing Operation	Nil	(467.83)
Profit/(Loss) before tax considered for tax working	5,457.00	2,535.17
Income tax expense calculated at 25.168% (March 31, 2022 - 25.168%)	1,373.42	638.05
Add/(Less) tax effect on account of :		
Share of profit of associate and joint venture	(805.24)	(488.97)
Deferred tax not recognised on Impairment provision/(reversal) of non current investment and losses	100.01	112.89
Effect of tax holiday period	(164.66)	(148.56)
Deferred Tax in respect of earlier years [Refer Note 3(ii) below]	(114.93)	(968.56)
Utilisation of unrecognised unabsorbed depreciation and Capital loss	(213.19)	(318.92)
Tax on dividend from subsidiaries, associate and joint ventures (eliminated)	1,407.04	894.34
Exempt Income	(36.10)	(31.75)
Profit taxable at different tax rates	101.49	79.31
Remeasurement of Deferred Tax on account of New Tax Regime (net) [Refer Note 3(iii) below]	Nil	359.62
Non deductible expenses	34.92	27.47
Reassessment of deferred tax balances on expected sale of asset [Refer Note 3 (ii) below]	Nil	380.00
Current Tax in respect of earlier years including impact of tax ordinance [Refer Note 3 (i) & (iii) below]	(52.37)	(105.11)
Reclassification of FCTR from equity to Consolidated Statement of Profit and Loss	Nil	(51.29)
Reversal of deferred tax on expense disallowed	7.15	Nil
Others	9.79	1.04
Income tax expense recognised in Consolidated Statement of Profit and Loss	1,647.33	379.56

Notes:

- The tax rate used for the FY23 and FY22 reconciliations above is the corporate tax rate of 25.168% and 25.168% respectively, as payable by Parent Company in India on taxable profits under the Indian tax law.
- The rate used for calculation of Deferred tax has been considered basis the Standalone Financials Statements of Parent Company and its respective subsidiaries, being statutory enacted rates at Balance Sheet date.
- In the previous year subsequent to the merger of the erstwhile Coastal Gujarat Power Limited (CGPL) with the Holding Company with effect from April 1, 2020, the Holding Company had reassessed its provision for current taxes and has written back an amount of ₹ 87.30 crore pertaining to earlier years.
 - The Holding Company has reassessed recoverability of unabsorbed depreciation and has recognised deferred tax asset amounting to ₹111 crore (March 31, 2022 ₹ 968.56 crore and deferred tax asset written off on capital losses amounting to ₹380.00 crore) in the Consolidated Financial Statement.

Notes to the Consolidated Financial Statements

38a. Current Tax (Contd.)

- (iii) Further the Holding Company had transitioned to the new tax regime effective April 1, 2020 and accordingly, during the previous year, the Holding Company had remeasured its tax balances and reversed the deferred tax asset amounting to ₹ 359.62 crore and had written back current tax provision amounting to ₹ 17.81 crore.

(ii) Income tax recognised in Other Comprehensive Income

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Current tax		
Remeasurement of Defined Benefit Plan	(0.76)	36.54
	(0.76)	36.54
Deferred tax		
Remeasurements of defined benefit obligation	(5.98)	(35.13)
Effective portion of cash flow hedge	63.52	32.94
	57.54	(2.19)
Total income tax recognised in Other Comprehensive Income	56.78	34.35
Bifurcation of the income tax recognised in Other Comprehensive Income into:		
Items that will not be reclassified to Consolidated Statement of Profit and Loss	(6.74)	1.41
Items that will be reclassified to Consolidated Statement of Profit and Loss	63.52	32.94
	56.78	34.35

39. Commitments

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
(a) Estimated amount of Contracts remaining to be executed on capital account and not provided for (including consumer funded assets).		
(i) The Group	7,277.38	3,251.21
(ii) Group's share of Joint Ventures	461.44	171.88
(iii) Group's share of Associates	18.65	163.27
(b) Other Commitments		
(i) Vendor purchase commitments and contracts to provide future post sale services.	1,883.88	1,914.34
(ii) In the earlier year, the Group had entered into a long term freight Contract with Oldendorff for the supply of coal through ships for a period of 12 years. The remaining commitment against the said contract is 46.28 million MT and total estimated freight cost at current price would be ₹ 3,164.43 crore over the remaining period of 9 years.		
(iii) As per the terms of the vesting orders for the acquisition of TPCODL, TPWODL, TPSODL and TPNODL (subsidiaries of the Group), the Group has committed capital expenditure of ₹ 2,976.41 crore (March 31, 2022- ₹ 4,267.00 crore) to be incurred by the respective subsidiaries till FY26.		

40. Contingent Liabilities

Accounting Policy

In the normal course of business, contingent liabilities arise from litigations and claims. It is a possible obligation that arises from the past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Group or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognised because it cannot be measured reliably. The Group does not recognise a contingent liability but disclose the same in its Consolidated Financial Statements.

Notes to the Consolidated Financial Statements

40. Contingent Liabilities (Contd.)

	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Contingent liabilities		
A) Claims against the Group not probable and hence not acknowledged as debts consists of		
(i) Interest and penalty pertaining to Customs Duty claims disputed by the Group relating to applicability and classification of coal	111.08	118.12
(ii) Demand disputed by the Group relating to Service tax	647.74	596.10
(iii) Way Leave fees (including interest) claims disputed by the Group relating to rates charged.	160.01	66.69
(iv) Rates, Cess, Green Cess, Excise and Custom Duty claims disputed by the Group.	644.66	607.95
(v) Disputes relating to power purchase agreements	317.95	251.79
(vi) Legal cases with employees and others engaged in distribution business of Central Odisha (Refer Note d below)	993.20	1,141.91
(vii) Legal cases related to subsidiaries (In case of unfavourable outcome, amount paid will be recoverable from customers)	85.54	92.25
(viii) Access Charges demand for laying underground cables	19.89	24.04
(ix) Other Claims	92.80	158.79
Claims against the Group's share of Joint Ventures and Group's share of Associates not acknowledged as debts consists of		
Group's share of Joint Ventures		
Other claims	40.66	31.36
Group's share of Associates		
Other Claims	223.44	227.85
(A)	3,336.97	3,316.85

Notes:

1. Amounts in respect of employee related claims/disputes, regulatory matters is not ascertainable.
2. Future cash flows in respect of above matters are determinable only on receipt of judgements/decisions pending at various forums/authorities.
3. The above Contingent Liabilities include those pertaining to Regulated Business which on unfavourable outcome can be recovered from consumers.

	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
B) Others		
i) Taxation matters for which liability, relating to issues of deductibility and taxability, is disputed by the Group and provision is not recognised (computed on the basis of assessments which have been re-opened and assessments remaining to be completed) In case of the Group [including interest demanded ₹ 7.54 crore (March 31, 2022 - ₹ 9.40 crore)].	231.27	225.79
ii) In an earlier year, Maharashtra State Electricity Distribution Company Limited (MSEDCL) had raised a demand for determination of fixed charges for unscheduled interchange of power. The Group had filed a petition against the said demand for which stay has been granted by the ATE till the methodology for the determination is fixed. Considering the same, currently, the amount of charges payable is not ascertainable and hence, no provision has been recognised during the year. Further, in case of unfavourable outcome, the Group believes that it will be allowed to recover the same from consumers through future adjustment in tariff.	215.02	215.02
iii) Demand towards use of the leased land for its Jojobera Power Plant During year ended March 31, 2023, the Group has received Demand notice of ₹ 896.00 crore from District Administration, Jamshedpur towards its use of the leased land for its Jojobera Power Plant through sub-leasing arrangement with Customer. Based on the legal opinion obtained, the Group strongly believes that there is strong case and hence no provision is required for the concerned matter. In case of unfavourable outcome, the Group believes that it will be allowed to recover from Customer through future tariff.	896.00	Nil
(iv) Group's share of Joint Ventures	6.60	113.85
(B)	1,348.89	554.66
Total (A+B)	4,685.86	3,871.51

Notes to the Consolidated Financial Statements

40. Contingent Liabilities (Contd.)

		As at March 31, 2023	As at March 31, 2022
		Nos	Nos
c)	Indirect exposures of the Group:		
(i)	The Group has pledged its shares of investments in joint ventures and others with the lenders for borrowings availed		
	Joint Ventures		
	Powerlinks Transmission Ltd.	23,86,80,000	23,86,80,000
	Industrial Energy Ltd.	Nil	25,13,48,400
	Mandakini Coal Company Ltd.	2,00,43,000	2,00,43,000
	Itezhi Tezhi Power Corporation	4,52,500	4,52,500

- d) i) The erstwhile Central Electricity Supply Utility of Orissa (CESU) had filed an application to Regional Provident Fund Commissioner, Bhubaneswar (RPFC) for exemption from applicability of the Employees Provident Funds and Miscellaneous Provisions Act, 1952 for which adjudication is pending. Although the adjudication for exemption was pending, RPFC vide its assessment order dated October 13, 2014 raised a total demand of ₹ 551.62 crore (₹ 279.39 crore dues for non-remittance of Employer and Employee contribution to RPFC and ₹ 272.23 crore as interest) on CESU for the period from November, 1997 to December, 2011. CESU had filed writ petition against the order of RPFC which is pending at High Court.

Based on a legal opinion, the subsidiary company is of the view that it has a strong case against the demand of ₹ 551.62 crore (November 1997 till December 2011) plus any further demand, if raised by RPFC (January 2012 – May 2020) and accordingly, no provision has been recognised in respect of the same. These cases are for pre acquisition period and any obligation arising there on will be pass through to the consumer and not have any adverse impact on financial position or financial performance of the subsidiary company.

- ii) Central Electricity Supply Utility of Orissa (CESU) had entered into agreement with distribution franchisees namely Riverside Utilities Private Limited ('RUPL') and Seaside Utilities Private Limited ('SUPL') on January 30, 2013. As per the terms of agreement, franchisees were responsible for carrying out all commercial activities including certain performance parameters such reduction of AT&C losses, smart metering, minimum capital expenditure, timely collection etc. However, due to poor performance of RUPL/SUPL and non-compliance of the terms of agreement, erstwhile CESU did not extend franchisee period. Writ petition was filed by the franchisees before the Hon'ble Orissa High Court for renewal of existing franchise agreements along with the total claim of ₹ 403.98 crore (₹ 301.75 crore by RUPL and ₹ 102.23 crore by SUPL). CESU had filed a counter claim of ₹ 598.89 crore (₹ 396.87 crore against RUPL and ₹ 202.02 crore against SUPL). The matter is currently pending before Arbitration Tribunal for adjudication.

Based on merits of the matter, the subsidiary Company is of the view that it has a strong case and accordingly, no provision has been recognised in respect of the same. However, at the same time, subsidiary company has taken over the Utility of CESU with a clean balance sheet as per the Vesting Order dated May 26, 2020, these cases are for pre acquisition period and any obligation arising there on will be pass through to the consumer and not have any adverse impact on financial position or financial performance of the subsidiary company.

- e) The Group had acquired 51 % stake in TP Central Odisha Distribution Ltd. ('TPCODL'), TP Western Odisha Distribution Ltd. ('TPWODL'), TP Southern Odisha Distribution Ltd. ('TPSODL') and TP Northern Odisha Distribution Ltd. ('TPNODL') to carry out the function of distribution and retail supply of electricity covering the distribution circles of central, western, southern and northern parts of Odisha. Pursuant to these acquisition and as per the terms of the vesting order, the Group has issued bank guarantee to Odisha Electricity Regulatory Commission ('OERC') of ₹ 150.00 crore, ₹ 150.00 crore, ₹ 100.00 crore, and ₹ 150.00 crore respectively.

The Group, in respect of the above mentioned Contingent Liabilities has assessed that it is only possible but not probable that outflow of economic resources will be required.

Notes to the Consolidated Financial Statements

41. Other Disputes, Claims and Settlements

- a) In the earlier years, Maharashtra Electricity Regulatory Commission has disallowed certain costs amounting to ₹ 413.00 crore (adjusted upto the current year) (March 31, 2022 ₹ 503.00 crore) recoverable from consumers in the tariff true up order. The Group has filed appeal against the said order to Appellate Tribunal for Electricity which is pending for final disposal. The Group believes it has a strong case and accordingly no adjustment is required in the Consolidated Financial Statement.
- b) In an earlier year, Maharashtra Electricity Regulatory Commission has disallowed carrying cost and other costs amounting to ₹ 269.00 crore (March 31, 2022 ₹ 269.00 crore) which was upheld by the Appellate Tribunal for Electricity (ATE). The Group has filed Special Leave Petition (SLP) against the order of ATE with the Supreme Court which is pending for final disposal. The Group believes it has a strong case and accordingly no adjustment is required in the Consolidated Financial Statement.
- c) During the year, Maharashtra State Electricity Regulatory Commission (MERC) issued truing up order for Generation, Transmission and Distribution Business in Mumbai for period from FY20 to FY22 disallowing recovery of certain cost amounting to ₹ 884.68 crore (including ₹ 256.00 crore for FY23). The Group based on legal opinion believes that it has a good case and accordingly, no impact have been considered in the Consolidated Financial Statements.
- d) The Hon'ble Appellate Tribunal for Electricity (APTEL), vide its order dated April 27, 2021 allowed the appeal with respect to certain claims related to change in law for Mundra Power Plant. Accordingly, the Group has recognised an income amounting to ₹ 351.79 crore during the year ended March 31, 2022 comprising of ₹ 279.87 crore classified as Revenue from Operations (including an amount of ₹ 268.94 crore relating to earlier years) and ₹ 71.92 crore classified as Other Income (including an amount of ₹ 58.82 crore relating to earlier years). The Consumer has litigated the said order in the Supreme Court. The Group believes it has a strong case and does not expect any significant reversal of revenue.
- e) During the current year, the Group has recognised revenue amounting to ₹ 1,445.79 crore based on the favourable CERC orders dated September 13, 2022 and January 3, 2023 for the clarification obtained by the Group on determination of tariff as per MoP directions. The procurers have filed an appeal against the said CERC orders passed on in favour of the Group. The Group based on legal opinion believes that it has a good case and accordingly, no impact have been considered in the Consolidated Financial Statement.
- f) During the previous year, the Group had received Notice of Arbitration (NoA) filed by Kleros Capitals to commence arbitration in Singapore International Arbitration Centre (SIAC) against the Group. The NoA is served pursuant to alleged breach of various sections of Non disclosure agreements (NDA) entered by the Group in earlier years and circumvention of Kleros's economic interests in addition to loss of profits. The Group believes that there has been no use of confidential data and there was no breach to sections of NDA. Based on above assessment and legal opinion obtained, the Group strongly believes that there is strong case and hence no provision is required for the concerned matter of arbitration.
- g) The liability stated in the opening Balance Sheet of one of the subsidiary company as per the Transfer Scheme as on July 1, 2002 in respect of consumers' security deposit was ₹ 10.00 crore. The subsidiary company had engaged an independent agency to validate the sample data in digitized form of consumer security deposit received by the erstwhile Delhi Vidyut Board (DVB) from its consumers. As per the validation report submitted by this agency the amount of security deposit received from consumers aggregated to ₹ 66.71 crore. The subsidiary company has been advised that as per the Transfer Scheme, the liability in excess of ₹ 10.00 crore towards refund of the opening consumer deposits and interest thereon is not to its account. Since the Government of National Capital Territory of Delhi (GNCTD) was of the view that the aforesaid liability is that of the subsidiary company, the matter was referred to Delhi Electricity Regulatory Commission (DERC). During the year 2007-08, DERC vide its letter dated April 23, 2007 conveyed its decision to the GNCTD upholding the subsidiary company's view. As GNCTD has refused to accept the DERC decision as binding on it, the subsidiary company has filed a writ petition in the Hon'ble Delhi High Court and the matter was made regular on October 24, 2011. No stay has been granted by the High Court in the matter for refund of consumer security deposits and payment of interest thereon.
- h) One of the subsidiary company had introduced a Voluntary Separation Scheme (VSS) for its employees in December 2003, in response to which initially 1,798 employees were separated. The early retirement of these employees led to a dispute

Notes to the Consolidated Financial Statements

41. Other Disputes, Claims and Settlements (Contd.)

between the subsidiary company and the Delhi Vidyut Board (DVB) Employees Terminal Benefit Fund, 2002 ('the Trust') with respect to pay-out of retirement benefits that these employees were eligible for. The Trust is of the view that its liability to pay retiral benefits arises only on the employee attaining the age of superannuation or on death, whichever is earlier. The subsidiary company filed a writ petition with the Hon'ble Delhi High Court which pronounced its judgement on July 2, 2007 on this issue and provided two options to the Discoms for paying retiral benefits to the Trust. The subsidiary company chose the option whereby the Discoms were required to pay to the Trust an 'Additional Contribution' on account of premature pay-out by the Trust which shall be computed by an Arbitral Tribunal of Actuaries to be appointed within a stipulated period. The matter was further challenged by the Trust before Hon'ble Supreme Court, however, no interim relief has been granted by the Hon'ble Supreme Court. Till date no Arbitral Tribunal of Actuaries has been appointed and therefore, no liability has been recorded based on option chosen by the subsidiary company.

While the above referred writ petition was pending, the subsidiary company had already advanced ₹ 77.74 crore to the Special Voluntary Retirement Scheme Retirees Terminal Benefit Fund, 2004 Trust (SVRS Trust) for payment of retiral dues to separated employees. In addition to the payment of retiral benefits/residual pension to the SVRS Trust, in pursuant to the order of the Hon'ble Delhi High Court dated July 2, 2007 the subsidiary company also paid interest @ 8% per annum, ₹ 8.01 crore in the FY09 thereby increasing the total contribution to the SVRS Trust to ₹ 85.76 crore recognised as recoverable from SVRS Trust. As the subsidiary company was entitled to get reimbursement against advanced retiral benefit amount on superannuation age, the subsidiary company had recovered/adjusted ₹ 85.54 crore as at March 31, 2023 (as at March 31, 2022 ₹ 85.50 crore), leaving a balance recoverable ₹ 0.22 crore as at March 31, 2023 (as at March 31, 2022 ₹ 0.26 crore) from the SVRS Trust which includes current portion of Nil (as at March 31, 2022 ₹ 0.04 crore).

- i) (i) In respect of the Group's power distribution business in Delhi, Delhi Electricity Regulatory Commission (DERC) vide its order dated September 30, 2021 has trued up regulatory deferral account balance up to March 31, 2020 at ₹1,762.81 crore as against ₹ 4,919.26 crore as per financial books of accounts excluding amount recoverable towards deferred tax liabilities of ₹ 302.60 crore. The difference in regulatory deferral account is largely due to provisional truing up of capitalisation, disallowance of de-capitalised property, plant and equipment, its corresponding impact on return on capital employed (ROCE), income tax and carrying cost. These disallowances have already been challenged in APTEL for amount disallowed up to FY20. The difference in regulatory deferral account is also due to pending implementation of Rithala tariff order issued by the DERC vide order dated November 11, 2019 and partial allowance of approved Rithala plant cost which is under challenge with APTEL and delay in execution of other previous review/APTEL appeal orders.

The Group had filed a stay petition seeking stay of tariff order with APTEL due to certain arbitrary disallowances by DERC in its latest tariff order dated September 30, 2021 and also filed appeal with APTEL against the disallowances. On May 24, 2022, APTEL pronounced final order on stay application and directed the Commission to reconsider the issue of past disallowance of AT&C incentives and O&M disallowances and to give effect of the same within a period of two months. On DERC's petition, APTEL further clarified on July 22, 2022, that its earlier order to be followed in true light and spirit of the observations made and the directions given in said judgement. Tariff order is yet to be issued by DERC. Therefore, the final impact shall be recorded in the books of accounts once the same is implemented by the Commission as per APTEL directions in the upcoming tariff order. Accordingly, no adjustment has been made in the Regulatory deferral account balance in the books based on latest tariff order dated September 30, 2021, till the implementation of the above petition..
- (ii) There has been accumulation of regulatory deferral account balance mainly due to non-availability of cost reflective tariff year on year. On this issue, the subsidiary Company had filed a petition with the DERC on March 8, 2021 seeking for a roadmap to liquidate regulatory deferral account in a time bound manner, which was dismissed by DERC with no relief. Further, the subsidiary Company has challenged the order of DERC before Supreme Court on September 6, 2021, which has been admitted and the hearing is in progress.
- j) The Group had obtained 21.65 acres of land through registered lease deed for 33 years for setting up a solar power plant in Bihar. During the FY19, the lease was treated by the Collector, Gaya as illegal for entering into lease without order of any competent authority, and was cancelled along with recovery of penal rent. The Group filed Writ Petition before the Patna High Court against the said Order. The Patna High Court stayed the operations of the Collectors Order and

Notes to the Consolidated Financial Statements

41. Other Disputes, Claims and Settlements (Contd.)

provided certain time to file the counter affidavit. The Respondent ('State of Bihar') has filed the counter affidavit on February 2019 and now the matter is pending for argument.

The Group is of the view that it has a good case with likelihood of liability or any loss arising out of the said cancellation being remote. Accordingly, pending settlement of the legal dispute, no adjustment has been made in the financial statements for the year ended March 31, 2023.

- k) The Group supplies solar power to Tamil Nadu Generation and Distribution Corporation Limited ('TANGEDCO') against long term Power Purchase Agreements (PPAs). As per the said PPAs, the Group is entitled to receive consideration for all energy units supplied and billed. However, whilst effecting payments to the Group, TANGEDCO has disputed and is not making payment for energy units supplied and billed in excess of 19% Capacity Utilisation Factor (CUF) in accordance with its internal circular.

The matter was challenged by The National Solar Energy Federation of India (NSEFI) of which the Group is a member.

During the year ended March 31, 2023, the Appellate Tribunal (ATE) has passed an order that TANGEDCO is liable pay for the units generated and supplied in excess of 19% CUF at 75% of the agreed PPA rate based on certain notifications passed by Ministry of Power in relation to excess units. NSEFI has filed an appeal with Honourable Supreme Court against ATE order, however, the Honourable Supreme Court has dismissed the appeal of NSEFI and accordingly the Group has reversed revenue in excess of 75% of the agreed PPA rate amounting to ₹ 30.13 crore pertaining to earlier years in the consolidated financial statements.

- l) The Group entered into long-term Power Purchase Agreements ("PPAs") of 200 MW wind and solar plant with the Southern Power Distribution Company of Andhra Pradesh Limited ("APSPDCL" or "APDISCOM") to supply power that is valid for a period of 25 years. APDISCOM issued letters dated July 12, 2019 to the Group requesting for revision of tariffs previously agreed as per the PPAs to ₹ 2.44 per unit. Since the Group and other power producers did not agree to the rate revision, APDISCOM referred the matter to the Andhra Pradesh Electricity Regulatory Commission (the "APERC") for revision of tariffs.

The Group had filed a writ petition on July 30, 2019 before the Andhra Pradesh High Court ("AP High Court") challenging the Government of Andhra Pradesh and the said letters issued by APDISCOM for renegotiation of tariffs. The AP High Court has issued its order dated September 24, 2019 whereby it allowed the writ petition and also instructed APDISCOM to honour pending and future bills but to pay them at a rate of ₹ 2.44 per unit (as against the billed rate) and referred the matter back to APERC to conclude the rate. Thereafter, the Group had filed an appeal in AP High Court in front of two members bench challenging the matter being referred to the APERC.

AP High Court, vide its judgement dated March 15, 2022 has set aside the Order passed by the single Judge fixing the interim rate or interim tariff of ₹ 2.44 per unit for solar power plants and ₹ 2.43 per unit for wind power plants. It has directed for payment of all the pending and future bills by APDISCOM at the rate mentioned in the PPA's within a period of six weeks from the order date.

During the current year, APDISCOM has agreed to settle all outstanding dues (including disputed tariff) till May 2022 in 12 equal installments subject to the outcome of the SLP out of which 8 instalments till year end have been received. Accordingly, Group continues to recognise revenue at PPA rate and considers outstanding balance amounting to ₹ 274.57 crore as on March 31, 2023 (As at March 31, 2022: ₹ 455.11 crore) as fully recoverable based on the favourable orders and legal evaluation.

- m) The Group owns and operates 149 MW solar power plants in the state of Tamil Nadu through its subsidiary Walwhan Renewable Energy Ltd. (WREL) and supply power to TANGEDCO under long term power purchase agreement. There has been arbitrary and unjustified backdown since commissioning of the said plants. The Appellate Tribunal for Electricity (ATE) vide its Judgement dated August 2, 2021, held that Group shall receive Deemed Generation Charges for the period March 2017 to October 2020, at the rate of 75% of the PPA Tariff along with interest. The Group based on this order, during the previous year had recognised ₹ 20.14 crore towards generation losses on account of such curtailment. TANGEDCO has filed an appeal in Supreme Court against this order. However, Group based on the legal opinion believe that it has a good

Notes to the Consolidated Financial Statements

41. Other Disputes, Claims and Settlements (Contd.)

case and accordingly no impact has been considered in the Consolidated Financial Statements for the year ended March 31, 2023.

- n) The Group had entered into a Power Purchase agreement (PPA) with Distribution Licensee, BESCOM for setting up 84 MW solar power plants in the state of Karnataka. There was a delay in Schedule Commissioning of the plant on account of force majeure event and accordingly the Group requested for the extension of timeline for commissioning. However, Karnataka Electricity Regulatory Commission (KERC) rejected the request and imposed penalty in form of reduced tariff as per terms of PPA for such delay. The Group filed petition before Appellate Tribunal for Electricity (ATE) against the said reduction in tariff and ATE vide its Order dated 12th April, 2022, has ruled in favour of the Group and issued directions to restore tariffs as per PPA and to compensate for the arrears along with carrying costs thereon. Accordingly, the Group has recognised additional revenue aggregating to ₹ 44.29 crore during the year ended March 31, 2022.

During the year ended March 31, 2023, BESCOM has paid ₹ 28 crore out of the total of ₹ 44.29 crore and has also filed a petition in the Hon'ble Supreme Court against the ATE Orders and stay has been granted by the Hon'ble Supreme Court. However, Group based on the legal opinion believe that it has a good case and accordingly no impact has been considered in the Consolidated Financial Statements for the year ended March 31, 2023.

- (o) In relation to the Power Purchase Agreement (PPA) signed with Gujarat Urja Vikas Nigam Ltd. (GUVNL) for 300 MW Dholera solar power plants in Gujarat, the Group had entered in to an Implementation and Support Agreement (ISA) with Gujarat Power Corporation Ltd. (GPCL) for evacuation facilities and maintenance of transmission lines. On Scheduled Commercial Operation Date (SCOD) plants were ready for synchronization but power evacuation infrastructure were not made available by GPCL. The Group has sought compensation for the revenue losses suffered by the Group on account of delay in constructing power evacuation infrastructure.

Based on the legal opinion obtained and remedies available to the Group for delay in constructing power evacuation infrastructure as per the PPA and ISA, the Group has recognised Revenue from Operations amounting to ₹ 57 crore for the year ended March 31, 2022.

The Group had filed petition before High court of Gujarat for appointment of arbitrator. During the year ended March 31, 2023, based on the direction of the High Court of Gujarat, the Group issued notice to GPCL for an amicable settlement to the matter and the same has been favourably responded to. Pending settlement of the dispute, the Group has not recognised any adjustments to receivables pertaining to revenue recognised in previous year.

- (p) In January 2017 and March 2017, the Group had commissioned 100 MW Nimbagallu wind farm in state of Andhra Pradesh. The entire capacity of the plant is connected to Uravakonda Grid substation (GSS). Post commissioning of the plant, AP State Load Despatch Centre (APSLDC) and Transmission Corporation of Andhra Pradesh (AP Transco) have resorted to arbitrary backdowns. As per the Power Purchase Agreement, the responsibility of the transmission of power beyond the Interconnection Point is of the Discom viz. Southern Power Distribution Company Limited of Andhra Pradesh (APSPDCL) / AP Transco and that they would be responsible for the availability or non-availability of the transformers at Uravakonda GSS. The Group had filed a petition before the Andhra Pradesh Electricity Regulatory Commission (APERC) for appropriate directions for APSPDCL, APSLDC and APTRANSCO to compensate for the loss of revenue of account of such non-availability of power transmission infrastructure. As on the date of approval of these Consolidated Financial Statements, petition is pending for hearing.

As per various orders by judicial authorities in other cases and legal opinion obtained, Group believes that the Group is entitled for the deemed generation charges on account of non-availability of power transmission infrastructure. Accordingly, the Group has recognised Revenue from Operations aggregating to ₹ 50.58 crore for the previous year ended March 31, 2022. Pending hearing, the Group has not recognised any adjustments to receivables pertaining to revenue recognised in previous year.

- (q) The Group through one of its subsidiary, Tata Power Renewable Energy Limited (TPREL) has received an Order issued by Karnataka Electricity Regulatory Commission (KERC) in April 2022, for mechanism towards recovery of increase in capital cost incurred due to introduction and imposition of Safeguard Duty (SGD) due to MoF notification of 2018. This being a Change

Notes to the Consolidated Financial Statements

41. Other Disputes, Claims and Settlements (Contd.)

in Law event under the provisions of the PPA's entered by the Group for its 250 MW solar power plants in Karnataka, needs to be compensated by the Discoms along with carrying cost on the amounts due. Accordingly, based on the above KERC Order, an additional Revenue from operations of ₹ 32.75 crore has been recognised for the previous year ended March 31, 2022 and no adjustments has been recognised to the receivables during the current FY23.

- (r) The Group operates 99 MW wind farm at Poolavadi in Tamil Nadu of which 49.5 MW is under REC scheme. The billing under REC scheme should take place based on Average Pooled Power Purchase Cost (APPC) rates as periodically fixed by Tamil Nadu Electricity Regulatory Commission (TNERC). However, in practice, specific lower rates were communicated by TANGEDCO basis which invoices were raised by all developers from FY13.

TNERC has recently issued favourable order in for another developer (based on the earlier ATE Order for another developer), wherein it has upheld the contention of the developer and allowed the recovery of differential rate from TANGEDCO in a time bound manner along with applicable interest rate. Accordingly, on basis of above favourable order, during the previous year, the Group has recognised for differential revenue aggregating to ₹ 26.20 crore and no adjustments has been recognised to the receivables during the current FY23.

- s) The Group through one of its subsidiary TPREL entered into a settlement agreement with a wind plant operator for damages arising from contractual shortfall in machine availabilities resulting in generation loss from FY 18 to FY 20. Accordingly, the compensation received of ₹ 18.28 crore (amount pertain to earlier years) is recognised as revenue from operations.
- t) During the year ended March 31, 2023, Walwahan Renewable Energy Limited (WREL), a subsidiary of the Group has received notice for FY16 with a proposed demand of ₹ 300.17 crore on account of non-disclosure of import purchase in their monthly VAT returns. Based on the internal assessment, management believes there will be no tax outflow as the subsidiary Company is engaged in the business of power generation from solar power plant and the equipment were purchased for own consumption i.e. setting up of the solar plant. The subsidiary company is in process of filing relevant documents and written submissions against the said notice before the VAT Authorities. The Group is of the view that it has a good case with likelihood of liability / any loss arising out of these tax matters being remote. Accordingly, pending settlement of the tax dispute, no adjustment has been made in the Consolidated Financial Statements.
- u) The Group entered into an EPC Agreement with NTPC Renewable Energy Limited (NTPC) for development of 320 MW Solar PV project in Rajasthan. In April 2021, Hon'ble Supreme Court directed for undergrounding of transmission lines passing through priority and potential habitat of the Great Indian Bustard ("GIB"), wherein the Project is located. In April 2021, the Group served notice of "Change in Law" to its customer on account of the additional costs to be incurred on account of the said Supreme Court Order and subsequently sought extension of time due to COVID 19 and certain other events. However, in October 2021, NTPC served notice of default on the Group citing various delays by the Group in the completion of the Project. The Group has duly filed its reply in November 2021 to NTPC explaining the reason for the delay and triggering of the clauses on "Change in Law" and "Force Majeure" which has resulted both in delay of the Project and additional costs.

As at March 31, 2023, the Group has contract assets of ₹ 36.81 crore pertaining to costs incurred for acquisition of land and has provided total bank guarantees of Rs. 137.36 crore and performance guarantees of Rs. 116.97 crore to the customers. The Group has received advance of Rs. 137.36 crore from the customer. The Group based on a legal opinion and internal assessment, is of the view that the Group has a strong merit in its argument as regards "Change in Law" and "Force Majeure". Accordingly, the Group does not foresee any financial impact arising out of this matter and has not made any provision in this regard.

- v) The Group owns and operates 49 MW solar power plant in the state of Tamil Nadu. The TNERC Order dated March 28, 2016 for determination of tariff for the control period starting April 1, 2016 was appealed by the Group before the Appellate Tribunal (APTEL) on grounds that TNERC had not rightly considered the financial and operational parameters for deciding the tariff.

Notes to the Consolidated Financial Statements

41. Other Disputes, Claims and Settlements (Contd.)

APTEL in November 2019 partly allowed the appeal in favour of the Group and directed TNERC to pass consequential order. Aggrieved by the order passed by the APTEL, TNERC has filed Civil Appeal and a stay application before the Supreme Court. Supreme Court in March 2021 dismissed the stay application leaving all the matters in Civil Appeal open.

In absence of stay by the Supreme Court, Tamil Nadu Electricity Regulatory Commission (TNERC) redetermined the tariff which is subject the outcome of Civil Appeal before the Supreme Court.

Accordingly, the Group based on TNERC's Order for redetermination of the tariff, earlier judgement of APTEL in its favour and the merits of the case has accounted for differential revenue of ₹ 27.66 crore pertaining to prior periods and ₹ 3.54 crore for the year ended March 31, 2023.

42. Earnings Per Share (EPS)

Accounting Policy

Basic earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Group by the weighted average number of equity shares outstanding during the period. Diluted earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Group by the weighted average number of equity shares considered for deriving basic earnings per equity share and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares. The dilutive potential equity shares are adjusted for the proceeds receivable had the equity shares been actually issued at fair value (i.e. the average market value of the outstanding equity shares). Dilutive potential equity shares are deemed converted as of the beginning of the period, unless issued at a later date. Dilutive potential equity shares are determined independently for each period presented.

The number of equity shares and potentially dilutive equity shares are adjusted retrospectively for all periods presented for any share splits and bonus shares issues including for changes effected prior to the approval of the financial statements by the Board of Directors.

Particulars		For the year ended March 31, 2023	For the year ended March 31, 2022
		₹ crore#	₹ crore#
A.	EPS - Continuing Operations (before net movement in Regulatory Deferral Balances)		
	Total Profit from Continuing Operations attributable to the owners of the Parent Company	3,336.44	1,741.46
	Add/(Less):(Profit)/Loss for the year from Discontinued Operations attributable to the owners of the Parent Company	Nil	467.83
	Net Profit from Continuing Operations attributable to the owners of the Parent Company	A 3,336.44	2,209.29
	Net movement in Regulatory Deferral Balances (Net of tax) - Owners Share	B (748.58)	58.60
	Net Profit (before net movement in Regulatory Deferral Balances)	C=(A+B) 2,587.86	2,267.89
	(Less): Distribution on Perpetual Securities	D Nil	(29.52)
	Profit/(Loss) from Continuing Operations attributable to equity shareholders (before net movement in Regulatory Deferral Balances)	E=(C+D) 2,587.86	2,238.37
	Weighted average number of equity shares for Basic and Diluted EPS	3,19,81,71,607	3,19,81,71,607
	EPS - Continuing Operations (before net movement in Regulatory Deferral Balances)		
	- Basic and Diluted (In ₹)	8.09	7.00

Notes to the Consolidated Financial Statements

42. Earnings Per Share (EPS) (Contd.)

Particulars		For the year ended March 31, 2023	For the year ended March 31, 2022
		₹ crore#	₹ crore#
B.	EPS - Continuing Operations (after net movement in Regulatory Deferral Balances)		
	Net Profit from Continuing Operations attributable to the owners of the Parent Company	3,336.44	2,209.29
	(Less): Distribution on Perpetual Securities	Nil	(29.52)
	Profit/Loss attributable to equity shareholders (after net movement in Regulatory Deferral Balances)	3,336.44	2,179.77
	Weighted average number of equity shares for Basic and Diluted EPS	3,19,81,71,607	3,19,81,71,607
	EPS - Continuing operations (after net movement in Regulatory Deferral Balances)		
	- Basic and Diluted (In ₹)	10.43	6.82
C.	EPS - Discontinued Operations		
	Net Profit/(Loss) from Discontinued Operations attributable to the owners of the Parent Company	Nil	(467.83)
	Weighted average number of equity shares for Basic and Diluted EPS	3,19,81,71,607	3,19,81,71,607
	EPS - Discontinued Operations		
	- Basic and Diluted (In ₹)	Nil	(1.46)
D.	EPS - Total Operations (after net movement in Regulatory Deferral Balances)		
	Net Profit/(Loss) from Operations attributable to the owners of the Parent Company (after net movement in Regulatory Deferral Balances)	3,336.44	1,741.46
	Less: Distribution on Perpetual Securities	Nil	(29.52)
	Net Profit/(Loss) from Total Operations attributable to equity shareholders of parent (after net movement in Regulatory Deferral Balances)	3,336.44	1,711.94
	Weighted average number of equity shares for Basic and Diluted EPS	3,19,81,71,607	3,19,81,71,607
	EPS - Total Operations (after net movement in Regulatory Deferral Balances)		
	- Basic and Diluted (In ₹)	10.43	5.36

All numbers are in ₹ crore except weighted average number of equity shares and Basic and Diluted EPS

43. Related Party Disclosures

The Group's related parties primarily consists of its associates, joint ventures and Tata Sons Pvt Ltd. including its subsidiaries and joint ventures. The Group routinely enters into transactions with these related parties in the ordinary course of business at market rates and terms. Transactions and balances between the Company, its subsidiaries and fellow subsidiaries are eliminated on consolidation.

Disclosure as required by Ind AS 24 - "Related Party Disclosures" are as follows:

Names of the related parties and description of relationship:

(a) Employment Benefit Funds

- 1) Tata Power Superannuation Fund
- 2) Tata Power Gratuity Fund
- 3) Tata Power Consolidated Provident Fund
- 4) Maithon Power Gratuity Fund (Fund)
- 5) Tata Power Solar Systems Ltd, Employees Gratuity Fund Trust
- 6) Tata Power Solar Systems Ltd, Employees Superannuation Fund Trust
- 7) North Delhi Power Ltd. Employees Group Gratuity Assurance Scheme (Gratuity Fund)
- 8) Special Voluntary Retirement Scheme Retirees Terminal Benefit Fund, 2004 (SVRS RTBF - 2004)

Notes to the Consolidated Financial Statements

43. Related Party Disclosures (Contd.)

- 9) CESCO Employees Pension Trust
- 10) CESCO Employees Gratuity Trust
- 11) CESCO Employees Provident Fund Trust
- 12) CESCO Employees Rehabilitation Trust
- 13) WESCO Employees Pension Trust
- 14) WESCO Employees Gratuity Trust
- 15) WESCO Employees Provident Fund Trust
- 16) WESCO Employees Rehabilitation Trust
- 17) SOUTHCO Employees Pension Trust
- 18) SOUTHCO Employees Gratuity Trust
- 19) SOUTHCO Employees Provident Fund Trust
- 18) SOUTHCO Employees Rehabilitation Fund Trust
- 19) NESCO Employees Pension Trust
- 20) NESCO Employees Gratuity Trust
- 21) NESCO Employees Provident Fund Trust
- 22) NESCO Employees Rehabilitation Trust

(b) Associates and Joint Venture Companies

(i) Associates

- | | |
|---|--|
| 1) Tata Projects Limited | 2) Yashmun Engineers Limited |
| 3) Dagacchu Hydro Power Corporation Limited | 4) The Associated Building Co. Limited |
| 5) Brihat Trading Private Limited | 6) TP Luminaire Pvt Limited ** |
| 7) Ind Project Engineering (Shanghai) Co Limited ** | 8) Tata Projects Provident Fund Trust* |

* Fund of Associate

** 100% Subsidiary of Associates

(ii) Joint Venture Companies

- | | |
|---|--|
| 1) Tubed Coal Mines Limited | 2) Mandakini Coal Company Limited |
| 3) Industrial Energy Limited | 4) Powerlinks Transmission Limited |
| 5) Dugar Hydro Power Limited | 6) Itezhi Tezhi Power Corporation Limited |
| 7) PT Mitratama Perkasa | 8) PT Kaltim Prima Coal |
| 9) IndoCoal Resources (Cayman) Ltd. | 10) PT Indocoal Kaltim Resources |
| 11) PT Nusa Tambang Pratama | 12) PT Marvel Capital Indonesia |
| 13) PT Dwikarya Prima Abadi | 14) PT Kalimantan Prima Power |
| 15) PT Baramulti Sukessarana Tbk | 16) Adjaristsqali Netherlands BV |
| 17) Koromkheti Netherlands B.V (Liquidated
w.e.f November 10, 2022) | 18) IndoCoal KPC Resources (Cayman) Ltd. |
| 19) Resurgent Power Ventures Pte Ltd | 20) Renascent Ventures Private Limited |
| 21) Prayagraj Power Generation Co Limited | 22) PT Arutmin Indonesia |
| 23) PT Indocoal Kalsel Resources | 24) Candice Investments Pte. Ltd. |
| 25) LTH Milcom Pvt. Limited | 26) Solace Land Holding Limited |
| 27) PT Mitratama Usaha | 28) PT Citra Prima Buana |
| 29) PT Guruh Agung | 30) PT Citra Kusuma Perdana |
| 31) Koromkheti Georgia LLC (Ceased to be Joint
Venture w.e.f 7th February, 2022) | 32) Adjaristsqali Georgia LLC |
| 33) PT Antang Gunung Meratus | 34) South East UP Power Transmission Company Limited |
| 35) NRSS XXXVI Transmission Limited | |

Notes to the Consolidated Financial Statements

43. Related Party Disclosures (Contd.)

(c) (i) **Promoters holding more than 20% - Promoter** Tata Sons Pvt. Ltd.

(ii) **Subsidiaries and Jointly Controlled Entities of Promoters - Promoter Group (where transactions have taken place during the year and previous year / balances outstanding)**

- | | |
|--|---|
| 1) C-Edge Technologies Limited | 2) Tata 1MG Technologies Private Limited |
| 3) Ewart Investments Limited | 4) TRIL Infopark Limited. |
| 5) Tata Industries Limited | 6) Tata SIA Airlines Limited. |
| 7) Tata AIG General Insurance Company Limited | 8) Tata Autocomp Systems Limited |
| 9) Infiniti Retail Limited. | 10) Tata Elxsi Limited. |
| 11) Tata Consultancy Services Limited. | 12) Tata International Singapore Pte. Limited |
| 13) Tata Consulting Engineers Limited. | 14) Niskalp Infrastructure Services Limited. |
| 15) Tata Housing Development Company Limited | 16) Tata Advanced System Limited. |
| 17) Tata Industries Limited. | 18) Tata Communications Collaboration Services Pvt. Ltd. |
| 19) Tata International Limited | 20) Ecofirst Services Limited |
| 21) Tata Investment Corporation Limited. | 22) Tata AIA Life Insurance Company Limited. |
| 23) Tata Realty and Infrastructure Limited. | 24) Tata Limited. |
| 25) Tata Teleservices (Maharashtra) Limited | 26) Tata Communications Limited. |
| 27) Tata Teleservices Limited | 28) Tata Housing Development Co. Limited Employees Provident Fund |
| 29) Tata Capital Financial Services Limited | 30) Tata Consultancy Services Employees Provident Fund |
| 31) Tata Communications Payment Solutions Limited | 32) Tata Play Broadband Private Limited (formerly Tata Sky Broadband Private Limited) |
| 33) Tata Play Limited (formerly Tata Sky Limited) | 34) Qubit Investments Pte. Limited |
| 35) Air India SATS Airport Services Private Limited | 36) Tata Medical and Diagnostics Limited |
| 37) Air India Limited | 38) Tata Capital Limited |
| 39) Tata Communications Collaboration Services Private Ltd | 40) Tata Lockheed Martin Aerostructures Limited |
| 41) Tata Medical and Diagnostics Limited | 42) Tata Toyo Radiator Limited |

(d) **Key Management Personnel**

- | | |
|---|--|
| 1) Mr. N. Chandrasekaran, Non-Executive Director | 2) Ms. Anjali Bansal, Independent Director |
| 3) Ms. Vibha Padalkar, Independent Director | 4) Mr. Sanjay V. Bhandarkar, Independent Director |
| 5) Mr. K. M. Chandrasekhar, Independent Director | 6) Mr. Hemant Bhargava, Nominee Director |
| 7) Mr. Saurabh Agrawal, Non-Executive Director | 8) Mr. Banmali Agrawala, Non-Executive Director |
| 9) Mr. Ashok Sinha, Independent Director | 10) Mr. Praveer Sinha, CEO and Managing Director |
| 11) Mr. Ramesh N. Subramanyam, Chief Financial Officer (upto December 31, 2021) | 12) Mr. Sanjeev Churiwala, Chief Financial Officer (w.e.f January 1, 2022) |
| 13) Mr. Hanoz Minoo Mistry - Company Secretary | 14) Rajiv Mehrishi, Independent Director (w.e.f. October 28, 2022) |

(e) **Relative of Key Managerial Personnel (where transactions have taken place during the year and previous year / balances outstanding)**

- 1) Neville Minoo Mistry (Brother of Hanoz Minoo Mistry- Company Secretary)

Notes to the Consolidated Financial Statements

43. Related Party Disclosures (Contd.)

(f) Details of Transactions:

₹ crore

Sr. No.	Particulars	Associates/ Joint Ventures		Key Management Personnel & their relatives		Employee Benefit Funds / Trust		Promoter Group/ Promoter	
		March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
1	Purchase of goods/power (Net of Discount Received on Prompt Payment)								
	PT Kaltim Prima Coal	2,046.53	2,057.69	Nil	Nil	Nil	Nil	Nil	Nil
	Prayagraj Power Generation Company Limited	445.32	288.12	Nil	Nil	Nil	Nil	Nil	Nil
	Others	235.43	336.75	Nil	Nil	Nil	Nil	6.52	122.28
2	Sale of goods/power (Net of Discount on Prompt Payment)								
	Industrial Energy Limited	15.65	61.95	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Consultancy Services Limited	Nil	Nil	Nil	Nil	Nil	Nil	16.34	11.15
	TRIL Infopark Limited	Nil	Nil	Nil	Nil	Nil	Nil	14.37	12.45
	Others	0.62	1.82	Nil	Nil	Nil	Nil	20.69	8.67
3	Purchase of Property, Plant & Equipments and Intangibles (including Capital Work in Progress)								
	Tata Projects Limited	804.82	158.15	Nil	Nil	Nil	Nil	Nil	Nil
	Others	0.02	0.65	Nil	Nil	Nil	Nil	38.23	26.13
4	Sale of Property, Plant & Equipments								
	Powerlinks Transmission Limited	0.05	0.06	Nil	Nil	Nil	Nil	Nil	Nil
5	Rendering of services								
	Prayagraj Power Generation Company Limited	112.50	89.82	Nil	Nil	Nil	Nil	Nil	Nil
	PT Antang Gunung Meratus	56.16	25.20	Nil	Nil	Nil	Nil	Nil	Nil
	Resurgent Power Ventures Pte Ltd	37.41	38.78	Nil	Nil	Nil	Nil	Nil	Nil
	PT Kaltim Prima Coal	4.99	71.13	Nil	Nil	Nil	Nil	Nil	Nil
	Others	95.01	63.79	Nil	Nil	Nil	Nil	41.76	55.49
6	Receiving of services								
	Tata AIG General Insurance Company Limited	Nil	Nil	Nil	Nil	Nil	Nil	154.39	85.90
	Tata Consultancy Services Limited	Nil	Nil	Nil	Nil	Nil	Nil	24.06	Nil
	Prayagraj Power Generation Company Limited	0.05	17.24	Nil	Nil	Nil	Nil	Nil	Nil
	Others	1.61	16.56	Nil	Nil	Nil	Nil	43.48	40.92
7	Brand equity contribution								
	Tata Sons Private Limited	Nil	Nil	Nil	Nil	Nil	Nil	78.29	44.21
8	Contribution to Employee Benefit Plans (Net)								
	CESCO Employees Pension trust	Nil	Nil	Nil	Nil	172.72	166.26	Nil	Nil
	SOUTHCO Employees Pension Trust	Nil	Nil	Nil	Nil	98.57	114.08	Nil	Nil
	WESCO Employees Pension trust	Nil	Nil	Nil	Nil	91.40	58.91	Nil	Nil
	Others	Nil	Nil	Nil	Nil	142.30	134.93	Nil	Nil
9	Remuneration paid- short term employee benefits *								
	Mr. Praveer Sinha	Nil	Nil	8.15	10.35	Nil	Nil	Nil	Nil
	Mr. Sanjeev Churiwala	Nil	Nil	2.95	1.18	Nil	Nil	Nil	Nil
	Others	Nil	Nil	6.33	8.16	Nil	Nil	Nil	Nil
10	Short term employee benefits paid *								
	Mr. Praveer Sinha	Nil	Nil	0.07	0.06	Nil	Nil	Nil	Nil
	Mr. Hanoz Minoo Mistry	Nil	Nil	Nil	0.02	Nil	Nil	Nil	Nil
	Mr. Ramesh N. Subramanyam	Nil	Nil	Nil	0.14	Nil	Nil	Nil	Nil
	Others	Nil	Nil	Nil	0.01	Nil	Nil	Nil	Nil
11	Interest income								
	Koromkheti Netherlands B.V	Nil	0.39	Nil	Nil	Nil	Nil	Nil	Nil

Notes to the Consolidated Financial Statements

43. Related Party Disclosures (Contd.)

Sr. No.	Particulars	Associates/ Joint Ventures		Key Management Personnel & their relatives		Employee Benefit Funds / Trust		Promoter Group/ Promoter	
		March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
12	Interest paid								
	PT Arutmin Indonesia	20.09	8.35	Nil	Nil	Nil	Nil	Nil	Nil
	PT Kaltim Prima Coal	53.90	10.21	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Consultancy Services Employees Provident Fund	Nil	Nil	Nil	Nil	Nil	Nil	1.52	5.20
	Others	Nil	0.01	Nil	Nil	Nil	Nil	0.02	2.61
13	Dividend income								
	PT Arutmin Indonesia	512.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	PT Kaltim Prima Coal	1,966.55	1,222.47	Nil	Nil	Nil	Nil	Nil	Nil
	PT Baramulti Sukessarana Tbk	568.46	277.03	Nil	Nil	Nil	Nil	Nil	Nil
	PT Dwikarya Prima Abadi	155.76	235.41	Nil	Nil	Nil	Nil	Nil	Nil
	Others	95.33	113.89	Nil	Nil	Nil	Nil	11.99	8.96
14	Dividend paid								
	Tata Sons Private Limited	Nil	Nil	Nil	Nil	Nil	Nil	252.79	223.90
	Others	Nil	Nil	Nil	Nil	Nil	Nil	2.38	2.11
15	Loans given								
	Mandakini Coal Company Limited	0.11	Nil	Nil	Nil	Nil	Nil	Nil	Nil
16	Equity contribution (includes advance towards equity contribution and perpetual bonds)								
	Tata Projects Limited	Nil	573.27	Nil	Nil	Nil	Nil	Nil	Nil
17	Deposits taken								
	Tata Consultancy Services Limited	Nil	Nil	Nil	Nil	Nil	Nil	0.25	Nil
	Tata Advanced Systems Limited	Nil	Nil	Nil	Nil	Nil	Nil	Nil	1.27
	Others	Nil	Nil	Nil	Nil	Nil	Nil	0.02	Nil
18	Deposits refunded								
	Tata Teleservices (Maharashtra) Limited	Nil	Nil	Nil	Nil	Nil	Nil	Nil	0.11
	Others	Nil	Nil	Nil	Nil	Nil	Nil	Nil	0.01
19	Advance given								
	Tata Projects Limited	23.97	80.35	Nil	Nil	Nil	Nil	Nil	Nil
	Others	Nil	0.03	Nil	Nil	Nil	Nil	Nil	0.02
20	Advance adjusted								
	Tata Projects Limited	98.03	13.51	Nil	Nil	Nil	Nil	Nil	Nil
	Others	Nil	0.03	Nil	Nil	Nil	Nil	Nil	0.02
21	Purchase of Investments								
	Resurgent Power Ventures Pte Ltd	334.39	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	Nil	Nil	Nil	Nil	Nil	Nil	0.01	Nil
22	Buy back of share by JV								
	Resurgent Power Ventures Pte Ltd	10.45	59.69	Nil	Nil	Nil	Nil	Nil	Nil
23	Loan taken								
	PT Kaltim Prima Coal	842.99	198.62	Nil	Nil	Nil	Nil	Nil	Nil
24	Loan taken repaid								
	PT Arutmin Indonesia	370.78	Nil	Nil	Nil	Nil	Nil	Nil	Nil
	Others	12.02	Nil	Nil	Nil	Nil	Nil	Nil	Nil
25	Issue of Equity Shares during the year								
	Tata Communications Limited	Nil	Nil	Nil	Nil	Nil	Nil	1.84	Nil

Notes to the Consolidated Financial Statements

43. Related Party Disclosures (Contd.)

Sr. No.	Particulars	Associates/ Joint Ventures		Key Management Personnel & their relatives		Employee Benefit Funds / Trust		Promoter Group/ Promoter	
		March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
26	Impairment of Receivable of SED								
	Tata Advanced Systems Limited	Nil	Nil	Nil	Nil	Nil	Nil	Nil	467.83
27	Redemption of Unsecured Perpetual Securities								
	Tata Investment Corporation Limited	Nil	Nil	Nil	Nil	Nil	Nil	Nil	115.00
	Tata Consultancy Services Employees Provident Fund	Nil	Nil	Nil	Nil	Nil	Nil	Nil	67.50
	Others	Nil	0.70	Nil	Nil	Nil	Nil	Nil	15.00
28	Redemption of Non-Convertible Debentures								
	Tata Consultancy Services Employees' Provident Fund	Nil	Nil	Nil	Nil	Nil	Nil	36.00	Nil
	Others	Nil	Nil	Nil	Nil	Nil	Nil	0.50	Nil
(g) Balances outstanding									
1	Redeemable Non-Convertible Debentures								
	Tata Consultancy Services Employees' Provident Fund	Nil	Nil	Nil	Nil	Nil	Nil	Nil	36.00
	Others	Nil	Nil	Nil	Nil	Nil	Nil	Nil	0.50
2	Other receivables @								
	Industrial Energy Limited	47.61	66.21	Nil	Nil	Nil	Nil	Nil	Nil
	PT Antang Gunung Meratus	51.72	21.30	Nil	Nil	Nil	Nil	Nil	Nil
	Resurgent Power Ventures Pte Ltd	16.42	44.93	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Power Gratuity Fund	Nil	Nil	Nil	Nil	114.43	122.67	Nil	Nil
	Others	61.48	87.17	Nil	Nil	21.94	0.26	18.33	19.19
3	Loans given (including interest thereon) @								
	Mandakini Coal Company Limited	54.50	54.39	Nil	Nil	Nil	Nil	Nil	Nil
	Itezhi Tezhi Power Corporation	18.59	18.59	Nil	Nil	Nil	Nil	Nil	Nil
4	Deposits taken outstanding								
	Tata Sons Private Limited	Nil	Nil	Nil	Nil	Nil	Nil	2.00	2.00
	Tata Advanced Systems Limited	Nil	Nil	Nil	Nil	Nil	Nil	1.27	1.27
	Others	Nil	Nil	Nil	Nil	Nil	Nil	0.73	0.10
5	Advance given outstanding								
	Tata Projects Limited	117.89	183.93	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Consultancy Services Limited	Nil	Nil	Nil	Nil	Nil	Nil	421.51	Nil
	Tata AIG General Insurance Company Limited	Nil	Nil	Nil	Nil	Nil	Nil	123.13	Nil
	Others	Nil	4.60	Nil	Nil	Nil	Nil	7.37	0.41
6	Dividend receivable								
	Dagachhu Hydro Power Corporation Limited	1.65	1.78	Nil	Nil	Nil	Nil	Nil	Nil
7	Other payables								
	PT Kaltim Prima Coal	19.53	1,569.58	Nil	Nil	Nil	Nil	Nil	Nil
	Tata Advanced Systems Limited	Nil	Nil	Nil	Nil	Nil	Nil	337.98	122.92
	Tata Consultancy Services Limited	Nil	Nil	Nil	Nil	Nil	Nil	490.80	1.03
	Others	357.11	109.85	9.07	10.97	63.65	54.47	191.25	55.92

Notes to the Consolidated Financial Statements

43. Related Party Disclosures (Contd.)

Sr. No.	Particulars	Associates/ Joint Ventures		Key Management Personnel & their relatives		Employee Benefit Funds / Trust		Promoter Group/ Promoter	
		March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022	March 31, 2023	March 31, 2022
8	Loans taken (including interest thereon)								
	PT Kaltim Prima Coal	1,138.56	297.05	Nil	Nil	Nil	Nil	Nil	Nil
	Indocoal Resources (Cayman) Limited	151.95	163.97	Nil	Nil	Nil	Nil	Nil	Nil
	PT Arutmin Indonesia	Nil	479.85	Nil	Nil	Nil	Nil	Nil	Nil
	Others	Nil	49.58	Nil	Nil	Nil	Nil	Nil	Nil

Notes:

- All outstanding balances are unsecured.
 - The Group's principal related parties consist of Tata Sons Pvt. Ltd., its subsidiaries and joint ventures, affiliates and key managerial personnel. The Group's material related party transactions and outstanding balances are with related parties with whom the Group routinely enters into transactions in the ordinary course of business.
- @ Includes amount reclassified as held for sale
- * Key Managerial Personnel are entitled to post-employment benefits and other long term employee benefits recognised as per Ind AS 19 - 'Employee Benefits' in the financial statements. As these employee benefits are lump sum amounts provided on the basis of actuarial valuation, the same is included above on payment basis.

44. Financial Instruments

44.1 Fair values

Set out below, is a comparison by class of the carrying amount and fair value of the financial instruments:

	Carrying value		Fair Value	
	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore	₹ crore	₹ crore
Financial Assets				
Cash and Cash Equivalents	4,189.76	3,077.24	4,189.76	3,077.24
Other Balances with Banks	7,016.77	3,563.46	7,016.77	3,563.46
Trade Receivables	7,311.78	6,665.52	7,311.78	6,665.52
Unbilled Revenues	2,456.71	2,285.57	2,456.71	2,285.57
Loans	14.54	12.79	14.54	12.79
Finance Lease Receivables	621.72	635.60	621.72	635.60
FVTPL Financial Investments #	1,086.98	355.01	1,086.98	355.01
FVTOCI Financial Investments #	1,171.56	1,045.39	1,171.56	1,045.39
Amortised Cost Financial Investments #	193.12	183.44	193.12	183.44
Derivative Instruments not in hedging relationship	115.07	5.06	115.07	5.06
Other Financial Assets	2,299.04	2,177.41	2,299.04	2,177.41
Asset Classified as Held For Sale (Refer Note 19a)				
- Loans (including accrued interest)	22.83	22.83	22.83	22.83
Total	26,499.88	20,029.32	26,499.88	20,029.32

Notes to the Consolidated Financial Statements

44. Financial Instruments (Contd.)

	Carrying value		Fair Value	
	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore	₹ crore	₹ crore
Financial Liabilities				
Trade Payables	7,407.20	10,459.60	7,407.20	10,459.60
Fixed rate Borrowings (including Current Maturities)*	18,543.66	17,781.77	18,569.32	17,800.65
Floating rate Borrowings (including Current Maturities)*	30,984.35	30,387.30	30,984.35	30,387.30
Derivative Instruments not in hedging relationship	18.58	40.79	18.58	40.79
Other Financial Liabilities *	13,989.01	10,168.66	13,989.01	10,168.66
	70,942.80	68,838.12	70,968.46	68,857.00

* Interest accrued on Non-Convertible debenture has been considered under Fixed / Floating rate borrowings

other than investments accounted for using the Equity Method

Certain unquoted investments are not held for trading, instead they are held for medium or long term strategic purpose. Upon the application of Ind AS 109 'Financial Instruments', the Group has chosen to designate these investments in equity instruments as at FVTOCI as the management believe this provides more meaningful presentation for medium and long term strategic investments, then reflecting changes in fair value immediately in the Consolidated Statement Profit and Loss.

The management assessed that the fair value of cash and cash equivalents, other balances with bank, trade receivables, loans, finance lease receivables, unbilled revenues, trade payables, other financial assets and liabilities approximate their carrying amounts largely due to the short term maturities of these instruments.

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties. The following methods and assumptions were used to estimate the fair values.

- Fair value of the quoted bonds, mutual funds, government securities are based on the price quotations near the reporting date. Fair value of the unquoted equity shares have been estimated using a Discounted Cash Flow (DCF) model. The valuation requires management to make certain assumptions about the model inputs, including forecast cash flows, discount rate, credit risk and volatility. The probabilities of the various estimates within the range can be reasonably assessed and are used in management's estimate of fair value for those unquoted equity investments.
- The fair value of the FVTOCI financial assets are derived from quoted market price in active markets and unobservable inputs.
- The Group enters into derivative financial instruments with various counterparties, principally banks and financial institutions with investment grade credit ratings. Interest rate swaps, foreign exchange forward and option contracts are valued using valuation techniques, which employs the use of market observable inputs. The most frequently applied valuation techniques include forward pricing and swap models using present value calculations. The models incorporate various inputs including the credit quality of counterparties, foreign exchange spot and forward rates, yield curves of the respective currencies, currency basis spreads between the respective currencies, interest rate curves and forward rate curves of the underlying currency. All derivative contracts are fully collateralized, thereby, eliminating both counterparty and the Group's own non-performance risk. As at March 31, 2023, the marked-to-market value of derivative asset positions is net of a credit valuation adjustment attributable to derivative counterparty default risk.
- The fair value of unquoted instruments, loans from banks and other financial liabilities, as well as other non-current financial liabilities is estimated by discounting future cash flow using rates currently available for debt on similar terms, credit risk and remaining maturities.
- The cost of certain unquoted investments approximate their fair value because there is a wide range of possible fair value measurements and the cost represents the best estimate of fair value within that range.

Notes to the Consolidated Financial Statements

44. Financial Instruments (Contd.)

Reconciliation of Level 3 fair value measurement of unquoted equity shares. (Refer Note below)

	Unlisted shares irrevocably designated as at FVTOCI		Unlisted shares carried at FVTPL	
	For the year ended March 31, 2023	For the year ended March 31, 2022	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore	₹ crore	₹ crore
Opening balance	439.02	397.71	0.16	0.16
Gain/(Loss)				
- in other comprehensive income	105.86	21.51	Nil	Nil
- in profit or loss	Nil	Nil	1.39	Nil
- changes on purchase of equity shares	Nil	19.80	Nil	Nil
Closing balance	544.88	439.02	1.55	0.16

Note:

- Unlisted shares irrevocably designated as at FVTOCI includes certain investments whose cost approximates to their fair value because there is a wide range of possible fair value measurements and their cost represents the best estimate of fair value within that range. Such investments have been excluded for quantitative sensitivity analysis as disclosed below.
- All gains and losses included in other comprehensive income relate to unlisted shares held at the end of the reporting period and are reported under "Equity Instruments through Other Comprehensive Income".

The significant unobservable input used in the fair value measurement categorized within Level 3 of the fair value hierarchy together with a quantitative sensitivity analysis as at March 31, 2023 and March 31, 2022 are as shown below:

Description of significant unobservable inputs to valuation:

	Valuation techniques	Significant unobservable inputs	Sensitivity of the input to fair value
Investments in unquoted equity shares	Price of recent transaction (PORT)	Transaction price	5% (March 31, 2022: 5%) increase (decrease) in the transaction price would result in increase (decrease) in fair value by ₹ 27.24 crore (March 31, 2022: ₹ 21.95 crore)

The discount for lack of marketability represents the amount that the Group has determined that market participants would take into account when pricing the investments.

44.2 Fair value hierarchy

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

Quoted prices in an active market (Level 1): Inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities. This includes quoted equity instruments, government securities, quoted borrowings (fixed rate) and mutual funds that have quoted price.

Valuation techniques with observable inputs (Level 2): Inputs are other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices). This includes derivative financial instruments and unquoted borrowings (fixed and floating rate).

Valuation techniques with significant unobservable inputs (Level 3): Inputs are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data. This includes unquoted equity shares and contingent consideration receivable.

Notes to the Consolidated Financial Statements

44. Financial Instruments (Contd.)

The following table summarizes financial assets and liabilities measured at fair value on a recurring basis and financial assets that are not measured at fair value on a recurring basis (but fair value disclosures are required) :

		Fair value hierarchy as at March 31, 2023			
	Date of valuation	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)	Total
		₹ crore	₹ crore	₹ crore	₹ crore
Asset measured at fair value					
FVTPL Financial Investments	March 31, 2023	1,085.43	Nil	1.55	1,086.98
FVTOCI Financial Investments:					
- Quoted equity shares	March 31, 2023	626.77	Nil	Nil	626.77
- Unquoted equity shares	March 31, 2023	Nil	Nil	544.79	544.79
Derivative instruments not in hedging relationship	March 31, 2023	Nil	115.07	Nil	115.07
Asset for which fair values are disclosed					
Investment in Government Securities	March 31, 2023	193.12	Nil	Nil	193.12
		1,905.32	115.07	546.34	2,566.73
Liabilities measured at fair value					
Derivative Financial Liabilities	March 31, 2023	Nil	18.58	Nil	18.58
Liabilities for which fair values are disclosed					
Fixed rate Borrowings	March 31, 2023	9,188.20	9,381.12	Nil	18,569.32
Floating rate Borrowings	March 31, 2023	1,470.91	29,513.44	Nil	30,984.35
Total		10,659.11	38,913.14	Nil	49,572.25

		Fair value hierarchy as at March 31, 2022			
	Date of valuation	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)	Total
		₹ crore	₹ crore	₹ crore	₹ crore
Asset measured at fair value					
FVTPL Financial Investments	March 31, 2022	354.85	Nil	0.16	355.01
FVTOCI Financial Investments:					
- Quoted equity shares	March 31, 2022	606.37	Nil	Nil	606.37
- Unquoted equity shares	March 31, 2022	Nil	Nil	439.02	439.02
Derivative instruments not in hedging relationship	March 31, 2022	Nil	5.06	Nil	5.06
Asset for which fair values are disclosed					
Investment in Government Securities	March 31, 2022	183.44	Nil	Nil	183.44
		1,144.66	5.06	439.18	1,588.90

Notes to the Consolidated Financial Statements

44. Financial Instruments (Contd.)

		Fair value hierarchy as at March 31, 2022			
	Date of valuation	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)	Total
		₹ crore	₹ crore	₹ crore	₹ crore
Liabilities measured at fair value					
Derivative Financial Liabilities	March 31, 2022	Nil	40.79	Nil	40.79
Liabilities for which fair values are disclosed					
Fixed rate Borrowings	March 31, 2022	11,859.79	5,940.86	Nil	17,800.65
Floating rate Borrowings	March 31, 2022	1,942.91	28,444.39	Nil	30,387.30
Total		13,802.70	34,426.04	Nil	48,228.74

Note: There has been no transfer between level 1 and level 2 during the period.

44.3 Capital Management & Gearing Ratio

For the purpose of the Group's capital management, capital includes issued equity capital and all other equity reserves attributable to the equity holders of the Group. The primary objective of the Group's capital management is to maximize the shareholder value. The Group manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. From time to time, the Group reviews its policy related to dividend payment to shareholders, return capital to shareholders or fresh issue of shares. The Group monitors capital using gearing ratio, which is net debt divided by total capital plus net debt. Net debt includes net debt, interest bearing loans and borrowings, less cash and cash equivalents, excluding discontinued operations as detailed in the notes below.

The Group's capital management is intended to create value for shareholders by facilitating the meeting of its long-term and short-term goals. Its Capital structure consists of net debt (borrowings as detailed in notes below) and total equity.

Gearing ratio

The gearing ratio at the end of the reporting period was as follows:

The gearing ratio at the end of the reporting period was as follows:	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Debt (i)	49,528.01	48,406.25
Less: Cash and Bank balances	11,187.13	6,621.41
Net debt	38,340.88	41,784.84
Capital (ii)	28,787.43	22,441.56
Capital and net debt	67,128.31	64,226.40
Net debt to Total Capital plus net debt ratio (%)	57.12	65.06

(i) Debt is defined as Non-current borrowings (including current maturities) and Current borrowings (excluding derivative, financial guarantee contracts and contingent considerations) and interest accrued on Non-current and Current borrowings.

(ii) Capital is defined as Equity share capital and other equity including reserves and surplus.

In order to achieve this overall objective, the Group's capital management, amongst other things, aims to ensure that it meets financial covenants attached to the interest-bearing loans and borrowings that define capital structure requirements. Breaches in meeting the financial covenants would permit the bank to immediately call loans and borrowings. There have been no significant breaches in the financial covenants of any interest-bearing loans and borrowing in the current year.

No changes were made in the objectives, policies or processes for managing capital during the years ended March 31, 2023 and March 31, 2022.

44.4 Financial risk management objectives and policies

The Group's principal financial liabilities, other than derivatives, comprise borrowings, trade and other payables, financial guarantee contracts and other financial liabilities. The main purpose of these financial liabilities is to finance the Group's operations and to

Notes to the Consolidated Financial Statements

44. Financial Instruments (Contd.)

provide guarantees to support its operations. The Group's principal financial assets include loans, trade and other receivables, cash and cash equivalents, other bank balances, unbilled receivables, finance lease receivables and other financial assets that derive directly from its operations. The Group also holds FVTOCI/FVTPL investments and enters into derivative transactions.

The Group is exposed to market risk, credit risk and liquidity risk. The Group's senior management oversees the management of these risks. The Group's senior management is supported by a risk committee that reviews the financial risks and the appropriate financial risk governance framework for the Group. The Group's financial risk activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Group's policies and risk objectives. All derivative activities for risk management purposes are carried out by specialist teams that have the appropriate skills, experience and supervision. It is the Group's policy that no trading in derivatives for speculative purposes may be undertaken. The risk management policy is approved by the board of directors, which is summarised below.

44.1 Market risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises of three types of risk: currency risk, interest rate risk and equity price risk. The impact of equity price risk is not material. Financial instruments affected by market risk include loans and borrowings, derivative financial instruments and FVTOCI investments.

The sensitivity analysis in the following sections relate to the position as at March 31, 2023 and March 31, 2022.

The sensitivity analysis have been prepared on the basis that the amount of net debt, the ratio of fixed to floating interest rates of the debt and derivatives and the proportion of financial instruments in foreign currencies are all constant and on the basis of hedge designations in place at March 31, 2023. The analysis exclude the impact of movements in market variables on: the carrying values of gratuity and other post-retirement obligations; provisions; and the non-financial assets and liabilities of foreign operations.

a. Foreign currency risk management

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Group is exposed to foreign exchange risk through its operations in international projects and purchase of coal from Indonesia and elsewhere and overseas borrowings. The results of the Group's operations can be affected as the rupee appreciates/depreciates against these currencies. The Group enters into derivative financial instruments such as foreign exchange forward and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures.

When a derivative is entered into for the purpose of being a hedge, the Group negotiates the terms of those derivatives to match the terms of the hedged exposure. For hedges of forecast transactions the derivatives cover the period of exposure from the point the cash flows of the transactions are forecasted up to the point of settlement of the resulting receivable or payable that is denominated in the foreign currency.

The following table analyses foreign currency assets and liabilities on balance sheet dates:

Foreign Currency Liabilities	As at March 31, 2023		As at March 31, 2022	
	Foreign Currency (In Million)	₹ crore	Foreign Currency (In Million)	₹ crore
In USD	414.17	3,403.77	672.71	5,098.18
In EURO	0.08	0.72	0.24	2.03
In GBP	0.21	2.13	0.06	0.64
In RUB	0.12	0.01	Nil	Nil
In CHF	*	0.32	Nil	Nil
In JPY	5.53	0.34	2.73	0.17
In SGD	0.36	2.25	0.04	0.22

Notes to the Consolidated Financial Statements

44. Financial Instruments (Contd.)

Foreign Currency Assets	As at March 31, 2023		As at March 31, 2022	
	Foreign Currency (In Million)	₹ crore	Foreign Currency (In Million)	₹ crore
In USD	57.69	473.33	5.83	44.15
In EURO	*	0.01	Nil	Nil
In GBP	0.01	0.11	Nil	Nil
In ZAR	0.02	0.03	0.02	0.01
In VND	Nil	Nil	3.37	*
In SGD	0.05	0.34	Nil	Nil
In TAKA	0.20	0.02	Nil	Nil

* Denotes figures below 50,000/-

(i) Foreign currency sensitivity analysis

The following tables demonstrate the sensitivity to a reasonably possible change in USD exchange rates, with all other variables held constant. The impact on the Group's profit before tax and impact on equity is due to changes in the fair value of monetary assets and liabilities as under.

		₹ crore
		Effect on profit before tax and consequential impact on Equity before tax
As of March 31, 2023	Rupee depreciate by ₹ 1 against USD	(-) ₹ 35.65
	Rupee appreciate by ₹ 1 against USD	(+) ₹ 35.65
As of March 31, 2022	Rupee depreciate by ₹ 1 against USD	(-) ₹ 66.69
	Rupee appreciate by ₹ 1 against USD	(+) ₹ 66.69

Notes:

- +/- Gain/Loss
- The impact of depreciation / appreciation on foreign currency other than USD on profit before tax of the Group is not significant.

(ii) Derivative financial instruments

The Group holds derivative financial instruments such as foreign currency forward and option contracts to mitigate the risk of changes in exchange rate on foreign currency exposure. The counterparty for these contracts is generally a Bank or a Financial Institution. These derivative financial instrument are valued based on quoted prices for similar asset and liabilities in active markets or inputs that is directly or indirectly observable in the marketplace.

44. Financial Instruments (Contd.)

Outstanding Contracts	Average Strike Price	As at March 31, 2023		
		Foreign Currency (in Million)	Nominal Value in ₹ crore	Fair Value in ₹ crore
Other Derivatives				
Forward contracts				
Buy USD / Sell INR				
< 1 year	82.92	1,436.61	11,912.09	3.40
Buy EURO / Sell INR				
< 1 year	91.89	52.66	483.89	1.45
Option contracts				
Buy USD / Sell INR				
< 1 year	83.61	18.80	157.19	(0.01)
Buy EURO / Sell INR				
< 1 year	95.98	4.00	38.39	0.36

		₹ crore
		Effect on profit before tax and consequential impact on Equity before tax
As of March 31, 2023	Rupee depreciate by ₹ 1 against USD	(+) ₹ 35.37
	Rupee appreciate by ₹ 1 against USD	(-) ₹ 35.37
As of March 31, 2022	Rupee depreciate by ₹ 1 against USD	(+) ₹ 33.34
	Rupee appreciate by ₹ 1 against USD	(-) ₹ 33.34

The Group manages its interest rate risk by having a balanced portfolio of fixed and variable rate loans and borrowings. The Group's policy is to keep up to 50% of its borrowings at fixed rates of interest. To manage this, the Group enters into fixed rate loan, Bonds and interest rate swaps, in which it agrees to exchange, at specified intervals, the difference between fixed and variable rate interest amounts calculated by reference to an agreed-upon notional principal amount.

Notes to the Consolidated Financial Statements

44. Financial Instruments (Contd.)

(i) Interest rate sensitivity:

The sensitivity analysis below have been determined based on exposure to interest rates for term loans and debentures at the end of the reporting period and the stipulated change taking place at the beginning of the financial year and held constant throughout the reporting period in case of term loans and debentures that have floating rates.

If the interest rates had been 50 basis points higher or lower and all the other variables were held constant, the effect on Interest expense for the respective financial years and consequent effect on Group's profit in that financial year would have been as below:

		Effect on profit before tax and consequential impact on Equity before tax
As at March 31, 2023	Increase in interest rate by 50 bps	(-) ₹ 154.92
	Decrease in interest rate by 50 bps	(+) ₹ 154.92
As at March 31, 2022	Increase in interest rate by 50 bps	(-) ₹ 151.94
	Decrease in interest rate by 50 bps	(+) ₹ 151.94

(ii) Interest rate swap contracts:

An interest rate swap is an agreement between two counterparties in which one stream of future interest payments is exchanged for another based on a specified principal amount. Interest rate swaps usually involve the exchange of a fixed interest rate for a floating rate, or vice versa, to reduce or increase exposure to fluctuations in interest rates or to obtain a marginally lower interest rate than would have been possible without the swap. Interest rate swaps are the exchange of one set of cash flows for another.

The following table gives details in respect of outstanding receive floating pay fixed contracts:

		Less than 1 year	1 to 5 years	5 years +
March 31, 2023	Nominal amounts (USD in Million)	Nil	100.00	Nil
	Average strike price	Nil	1.90%	Nil
	Fair value assets (liabilities) (in ₹ crore)	Nil	1.77	Nil
March 31, 2022	Nominal amounts (USD in Million)	Nil	100.00	Nil
	Average strike price	Nil	1.90%	Nil
	Fair value assets (liabilities) (in ₹ crore)	Nil	4.18	Nil

44.4.2 Credit risk management

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily trade receivables) and from its financing activities including loans, foreign exchange transactions and other financial instruments.

	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore
Trade Receivables	7,311.78	6,665.52
Loans	14.54	12.79
Finance Lease Receivables	621.72	635.60
Other Financial Assets (including derivatives contracts)	2,414.96	2,185.98
Held for Sale Financial Assets	22.83	22.83
Unbilled Revenue	2,456.71	2,285.57
Total	12,842.54	11,808.29

Refer Note 9 for credit risk and other information in respect of trade receivables. Other receivables as stated above are due from the parties under normal course of the business and as such the Group believes exposure to credit risk to be minimal. The Group has not acquired any credit impaired asset.

Notes to the Consolidated Financial Statements

44. Financial Instruments (Contd.)

44.4.3 Liquidity risk management

The Group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities. Having regards to the nature of the business wherein the Group is able to generate fixed cash flows over a period of time and to optimize the cost of funding, the Group, from time to time, funds its long-term investment from short-term sources. The short-term borrowings can be rollforward or, if required, can be refinanced from long term borrowings. Hence, the Group considers the liquidity risk as low.

The table below summarizes the maturity profile of the Group's financial liabilities based on contractual undiscounted payments.

	Up to 1 year	1 to 5 years	5+ years	Total	Carrying Amount
	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore
March 31, 2023					
Non-Derivatives					
Borrowings #	20,949.11	23,806.39	15,095.22	59,850.72	49,528.01
Trade Payables	7,407.20	Nil	Nil	7,407.20	7,407.20
Lease Liabilities	472.80	2,025.03	7,622.19	10,120.02	3,948.57
Other Financial Liabilities	12,887.16	234.81	867.04	13,989.01	13,989.01
Total Non-Derivative Liabilities	41,716.27	26,066.23	23,584.45	91,366.95	74,872.79
Derivatives					
Other Financial Liabilities	18.58	Nil	Nil	18.58	18.58
Total Derivative Liabilities	18.58	Nil	Nil	18.58	18.58
March 31, 2022					
Non-Derivatives					
Borrowings #	19,252.72	27,197.13	22,107.34	68,557.19	48,406.25
Trade Payables	10,459.60	Nil	Nil	10,459.60	10,459.60
Lease Liabilities	421.40	2,136.71	7,046.12	9,604.23	3,605.12
Other Financial Liabilities	8,774.92	98.92	1,057.64	9,931.48	9,931.48
Total Non-Derivative Liabilities	38,908.64	29,432.76	30,211.10	98,552.50	72,402.45
Derivatives					
Other Financial Liabilities	40.79	Nil	Nil	40.79	40.79
Total Derivative Liabilities	40.79	Nil	Nil	40.79	40.79

The table has been drawn up based on the undiscounted contractual maturities of the financial liabilities including interest that will be paid on those liabilities upto the maturity of the instruments, ignoring the call and refinancing options available with the Group. The amounts included above for variable interest rate instruments for non-derivative liabilities is subject to change if changes in variable interest rate differ to those estimates of interest rates determined at the end of the reporting period.

Notes to the Consolidated Financial Statements

45. Financial Ratios

SI No	Ratios	Numerator	Denominator	Note	As at March 31, 2023 ₹ crore	As at March 31, 2022 ₹ crore	% of Variance	Reason for variances in excess of 25%
a)	Current Ratio (In times)	Current Assets	Current Liabilities	a	0.74	0.66	12.1%	
b)	Debt equity ratio (in times)	Total Debt	Total Equity	b	1.57	2.00	(21.5%)	
c)	Debt service coverage ratio (in times) (not annualised)	Profit before exceptional items & tax + interest expenses + depreciation & amortisation - current tax expense	Interest expense + scheduled principal repayment of long-term debt and lease liabilities during the period	c	1.08	1.03	4.9%	
d)	Inventory turnover (in number of days)	Average Inventories except Property under Development	Cost of goods sold	d	67	72	(7.1%)	
e)	Debtors turnover (in number of days)	Average trade receivable x number of days	Gross Sales		67	75	(10.6)%	
f)	Trade payables turnover ratio	Average trade payable x number of days	Net credit purchases	e	74	100	(25.6%)	Decrease is mainly due to increase in power purchases and fuel cost.
g)	Net capital turnover ratio	Revenue from operation including net movement in Regulatory deferral balances	Working capital	f	(35.30)	(9.25)	281.6%	Improvement mainly due to increase in revenue from T&D cluster and Generation cluster partly offset by increased in Working Capital.
h)	Net profit ratio (%) including exceptional item	Net Profit after Tax (including exceptional item)	Revenue including net movement in Regulatory deferral balances		7%	5%	40.0%	Increase in margin on account of higher share of profit from Joint Venture Companies
i)	Return on Equity (%) (ROE)	Net Profit attributable to owners - Interest on Perpetual securities	Average Shareholder's Equity	g	13%	8%	62.5%	Increase in margin on account higher share of profit from Joint venture companies
j)	Return on Capital Employed (%) (ROCE)	Profit before tax and exceptional item + interest expense excluding interest on consumer security deposit	Average Capital employed (Shareholder's equity + Total Debt + Deferred tax liability)	h	12%	9%	33.3%	Improvement mainly due to higher profit from Joint venture companies. Partly offset by increase in capital employed
k)	Return on investment	Interest income + Dividend income + Gain on fair value of current investment at FVTPL	Average (Investment + Fixed deposit+ Loans Given)	i	4%	3%	33.3%	Increase due to higher income from underlying investment.

Note:

- a Current Assets as per balance sheet, assets held for sale and current portion of regulatory assets
Current Liabilities as per balance sheet, liabilities classified as held for sale and current portion of regulatory liabilities
- b Total Debt: Long term borrowings (including current maturities of long term borrowings), lease liabilities (current and non current), short term borrowings and interest accrued on debts
Total Equity : Issued share capital, other equity and non-controlling interest
- c For the purpose of computation, scheduled principal repayment of long term borrowings does not include prepayments (including prepayment by exercise of call/put option).
- d Cost of Goods Sold: Cost of Fuel, Raw Material Consumed, Purchase of Finished Goods and Spares, (increase)/ decrease in Stock-in-Trade and Work in Progress
- e Net credit purchases comprise of (a) cost of power purchased; (b) cost of fuel; (c) Transmission charges; (d) Raw material consumed; (e) Purchases of finish goods and spares; (f) Other expenses excluding (i) Bad debts (including provision); (ii) Net loss on foreign

Notes to the Consolidated Financial Statements

45. Financial Ratios (Contd.)

exchange; (iii) CSR expenses; (iv) (Profit)/ loss on sale of non-current investments in joint ventures accounted using equity method; (v) Transfer to Statutory Consumer reserve

Trade Payable: as per balance sheet less employee related payables

f Working Capital:

- i) Current Assets: as per balance sheet, assets held for sale and regulatory assets (Current)
- ii) Current Liabilities as per balance sheet (excluding current maturities of long term debt and lease liability and interest accrued on long-term debts), liabilities classified as held for sale and regulatory liability (Current)

g Net Profit: Profit for the year attributable to Owners of the Company (including continuing and discontinuing operation) less interest on perpetual securities.

Shareholders Equity: Issued share capital and other equity (excluding Non-Controlling Interest)

h Shareholder's Equity: Issued share capital, other equity (excluding Non-Controlling interest)

i i) Interest Income:

Interest on bank deposits Plus Interest on non-current investment Plus Interest on loans given (subsidiaries, JV & Associates)

ii) Dividend Income from:

Associates & Joint Ventures Plus other equity investments designated as FVTOCI

46. Segment Reporting

Information reported to the Chief Operating Decision Maker ("CODM") for the purpose of resource allocation and assessment of segment performance focuses on business segment which comprises of Generation, Renewables, Transmission & Distribution and Others. Specifically, the Group's reportable segments under Ind AS are as follows:

Generation: Comprises of generation of power from hydroelectric sources and thermal sources (coal, gas and oil) from plants owned and operated under lease arrangement and related ancillary services. It also comprises of coal - mining, trading, shipping and related infra business.

Renewables: Comprises of generation of power from renewable energy sources i.e. wind and solar. It also comprises rooftop solar projects, electric vehicle charging stations, EPC and maintenance services with respect to solar.

Transmission and Distribution: Comprises of transmission and distribution network, sale of power to retail customers through distribution network and related ancillary services. It also comprises of power trading business.

Others: Comprises of project management contracts/infrastructure management services, property development, lease rent of oil tanks and satellite communication.

Revenue and expenses directly attributable to segments are reported under each reportable segment. Expenses which are not directly identifiable to each reporting segment have been allocated on the basis of associated revenue/assets of the segment and manpower efforts. All other revenue/expenses which are not attributable or allocable to segments have been disclosed as unallocable. Assets and liabilities that are directly attributable or allocable to segments are disclosed under each reportable segment. All other assets and liabilities are disclosed as unallocable.

Notes to the Consolidated Financial Statements

46. Segment Reporting (Contd.)

(a) Segment Information:

Particulars	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Segment Revenue		
Generation	18,211.35	11,211.03
Renewables	8,196.91	7,748.90
Transmission and Distribution	34,529.36	27,493.17
Others	413.56	317.80
	61,351.18	46,770.90
(Less): Inter Segment Revenue - Generation	(4,951.05)	(3,769.77)
(Less): Inter Segment Revenue - Renewables	(377.67)	(468.93)
(Less): Inter Segment Revenue - Others	(73.19)	(10.19)
Total Segment Revenue / Revenue from External Customers	55,949.27	42,522.01
Segment Results		
Generation	5,092.16	2,632.75
Renewables	1,932.01	1,923.57
Transmission and Distribution	2,197.68	2,138.49
Others	(308.17)	(286.03)
Total Segment Results	8,913.68	6,408.78
(Less): Finance Costs	(4,371.65)	(3,859.02)
Add/(Less): Exceptional Item - Transmission and Distribution	Nil	(150.27)
Add/(Less): Unallocable Income/(Expense) (Net)	914.97	603.51
Profit/(Loss) Before Tax from Continuing Operations	5,457.00	3,003.00
Impairment Loss on Remeasurement to Fair Value (Refer Note 19c)	Nil	(467.83)
Profit/(Loss) Before Tax from Discontinued Operations	Nil	(467.83)
Segment Assets		
Generation	41,201.04	38,201.93
Renewables	29,744.49	27,589.28
Transmission and Distribution	37,477.26	32,411.34
Others	1,351.37	1,972.50
Unallocable*	18,574.88	12,709.54
Total Assets	1,28,349.04	1,12,884.59
Segment Liabilities		
Generation	5,847.87	5,728.80
Renewables	4,931.02	5,011.57
Transmission and Distribution	23,134.90	19,542.33
Others	124.94	147.98
Unallocable*	60,106.19	56,425.45
Total Liabilities	94,144.92	86,856.13

Notes to the Consolidated Financial Statements

46. Segment Reporting (Contd.)

Particulars	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Capital Expenditure		
Generation	945.15	540.00
Renewables	3,345.05	4,313.15
Transmission and Distribution	3,344.89	2,121.07
Others	11.75	288.23
Unallocable	9.17	5.41
	7,656.01	7,267.86
Depreciation/Amortisation		
Generation	1,078.14	1,047.09
Renewables	1,063.95	934.57
Transmission and Distribution	1,233.75	1,067.68
Others	36.20	34.55
Unallocable	27.16	38.31
	3,439.20	3,122.20
Investments accounted for using the Equity Method		
Generation	13,070.16	11,099.01
Renewables	Nil	Nil
Transmission and Distribution	493.47	497.41
Others	655.25	983.58
Unallocable	Nil	Nil
	14,218.88	12,580.00
Reconciliation of Revenue		
Particulars	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue from Operations	55,109.08	42,815.67
Add/(Less): Net Movement in Regulatory Deferral Balances	815.70	(380.42)
Add/(Less): Net Movement in Regulatory Deferral Balances in respect of earlier years	(8.53)	Nil
Add/(Less): Deferred Tax Recoverable/(Payable)	116.88	140.95
Add/(Less): Unallocable Revenue	(83.86)	(54.19)
Total Segment Revenue as reported above	55,949.27	42,522.01

* Includes amount classified as held for sale

Notes:

- Comparative figures for Statement of Profit and Loss items are for the year ended March 31, 2022 and Balance Sheet items are as at March 31, 2022.
- Revenue from power distribution companies on sale of electricity with which Group has entered into a Power Purchase Agreement accounts for more than 10% of Total Revenue.
- Transfer pricing between operating segments are on an arm's length basis in a manner similar to transactions with third parties.

Notes to the Consolidated Financial Statements

46. Segment Reporting (Contd.)

(b) Geographic Information:

The Group operates in two principal geographical areas - Domestic and Overseas

The Group's revenue from continuing operations from external customers by location of operations and information about its non-current assets by location of assets are detailed below:

Geographical Segment

Particulars	For the year ended March 31, 2023 ₹ crore	For the year ended March 31, 2022 ₹ crore
Revenue from External Customers		
Domestic	55,860.89	42,403.11
Overseas	88.38	118.90
	55,949.27	42,522.01
Segment Assets:		
Non Current Assets		
Domestic	62,605.74	58,433.93
Overseas	22,488.38	19,536.90
	85,094.12	77,970.83
Current Assets		
Domestic	16,176.57	15,117.20
Overseas	70.04	276.45
	16,246.61	15,393.65
Regulatory Deferral Account - Assets		
Domestic	8,433.43	6,810.57
Overseas	Nil	Nil
	8,433.43	6,810.57
Unallocable Assets	18,574.88	12,709.54
Total Assets	1,28,349.04	1,12,884.59
Capital Expenditure		
Domestic	7,654.06	7,267.86
Overseas	1.95	Nil
	7,656.01	7,267.86

Notes to the Consolidated Financial Statements

47. Significant Events after the Reporting Period

There were no significant adjusting events that occurred subsequent to the reporting period other than the events disclosed in the relevant notes.

48. Statement of Net Assets and Profit and Loss attributable to Owners and Non Controlling Interests

Name of the Entity	Net Assets i.e. total assets minus total liabilities		Total Income i.e. Revenue Plus Other Income		Share of Profit or (Loss)		Share in Other Comprehensive Income		Share in Total Comprehensive Income	
	As % of consolidated net assets	Amount (₹ crore)	As % of consolidated total income	Amount (₹ crore)	As % of consolidated profit	Amount (₹ crore)	As % of consolidated Other comprehensive income	Amount (₹ crore)	As % of consolidated Total comprehensive income	Amount (₹ crore)
The Tata Power Company Ltd. #	25.43	13,699.59	33.61	22,933.35	28.10	3,267.90	7.43	111.07	25.74	3,378.97
Indian Subsidiaries										
Nelco Ltd. (Consolidated) ¹	0.19	104.55	0.46	315.90	0.17	19.85	(0.02)	(0.24)	0.15	19.61
Tata Power Trading Company Ltd.	0.50	269.28	0.61	416.58	0.18	20.88	0.01	0.14	0.16	21.02
Maithon Power Ltd.	4.08	2,195.39	4.51	3,078.76	2.97	345.32	(0.05)	(0.82)	2.62	344.50
Tata Power Delhi Distribution Ltd.	8.16	4,396.86	14.20	9,700.50	3.79	440.39	(0.01)	(0.19)	3.35	440.20
Tata Power Jamshedpur Distribution Ltd.	Nil	(1.71)	Nil	Nil	Nil	(0.20)	Nil	Nil	Nil	(0.20)
TP Renewable Microgrid Ltd.	0.11	59.03	0.01	7.44	(0.12)	(13.85)	Nil	0.07	(0.10)	(13.78)
Tata Power Renewable Energy Ltd.	19.64	10,576.05	2.68	1,831.30	0.83	96.06	(0.10)	(1.44)	0.72	94.62
TP Kirnali Ltd.	(0.03)	(13.69)	0.15	104.86	(0.11)	(12.69)	Nil	Nil	(0.10)	(12.69)
TP Solapur Ltd.	(0.02)	(12.77)	0.07	49.39	(0.16)	(18.83)	(0.06)	(0.90)	(0.15)	(19.73)
Tata Power Solar Systems Ltd.	2.40	1,290.34	10.14	6,925.36	1.91	222.23	12.86	192.26	3.16	414.49
NDPL Infra Ltd.	0.05	26.76	Nil	1.48	0.01	0.99	Nil	Nil	0.01	0.99
Tata Power Green Energy Ltd.	Nil	2.32	0.17	118.99	(0.07)	(7.85)	Nil	Nil	(0.06)	(7.85)
TP Wind Power Ltd.	0.15	78.51	0.04	29.81	0.05	5.39	Nil	Nil	0.04	5.39
Supa Windfarm Ltd.	0.02	10.79	Nil	Nil	Nil	(0.05)	Nil	Nil	Nil	(0.05)
Poolavadi Windfarm Ltd.	0.20	109.36	0.07	49.04	0.06	7.01	Nil	Nil	0.05	7.01
Nivade Windfarm Ltd.	0.01	7.53	Nil	1.43	Nil	0.52	Nil	Nil	Nil	0.52
Vagarai Windfarm Ltd.	(0.09)	(49.15)	0.03	19.80	(0.05)	(5.56)	Nil	Nil	(0.04)	(5.56)
TP Ajmer Distribution Ltd.	0.20	105.36	0.62	424.75	0.02	2.62	0.01	0.11	0.02	2.73
Chirasthaayee Saurya Ltd.	0.04	21.06	0.07	50.92	0.04	5.03	Nil	Nil	0.04	5.03
Walwhan Renewable Energy Ltd. (Consolidated) ²	6.57	3,541.33	1.99	1,360.23	4.35	506.17	0.01	0.10	3.86	506.27
TP Kirnali Solar Ltd.	0.04	19.19	0.01	9.83	0.03	3.50	Nil	Nil	0.03	3.50
TP Solapur Solar Ltd.	0.03	14.22	0.01	7.13	0.01	0.84	Nil	Nil	0.01	0.84
TP Akkalkot Renewable Ltd	0.03	14.47	0.01	5.16	0.01	1.67	Nil	Nil	0.01	1.67
TP Saurya Ltd	Nil	(1.64)	0.03	19.72	0.09	10.02	Nil	Nil	0.08	10.02
TP Roofurja Renewables Ltd.	Nil	(0.93)	Nil	Nil	Nil	(0.01)	Nil	Nil	Nil	(0.01)
TP Solapur Saurya Limited	Nil	(0.63)	Nil	Nil	(0.01)	(0.68)	Nil	Nil	(0.01)	(0.68)
TP Central Odisha Distribution Ltd.	1.19	639.20	7.12	4,865.25	0.11	13.28	Nil	Nil	0.10	13.28
TP Western Odisha Distribution Ltd.	1.18	634.00	9.35	6,383.85	0.78	91.08	Nil	Nil	0.69	91.08
TP Southern Odisha Distribution Ltd.	0.92	493.14	3.11	2,122.84	0.28	32.75	Nil	Nil	0.25	32.75
TP Northern Odisha Distribution Ltd.	1.09	587.74	5.02	3,430.41	0.99	115.67	Nil	Nil	0.88	115.67
TP Nanded Ltd	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
TP Green Nature Ltd	0.05	27.08	0.01	4.08	0.02	1.76	Nil	Nil	0.01	1.76
TP Adhrit Solar Limited	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil

Notes to the Consolidated Financial Statements

48. Statement of Net Assets and Profit and Loss attributable to Owners and Non Controlling Interests (Contd.)

Name of the Entity	Net Assets i.e. total assets minus total liabilities		Total Income i.e. Revenue Plus Other Income		Share of Profit or (Loss)		Share in Other Comprehensive Income		Share in Total Comprehensive Income	
	As % of consolidated net assets	Amount (₹ crore)	As % of consolidated total income	Amount (₹ crore)	As % of consolidated profit	Amount (₹ crore)	As % of consolidated Other comprehensive income	Amount (₹ crore)	As % of consolidated Total comprehensive income	Amount (₹ crore)
TP Arya Saurya Limited	Nil	0.04	Nil	Nil	Nil	(0.01)	Nil	Nil	Nil	(0.01)
TP Saurya Bandita Limited	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
TP Ekadash Limited	Nil	0.04	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
TP Govardhan Creative Limited	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
TP Narmada Solar Limited	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
TP Bhaskar Renewables Limited	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
TP Atharva Solar Limited	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
TP VivaGreen Limited	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
TP Vardhman Surya Limited	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
TP Kaunteya Saurya Limited	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
TP Solar Ltd	(0.01)	(5.33)	Nil	Nil	(0.03)	(3.36)	(0.14)	(2.02)	(0.04)	(5.38)
Foreign Subsidiaries										
Bhira Investments Ltd	3.39	1,827.64	3.87	2,642.49	19.10	2,221.52	13.32	199.06	18.44	2,420.58
Bhivpuri Investments Ltd.	2.62	1,413.20	0.04	25.29	(0.50)	(58.59)	7.58	113.34	0.42	54.75
Khopoli Investments Ltd.	1.80	969.82	0.08	51.73	0.29	34.00	4.92	73.54	0.82	107.54
Trust Energy Resources Pte. Ltd.	1.68	905.23	0.95	651.60	0.47	54.84	4.50	67.32	0.93	122.16
PT Sumber Energi Andalan Tbk. (Consolidated) ³	0.02	13.44	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Tata Power International Pte. Ltd.	1.72	928.75	0.94	642.54	7.58	882.27	1.46	21.84	6.89	904.11
Far Eastern Natural Resources LLC	0.03	15.08	0.02	12.20	(0.05)	(5.38)	0.22	3.33	(0.02)	(2.05)
Indian Associates										
The Associated Building Company Ltd.	0.01	6.82	Nil	Nil	0.01	1.47	Nil	Nil	0.01	1.47
Yashmun Engineers Ltd.	Nil	1.51	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Tata Projects Ltd.	1.15	617.15	Nil	Nil	(3.50)	(407.18)	0.47	6.99	(3.05)	(400.18)
Brihat Trading Pvt. Ltd.	Nil	(0.01)	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Foreign Associates										
Dagachhu Hydro Power Corporation Ltd.	0.01	7.18	Nil	Nil	0.02	1.87	Nil	0.00	0.01	1.87
Indian Jointly Control Entities										
Powerlinks Transmission Ltd.	0.92	493.48	Nil	Nil	0.36	41.35	Nil	0.06	0.32	41.41
Industrial Energy Ltd.	1.49	802.00	Nil	Nil	0.74	85.77	0.01	0.17	0.65	85.94
Dugar Hydro Power Ltd.	0.06	32.29	Nil	Nil	Nil	0.43	Nil	Nil	Nil	0.43
Mandakini Coal Company Ltd.	(0.11)	(57.19)	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Solace Land Holding Ltd.	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Foreign Jointly Control Entities										
PT Mitratama Perkasa (Consolidated) ³	1.70	915.25	Nil	Nil	Nil	Nil	4.77	71.23	0.54	71.23
PT Arutmin Indonesia	1.56	838.62	Nil	Nil	Nil	Nil	4.37	65.27	0.50	65.27
PT Kaltim Prima Coal	2.66	1,434.01	Nil	Nil	23.63	2,749.07	3.73	55.77	21.37	2,804.84
Indocoal Resources (Cayman) Ltd.	0.55	295.42	Nil	Nil	0.07	7.65	1.61	24.00	0.24	31.65
PT Indocoal Kalsel Resources	Nil	0.00	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
PT Indocoal Kaltim Resources	Nil	0.01	Nil	Nil	Nil	(0.01)	Nil	Nil	Nil	(0.01)
Candice Investments Pte. Ltd.	0.07	38.72	Nil	Nil	0.03	3.03	0.19	2.84	0.04	5.87
PT Nusa Tambang Pratama	1.25	670.58	Nil	Nil	0.62	72.69	3.81	57.00	0.99	129.69
PT Marvel Capital Indonesia	Nil	0.18	Nil	Nil	Nil	0.01	Nil	0.02	Nil	0.03

Notes to the Consolidated Financial Statements

48. Statement of Net Assets and Profit and Loss attributable to Owners and Non Controlling Interests (Contd.)

Name of the Entity	Net Assets i.e. total assets minus total liabilities		Total Income i.e. Revenue Plus Other Income		Share of Profit or (Loss)		Share in Other Comprehensive Income		Share in Total Comprehensive Income	
	As % of consolidated net assets	Amount (₹ crore)	As % of consolidated total income	Amount (₹ crore)	As % of consolidated profit	Amount (₹ crore)	As % of consolidated Other comprehensive income	Amount (₹ crore)	As % of consolidated Total comprehensive income	Amount (₹ crore)
PT Dwikarya Prima Abadi	0.10	55.43	Nil	Nil	1.34	155.88	0.29	4.31	1.22	160.19
PT Kalimantan Prima Power (Consolidated) ⁴	0.43	231.60	Nil	Nil	(0.09)	(11.00)	1.25	18.65	0.06	7.65
PT Baramulti Sukessarana Tbk (Consolidated) ⁵	1.06	570.77	Nil	Nil	4.71	547.30	3.05	45.55	4.51	592.85
Adjaristsqali Netherlands BV (Consolidated) ⁶	1.15	618.89	Nil	Nil	Nil	Nil	1.46	21.78	0.17	21.78
Itezhi Tezhi Power Corporation	0.87	468.74	Nil	Nil	Nil	Nil	1.73	25.90	0.20	25.90
Resurgent Power Ventures Pte. Ltd. (Consolidated) ⁷	1.68	907.28	Nil	Nil	0.92	107.27	21.32	318.72	3.25	425.99
Indocoal KPC Resources (Cayman) Ltd.	Nil	0.84	Nil	Nil	Nil	(0.06)	Nil	0.07	Nil	0.01
	100.00	53,860.60	100.00	68,294.01	100.00	11,632.04	100.00	1,494.90	100.00	13,126.94
Adjustments arising out of consolidation	Nil	(19,656.49)	Nil	(10,822.86)	Nil	(7,822.37)	Nil	(653.39)	Nil	(8,475.76)
Non-Controlling Interest										
Indian Subsidiaries										
Nelco Ltd. (Consolidated) ¹	Nil	(52.23)	Nil	Nil	Nil	(9.91)	Nil	0.12	Nil	(9.79)
Maithon Power Ltd.	Nil	(570.80)	Nil	Nil	Nil	(89.78)	Nil	0.21	Nil	(89.57)
Tata Power Delhi Distribution Ltd.	Nil	(2,154.46)	Nil	Nil	Nil	(215.79)	Nil	0.09	Nil	(215.70)
NDPL Infra Ltd.	Nil	(13.11)	Nil	Nil	Nil	(0.49)	Nil	Nil	Nil	(0.49)
Poolavadi Windfarm Ltd.	Nil	(28.43)	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
TP Kirnali Solar Ltd.	Nil	(4.99)	Nil	Nil	Nil	(0.91)	Nil	Nil	Nil	(0.91)
TP Solapur Solar Ltd.	Nil	(3.70)	Nil	Nil	Nil	(0.22)	Nil	Nil	Nil	(0.22)
TP Akkalkot Renewable Ltd	Nil	(3.76)	Nil	Nil	Nil	(0.42)	Nil	Nil	Nil	(0.42)
TP Nanded Ltd	Nil	(0.01)	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
TP Green Nature Ltd	Nil	(7.04)	Nil	Nil	Nil	(0.46)	Nil	Nil	Nil	(0.46)
Nivade Windfarm Ltd.	Nil	(1.96)	Nil	Nil	Nil	(0.14)	Nil	Nil	Nil	(0.14)
TP Central Odisha Distribution Ltd.	Nil	(313.21)	Nil	Nil	Nil	(6.51)	Nil	Nil	Nil	(6.51)
TP Western Odisha Distribution Ltd.	Nil	(310.66)	Nil	Nil	Nil	(44.63)	Nil	Nil	Nil	(44.63)
TP Southern Odisha Distribution Ltd.	Nil	(241.64)	Nil	Nil	Nil	(16.05)	Nil	Nil	Nil	(16.05)
TP Northern Odisha Distribution Ltd.	Nil	(287.99)	Nil	Nil	Nil	(56.68)	Nil	Nil	Nil	(56.68)
Tata Power Renewable Energy Ltd (Consolidated)	Nil	(1,396.72)	Nil	Nil	Nil	(31.26)	Nil	(4.96)	Nil	(36.22)
Foreign Subsidiaries										
PT Sumber Energi Andalan Tbk. (Consolidated) ³	Nil	(1.01)	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Foreign Jointly Control Entities										Nil
PT Mitratama Perkasa (Consolidated) ³	Nil	(24.96)	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Total		(5,416.69)				(473.23)		(4.53)		(477.76)
Consolidated Net Assets / Profit after tax		28,787.43		57,471.15		3,336.44		836.97		4,173.41

Notes to the Consolidated Financial Statements

48. Statement of Net Assets and Profit and Loss attributable to Owners and Non Controlling Interests (Contd.)

	₹ crore
Reconciliation of Total Income (i.e. Revenue plus other income)	
Total Income as per Statement of Profit & Loss	56,547.10
Net Movement in Regulatory Deferral Balances (Net)	924.05
Total Income as per the above statement	57,471.15

Note:

- Accounts of Nelco Network Products Limited have been consolidated with Nelco Ltd.
- Accounts of all subsidiaries of Walwhan Renewable Energy Ltd. (Refer Note 2.6) have been consolidated with Walwhan Renewable Energy Ltd.
- Accounts of PT Mitratama Perkasa have been consolidated with PT Sumber Energi Andalan Tbk.
- Accounts of PT Citra Prima Buana, PT Guruh Agung and PT Citra Kusuma Perdana have been consolidated with PT Kalimantan Prima Power.
- Accounts of PT Antang Gunung Meratus have been consolidated with PT Baramulti Sukessarana Tbk.
- Accounts of Adjaristsqali Georgia LLC have been consolidated with Adjaristsqali Netherlands BV.
- Accounts of Renascent Power Ventures Pvt. Ltd and Prayagraj Power Generation Company Limited, NRSS XXXVI Transmission Limited (NRSS) and South East UP Power Transmission Company Limited ("SEUPPTCL") have been consolidated with Resurgent Power Ventures Pte. Ltd..

Includes Discontinued Operations.

48.1 Summarised Financial Information of Material Non Controlling Interests

Financial Information of Subsidiaries that have material non-controlling interest is provided below:

Proportion of equity interest held by non-controlling interests:

Name	Country of Incorporation	March 31, 2023	March 31, 2022
		%	%
Maithon Power Limited	India	26.00%	26.00%
Tata Power Delhi Distribution Limited	India	49.00%	49.00%
TP Central Odisha Distribution Limited	India	49.00%	49.00%
TP Western Odisha Distribution Limited	India	49.00%	49.00%
TP Southern Odisha Distribution Limited	India	49.00%	49.00%
TP Northern Odisha Distribution Limited	India	49.00%	49.00%
Tata Power Renewable Energy Limited (Consolidated) #	India	11.43%	Nil

The said NCI interest has been computed after considering the impact of conversion of Compulsorily Convertible Preference Shares to equity shares. Without the said conversion impact, the NCI holding stands at 6.06%.

Notes to the Consolidated Financial Statements

48.1 Summarised Financial Information of Material Non Controlling Interests (Contd.)

A Maithon Power Ltd.

(i) Summarised Balance Sheet:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	3,717.07	3,722.62
Current Assets	755.99	975.47
Non-current Liabilities	(1,351.86)	(1,402.37)
Current Liabilities	(925.81)	(814.83)
	2,195.39	2,480.89
Attributable to:		
Equity holders of parent	1,624.59	1,835.86
Non-controlling interest	570.80	645.03

(ii) Summarised Statement of Profit and Loss:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue	3,029.09	2,780.20
Other Income	49.67	22.28
Cost of Fuel	(1,943.68)	(1,772.84)
Employee Benefits Expenses	(48.45)	(44.96)
Finance Cost	(119.48)	(137.29)
Depreciation and Amortisation Expenses	(279.17)	(272.14)
Other Expenses	(308.24)	(282.62)
Profit before tax	379.74	292.63
Tax Expenses	(34.42)	(12.10)
Profit for the year	345.32	280.53
Other Comprehensive Income/(Expense) for the year	(0.82)	(0.03)
Total Comprehensive Income for the year	344.50	280.50
Attributable to:		
Equity holders of parent	254.93	207.57
Non-controlling interest	89.57	72.93
Dividend including Dividend Distribution Tax Attributable to:		
Equity holders of parent	466.20	Nil
Non-controlling interest	163.80	Nil

Notes to the Consolidated Financial Statements

48.1 Summarised Financial Information of Material Non Controlling Interests (Contd.)

(iii) Summarised Cash Flow information:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Operating Activities	648.33	525.94
Investing Activities	386.84	(319.65)
Financing Activities	(866.57)	(261.62)
Net (Decrease) / Increase in Cash and Cash Equivalents	168.60	(55.33)

B Tata Power Delhi Distribution Ltd.

(i) Summarised Balance Sheet:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	4,459.95	4,427.13
Current Assets	951.29	966.85
Assets classified as held for sale	20.04	20.04
Regulatory Deferral Account - Assets	6,139.28	5,842.23
Non-current Liabilities	(4,678.19)	(4,539.45)
Current Liabilities	(2,495.51)	(2,633.90)
	4,396.86	4,082.90
Attributable to:		
Equity holders of parent	2,242.40	2,082.28
Non-controlling interest	2,154.46	2,000.62

(ii) Summarised Statement of Profit and Loss:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue including Regulatory income/(expense)	9,593.74	7,978.41
Other Income	106.76	161.58
Cost of Power Purchased	(7,469.57)	(5,956.92)
Employee Benefits Expenses	(538.12)	(515.72)
Finance Cost	(286.33)	(324.05)
Depreciation and Amortisation Expenses	(377.14)	(371.14)
Other Expenses	(387.10)	(337.12)
Profit before tax	642.24	635.04
Tax Expenses	(201.85)	(196.38)
Profit for the year	440.39	438.66
Other Comprehensive Income/(Expense) for the year	(0.19)	0.38
Total Comprehensive Income for the year	440.21	439.04
Attributable to:		
Equity holders of parent	224.49	223.91
Non-controlling interest	215.71	215.13

Notes to the Consolidated Financial Statements

48.1 Summarised Financial Information of Material Non Controlling Interests (Contd.)

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Dividend including Dividend Distribution Tax Attributable to:		
Equity holders of parent	64.38	64.38
Non-controlling interest	61.86	61.86

(iii) Summarised Cash Flow information:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Operating Activities	1,007.64	1,061.63
Investing Activities	(354.60)	(331.14)
Financing Activities	(674.98)	(751.40)
Net (Decrease) / Increase in Cash and Cash Equivalents	(21.94)	(20.91)

C TP Central Odisha Distribution Ltd

(i) Summarised Balance Sheet:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	4,375.02	3,829.36
Current Assets	2,347.99	2,261.93
Regulatory Deferral Account - Assets	82.89	126.24
Non-current Liabilities	(3,327.60)	(2,810.54)
Current Liabilities	(2,839.10)	(2,866.85)
	639.20	540.14
Attributable to:		
Equity holders of parent	325.99	275.47
Non-controlling interest	313.21	264.67

(ii) Summarised Statement of Profit and Loss:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue including Regulatory income/(expense)	4,791.20	4,070.42
Other Income	74.05	51.26
Cost of Power Purchased & Transmission Charges	(3,214.58)	(2,715.66)
Employee Benefits Expenses	(760.59)	(745.42)
Finance Cost	(106.83)	(85.39)
Depreciation and Amortisation Expenses	(181.55)	(117.80)
Other Expenses	(583.56)	(417.80)
Profit before tax	18.14	39.61
Tax Expenses	(4.86)	(10.16)
Profit for the year	13.28	29.45
Other Comprehensive Income/(Expense) for the year	Nil	Nil
Total Comprehensive Income for the year	13.28	29.45
Attributable to:		
Equity holders of parent	6.77	15.02
Non-controlling interest	6.51	14.43

Notes to the Consolidated Financial Statements

48.1 Summarised Financial Information of Material Non Controlling Interests (Contd.)

(iii) Summarised Cash Flow information:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Operating Activities	415.75	164.82
Investing Activities	(847.66)	(852.72)
Financing Activities	421.74	679.31
Net (Decrease) / Increase in Cash and Cash Equivalents	(10.17)	(8.59)

D TP Western Odisha Distribution Ltd

(i) Summarised Balance Sheet:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	2,787.46	2,070.87
Current Assets	3,889.30	2,900.59
Non-current Liabilities	(2,256.13)	(1,660.24)
Current Liabilities	(2,559.63)	(2,253.93)
Regulatory Deferral Account - Liability	(1,227.00)	(634.64)
	634.00	422.65
Attributable to:		
Equity holders of parent	323.34	215.55
Non-controlling interest	310.66	207.10

(ii) Summarised Statement of Profit and Loss:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue including Regulatory income/(expense)	6,253.68	4,242.77
Other Income	130.17	83.67
Cost of Power Purchased & Transmission Charges	(5,094.80)	(3,338.17)
Employee Benefits Expenses	(410.60)	(450.71)
Finance Cost	(81.44)	(42.93)
Depreciation and Amortisation Expenses	(111.99)	(81.12)
Other Expenses	(561.99)	(328.32)
Profit before tax	123.03	85.19
Tax Expenses	(31.95)	(21.45)
Profit for the year	91.08	63.74
Other Comprehensive Income/(Expense) for the year	Nil	Nil
Total Comprehensive Income for the year	91.08	63.74
Attributable to:		
Equity holders of parent	46.45	32.51
Non-controlling interest	44.63	31.23

Notes to the Consolidated Financial Statements

48.1 Summarised Financial Information of Material Non Controlling Interests (Contd.)

(iii) Summarised Cash Flow information:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Operating Activities	1,176.00	553.80
Investing Activities	(896.31)	(899.17)
Financing Activities	639.70	458.49
Net (Decrease) / Increase in Cash and Cash Equivalents	919.39	113.12

E TP Southern Odisha Distribution Ltd

(i) Summarised Balance Sheet:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	1,429.51	994.79
Current Assets	1,748.86	1,185.17
Regulatory Deferral Account - Assets	298.04	93.58
Non-current Liabilities	(1,316.95)	(742.86)
Current Liabilities	(1,666.32)	(1,191.29)
	493.14	339.39
Attributable to:		
Equity holders of parent	251.50	173.09
Non-controlling interest	241.64	166.30

(ii) Summarised Statement of Profit and Loss:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue including Regulatory income/(expense)	2,059.21	1,689.49
Other Income	63.63	49.30
Cost of Power Purchased & Transmission Charges	(1,057.82)	(916.57)
Employee Benefits Expenses	(381.53)	(395.60)
Finance Cost	(58.62)	(27.03)
Depreciation and Amortisation Expenses	(58.32)	(40.63)
Other Expenses	(519.73)	(269.33)
Profit before tax	46.82	89.63
Tax Expenses	(14.07)	(20.60)
Profit for the year	32.75	69.03
Other Comprehensive Income/(Expense) for the year	Nil	Nil
Total Comprehensive Income for the year	32.75	69.03
Attributable to:		
Equity holders of parent	16.70	35.21
Non-controlling interest	16.05	33.82

Notes to the Consolidated Financial Statements

48.1 Summarised Financial Information of Material Non Controlling Interests (Contd.)

(iii) Summarised Cash Flow information:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Operating Activities	(85.27)	(28.16)
Investing Activities	(826.72)	(174.61)
Financing Activities	908.94	285.57
Net (Decrease) / Increase in Cash and Cash Equivalents	(3.05)	82.80

F TP Northern Odisha Distribution Ltd

(i) Summarised Balance Sheet:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	2,979.02	2,260.30
Current Assets	1,854.92	1,413.32
Regulatory Deferral Account - Assets	Nil	22.58
Non-current Liabilities	(2,215.22)	(1,595.37)
Current Liabilities	(2,022.62)	(1,731.96)
Regulatory Deferral Account - Liability	(8.36)	Nil
	587.74	368.87
Attributable to:		
Equity holders of parent	299.75	188.12
Non-controlling interest	287.99	180.75

(ii) Summarised Statement of Profit and Loss:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue including Regulatory income/(expense)	3,356.15	2,722.46
Other Income	74.26	45.60
Cost of Power Purchased & Transmission Charges	(2,240.22)	(1,836.76)
Employee Benefits Expenses	(390.45)	(436.79)
Finance Cost	(68.25)	(45.23)
Depreciation and Amortisation Expenses	(105.09)	(89.34)
Other Expenses	(475.74)	(261.16)
Profit before tax	150.66	98.78
Tax Expenses	(34.99)	(24.86)
Profit for the year	115.67	73.92
Other Comprehensive Income/(Expense) for the year	Nil	Nil
Total Comprehensive Income for the year	115.67	73.92
Attributable to:		
Equity holders of parent	58.99	37.70
Non-controlling interest	56.68	36.22

Notes to the Consolidated Financial Statements

48.1 Summarised Financial Information of Material Non Controlling Interests (Contd.)

(iii) Summarised Cash Flow information:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Operating Activities	244.17	263.34
Investing Activities	(885.63)	(578.30)
Financing Activities	802.15	163.04
Net (Decrease) / Increase in Cash and Cash Equivalents	160.69	(151.92)

G Tata Power Renewable Energy Limited (Consolidated) (Refer Note below)

(i) Summarised Balance Sheet:

	As at March 31, 2023	As at March 31, 2022
	₹ crore	₹ crore
Non-current Assets	24,486.94	22,306.08
Current Assets	9,856.85	5,979.50
Non-current Liabilities	(14,026.60)	(11,779.10)
Current Liabilities	(8,049.39)	(10,455.47)
Non-controlling interest	(48.05)	37.47
	12,219.75	6,051.01
Attributable to:		
Equity holders of parent	10,823.03	6,051.01
Non-controlling interest	1,396.72	Nil

(ii) Summarised Statement of Profit and Loss:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Revenue including Regulatory income/(expense)	8,196.93	7,526.62
Other Income	286.40	100.57
Raw material consumed (Including Land Cost)	(3,891.51)	(3,813.43)
Decrease/(Increase) in stock-in-trade and work-in-progress	(48.98)	194.78
Employee Benefits Expenses	(287.25)	(244.92)
Finance Cost	(1,211.69)	(1,015.19)
Depreciation and Amortisation Expenses	(1,064.93)	(940.37)
Other Expenses	(1,052.84)	(881.28)
Profit before tax	926.13	926.78
Tax Expenses	(196.22)	(241.48)
Profit for the year	729.91	685.30
Other Comprehensive Income/(Expense) for the year	188.00	91.72
Total Comprehensive Income for the year	917.91	777.02
Attributable to:		
Equity holders of parent	881.69	777.02
Non-controlling interest	36.22	Nil

Notes to the Consolidated Financial Statements

48.1 Summarised Financial Information of Material Non Controlling Interests (Contd.)

(iii) Summarised Cash Flow information:

	For the year ended March 31, 2023	For the year ended March 31, 2022
	₹ crore	₹ crore
Operating Activities	3,596.97	2,096.74
Investing Activities	(7,733.49)	(4,477.32)
Financing Activities	4,948.93	2,286.35
Net (Decrease) / Increase in Cash and Cash Equivalents	812.41	(94.23)

Note:

Pursuant to the agreements signed on April 14, 2022 with Green Forest New Energies Bidco Ltd. (UK) ('Investors') and after obtaining all necessary approvals, the Investors have invested ₹ 2,000 crore in Tata Power Renewable Energy Limited ('TPREL'), a subsidiary of the Group on preferential basis which resulted in dilution of 6.06% equity stake in TPREL.

Further, on February 28, 2023, the Investors infused ₹ 2,000 crore as second tranche in terms of the agreement against which TPREL issued Compulsorily Convertible Preference Shares (CCPS). Since the no. of equity shares to be issued by TPREL upon conversion of the said CCPS has been fixed as at March 31, 2023, the Group had considered the same as equity. After considering the impact of CCPS conversion, the total non-controlling interest holding as at March 31, 2023 is 11.43%.

49. Business Combinations

49.1 Summary

During the previous year, pursuant to order issued by the Odisha Electricity Regulation Commission ('vesting order'), the Group has acquired distribution business of Northern Odisha through TP Northern Odisha Distribution Ltd. ('TPNODL') by way of acquisition of shares. Accordingly, the TPNODL is a licensee to carry out the function of distribution and retail supply of electricity covering the distribution circles of Northern Odisha for a period of 25 years.

Below are the details of subsidiary acquired:

Name of the acquired Subsidiary	Principal Activity	Date of Acquisition	Proportion of voting equity interest acquired
TPNODL	Distribution business of Northern Odisha	April 1, 2021	51%

The above subsidiary was acquired pursuant to order issued by Odisha Electricity Regulation Commission ('OERC') which is in line with Group's expansion plan for distribution business.

49.2 Consideration transferred and Net Assets acquired

The Group has accounted the acquisition of TPNODL in accordance with Ind AS 103 'Business Combination'. The details of the acquisition is as follows:

Particulars	₹ crore
Consideration transferred	191.24
Add: Non-Controlling Interest	122.50
Less: fair value of identifiable net assets acquired (Refer note 49.3 below)	(250.00)
Goodwill	63.74

Goodwill denotes the value of expected higher profitability on account of the acquisition. Non-controlling interest has been initially measured at proportionate share of TPNODL's net assets. Acquisition related costs amounting to ₹ 0.16 crore have been excluded from the consideration transferred and have been recognised as an expenses in Consolidated Statement of Profit and Loss in the current year, under the head "Other expenses".

Notes to the Consolidated Financial Statements

49. Business Combinations (Contd.)

49.3 Details of assets acquired and liabilities recognised at the date of acquisition

The following table summarises the fair value of assets and liabilities as a part of business combination as per purchase price allocation in accordance with Ind AS 103 at the date of acquisition :

Particulars	₹ crore
Non-Current assets	Total
Property, Plant and Equipment	1,473.41
Capital Work-in-Progress	23.21
Other Financial assets	316.54
Non-Current Tax Assets	27.65
Other Non-Current Assets	16.37
Current assets	
Inventories	17.07
Cash and Cash Equivalents	306.63
Bank balances other than above	458.85
Other Financial Assets	7.26
Other Current Assets	31.96
Non-Current liabilities	
Other Non-Current Liabilities	(1,256.10)
Current Liabilities	
Borrowings	(370.05)
Trade Payables	(50.47)
Other Financial Liabilities	(729.24)
Other Current Liabilities	(23.09)
Fair value of Net Assets acquired	250.00

49.4 Revenue and profit or loss of the acquiree since the acquisition date included in the Consolidated Statement of Profit and Loss of the Group for the previous year.

Particulars	TPNODL
Revenue from Operations (Including Net Movement in Regulatory Deferral Balances)	2,722.46
Profit before tax	98.78

49.5 Certain documents, information, records and reconciliations for the balances as at the acquisition dates are incomplete and have not been made available to the Group and the same is acknowledged in the Carve out order issued by OERC. The subsidiary Companies are in discussions with the erstwhile management and OERC for the resolution of such matters. Adjustments, if any, will be recognised post completion of such resolution. As per vesting order, any change in the value of assets and liabilities transferred on account of the reconciliation / resolution of said matters and/ or any other matter identified in future will be allowed to be recovered by the Group in the manner specified in the vesting order. Hence, the Group believes that the reconciliation/ resolution of the above matters will not have any impact on the financial position and financial performance of the Group as reflected in the Consolidated Financial Statements.

Notes to the Consolidated Financial Statements

50. Relationship with Struck off Companies

SI No	Name of struck off Company	Nature of transactions with struck off Company	Transaction during the year ended March 31, 2023	Balance outstanding as on March 31, 2023	Transaction during the year ended 31.03.2022	Balance outstanding as on March 31, 2022	'Relationship with the Struck off company
			₹ crore	₹ crore	₹ crore	₹ crore	
1	G.V. Electricals Private Limited	Consumer funded job	*	0.01	Nil	Nil	Customer
2	Pride Motors Private Limited	Sale of EV charges	*	Nil	Nil	Nil	Customer
3	A One Cut Gems Pvt Ltd	Sale of electricity	*	*	0.01	*	Customer
4	Adorn Jew Pvt Ltd	Sale of electricity	0.01	*	*	*	Customer
5	Aloke Speciality Machines & Components Pvt. Ltd.	Sale of electricity	Nil	Nil	0.01	*	Customer
6	Chintamani Textiles Pvt Ltd	Sale of electricity	*	*	*	*	Customer
7	Highlands Garments Pvt Ltd	Sale of electricity	*	*	*	*	Customer
8	Optimus Properties Pvt. Ltd. .	Sale of electricity	*	*	*	*	Customer
9	Panacia Properties Pvt Ltd	Sale of electricity	0.06	*	0.12	*	Customer
10	Plant Genome Sciences Private Limited	Sale of electricity	0.02	*	0.03	*	Customer
11	Narayani Nivesh Nagam Pvt.Ltd.	Sale of electricity	Nil	*	0.02	*	Customer
12	Parth Developers	Sale of electricity	0.09	*	0.01	*	Customer
13	Sony Constructions Pvt Ltd	Repair work	*	*	Nil	(0.01)	Supplier
14	Ankit Developers Pvt Ltd	Sale of electricity	*	*	0.01	*	Customer
15	B G Shirke Constructions Private Limited	Sale of electricity	*	*	Nil	*	Customer
16	Blue Star Packplast P.Ltd.	Sale of electricity	0.01	-	0.03	0.02	Customer
17	Braz Housing Complex Private Limited	Sale of electricity	*	*	*	*	Customer
18	Cgs Infotech Limited	Sale of electricity	*	*	*	*	Customer
19	City Shelter Private Limited	Sale of electricity	*	*	Nil	*	Customer
20	Dylon Fastners Private Limited	Sale of electricity	0.01	Nil	0.01	*	Customer
21	Elleys' Industries (India) Privatelimited11	Sale of electricity	*	*	Nil	Nil	Customer
22	Esstech Software Services Privatelimited	Sale of electricity	*	*	Nil	*	Customer
23	Ethnic Signs Trading Private Limited	Sale of electricity	*	*	*	*	Customer

Notes to the Consolidated Financial Statements

50. Relationship with Struck off Companies (Contd.)

SI No	Name of struck off Company	Nature of transactions with struck off Company	Transaction during the year ended March 31, 2023	Balance outstanding as on March 31, 2023	Transaction during the year ended 31.03.2022	Balance outstanding as on March 31, 2022	'Relationship with the Struck off company
			₹ crore	₹ crore	₹ crore	₹ crore	
24	Gemstar Enterprises Private Limited	Sale of electricity	*	*	*	*	Customer
25	Green Valley Developers Private Limited	Sale of electricity	*	*	Nil	*	Customer
26	Gupta Enterprises Pvt Ltd	Sale of electricity	0.02	0.01	0.01	0.01	Customer
27	Hirco Developments Private Limited	Sale of electricity	*	*	0.04	*	Customer
28	Industrial Enginners Pvt Ltd	Sale of electricity	*	*	*	*	Customer
29	Inventure Builders Private Limited	Sale of electricity	*	*	Nil	*	Customer
30	Jangid Chheda Developers Pvt Ltd.	Sale of electricity	0.01	*	0.01	*	Customer
31	Jasmine Construction Private Limited	Sale of electricity	0.03	*	0.02	*	Customer
32	Jyoti Happy Home Private Limited	Sale of electricity	*	*	0.01	*	Customer
33	Jyotsna Constructions Private Limited	Sale of electricity	*	*	*	*	Customer
34	Kamdhenu Paints Private Limited	Sale of electricity	0.02	*	0.03	*	Customer
35	Kishor Builders Private Limited	Sale of electricity	*	*	Nil	*	Customer
36	Lokhandwala Premises Private Limited	Sale of electricity	0.03	*	Nil	Nil	Customer
37	M L Builders Pvt Ltd	Sale of electricity	*	*	Nil	*	Customer
38	Mahavir Griha Nirman Private Limited	Sale of electricity	0.01	*	0.01	*	Customer
39	Maitreya Realtors And Constructionsprivate Limited	Sale of electricity	*	(0.01)	Nil	(0.01)	Customer
40	Natasha Builders Private Limited	Sale of electricity	*	*	*	*	Customer
41	Navdurga Developments Private Limited	Sale of electricity	*	*	*	*	Customer
42	Nityanand Vastu Private Limited	Sale of electricity	0.02	*	0.02	*	Customer
43	Oceanic Builders Pvt Ltd	Sale of electricity	*	*	*	*	Customer
44	Paras Propertie Pvt Ltd	Sale of electricity	0.01	*	*	*	Customer
45	Powai Developers Private Limited	Sale of electricity	*	*	Nil	*	Customer
46	Press Enterprises Private Limited	Sale of electricity	*	*	Nil	*	Customer

Notes to the Consolidated Financial Statements

50. Relationship with Struck off Companies (Contd.)

SI No	Name of struck off Company	Nature of transactions with struck off Company	Transaction during the year ended March 31, 2023	Balance outstanding as on March 31, 2023	Transaction during the year ended 31.03.2022	Balance outstanding as on March 31, 2022	'Relationship with the Struck off company
			₹ crore	₹ crore	₹ crore	₹ crore	
47	Prestige Writing Tips Private Limited	Sale of electricity	*	*	Nil	*	Customer
48	S. S. Diam Private Limited	Sale of electricity	*	*	*	*	Customer
49	Shanti Construction Co Pvt Ltd	Sale of electricity	0.01	*	0.01	*	Customer
50	Shardha Developers P Ltd	Sale of electricity	*	*	*	*	Customer
51	Shreeji Town Planners Private Limited	Sale of electricity	0.02	*	0.02	*	Customer
52	Shudh Properties Private Limited	Sale of electricity	*	*	Nil	*	Customer
53	Tarloid Private Limited	Sale of electricity	*	*	*	*	Customer
54	Trinity Private Limited	Sale of electricity	*	*	Nil	*	Customer
55	Udichi Investments Private Limited	Sale of electricity	*	*	*	*	Customer
56	Unique Combine Engineers Private Limited	Sale of electricity	0.01	*	*	*	Customer
57	Vaithara Constructions Pvt.Ltd.	Sale of electricity	*	*	Nil	*	Customer
58	Vibgyor Restaurants Private Limited	Sale of electricity	*	*	Nil	*	Customer
59	Vijay Sthapatya Private Limited	Sale of electricity	*	*	Nil	Nil	Customer
60	Associated Engineers Pvt Ltd	Sale of electricity	0.05	*	0.06	*	Customer
61	Boc India Pvt Limited	Sale of electricity	Nil	*	Nil	*	Customer
62	Chaitra Holdings Pvt Ltd	Sale of electricity	0.01	*	*	*	Customer
63	Classic Associates Private Limited	Sale of electricity	0.07	*	0.08	*	Customer
64	Club House Private Limited	Sale of electricity	0.42	0.03	0.20	0.03	Customer
65	Hotel Royal Pvt. Ltd	Sale of electricity	*	*	*	*	Customer
66	Sanghvi Landmark Builders Ltd	Sale of electricity	*	*	*	*	Customer
67	Aaren-I-Tech Pvt. Ltd	Sale of Power	0.04	Nil	0.04	*	Customer
68	Arundhati Infratech Pvt. Ltd	Sale of Power	0.03	Nil	0.08	*	Customer
69	Aryan Infra Projects Pvt. Ltd.	Sale of Power	0.05	*	0.21	*	Customer

Notes to the Consolidated Financial Statements

50. Relationship with Struck off Companies (Contd.)

SI No	Name of struck off Company	Nature of transactions with struck off Company	Transaction during the year ended March 31, 2023	Balance outstanding as on March 31, 2023	Transaction during the year ended 31.03.2022	Balance outstanding as on March 31, 2022	Relationship with the Struck off company
			₹ crore	₹ crore	₹ crore	₹ crore	
70	Blaze Electronics Pvt. Ltd.	Sale of Power	0.02	Nil	0.07	*	Customer
71	Capital Infotech Pvt. Ltd.	Sale of Power	0.01	*	0.01	*	Customer
72	Destiny Infra Properties Pvt. Ltd.	Sale of Power	0.01	0.01	0.08	*	Customer
73	Dynamic Aqua & Agri Pvt. Ltd.	Sale of Power	*	*	0.13	*	Customer
74	Frontier Aqua Minerals Pvt. Ltd.	Sale of Power	Nil	0.15	*	0.15	Customer
75	Hotel Repose Pvt. Ltd.	Sale of Power	Nil	0.20	0.10	0.20	Customer
76	Independent Mobile Infrastructure Ltd.	Sale of Power	*	*	2.39	*	Customer
77	Jahangir Agro Complex Ltd.	Sale of Power	*	0.01	0.12	0.01	Customer
78	K.D Infracon Pvt. Ltd.	Sale of Power	*	*	*	*	Customer
79	Lords Realcon Pvt. Ltd.	Sale of Power	0.16	*	0.15	*	Customer
80	Maa Tarini Abasika Traders Pvt. Ltd.	Sale of Power	*	*	0.06	0.01	Customer
81	Mamu Bhanaja Construction Pvt. Ltd.	Sale of Power	*	0.02	0.15	0.02	Customer
82	Metro Builders Pvt. Ltd.	Sale of Power	0.07	0.01	0.1	*	Customer
83	Paradeep Carbons Ltd.	Sale of Power	0.01	*	0.01	*	Customer
84	Rajesh Construction Pvt. Ltd.	Sale of Power	0.04	Nil	0.01	*	Customer
85	Ranjit Builders Ltd.	Sale of Power	0.01	*	0.04	*	Customer
86	Retac India Solutions Pvt. Ltd.	Sale of Power	0.05	0.06	0.27	0.04	Customer
87	Shree Ganesh Buildcon Pvt. Ltd.	Sale of Power	0.03	*	*	*	Customer
88	Sugean Webblings Pvt. Ltd.	Sale of Power	0.04	*	0.04	*	Customer
89	Sagar Business Pvt Ltd.	Sale of Power	0.04	*	Nil	Nil	Customer
90	Good Year India Ltd.	Service Work & Sale of Power	Nil	0.03	Nil	0.03	Customer
91	Fanuc India Pvt. Ltd.	Service Work	Nil	0.01	Nil	0.01	Customer
92	Sharun Engineering Company Pvt. Ltd.	Balance written off	Nil	Nil	0.31	Nil	Customer
93	Nayana Infra Business Solutions Pvt. Ltd.	Service Work	Nil	(0.06)	Nil	(0.07)	Contractor
94	Samahitha Power Systems Pvt. Ltd.	Service Work	Nil	(0.02)	Nil	(0.02)	Contractor
95	United Renewable Energy Private Limited	Service Work	0.05	(0.05)	Nil	Nil	Supplier
96	Koolair Systems Private Limited	Service Work	Nil	(0.02)	Nil	(0.02)	Supplier
97	Pps Enviro Power Private Limited	Service Work	Nil	(0.04)	Nil	(0.04)	Supplier
98	Shahper Heights (India) Private Limited	Service Work	Nil	(0.03)	Nil	(0.03)	Supplier
99	Knn Technologies Private Limited	Service Work	Nil	(0.07)	Nil	(0.07)	Supplier
100	Solanki Solar Energy Private Limited	Service Work	Nil	(0.03)	Nil	(0.03)	Supplier
101	Neelkanth-Parwati Constructions (Opc) Private Limited	Service Work	Nil	*	Nil	*	Supplier

Notes to the Consolidated Financial Statements

50. Relationship with Struck off Companies (Contd.)

SI No	Name of struck off Company	Nature of transactions with struck off Company	Transaction during the year ended March 31, 2023	Balance outstanding as on March 31, 2023	Transaction during the year ended 31.03.2022	Balance outstanding as on March 31, 2022	Relationship with the Struck off company
			₹ crore	₹ crore	₹ crore	₹ crore	
102	A2Z Technosolutions Private Limited	Service Work	Nil	*	Nil	*	Supplier
103	Acce Infra Private Limited	Advance	Nil	0.19	Nil	0.19	Supplier
104	Rsa Power Private Limited	Advance	Nil	0.01	Nil	0.01	Supplier
105	Mother India Farming Private Limited	Service Work	Nil	*	Nil	*	Customer
106	Anand Vehicles India Pvt. Ltd.	Refund of Security Deposit	Nil	Nil	0.06	Nil	Contractor
107	Ripe Global Pvt. Ltd.	Maintenance Services	Nil	0.01	Nil	0.01	Supplier
108	Sushila Industries Pvt Ltd	Procurement of Services	0.04	Nil	Nil	Nil	Supplier
109	Biorex Pharmaceuticals Pvt Ltd	Sale of Power	0.57	*	Nil	Nil	Customer
110	Genext Energy Conversion Pvt Ltd	Sale of Power	0.11	0.01	Nil	Nil	Customer
111	RNS Motor Private Limited	Purchase of Motor Vechile	0.11	Nil	Nil	Nil	Supplier

* Denotes figure below ₹ 50,000.

51. Recent Pronouncement

Ministry of Corporate Affairs ("MCA") notifies new standard or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. On March 31, 2023, MCA amended the Companies (Indian Accounting Standards) Amendment Rules, 2023, applicable from April 1, 2023, as below:

Ind AS 1 – Disclosure of material accounting policies

The amendments related to shifting of disclosure of erstwhile "significant accounting policies" to "material accounting policies" in the notes to the financial statements requiring companies to reframe their accounting policies to make them more "entity specific. This amendment aligns with the "material" concept already required under International Financial Reporting Standards (IFRS). The Group does not expect this amendment to have any significant impact in its Consolidated Financial Statements.

Ind AS 8 – Definition of accounting estimates

The amendments will help entities to distinguish between accounting policies and accounting estimates. The definition of a "change in accounting estimates" has been replaced with a definition of "accounting estimates." Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty." Entities develop accounting estimates if accounting policies require items in financial statements to be measured in a way that involves measurement uncertainty. The Group does not expect this amendment to have any significant impact in its Consolidated Financial Statements.

Ind AS 12 – Income Taxes

The amendments narrowed the scope of the recognition exemption in paragraphs 15 and 24 of Ind AS 12. At the date of transition to Ind ASs, a first-time adopter shall recognize a deferred tax asset to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilized. Similarly, a deferred tax liability for all deductible and taxable temporary differences associated with:

- Right-of-use assets and lease liabilities

Notes to the Consolidated Financial Statements

51. Recent Pronouncement (Contd.)

- b) Decommissioning, restoration and similar liabilities and the corresponding amounts recognised as part of the cost of the related asset. Therefore, if an Entity has not yet recognised deferred tax on right-of-use assets and lease liabilities or has recognised deferred tax on net basis, the same need to recognize on gross basis based on the carrying amount of right-of-use assets and lease liabilities.

52. The Code on Social Security, 2020

The Code on Social Security 2020 ('Code') has been notified in the Official Gazette on September 29, 2020. The Code is not yet effective and related rules are yet to be notified. Impact if any of the change will be assessed and recognised in the period in which said Code becomes effective and the rules framed thereunder are notified.

53. Cyber incident

During the quarter ended September 2022, there was a cyber-attack on some of the Information Technology (IT) infrastructure of the Group. The Group had taken steps to retrieve and restore the systems. All critical operational systems are functioning, however as a measure of abundant precaution, restricted access and preventive checks had been put in place by the Group. The Group with the help of the external experts had investigated the matter and concluded that there is no significant impact on the operation of the Group and no impact on the Consolidated Financial Statements of the Group for the year ended March 31, 2023 on account of this incident.

54. Maintenance of Books of accounts under Section 128 of the Companies Act, 2013

The Group has defined process to take daily back-up of books of account maintained electronically and complied with the provisions of The Companies (Accounts) Rules, 2014 (as amended). However, the Group as a policy, has maintained logs of the daily back-up of such books of account only for last 7 days to 90 days and hence audit trail in relation to daily back up taken was not available for full year.

55. Other Statutory information

- (i) The Group do not have any Benami property, where any proceeding has been initiated or pending against the Group for holding any Benami property.
- (ii) The Group have not traded or invested in Crypto currency or Virtual Currency during the financial year.
- (iii) The Group have not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) (other than subsidiaries) with the understanding (whether recorded in writing or otherwise) that the Group shall:
 - (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
 - (b) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.
- (iv) The Group has not advanced or loaned or invested funds to any person(s) or entity(ies), including foreign entities (Intermediaries) (other than subsidiaries) with the understanding (whether recorded in writing or otherwise) that the Intermediary shall:
 - (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Group (Ultimate Beneficiaries) or
 - (b) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.
- (v) The Group is in compliance with the number of layers prescribed under clause (87) of section 2 of the Companies Act, 2013 read with the Companies (Restriction on number of Layers) Rules, 2017 (as amended).
- (vi) The Group does not have any such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961).

Notes to the Consolidated Financial Statements

55. Other Statutory information (Contd.)

- (vii) The quarterly returns or statements of Current assets filed by the Group with the banks or financial institutions are in agreement with the books of accounts.

56. Previous year comparative

Previous year's numbers have been regrouped/reclassified, wherever necessary, to conform to current year classification.

57. Approval of Consolidated Financial Statements

The Consolidated financial statements were approved for issue by the Board of Directors on May 4, 2023.

As per our report of even date

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration No.324982E/E300003

per ABHISHEK AGARWAL

Partner

Membership No. 112773

Mumbai, May 4, 2023

For and on behalf of the Board,

PRAVEER SINHA

CEO & Managing Director

DIN 01785164

SAURABH AGRAWAL

Director

DIN 02144558

SANJEEV CHURIWALA

Chief Financial Officer

HANOZ M. MISTRY

Company Secretary

Mumbai, May 4, 2023

FORM AOC-I

Statement containing salient features of the financial statement of Subsidiaries/ Associate Companies/Joint Ventures

Part "A": Subsidiaries

Sl	Name of Subsidiary	Date of acquiring subsidiary	Reporting period for the subsidiary concerned	Reporting currency	Exchange Rate as at March 31, 2023	Share capital (Incl. Convertible Pref. Share and Perpetual Securities)	Reserves & surplus (Incl. Non- controlling Interest)	Total Assets	Total Liabilities (Excl. Sh. Capital & Reserves)	Net Assets	Invest- ments	Turn- over ¹²	Other Income	Total Revenue	Profit/ before taxation	Provision for taxation (Incl. Deferred tax)	Profit/ (Loss) after taxation	Proposed Dividend on Equity Shares	% of share- holding
						₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	₹ crore	(%)	%
1	Nelco Ltd. (Consolidated) ¹	December 31, 2005	March 31, 2023	Indian Rupee	1.00	22.82	81.73	262.23	157.68	104.55	0.22	313.33	2.57	315.90	27.82	7.97	19.85	Nil	50.04
2	Tata Power Trading Co. Ltd.	December 31, 2003	March 31, 2023	Indian Rupee	1.00	16.00	253.28	675.83	269.28	219.39	4.00	3,029.09	49.67	3,078.76	28.30	7.42	20.88	Nil	100.00
3	Mailton Power Ltd.	September 2, 2005	March 31, 2023	Indian Rupee	1.00	1,508.92	686.47	4,473.06	2,195.39	1,821.64	4.00	3,029.09	49.67	3,078.76	28.30	7.42	20.88	Nil	74.00
4	Bhira Investments Ltd. ¹¹	June 22, 2007	March 31, 2023	US Dollar	82.18	4.10	1,823.54	6,723.30	4,995.66	1,821.64	4.00	3,029.09	49.67	3,078.76	28.30	7.42	20.88	Nil	100.00
5	Bhira Investments Ltd. ¹¹	June 22, 2007	March 31, 2023	US Dollar	82.18	4.10	1,823.54	6,723.30	4,995.66	1,821.64	4.00	3,029.09	49.67	3,078.76	28.30	7.42	20.88	Nil	100.00
6	Khopoli Investments Ltd. ¹¹	May 17, 2007	March 31, 2023	US Dollar	82.18	255.20	714.62	974.50	4.68	969.82	Nil	Nil	51.73	51.73	34.30	0.30	34.00	Nil	100.00
7	Trust Energy Resources Pte. Ltd. ¹	March 11, 2008	March 31, 2023	US Dollar	82.18	604.47	300.76	2,724.79	1,819.56	905.23	34.35	649.61	1.99	651.60	55.93	1.09	54.84	Nil	100.00
8	Tata Power Delhi Distribution Ltd.	January 22, 2008	March 31, 2023	Indian Rupee	1.00	1,052.00	3,344.86	11,570.56	7,173.70	4,396.86	0.05	9,593.74	106.76	9,700.50	642.24	201.85	440.39	Nil	51.00
9	Tata Power Jamshedpur Distribution Ltd.	November 6, 2012	March 31, 2023	Indian Rupee	1.00	8.05	(976)	0.86	2.57	(1.71)	Nil	Nil	Nil	Nil	(0.20)	Nil	(0.20)	Nil	100.00
10	TP Renewable Microgrid Ltd.	March 28, 2007	March 31, 2023	Indian Rupee	1.00	104.10	(45.07)	82.68	23.65	59.03	Nil	6.52	0.92	7.44	(13.88)	(0.03)	(13.85)	Nil	100.00
11	Tata Power Renewable Energy Ltd.	March 28, 2007	March 31, 2023	Indian Rupee	1.00	3,379.48	7,196.57	22,055.53	11,779.48	10,576.05	5,311.81	1,608.67	222.63	1,831.30	113.10	17.04	96.06	Nil	93.94
12	Tata Power Solar Systems Ltd.	June 28, 2012	March 31, 2023	Indian Rupee	1.00	2,297.78	1,060.56	6,464.32	5,173.98	1,290.34	21.00	6,875.75	49.61	6,925.36	311.90	89.67	222.23	Nil	93.94
13	Tata Power International Pte. Ltd. ¹¹	April 5, 2013	March 31, 2023	US Dollar	82.18	599.57	369.18	4,140.35	3,211.60	928.75	3,891.61	47.85	594.69	642.54	941.24	58.97	882.27	Nil	100.00
14	NDPL Infra Ltd.	August 23, 2011	March 31, 2023	Indian Rupee	1.00	0.05	26.71	26.83	0.07	26.76	0.30	Nil	1.48	1.48	1.33	0.34	0.99	Nil	51.00
15	Tata Power Green Energy Ltd.	January 5, 2011	March 31, 2023	Indian Rupee	1.00	0.05	22.7	1,356.35	1,356.03	2.32	Nil	118.99	Nil	118.99	(10.30)	(2.45)	(7.85)	Nil	93.94
16	TP Sumter Energy Andolan Tbk (consolidated upto March 31, 2017 thereafter held for sale) ^{13 & 5}	August 26, 2009	March 31, 2017	US Dollar	82.18	26.37	(12.93)	16.08	2.64	13.44	Nil	Nil	Nil	Nil	(0.03)	0.02	(0.05)	Nil	92.50
17	Supa Windfarm Ltd.	December 10, 2015	March 31, 2023	Indian Rupee	1.00	11.00	(0.21)	10.80	0.01	10.79	Nil	Nil	Nil	Nil	(0.03)	0.02	(0.05)	Nil	93.94
18	Nivada Windfarm Ltd.	December 17, 2015	March 31, 2023	Indian Rupee	1.00	7.09	0.44	25.12	17.59	7.53	Nil	1.41	0.02	1.43	0.70	0.18	0.52	Nil	69.52
19	Podalad Windfarm Ltd.	January 9, 2016	March 31, 2023	Indian Rupee	1.00	94.09	1,527	991.66	882.30	109.36	6.24	48.79	0.25	49.04	9.58	2.57	7.01	Nil	69.52
20	TP Wind Power Limited	May 19, 2016	March 31, 2023	Indian Rupee	1.00	60.30	18.21	109.72	31.21	78.51	8.25	29.64	0.17	29.81	7.21	1.82	5.39	Nil	93.94
21	Walhnan Renewable Energy Ltd. (Consolidated) ¹	September 14, 2016	March 31, 2023	Indian Rupee	1.00	611.36	2,999.97	7,736.20	4,194.87	3,541.33	244.76	1,191.81	168.42	1,360.23	627.08	120.91	506.17	Nil	93.94
22	Vagana Windfarm Ltd.	February 27, 2017	March 31, 2023	Indian Rupee	1.00	0.53	(49.68)	74.86	124.01	(49.15)	Nil	16.86	2.94	19.80	(5.56)	Nil	(5.56)	Nil	63.88
23	TP Ajmer Distribution Limited	July 1, 2017	March 31, 2023	Indian Rupee	1.00	105.00	0.36	238.17	132.81	105.36	Nil	41.755	7.20	424.75	2.62	Nil	2.62	Nil	100.00
24	Chirashayee Surya Limited	June 14, 2016	March 31, 2023	Indian Rupee	1.00	1.00	20.06	325.79	304.73	21.06	Nil	50.52	0.34	50.92	7.21	2.18	50.92	Nil	93.94
25	TP Central Odisha Distribution Limited	June 1, 2020	March 31, 2023	Indian Rupee	1.00	589.73	49.47	6,805.90	6,166.70	639.20	Nil	4,791.20	74.05	4,865.25	18.14	4.86	13.28	Nil	51.00
26	TP Western Odisha Distribution Limited	January 1, 2021	March 31, 2023	Indian Rupee	1.00	480.20	153.80	6,676.76	6,340.00	294.35	Nil	6,253.68	130.17	6,383.85	123.03	31.95	91.08	Nil	51.00
27	TP Southern Odisha Distribution Limited	January 1, 2021	March 31, 2023	Indian Rupee	1.00	368.94	124.20	3,476.41	2,983.27	493.14	Nil	2,059.21	63.63	2,122.84	46.82	14.07	32.75	Nil	51.00
28	TP Northern Odisha Distribution Limited	April 1, 2021	March 31, 2023	Indian Rupee	1.00	398.15	189.59	4,833.94	4,246.20	587.74	Nil	3,356.15	74.26	3,430.41	150.66	34.99	115.67	Nil	51.00
29	TP Kirmali Limited	February 19, 2020	March 31, 2023	Indian Rupee	1.00	0.05	(13.74)	1,228.16	1,241.85	(13.69)	Nil	104.83	0.03	104.86	(15.36)	(2.67)	(12.69)	Nil	93.94
30	TP Solapur Limited	February 26, 2020	March 31, 2023	Indian Rupee	1.00	0.05	(12.82)	223.43	236.20	(12.77)	Nil	49.37	0.02	49.39	(27.02)	(8.19)	(18.83)	Nil	93.94
31	TP Solapur Surya Limited	May 27, 2021	March 31, 2023	Indian Rupee	1.00	0.05	(0.68)	56.59	57.22	(0.63)	Nil	Nil	Nil	Nil	(0.68)	Nil	(0.68)	Nil	93.94
32	TP Kirmali Solar Ltd.	July 23, 2020	March 31, 2023	Indian Rupee	1.00	15.63	3.56	55.47	36.28	19.19	Nil	9.73	0.10	9.83	4.27	0.77	3.50	Nil	69.52
33	TP Solapur Solar Ltd.	July 29, 2020	March 31, 2023	Indian Rupee	1.00	13.87	0.35	46.05	31.83	14.22	Nil	7.13	0.10	7.23	1.01	0.17	0.84	Nil	69.52
34	TP Surya Ltd.	August 2, 2020	March 31, 2023	Indian Rupee	1.00	0.05	(1.69)	21,45.58	2,145.22	(1.64)	Nil	1.47	18.25	19.72	12.71	2.69	10.02	Nil	93.94
35	TP Akalnot Renewable Ltd.	August 11, 2020	March 31, 2023	Indian Rupee	1.00	12.96	1.51	40.63	26.16	14.47	Nil	5.16	Nil	5.16	2.01	0.34	1.67	Nil	69.52
36	TP Roofuria Renewable Ltd.	August 22, 2020	March 31, 2023	Indian Rupee	1.00	0.05	(0.98)	0.03	0.96	(0.93)	Nil	Nil	Nil	Nil	(0.01)	Nil	(0.01)	Nil	93.94
37	TP Nanded Ltd.	July 4, 2022	March 31, 2023	Indian Rupee	1.00	0.05	Nil	0.05	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	69.52
38	TP Green Nature Ltd	August 5, 2022	March 31, 2023	Indian Rupee	1.00	25.32	1.76	80.27	53.19	27.08	Nil	3.96	0.12	4.08	2.12	0.36	1.76	Nil	69.52
39	TP Adhir Solar Limited	September 2, 2022	March 31, 2023	Indian Rupee	1.00	0.05	Nil	0.05	0.00	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	93.94
40	TP Arya Surya Limited	September 6, 2022	March 31, 2023	Indian Rupee	1.00	0.05	(0.01)	70.04	70.00	0.04	Nil	Nil	Nil	Nil	(0.01)	Nil	(0.01)	Nil	93.94
41	TP Surya Bandita Limited	September 9, 2022	March 31, 2023	Indian Rupee	1.00	0.05	Nil	0.05	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	93.94
42	TP Ekadash Limited	September 14, 2022	March 31, 2023	Indian Rupee	1.00	0.05	(0.01)	40.16	40.12	0.04	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	93.94
43	TP Govardhan Creative Limited	December 28, 2022	March 31, 2023	Indian Rupee	1.00	0.05	Nil	0.05	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	93.94
44	TP Namada Solar Limited	December 27, 2022	March 31, 2023	Indian Rupee	1.00	0.05	Nil	19.08	19.03	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	93.94
45	TP Bhaskar Renewables Limited	December 28, 2022	March 31, 2023	Indian Rupee	1.00	0.05	Nil	44.96	44.91	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	93.94
46	TP Athava Solar Limited	December 28, 2022	March 31, 2023	Indian Rupee	1.00	0.05	Nil	0.05	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	93.94
47	TP VivaGreen Limited	January 13, 2023	March 31, 2023	Indian Rupee	1.00	0.05	Nil	16.93	16.88	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	93.94
48	TP Vardhaman Surya Limited	January 12, 2023	March 31, 2023	Indian Rupee	1.00	0.05	Nil	0.05	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	93.94
49	TP Kaunteya Surya Limited	January 11, 2023	March 31, 2023	Indian Rupee	1.00	0.05	Nil	0.05	Nil	0.05	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil	93.94
50	TP Solar Ltd	June 29, 2022	March 31, 2023	Indian Rupee	1.00	0.05	(5.38)	442.24	447.57	(5.33)	53.49	Nil	Nil	Nil	(4.06)	(0.70)	(3.36)	Nil	93.94
51	Far Eastern Natural Resources Limited ¹⁸	August 17, 2017	March 31, 2023	Russian Rubel	1.06	69.00	(53.92)	15.08	Nil	15.08	Nil	Nil	12.20	12.20	(5.62)	(0.24)	(5.38)	Nil	100.00

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Statement containing salient features of the financial statement of Subsidiaries/ Associate Companies/Joint Ventures

Part "B": Associates and Joint Ventures

S/N	Name of the Associate/Joint Venture Company	Date of acquiring Joint Venture	Reporting period for the Joint Venture concerned	Reporting currency	Exchange Rate as at March 31, 2023	Shares of Joint Venture company held by the company on the year end	Amount of Investment in Joint Venture companies	Extent of Holding	Description of how there is significant influence	Reason why Joint Venture company is not consolidated	Net worth attributable to Shareholding as per latest audited Balance Sheet	Profit/ (Loss) after tax	Considered in Consoli- dation	No consider i Consoli- dation
					in ₹	Nos.	₹ crore	%			₹ crore	₹ crore	₹ crore	₹ crore
Joint Ventures														
1	PT Miratama Perkasa (consolidated upto 30th September, 2016 thereafter held for sale) (Consolidated) 3.11 & 5	August 16, 2012	September 30, 2016	US Dollar	8218	7,500	725.36	28.38%	Note 8		915.25	Nil	Nil	Nil
2	PT Arutmin Indonesia (consolidated upto March 31, 2014 thereafter held for sale) 16.51	June 26, 2007	March 31, 2014	US Dollar	8218	3,000	1,376.10	30%	Note 8		838.62	Nil	Nil	Nil
3	PT Kaltim Prima Coal 10.11	June 26, 2007	March 31, 2023	US Dollar	8218	1,23,540	5,887.31	30%	Note 8		1434.01	9163.57	2749.07	Nil
4	Indocoal Resources (Cayman) Ltd. 10.11	June 26, 2007	March 31, 2023	US Dollar	8218	300	3,574.72	30%	Note 8		295.42	25.51	7.65	Nil
5	PT Indocoal Kasei Resources (consolidated upto March 31, 2014 thereafter held for sale) 11.65	June 26, 2007	March 31, 2014	IDR Rupaiya	0.005	60,000	0.55	30%	Note 8		0.00	Nil	Nil	Nil
6	PT Indocoal Kaltim Resources 10.11	June 26, 2007	March 31, 2023	IDR Rupaiya	0.005	82,380	0.26	30%	Note 8		0.01	(0.02)	(0.01)	Nil
7	Powerlinks Transmission Ltd.	July 7, 2003	March 31, 2023	Indian Rupee	1.00	23,86,80,000	493.48	51%	Note 8		493.48	81.08	41.35	Nil
8	Industrial Energy Ltd.	February 23, 2007	March 31, 2023	Indian Rupee	1.00	49,28,40,000	802.00	74%	Note 8		802.00	115.90	85.77	Nil
9	Dugar Hydro Power Ltd.	April 21, 2011	March 31, 2023	Indian Rupee	1.00	4,32,50,002	32.29	50%	Note 8		32.29	0.87	0.43	Nil
10	Tubed Coal Mines Ltd. 30	November 20, 2007	March 31, 2023	Indian Rupee	1.00	1,01,97,800	Nil	40%	Note 8		Nil	Nil	Nil	Nil
11	Mandakini Coal Company Ltd. 10	July 18, 2008	March 31, 2023	Indian Rupee	1.00	3,93,00,000	*	33.33%	Note 8		(57.19)	Nil	Nil	Nil
12	Solaze Land Holding Ltd. 10	September 12, 2012	March 31, 2023	Indian Rupee	1.00	7,66,667	*	33.33%	Note 8		Nil	Nil	Nil	Nil
13	Candice Investments Pte. Ltd. 11	October 28, 2010	March 31, 2023	US Dollar	8218	3	38.72	30%	Note 8		38.72	10.09	3.03	Nil
14	PT Nusa Tambang Pratama 11	October 28, 2010	March 31, 2023	US Dollar	8218	18,000	670.58	30%	Note 8		670.58	242.30	72.69	Nil
15	PT Marvel Capital Indonesia 10.11	October 28, 2010	March 31, 2023	US Dollar	8218	1,07,459	*	30%	Note 8		0.18	0.04	0.01	Nil
16	PT Dwikarya Prima Abadi 10.11	October 28, 2010	March 31, 2023	US Dollar	8218	10,769	55.10	30%	Note 8		55.43	519.60	155.88	Nil
17	PT Kalimantan Prima Power (Consolidated) 16.11	January 1, 2011	March 31, 2023	US Dollar	8218	7,500	228.25	30%	Note 8		231.60	(36.67)	(11.00)	Nil
18	PT Baramuti Suksesarana Tbk. (Consolidated) 14.11	November 9, 2012	March 31, 2023	US Dollar	8218	68,02,90,000	1,649.14	26%	Note 8		570.77	2105.01	547.30	Nil
19	*Adjaristsqali Netherlands BV (Consolidated) (Consolidated upto March 31, 2020 thereafter held for sale) 11.65	May 9, 2013	March 31, 2021	Euro	84.20	20,573	171.34	50%	Note 8		618.89	Nil	Nil	Nil
20	Indocoal RPC Resources (Cayman) Ltd. 10.11	July 2, 2014	March 31, 2023	US Dollar	8218	300	0.84	30%	Note 8		0.84	(0.21)	(0.06)	Nil
21	Itezhil Tezhi Power Corporation Ltd. (Consolidated upto March 31, 2020 thereafter held for sale) 11.65	April 29, 2015	March 31, 2020	US Dollar	8218	4,52,500	686.41	50%	Note 8		468.74	Nil	Nil	Nil
22	Resurgent Power Ventures Pte. Ltd. 7.81	May 19, 2016	March 31, 2023	US Dollar	8218	8,69,957	907.28	26%	Note 8		907.28	412.56	107.27	Nil
23	LTN Milcom Private Ltd. 1	August 17, 2015	March 31, 2017	Indian Rupee	1.00	66,660	*	33.33%	Note 8	Not material to the group	*	*	*	*

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Statement containing salient features of the financial statement of Subsidiaries/ Associate Companies (Contd.) Part "B": Associates and Joint Ventures

SN	Name of the Associate	Date of acquiring Associate	Reporting period for the Associate concerned	Reporting currency	Exchange rate as at March 31, 2023	Shares of Associate company held by the company on the year end	Amount of Investment in Associate	Extent of Holding %	Description of how there is significant influence	Reason why Associate is not consolidated	Net worth attributable to Shareholding as per latest audited Balance Sheet	Profit/ (Loss) after tax	Considered in Consoli- dation	Not considered in Consoli- dation
					In ₹	Nos.	₹ crore	%			₹ crore	₹ crore	₹ crore	₹ crore
Associates														
1	Tata Projects Ltd.	27-Nov-00	March 31, 2023	Indian Rupee	1.00	7,92,78,886	640.45	47.78%	Note 9		617.15	(852.19)	(407.18)	Nil
2	Yashmun Engineers Ltd. ¹⁰	27-Nov-00	March 31, 2023	Indian Rupee	1.00	19,200	3.51	27.27%	Note 9		1.51	Nil	Nil	Nil
3	Dagachhu Hydro Power corporation Ltd.	19-Jan-09	March 31, 2023	Bhutan Nu	1.00	10,74,320	104.59	26.00%	Note 9		104.58	7.18	1.87	Nil
4	The Associated Building Co. Ltd. ¹⁰	27-Nov-00	March 31, 2023	Indian Rupee	1.00	1,825	6.79	33.14%	Note 9		6.82	4.42	1.47	Nil
5	Brihat Trading Pvt. Ltd. ¹⁰	22-Feb-05	March 31, 2023	Indian Rupee	1.00	3,350	0.01	33.21%	Note 9	Not material to the group	(0.01)	Nil	Nil	Nil

Notes:

- Accounts of Nelco Network Products Limited have been consolidated with Nelco Ltd.
 - Accounts of all subsidiaries of Walihwan Renewable Energy Ltd. have been consolidated with Walihwan Renewable Energy Ltd.
 - Accounts of PT Mitratama Usaha have been consolidated with PT Mitratama Perkasa.
 - Accounts of PT Citra Prima Buana, PT Guruh Agung and PT Citra Kusuma Perdana have been consolidated with PT Kalimantan Prima Power.
 - Accounts of PT Antang Gunung Meratus have been consolidated with PT Baramulti Sukessarana Tbk.
 - Accounts of Adjaristsqali Georgia LLC have been consolidated with Adjaristsqali Netherlands BV.
 - Accounts of Renascent Power Ventures Pvt. Ltd., Prayagraj Power Generation Company Limited NRSS XXXVI Transmission Limited (NRSS) and South East UP Power Transmission Company Limi ("SEUPPTCL") have been consolidated with Resurgent Power Ventures Pte. Ltd.
 - There is significant influence due to shareholding and joint control over the economic activities.
 - There is significant influence due to shareholding.
 - Based on Management Accounts for FY23.
 - Figures of foreign subsidiaries and joint ventures are as per their accounts prepared under the respective GAAP, converted to Ind AS.
 - Turnover includes rate regulatory income/(expense).
 - \$ denotes held for Sale.
- Figures below ₹ 50,000 are denoted by "₹*".

For and on behalf of the Board,

PRAVEEN SINHA
CEO & Managing Director
DIN: 01785164

SAURABH AGRAWAL
Director
DIN: 02144558

SANJEEV CHURIWALA
Chief Financial Officer

HANOZ M. MISTRY
Company Secretary

Mumbai, May 4, 2023

Notice

NOTICE IS HEREBY GIVEN THAT THE ONE HUNDRED AND FOURTH ANNUAL GENERAL MEETING OF THE TATA POWER COMPANY LIMITED will be held on Monday, June 19, 2023 at 3:00 p.m. (IST) through Video Conferencing/Other Audio Visual Means, to transact the following business:

Ordinary Business:

1. To receive, consider and adopt the Audited Financial Statements of the Company for the financial year ended March 31, 2023, together with the Reports of the Board of Directors and the Auditors thereon.
2. To receive, consider and adopt the Audited Consolidated Financial Statements of the Company for the financial year ended March 31, 2023, together with the Report of the Auditors thereon.
3. To declare a dividend on Equity Shares for the financial year ended March 31, 2023.
4. To appoint a Director in place of Mr. Hemant Bhargava (DIN:01922717), who retires by rotation and being eligible, offers himself for re-appointment.

Special Business:

5. **Re-appointment of Dr. Praveer Sinha (DIN: 01785164) as CEO & Managing Director**

To consider, and if thought fit, to pass the following resolution as an Ordinary Resolution:

"RESOLVED that pursuant to the provisions of Sections 196, 197, 203 and other applicable provisions, if any, of the Companies Act, 2013 (the Act) (including any statutory modification or re-enactment thereof for the time being in force) read along with Schedule V to the Act and the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, as amended from time to time, consent of the Company be and is hereby accorded for the re-appointment and terms of remuneration of Dr. Praveer Sinha (DIN:01785164) as the CEO & Managing Director of the Company for the period of four years commencing from May 1, 2023 to April 30, 2027, as recommended by the Nomination and Remuneration Committee and approved by the Board of Directors, upon the terms and conditions including remuneration set out in the Explanatory Statement annexed to the Notice convening this meeting (including the remuneration to be paid in the event of loss or inadequacy of profits in any financial year during the tenure of his re-appointment), with liberty to the Board of Directors to alter and vary the terms and conditions of the said re-appointment in such manner as may be agreed to between the Board of Directors and Dr. Sinha.

RESOLVED FURTHER that the Board of Directors of the Company (which term shall be deemed to include any

Committee of the Board constituted to exercise its powers, including the powers conferred by this Resolution) be and is hereby authorised to take all such steps as may be necessary, proper and expedient to give effect to this Resolution."

6. **Ratification of Cost Auditor's Remuneration**

To consider and, if thought fit, to pass the following resolution as an Ordinary Resolution:

"RESOLVED that pursuant to the provisions of Section 148(3) and other applicable provisions, if any, of the Companies Act, 2013 (including any statutory modification or re-enactment thereof for the time being in force) and the Companies (Audit and Auditors) Rules, 2014, as amended from time to time, the Company hereby ratifies the remuneration of ₹ 6,50,000 (Rupees Six lakh fifty thousand only) plus applicable taxes, travel and actual out-of-pocket expenses incurred in connection with the audit, payable to Sanjay Gupta and Associates (Firm Registration No.000212), who have been appointed by the Board of Directors on the recommendation of the Audit Committee of Directors as the Cost Auditors of the Company to conduct the audit of cost records maintained by the Company for the financial year 2023-24."

NOTES:

1. Pursuant to General Circulars No.14/2020 dated April 8, 2020, No.17/2020 dated April 13, 2020, No.20/2020 dated May 5, 2020, No. 02/2021 dated January 13, 2021, No. 21/2021 dated December 14, 2021, No. 2/2022 dated May 5, 2022 and No. 10/2022 dated December 28, 2022 issued by the Ministry of Corporate Affairs (collectively referred to as 'MCA Circulars'), the Company is convening the 104th Annual General Meeting (AGM) through Video Conferencing (VC)/Other Audio Visual Means (OAVM), without the physical presence of the Members at a common venue.

Further, Securities and Exchange Board of India (SEBI), vide its Circulars dated May 12, 2020, January 15, 2021, May 13, 2022 and January 5, 2023 (SEBI Circulars) and other applicable circulars issued in this regard, have provided relaxations from compliance with certain provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations).

In compliance with the applicable provisions of the Companies Act, 2013 (the Act), the Listing Regulations and MCA Circulars, the 104th AGM of the Company is being held through VC/OAVM on Monday, June 19, 2023 at 3:00 p.m. (IST). The proceedings of the AGM will be deemed to be conducted at the Registered Office of the Company at Bombay House, 24, Homi Mody Street, Mumbai - 400 001, which shall be the deemed venue of the AGM.

Notice

2. As per the provisions of Clause 3.A.II. of the General Circular No.20/2020 dated May 5, 2020, the matters of Special Business as appearing at Item Nos. 5 and 6 of the accompanying Notice, are considered to be unavoidable by the Board and hence, form part of this Notice.
3. The relative Explanatory Statement pursuant to Section 102 of the Act, in regard to the business as set out in Item Nos. 5 and 6 above and the relevant details of the Directors seeking re-appointment under Item Nos. 4 and 5 above, as required by Regulation 36(3) of the Listing Regulations and as required under Secretarial Standard - 2 on General Meetings (SS-2) issued by The Institute of Company Secretaries of India, are annexed hereto.
4. **PURSUANT TO THE PROVISIONS OF THE ACT, A MEMBER ENTITLED TO ATTEND AND VOTE AT THE AGM IS ENTITLED TO APPOINT A PROXY TO ATTEND AND VOTE INSTEAD OF HIMSELF AND THE PROXY NEED NOT BE A MEMBER OF THE COMPANY. SINCE THIS AGM IS BEING HELD PURSUANT TO THE MCA CIRCULARS THROUGH VC/OAVM, THE REQUIREMENT OF PHYSICAL ATTENDANCE OF MEMBERS HAS BEEN DISPENSED WITH. ACCORDINGLY, THE FACILITY FOR APPOINTMENT OF PROXIES BY MEMBERS WILL NOT BE AVAILABLE FOR THIS AGM AND HENCE, THE PROXY FORM, ATTENDANCE SLIP AND ROUTE MAP OF AGM ARE NOT ANNEXED TO THIS NOTICE.**
5. Institutional shareholders/corporate shareholders (i.e. other than individuals, HUFs, NRIs, etc.) are required to send a scanned copy (PDF/JPG format) of their respective Board or governing body Resolution, Authorization, etc., authorizing their representative to attend the AGM through VC/OAVM on their behalf and to vote through remote e-Voting. The said Resolution/Authorization shall be sent to the Scrutinizer by e-mail to tpcl.scrutinizer@gmail.com with a copy marked to evoting@nsdl.co.in and investorcomplaints@tatapower.com. Institutional shareholders (i.e. other than individuals, HUFs, NRIs, etc.) can also upload their Board Resolution/Power of Attorney/Authority Letter, etc. by clicking on "Upload Board Resolution/Authority Letter", etc. displayed under "e-Voting" tab in their login.
6. In case of joint holders attending the AGM, only such joint holder, who is higher in the order of names, will be entitled to vote.
7. The attendance of the Members attending the AGM through VC/OAVM will be counted for the purpose of reckoning the quorum under Section 103 of the Act.
8. The Members can join the AGM through VC/OAVM 30 minutes before and within 15 minutes after the scheduled time of the commencement of the AGM by following the procedure mentioned in the Notice. The Members will be able to view the proceedings on National Securities Depository Limited's (NSDL) e-Voting website at www.evoting.nsdl.com. The facility of participation at the AGM through VC/OAVM will be made available to at least 1,000 Members on a first come first served basis as per the MCA Circulars.
9. In terms of the MCA Circulars and the relevant SEBI Circulars, the Company is sending this AGM Notice along with the Integrated Annual Report for FY23 in electronic form only to those Members whose email IDs are registered with the Company/Depositories. The Company shall send the physical copy of the Integrated Annual Report for FY23 only to those Members who specifically request for the same at investorcomplaints@tatapower.com or csg-annualreports@tcplindia.co.in mentioning their Folio No/DP ID and Client ID. The Notice convening the AGM and the Annual Report for FY23 have been uploaded on the website of the Company at www.tatapower.com and may also be accessed from the relevant section on the websites of the Stock Exchanges i.e. BSE Limited (BSE) and National Stock Exchange of India Limited (NSE) at www.bseindia.com and www.nseindia.com, respectively. The AGM Notice is also available on the website of NSDL at www.evoting.nsdl.com.
10. **Book Closure and Dividend: The Register of Members and Share Transfer Books of the Company will remain closed from Thursday, June 8, 2023, to Wednesday, June 14, 2023 (both days inclusive) for the purpose of payment of dividend and AGM for FY23.** If the dividend, as recommended by the Board of Directors, is approved at the AGM, payment of such dividend will be made, subject to deduction of tax at source (TDS), on or after Wednesday, June 21, 2023, as under:
 - i) To all Beneficial Owners in respect of shares held in electronic form as per the data as may be made available by NSDL and Central Depository Services (India) Limited (CDSL) (both collectively referred to as 'Depositories') as of the close of business hours on Wednesday, June 7, 2023;
 - ii) To all Members in respect of shares held in physical form after giving effect to valid transmission and transposition requests lodged with the Company on or before the close of business hours on Wednesday, June 7, 2023.
11. Pursuant to the Finance Act, 2020, dividend income is taxable in the hands of the Members w.e.f. April 1, 2020 and the Company is required to deduct TDS from dividend paid to the Members at rates prescribed in the Income-tax Act, 1961 (the IT Act). In general, to enable compliance with TDS requirements, Members are requested to complete and/or update their Residential Status, Permanent Account Number (PAN), Category as per the IT Act with their Depository Participants (DPs) or in case shares are held in physical form,

with the Company, by sending documents through e-mail by Friday, June 2, 2023.

12. **Update of mandate for receiving dividend directly in bank account through Electronic Mode or any other means in a timely manner:** Members are requested to intimate changes, if any, pertaining to their name, postal address, email address, telephone/mobile numbers, PAN, mandates, nomination, power of attorney, bank details, bank account number, MICR code, IFSC, etc.:

Shares held in physical form: Members holding shares in physical form are requested to send the following details/documents to the Company's Registrars and Transfer Agent (RTA) viz. TSR Consultants Private Limited (TCPL) (formerly TSR Darashaw Consultants Private Limited) at C-101, 1st Floor, 247 Park, Lal Bahadur Shastri Marg, Vikhroli (West), Mumbai -400 083, latest by Friday, June 2, 2023:

- a) Form ISR-1 along with supporting documents. The said form is available on the website of the Company at <https://www.tatapower.com/investor-relations/investor-services-forms.aspx> and on the website of the RTA at <https://tcplindia.co.in/home-KYC.html>.
- b) Cancelled cheque in original, bearing the name of the Member or first holder, in case shares are held jointly. In case name of the holder is not available on the cheque, kindly submit the following documents:
 - i) Cancelled cheque in original;
 - ii) Bank attested legible copy of the first page of the Bank Passbook/Bank Statement bearing the names of the account holders, address, same bank account number and type as on the cheque leaf and full address of the bank branch.
- c) Self-attested copy of the PAN Card of all the holders; and
- d) Self-attested copy of any document (such as Aadhaar Card, Driving License, Election Identity Card, Passport) in support of the address of the first holder as registered with the Company

Further, Members are requested to refer to process detailed on <https://tcplindia.co.in/home-KYC.html> and proceed accordingly.

Shares held in electronic form: Members holding shares in electronic form may please note that their bank details as furnished by the respective DPs to the Company will be considered for remittance of dividend as per the applicable regulations of the DPs and the Company will not be able to accede to any direct request from such Members for change/addition/deletion in such bank details. Accordingly, Members holding shares in electronic form are requested to

ensure that their Electronic Bank Mandate is updated with their respective DPs by Friday, June 2, 2023.

13. In terms of Regulation 40(1) of the Listing Regulations, as amended, securities of listed companies can be transferred only in dematerialised form with effect from April 1, 2019. Members may please note that SEBI, vide its Circular No. SEBI/HO/MIRSD/MIRSD_RTAMB/P/CIR/2022/8 dated January 25, 2022, has mandated Listed Companies to issue securities in demat form only while processing service requests viz. Issue of duplicate securities certificate; claim from Unclaimed Suspense Account; Renewal/Exchange of securities certificate; Endorsement; Sub-division/Splitting of securities certificate; Consolidation of securities certificates/folios; Transmission and Transposition. Accordingly, Members are requested to make service requests by submitting a duly filled and signed Form ISR-4, the format of which is available on the Company's website under the weblink at <https://www.tatapower.com/investor-relations/investor-services-forms.aspx> and on the website of the Company's RTA at <https://www.tcplindia.co.in>. It may be noted that any service request can be processed only after the folio is KYC compliant. SEBI, vide its notification dated January 24, 2022, has mandated that all requests for transmission and transposition shall be processed only in dematerialised form. In view of the same and to eliminate all risks associated with physical shares and avail various benefits of dematerialisation, Members are advised to dematerialise the shares held by them in physical form. Members can contact the Company or RTA, for assistance in this regard.
14. To prevent fraudulent transactions, Members are advised to exercise due diligence and notify the Company of any change in address or demise of any Member as soon as possible. Members are also advised to not leave their demat account(s) dormant for long. Periodic statement of holdings should be obtained from the concerned DP and holdings should be verified from time to time.
15. As per the provisions of Section 72 of the Act, the facility for making nomination is available to the Members in respect of the shares held by them. Members who have not yet registered their nomination, are requested to register the same by submitting Form No. SH-13. If a Member desires to opt-out or cancel the earlier nomination and record a fresh nomination, the Member may submit the same in form ISR-3 or form SH-14, as the case may be. The said forms can be downloaded from the Company's website www.tatapower.com (under 'Investor Information' section). Members are requested to submit the said form to their respective DPs in case the shares are held in electronic form, and to the RTA in case the shares are held in physical form.
16. Members are requested to note that dividends, if not encashed for a consecutive period of 7 years from the date

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of transfer to Unpaid Dividend Account of the Company, are liable to be transferred to the Investor Education and Protection Fund (IEPF). Further, the shares in respect of such unclaimed dividends are also liable to be transferred to the demat account of the IEPF Authority. In view of this, Members/Claimants are requested to claim their dividends from the Company within the stipulated timeline. The Members whose unclaimed dividends/shares have been transferred to IEPF, may claim the same by making an application to the IEPF Authority, in e-Form/web form No. IEPF-5 available on www.iepf.gov.in. For details, please refer to Report on Corporate Governance, which is a part of this Annual Report.

17. Members desiring inspection of statutory registers during the AGM or who wish to inspect the relevant documents referred to in the Notice, can send their request on email to investorcomplaints@tatapower.com.

18. **Norms for furnishing of PAN, KYC, Bank details and Nomination:**

Pursuant to SEBI Circular no. SEBI/HO/MIRSD/MIRSDPoD-1/P/CIR/2023/37 dated March 16, 2023, issued in supersession of earlier circulars issued by SEBI bearing nos. SEBI/HO/MIRSD/MIRSD RTAMB /P/CIR/2021/655 and SEBI/HO/MIRSD/MIRSD RTAMB/ P/CIR/2021/687 dated November 3, 2021 and December 14, 2021, respectively, SEBI has mandated all listed companies to record PAN, Nomination, Contact details, Bank A/c details and Specimen signature for their corresponding folio numbers of holders of physical securities. **The folios wherein any one of the cited documents/details is not available on or after October 1, 2023, shall be frozen by the RTA.**

The securities in the frozen folios shall be eligible:

- To lodge any grievance or avail of any service, only after furnishing the complete documents / details as mentioned above;
- To receive any payment including dividend, interest or redemption amount (which would be only through electronic mode) only after they comply with the above stated requirements.

The forms for updation of PAN, KYC, bank details and Nomination viz., Forms ISR-1, ISR-2, ISR-3, SH-13 and the said SEBI circular are available on our website <https://www.tatapower.com/investor-relations/investor-information.aspx>. **In view of the above, we urge Members holding shares in physical form to submit the required forms along with the supporting documents at the earliest.** The Company is in the process of despatching a letter to the Members holding shares in physical form in relation to the above referred SEBI Circular. Members who hold shares in dematerialised form and wish to update their PAN, KYC,

Bank details and Nomination, are requested to contact their respective DPs.

Further, Shareholders holding shares in physical form are requested to ensure that their PAN is linked to Aadhaar to avoid freezing of folios. Such frozen folios shall be referred by RTA/Company to the administering authority under the Benami Transactions (Prohibitions) Act, 1988 and/or Prevention of Money Laundering Act, 2002, after December 31, 2025.

19. **Process for registration of email ID to receive the Notice of AGM and the Integrated Annual Report for FY23 and cast votes, electronically:**

- (i) **Registration of email ID with TCPL:**

To facilitate Members to receive this Notice electronically and cast their votes electronically, the Company has made special arrangement with TCPL for registration of email ID in terms of the MCA Circulars. Eligible Members who have not submitted their email ID to TCPL, are required to provide the same to the RTA, on or before 5:00 p.m. (IST) on Friday, June 2, 2023 pursuant to which, any Member may receive on the email ID provided by the Member, Notice of the AGM along with the Integrated Annual Report for FY23.

The process for registration of email ID is as under:

- I. **For Members who hold shares in Electronic form:**

- a) <https://tcpl.linkintime.co.in/EmailReg/emailregister.html>
- b) Select the name of the Company from list: **The Tata Power Company Limited.**
- c) Enter details in respective fields such as DP ID and Client ID (if shares held in electronic form)/ Folio Number and Certificate Number (if shares held in physical form), Shareholder Name, PAN, mobile number and email id.
- d) System will send OTP on mobile number and email ID.
- e) Enter OTP received on mobile number and email ID and submit.

- II. **For Members who hold shares in Physical form:**

- a) <https://tcpl.linkintime.co.in/EmailReg/emailregister.html>
- b) Select the name of the Company from list: **The Tata Power Company Limited.**
- c) Enter details in respective fields such as DP ID and Client ID (if shares held in electronic form)/ Folio Number and Certificate Number (if shares held in

physical form), Shareholder Name, PAN, mobile number and email id.

- d) System will send OTP on mobile number and email ID.
- e) Enter OTP received on mobile number and email ID and submit.

After successful submission of the email address, NSDL will email a copy of the Integrated Annual Report for FY23 along with the remote e-Voting user ID and password on the email address registered by the Member. In case of any queries, Members may write to csg-unit@tcplindia.co.in or evoting@nsdl.co.in.

(ii) **Registration of email address permanently with Company/DP:**

Members are requested to register their email address with their concerned DPs, in respect of electronic holding, and with the RTA, in respect of physical holding, by writing to them at csg-unit@tcplindia.co.in.

(iii) Alternatively, those Members who have not registered their email ID are required to send an email request to evoting@nsdl.co.in along with the following documents for procuring user ID and password for e-Voting for the resolutions set out in this Notice:

- In case shares are held in physical mode, please provide Folio No., name of Member, scanned copy of the share certificate (front and back), self-attested scanned copy each of PAN card and Aadhaar card.
- In case shares are held in electronic mode, please provide DP ID-Client ID (8 digit DP ID + 8 digit Client ID or 16 digit beneficiary ID), name, client master or copy of Consolidated Account statement, self-attested scanned copy each of PAN card and Aadhaar card.
- If you are an individual Member holding securities in electronic mode, you are requested to refer to the login method explained at para VI below **under step 1 (A) i.e. Login method for remote e-Voting and joining virtual meeting for Individual Shareholders/Members holding securities in electronic mode.**

20. Those Members who have already registered their email IDs are requested to keep the same validated with their DP/TCPL to enable serving of notices/ documents/Annual Reports and other communications electronically to their email ID in future.

21. **Process and manner for Members opting for e-Voting is as under:**

- I. In compliance with the provisions of Section 108 and other applicable provisions of the Act, read with Rule

20 of the Companies (Management and Administration) Rules, 2014 as amended, and Regulation 44 of the Listing Regulations and in terms of SEBI circular no. SEBI/HO/CFD/CMD/CIR/P/2020/242 dated December 9, 2020 in relation to e-Voting facility provided by listed entities, the Company is providing facility of remote e-Voting to its Members in respect of the business to be transacted at the AGM. The Company has engaged the services of NSDL for facilitating e-Voting to enable the Members to cast their votes electronically as well as for e-Voting during the AGM. Resolution(s) passed by Members through e-Voting is/are deemed to have been passed as if it/they have been passed at the AGM.

II. Members are provided with the facility for voting through electronic voting system during the VC/OAVM proceedings at the AGM and Members participating at the AGM, who have not already cast their vote by remote e-Voting, are eligible to exercise their right to vote at the AGM.

III. Members who have already cast their vote by remote e-Voting prior to the AGM, will also be eligible to participate at the AGM but shall not be entitled to cast their vote again on such resolution(s) for which the Member has already cast the vote through remote e-Voting.

IV. **Members of the Company holding shares either in physical form or electronic form, as on the cut-off date of Monday, June 12, 2023, may cast their vote by remote e-Voting. The remote e-Voting period commences on Thursday, June 15, 2023 at 9:00 a.m. (IST) and ends on Sunday, June 18, 2023 at 5:00 p.m. (IST). The remote e-Voting module shall be disabled by NSDL for voting thereafter. Once the vote on a resolution is cast by the Member, the Member shall not be allowed to change it subsequently. The voting right of Members shall be in proportion to their share in the paid-up equity share capital of the Company as on the cut-off date, being Monday, June 12, 2023.**

V. The instructions for Members attending the AGM through VC/OAVM are as under:

A. The Members will be provided with a facility to attend the AGM through VC/OAVM through the NSDL e-Voting system. Members may access the same by following the steps mentioned below for 'Log-in to NSDL e-Voting system'. The link for VC/OAVM will be available in 'Member login' where the '**EVEN**' of the Company will be displayed. After successful login, the Members will be able to see the link of 'VC/OAVM link' placed under the tab 'Join Annual General Meeting' against the name of the Company. On clicking this link,

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the Members will be able to attend and participate in the proceedings of the AGM through a live webcast of the meeting and submit votes on announcement by the Chairman.

- B. Members may join the AGM through laptops, smartphones, tablets and iPads for better experience. Further, Members will be required to use Internet with a good speed to avoid any disturbance during the Meeting. Members will need the latest version of Chrome, Safari, Internet Explorer 11, MS Edge or Firefox. Please note that participants connecting from mobile devices or tablets or through laptops connecting via mobile hotspot may experience Audio/Video loss due to fluctuation in their respective network. It is, therefore, recommended to use stable Wi-Fi or LAN connection to mitigate any glitches.**
- C. Members are encouraged to submit their questions in advance with regard to the financial statements or any other matters to be placed at the AGM, from their registered email ID, mentioning their name, DP ID and Client ID number /folio number and mobile number, to reach the Company's email ID at investorcomplaints@tatapower.com before 3:00 p.m. (IST) on Monday, June 5, 2023. Queries that remain unanswered at the AGM, will be appropriately responded by the Company at the earliest post the conclusion of the AGM.
- D. Members who would like to express their views/ask questions as a Speaker at the AGM may pre-register themselves by sending a request from their registered email ID mentioning their names, DP ID and Client ID/folio number, PAN and mobile number to investorcomplaints@tatapower.com between Monday, June 12, 2023 (9:00 a.m. IST) and Thursday, June 15, 2023 (5:00 p.m. IST). Only those Members who have pre-registered themselves as Speakers will be allowed to express their views/ask questions during the AGM. The Company reserves the right to restrict the number of speakers depending on the availability of time for the AGM.
- E. Any person holding shares in physical form and non-individual shareholders, who acquire shares and become Members of the Company after the Notice is sent through e-mail and holding shares as of the cut-off

date i.e. Friday, June 2, 2023, may obtain the login ID and password by sending a request at evoting@nsdl.co.in or Issuer/RTA. However, if you are already registered with NSDL for remote e-voting, then you can use your existing user ID and password for casting your vote. If you forget your password, you can reset your password by using "Forgot User Details/Password" or "Physical User Reset Password" option available on <http://www.evoting.nsdl.com> or call on 022 - 4886 7000 and 022 - 2499 7000. In case of Individual Shareholders holding securities in demat mode who acquire shares of the Company and become Members of the Company after sending of the Notice and holding shares as of the cut-off date i.e. Friday, June 2, 2023 may follow steps mentioned in the Notice of the AGM under "Access to NSDL e-Voting system. Other methods for obtaining/procuring user IDs and passwords for a-Voting are provided in the AGM Notice.

THE INSTRUCTIONS FOR MEMBERS FOR REMOTE E-VOTING AND JOINING GENERAL MEETING ARE AS UNDER:-

How do I vote electronically using NSDL e-Voting system?

The way to vote electronically on NSDL e-Voting system consists of "Two Steps" which are mentioned below:

Step 1: Access to NSDL e-Voting system

A) Login method for e-Voting and joining virtual meeting for Individual shareholders holding securities in demat mode

In order to increase the efficiency of the voting process and in pursuance of SEBI circular no. SEBI/HO/CFD/CMD/CIR/P/2020/242 dated December 9, 2020, e-Voting facility is being provided to all the demat account holders, by way of single login credential, through their demat accounts/websites of Depositories/Depository Participants. Individual demat account holders would be able to cast their vote without having to register again with the e-voting service provider ("ESP") thereby not only facilitating seamless authentication but also ease and convenience of participating in e-Voting process.

Shareholders are advised to update their mobile number and email ID in their demat accounts in order to access e-voting facility.

Log-in method for Individual Members holding securities in Demat mode is given below:

Type of Members	Login Method
Individual Members holding securities in demat mode with NSDL	i. Existing IDeAS user can visit the e-Services website of NSDL viz. https://eservices.nsdl.com either on a Personal Computer or on a mobile. On the e-Services home page click on the “Beneficial Owner” icon under “Login” which is available under ‘IDeAS’ section, this will prompt you to enter your existing User ID and Password. After successful authentication, you will be able to see e-Voting services under Value added services. Click on “Access to e-Voting” under e-Voting services and you will be able to see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be re-directed to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. ii. If you are not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select “Register Online for IDeAS Portal” or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp iii. Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon “Login” which is available under ‘Shareholder/Member’ section. A new screen will open. You will have to enter your User ID (i.e. your sixteen digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. iv. Shareholders/Members can also download NSDL Mobile App “NSDL Speede” facility by scanning the QR code mentioned below for seamless voting experience.
Individual Members holding securities in demat mode with CDSL	i. Users who have opted for CDSL Easi / Easiest facility, can login through their existing user ID and password. Option will be made available to reach e-Voting page without any further authentication. The users to login Easi /Easiest are requested to visit CDSL website www.cdslindia.com and click on login icon & New System Myeasi Tab and then user your existing my easi username & password. ii. After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the evoting is in progress as per the information provided by company. On clicking the evoting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. Additionally, there is also links provided to access the system of all e-Voting Service Providers, so that the user can visit the e-Voting service providers’ website directly.

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Type of Members	Login Method
	iii. If the user is not registered for Easi/Easiest, option to register is available at CDSL website www.cdslindia.com and click on login & New System Myeasi Tab and then click on registration option. iv. Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www.cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the Demat Account. After successful authentication, user will be able to see the e-Voting option where the evoting is in progress and also able to directly access the system of all e-Voting Service Providers.
Individual Shareholders (holding securities in demat mode) login through their depository participants	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. Upon logging in, you will be able to see e-Voting option. Click on e-Voting option, you will be redirected to NSDL/CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.

Important note: Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at abovementioned website.

Helpdesk for Individual Shareholders/Members holding securities in Demat mode in case of any technical issues related to Log-in through Depository i.e. NSDL and CDSL.

Login Method	Helpdesk details
Individual Members holding securities in demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl.co.in or call at 022 - 4886 7000 and 022 - 2499 7000
Individual Members holding securities in demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or contact at toll free no. 1800 22 55 33

B) Login Method for e-Voting and joining virtual meeting for shareholders other than Individual shareholders holding securities in demat mode and shareholders holding securities in physical mode.

How to Log-in to NSDL e-Voting website?

1. Visit the e-Voting website of NSDL. Open web browser by typing the following URL: <https://www.evoting.nsdl.com> either on a Personal Computer or on a mobile.
2. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section.

3. A new screen will open. You will have to enter your User ID, your Password/OTP and a Verification Code as shown on the screen.

Alternatively, if you are registered for NSDL eservices i.e. IDEAS, you can log-in at <https://eservices.nsdl.com> with your existing IDEAS login. Once you log-in to NSDL eservices after using your log-in credentials, click on e-Voting and you can proceed to Step 2 i.e. Cast your vote electronically.

4. Your User ID details are given below :

Manner of holding shares i.e. Demat (NSDL or CDSL) or Physical	Your User ID is:
a) For Members who hold shares in demat account with NSDL	8 Character DP ID followed by 8 Digit Client ID For example if your DP ID is IN300*** and Client ID is 12***** then your user ID is IN300***12*****.
b) For Members who hold shares in demat account with CDSL	16 Digit Beneficiary ID For example if your Beneficiary ID is 12***** then your user ID is 12*****.
c) For Members holding shares in Physical Form	EVEN Number followed by Folio Number registered with the company For example if folio number is 001*** and EVEN is 101456 then user ID is 101456001***.

5. Password details for shareholders other than Individual shareholders are given below:

- If you are already registered for e-Voting, then you can use your existing password to login and cast your vote.
 - If you are using NSDL e-Voting system for the first time, you will need to retrieve the 'initial password' which was communicated to you. Once you retrieve your 'initial password', you need to enter the 'initial password' and the system will force you to change your password.
 - How to retrieve your 'initial password'?
 - If your email ID is registered in your demat account or with the company, your 'initial password' is communicated to you on your email ID. Trace the email sent to you from NSDL from your mailbox. Open the email and open the attachment i.e. a .pdf file. Open the .pdf file. The password to open the .pdf file is your 8 digit client ID for NSDL account, last 8 digits of client ID for CDSL account or folio number for shares held in physical form. The .pdf file contains your 'User ID' and your 'initial password'.
 - If your email ID is not registered, please follow steps mentioned below in process for those shareholders whose email ids are not registered.
- If you are unable to retrieve or have not received the 'Initial password' or have forgotten your password:

- Click on '**Forgot User Details/Password?**' (If you are holding shares in your demat account with NSDL or CDSL) option available on www.evoting.nsdl.com.
- '**Physical User Reset Password?**' (If you are holding shares in physical mode) option available on www.evoting.nsdl.com.
- If you are still unable to get the password by aforesaid two options, you can send a request at evoting@nsdl.co.in mentioning your demat account number/folio number, your PAN, your name and your registered address, etc.
- Members can also use the OTP (One Time Password) based login for casting the votes on the e-Voting system of NSDL.

- After entering your password, tick on Agree to 'Terms and Conditions' by selecting on the check box.
- Now, you will have to click on 'Login' button.
- After you click on the 'Login' button, Home page of e-Voting will open.

Step 2: Cast your vote electronically and join General Meeting on NSDL e-Voting system.**How to cast your vote electronically and join General Meeting on NSDL e-Voting system?**

- After successful login at Step 1, you will be able to see all the companies 'EVEN' in which you are holding shares and whose voting cycle and General Meeting is in active status.
- Select '**EVEN**' of company for which you wish to cast your vote during the remote e-Voting period and casting your vote during the General Meeting. For joining virtual meeting, you need to click on "VC/OAVM" link placed under "Join Meeting".
- Now you are ready for e-Voting as the Voting page opens.
- Cast your vote by selecting appropriate options i.e. assent or dissent, verify/modify the number of shares for which you wish to cast your vote and click on "Submit" and also "Confirm" when prompted.
- Upon confirmation, the message "Vote cast successfully" will be displayed.
- You can also take the printout of the votes cast by you by clicking on the print option on the confirmation page.
- Once you confirm your vote on the resolution, you will not be allowed to modify your vote.

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VI. The instructions for Members for e-Voting during the proceedings of the AGM are as under:

1. The procedure for e-Voting on the day of the AGM is same as the instructions mentioned above for remote e-Voting since the meeting is being held through VC/OAVM.
2. Only those Members/shareholders, who will be present in the AGM through VC/OAVM facility and have not caste their vote on the Resolutions through remote e-Voting and are otherwise not barred from doing so, shall be eligible to vote on such resolution(s) through e-Voting system at the AGM.

General Guidelines for Members

1. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential. Login to the e-Voting website will be disabled upon five unsuccessful attempts to key in the correct password. In such an event, you will need to go through the "Forgot User Details/Password?" or "Physical User Reset Password?" option available on www.evoting.nsdl.com to reset the password.
2. In case of any queries, you may refer the Frequently Asked Questions (FAQs) for Shareholders and e-Voting user manual for Shareholders available at the download section of www.evoting.nsdl.com or call on: 022-4886 7000 and 022 -2499 7000 or send a request to Ms. Pallavi Mhatre, Senior Manager – NSDL or Mr. Amit Vishal, Assistant Vice-President – NSDL at evoting@nsdl.co.in
3. You can also update your mobile number and email ID in the user profile details of the folio which may be used for sending future communication(s).

Process for those shareholders whose email IDs are not registered with the Depositories for procuring user ID and password and registration of e mail IDs for e-Voting for the resolutions set out in this notice:

1. In case shares are held in physical mode, please provide Folio No., name of shareholder, scanned copy of the share certificate (front and back), self attested scanned copy of PAN card, self attested scanned copy of Aadhaar card by email to evoting@nsdl.co.in
2. In case shares are held in demat mode, please provide DP ID-CL ID (16 digit DP ID + CL ID or 16 digit beneficiary ID), Name, client master or copy of Consolidated Account statement, self attested scanned copy of PAN card, self attested scanned copy of Aadhaar Card to evoting@nsdl.co.in. If you are an Individual shareholder

holding securities in demat mode, you are requested to refer to the login method explained at step 1(A) i.e. Login method for e-Voting and joining virtual meeting for Individual shareholders holding securities in demat mode.

3. Alternatively shareholder/Members may send a request to evoting@nsdl.co.in for procuring user ID and password for e-Voting by providing above mentioned documents.
4. In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are required to update their mobile number and email ID correctly in their demat account in order to access e-Voting facility.

VII. A person whose name is recorded in the Register of Members or in the Register of Beneficial Owners maintained by the Depositories as on the cut-off date only shall be entitled to avail the facility of remote e-Voting, as well as voting at the meeting.

VIII. Any person holding shares in physical form and non-individual Members, who acquire shares of the Company and becomes a Member of the Company after dispatch of the Notice and holding shares as of the cut-off date i.e. Monday, June 12, 2023 may obtain the login ID and password by sending a request at evoting@nsdl.co.in or the Company/ TCPL.

However, if the person is already registered with NSDL for remote e-Voting, then the existing user ID and password of the said person can be used for casting vote. If the person forgot his/her password, the same can be reset by using 'Forgot user Details/Password' or 'Physical user Reset Password' option available at www.evoting.nsdl.com or by calling on 022 4886 7000 and 022 2499 7000. In case of Individual Members holding securities in Demat mode who acquire shares of the Company and becomes a Member of the Company after sending the Notice and holding shares as of the cut-off date i.e. Monday, June 12, 2023 may follow steps mentioned in the notes to Notice under 'Access to NSDL e-Voting system'.

IX. The Board of Directors has appointed Mr. P. N. Parikh (FCS 327, CP 1228) or failing him, Mr. Mitesh Dhabliwala (FCS 8331, CP 9511) or failing him Ms. Sarvari Shah (FCS 9697, CP 11717) of Parikh and Associates, Company Secretaries as Scrutinizer to scrutinize the voting at the AGM and remote e-Voting process, in a fair and transparent manner.

- X. The Chairman shall, at the AGM, at the end of discussion on the resolutions on which voting is to be held, allow voting, by use of remote e-Voting system for all those Members who are present during the AGM but have not cast their votes by availing the remote e-Voting facility. The remote e-Voting module during the AGM shall be disabled by NSDL for voting 15 minutes after the conclusion of the Meeting.
- XI. The Scrutinizer shall, after the conclusion of voting at the AGM, first count the votes cast during the Meeting and, thereafter, unblock the votes cast through remote e-Voting, in the presence of at least two witnesses not in the employment of the Company and shall make, not later than two working days from the conclusion of the AGM, a Consolidated Scrutinizer's Report of the total votes cast in favour or against, if any, to the Chairman or a person authorised by him in writing, who shall countersign the same and declare the result of the voting forthwith.
- XII. The Results declared, alongwith the Scrutinizer's Report, shall be placed on the Company's website <https://www.tatapower.com/investor-relations/agm.aspx> and on the website of NSDL www.evoting.nsdl.com, and the results

shall also be displayed on the notice board at the Registered Office of the Company, immediately after the declaration of the result by the Chairman or a person authorised by him in writing. The results shall also be immediately forwarded to the Stock Exchanges where the Company's Equity Shares are listed viz. BSE and NSE and be made available on their respective websites viz. www.bseindia.com and www.nseindia.com.

By order of the Board of Directors,
For The Tata Power Company Limited

H. M. Mistry
Company Secretary
FCS No.: 3606

Mumbai, May 4, 2023

Registered Office:

Bombay House,
24, Homi Mody Street,
Mumbai 400 001.
CIN: L28920MH1919PLC000567
Tel: 91 22 6665 8282
Email: tatapower@tatapower.com
Website: www.tatapower.com

Notice

EXPLANATORY STATEMENT

As required by Section 102 of the Companies Act, 2013 (the Act), the following Explanatory Statement sets out all material facts relating to the business mentioned under Item Nos. 5 and 6 of the accompanying Notice dated May 4, 2023:

Item No.5: Dr. Praveer Sinha (DIN No:01785164) was appointed as CEO & Managing Director of the Company by the Members of the Company at the 99th Annual General Meeting held on July 27, 2018, for a period of 5 years commencing from May 1, 2018 upto April 30, 2023.

Based on the recommendation of the Nomination and Remuneration Committee (NRC) and pursuant to the performance evaluation of Dr. Sinha as a Member of the Board and considering his background, experience and contribution, which would be beneficial to the Company, the Board, at its meeting held on March 30, 2023, approved his re-appointment as CEO & Managing Director of the Company, for a period of 4 years, i.e. w.e.f. May 1, 2023 to April 30, 2027 (the date on which he is scheduled to superannuate from the services of the Company on completion of 65 years of age), subject to approval of the Members. The Company has, in terms of Section 160(1) of the Act received in writing a notice from a Member, proposing his candidature for the office of Director.

The Company has received from Dr. Sinha (i) Consent to act as a Director & Key Managerial Personnel (KMP) in Form DIR-2 pursuant to Rule 8 of the Companies (Appointment and Qualifications of Directors) Rules, 2014 (the Rules); (ii) Intimation in Form DIR-8 in terms of the Rules to the effect that he is not disqualified under the provisions of Section 164(2) of the Act; (iii) Declaration pursuant to BSE Circular No. LIST/COMP/14/2018-19 dated June 20, 2018 that he has not been debarred from holding office of a Director by virtue of any order passed by Securities and Exchange Board of India or any other such authority.

Further, on the recommendation of the NRC, the Board at its meeting held on March 30, 2023, approved the terms and conditions of Dr. Sinha's re-appointment, subject to approval of the Members.

A brief profile of Dr. Sinha is given below:

Under Dr. Sinha's stewardship, the Company has set itself on the path of transformation from a century-old power utility company into a new-age sustainable, technology oriented and customer centric green energy solutions company.

In 2018, the Company was struggling with issues of high leverage, mounting losses in Coastal Gujarat Power Limited (since merged with the Company), limited growth opportunities, sub optimal presence in international geographies and threat to continuity of existing assets including Trombay Power Purchase Agreement,

KPC Coal Mine License, Tariff competitiveness for Mumbai distribution, ageing assets in Mumbai Transmission, etc.

Guided by the principle of 3 Ds - Decarbonization, Decentralization & Digitalization, Dr. Sinha set the strategic roadmap for the Company with the following priorities:

- a) Reduce Leverage
- b) Build Growth and increase share of Renewable Energy
- c) Strengthen the existing assets and improve profitability
- d) Develop Consumer Centric and Value-Added Services business
- e) Shift from Utility led to Consumer-focused Company

Under his leadership, the Company not just scaled up its renewable portfolio but has also ventured into and scaled up multiple new-age sustainable businesses such as Solar Rooftop, Microgrids, Solar Pumps, EV Charging, Smart metering, etc. The Company has been driven by the focus on the following key strategic areas:

- Reduce Leverage and strengthen the Balance Sheet
- Reallocate Resources and Build Growth
- Strengthen the Existing Assets and Set Operational Benchmarks
- Enhance Experience and Improve Productivity through Digitalisation
- Build Value through Collaboration and Innovation
- Develop Future-Ready Talent and Empower Future Leaders
- Liaise with Government and Regulators
- Set up an ESG Benchmark
- Create Value for Stakeholders

The Company, besides consolidating in operational excellence; execution excellence and growth; has focused on process; governance and risk capabilities and scored all time high score of 667 in Tata Business Excellence Model assessment in 2020, thus establishing Tata Power as an 'Industry Leader'.

With a focus on delivering growth at scale, ensuring financial robustness and creating shareholder value, the Company is intending towards becoming the 'Utility of the Future' and the most preferred green energy brand in the country.

He is the Chairman of CII Western Region council and co-chairs the CII National Committee on Power.

Dr. Sinha is a qualified Electrical Engineer and has also done his Master's in Business Law. He received his Ph.D from Indian Institute of Technology, Delhi and is a visiting Research Associate at Massachusetts Institute of Technology (MIT), Boston, USA.

The principal terms and conditions of Dr. Sinha's appointment as CEO & Managing Director (hereinafter referred to as 'Dr. Sinha' or the 'CEO & MD') are as follows:

1. Term and Termination:

- 1.1 For a period of 4 years i.e. from May 1, 2023 to April 30, 2027.
- 1.2 This Agreement may be terminated earlier, without any cause, by either Party by giving to the other Party six months' notice of such termination or the Company paying six months' remuneration which shall be limited to provision of Salary, Benefits, Perquisites, Allowances and any pro-rated Incentive Remuneration (paid at the discretion of the Board) in lieu of such notice.

2. Duties and Powers

- 2.1 The CEO & MD shall devote his whole time and attention to the business of the Company and perform such duties as may be entrusted to him by the Board from time to time and separately communicated to him and exercise such powers as may be assigned to him, subject to the superintendence, control and directions of the Board in connection with and in the best interests of the business of the Company and the business of one or more of its associated companies and/or subsidiaries, including performing duties as assigned to the CEO & MD from time to time by serving on the boards of such associated companies and / or subsidiaries or any other executive body or any committee of such a company.
- 2.2 The CEO & MD shall not exceed the powers so delegated by the Board pursuant to clause 2.1 above.
- 2.3 The CEO & MD undertakes to employ the best of his skill and ability and to make his utmost endeavours to promote the interests and welfare of the Company and to conform to and comply with the policies and regulations of the Company and all such orders and directions as may be given to him from time to time by the Board.
- 2.4 The CEO & MD shall undertake his duties from such location as may be directed by the Board.

3. Remuneration

- 3.1 So long as the CEO & MD performs his duties and conforms to the terms and conditions contained in this Agreement, he shall, subject to such approvals as may be required, be entitled to the following remuneration subject to deduction at source of all applicable taxes in accordance with the laws for the time being in force.
- A) Basic Salary: ₹ 11 lakh per month upto a maximum of ₹ 20 lakh per month, with authority to the Board to fix his salary within the said maximum amount from time to time. The annual increments which will be effective 1st April each year, will be decided by the Board and will be merit based and take into account the Company's performance as well.

- B) Benefits, Perquisites, Allowances: In addition to the Basic Salary referred to in (A) above, the CEO & MD shall be entitled to:

- a) Rent-free residential accommodation (furnished or otherwise), the Company bearing the cost of repairs, maintenance, society charges and utilities (e.g. gas, electricity and water charges) for the said accommodation.

OR

House Rent, House Maintenance and Utility Allowances aggregating 85% of the basic salary (in case residential accommodation is not provided by the Company).

- b) Hospitalisation, Transport, Telecommunication and other facilities:
- Hospitalisation and major medical expenses for self, spouse and dependent (minor) children;
 - Car, with driver provided, maintained by the Company for official and personal use.
 - Telecommunication facilities including broadband, internet and mobile.
 - Housing Loan as per the Rules of the Company.
- c) Other perquisites and allowances given below subject to a maximum of 55% of the basic salary, comprising the following:
- | | |
|--|---------------|
| i. Allowances | 33.34% |
| ii. Leave Travel Concession/Allowance | 8.33% |
| iii. Medical allowance | <u>8.33%</u> |
| | 50.00% |
| iv. Personal Accident Insurance) @ actuals | |
| v. Club Membership) subject | |
| fees of 2 clubs) to a cap of <u>5.00%</u> | |
| | <u>55.00%</u> |

- d) Contribution to Provident Fund, Superannuation Fund or Annuity Fund and Gratuity Fund as per the Rules of the Company. In case there is no contribution to the Superannuation Fund, the same would be payable as an allowance as per the Rules of the Company.
- e) The CEO & MD shall be entitled to leave in accordance with the Rules of the Company. Annual Leave earned but not availed by the CEO & MD is encashable in accordance with the Rules of the Company.
- C) Commission: In addition to Salary, Benefits, Perquisites and Allowances payable, the CEO & MD would be paid such remuneration by way of Commission, calculated with reference to the net profits of the Company in a particular

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financial year, as may be determined by the Board of the Company at the end of each financial year, subject to the overall ceilings stipulated in Section 197 of the Act. The specific amount payable to the CEO & MD will be based on his performance as evaluated by the Board or the NRC and approved by the Board and will be payable annually after the annual accounts have been adopted by the Board.

In recommending the Commission to Dr. Sinha, the NRC and the Board also consider:

- his commitment to advance the Company's interest and towards truly fostering a culture of leadership with trust;

- the role played by him in scaling the organisation, including responding to the challenges and creating shareholder value;
- fostering ESG goals;
- market competitiveness and pay-out is reflective of the size and complexity of the Company and scaling of its Renewables and Transmission & Distribution portfolio, multiple new-age sustainable businesses such as Solar rooftop, Microgrids, EV charging, Smart metering, etc.

The remuneration recommended and approved by the Board over the past 5 years to Dr. Sinha based on the Company and his individual performance, is given below:

Company Performance:

(₹ crore)

Particulars		FY19	FY20	FY21	FY22	FY23
Revenue	Consolidated	29,984	28,948	33,239	42,576	56,033
	Standalone	8,109	7,075	13,469	11,242	18,848
EBITDA	Consolidated	7,235	8,317	7,978	8,191	10,068
	Standalone	3,312	2,853	4,282	4,669	6,817
Profit After Tax (before Exceptional Items)	Consolidated	1,274	1,231	1,424	2,440	3,810
	Standalone	1,015	754	279	1,488	2,730
Profit After Tax (after Exceptional Items)	Consolidated	2,606	1,316	1,439	2,156	3,810
	Standalone	1,769	148	294	2,783	3,268

Remuneration:

(₹ crore)

Particulars	FY19	FY20	FY21	FY22	FY23
Salary & Allowances	1.69	2.12	1.51	1.68	1.85
Perquisites & Benefits	0.03	0.20	0.85	0.96	1.04
Commission*	2.50	2.75	4.50	5.00	6.00
Retirement benefits	0.22	0.26	0.26	0.29	0.32
Total Compensation	4.44	5.33	7.12	7.93	9.21

* As approved by the Board for the year.

As can be seen from the above tables, the total compensation paid to Dr. Sinha is (i) well within the specified limits under Section 197 of the Act, and (ii) is reasonable, balanced and reflective of the role performed by Dr. Sinha as the CEO & MD.

- D) **Incentive Remuneration:** Such incentive remuneration not exceeding 200% of salary to be paid at the discretion of the Board annually, based on certain performance criteria and such other parameters as may be considered appropriate from time to time.
- E) **Minimum Remuneration:** Notwithstanding anything to the contrary herein contained, where in any financial year during the currency of the tenure of the CEO & MD, the Company
- F) Employee Stock Option Plan (ESOP) or Performance Share Award Plan (PSP) or such other Long Term Incentive Plan (LTIP) as per rules of the Company.

has no profits or its profits are inadequate, the Company will pay to the CEO & MD remuneration by way of Salary, Benefits, Perquisites & Allowances and Incentive Remuneration as specified above.

4. Other Terms of Re-appointment

(i) Variation

The terms and conditions of the said re-appointment may be altered and varied from time to time by the Board as it may, in its discretion deem fit, irrespective of the limits stipulated under Schedule V to the Act or any amendments made hereafter in this regard in such manner as may be agreed to between the Board and the CEO & MD, subject to such approvals as may be required.

(ii) Selling Agency

The CEO & MD, so long as he functions as such, undertakes not to become interested or otherwise concerned, directly or through his spouse and / or children, in any selling agency of the Company.

(iii) Summary termination of employment

The employment of the CEO & MD may be terminated by the Company without notice or payment in lieu of notice:

- a. if the CEO & MD is found guilty of any gross negligence, default or misconduct in connection with or affecting the business of the Company or any subsidiary or associated company to which he is required by the Agreement to render services; or
- b. in the event of any serious or repeated or continuing breach (after prior warning) or non-observance by the CEO & MD of any of the stipulations contained in the Agreement; or
- c. in the event the Board expresses its loss of confidence in the CEO & MD.

(iv) Termination due to physical / mental incapacity

In the event the CEO & MD is not in a position to discharge his official duties due to any physical or mental incapacity, the Board shall be entitled to terminate his contract on such terms as the Board may consider appropriate in the circumstances.

(v) Resignation from directorships

Upon the termination by whatever means of his employment under the Agreement:

- a. the CEO & MD shall immediately cease to hold offices held by him in any holding company, subsidiaries or associate companies without claim for compensation for loss of office by virtue of Section 167 (1)(h) of the Act and shall resign as trustee of any trusts connected with the Company.
- b. the CEO & MD shall not without the consent of the Board at any time thereafter represent himself as

connected with the Company or any of its subsidiaries and associated companies.

(vi) Personnel Policies

All Personnel Policies of the Company and the related Rules which are applicable to other employees of the Company shall also be applicable to the CEO & MD, unless specifically provided otherwise.

(vii) Agreement co-terminus with employment/directorship

If and when this Agreement expires or is terminated for any reason whatsoever, Dr. Sinha will cease to be the CEO & MD and also cease to be a Director of the Company. If at any time, the CEO & MD ceases to be a Director of the Company for any reason whatsoever, he shall cease to be the CEO & MD and this Agreement shall forthwith terminate. If at any time, the CEO & MD ceases to be in the employment of the Company for any reason whatsoever, he shall cease to be a Director and CEO & MD of the Company.

(viii) The terms and conditions of re-appointment of the CEO & MD also include adherence with the Tata Code of Conduct, no conflict of interest with the Company, other Directorships, protection and use of Intellectual Properties, non-solicitation post termination of agreement and maintenance of confidentiality.

In compliance with the provisions of Sections 196, 197, 203 and other applicable provisions of the Act, read with Schedule V to the Act, and Regulation 17(1C) of the Listing Regulations, the terms of re-appointment and remuneration of the CEO & MD as specified above are now being placed before the Members for their approval by way of Ordinary Resolution.

Other than Dr. Sinha and his relatives, none of the Directors or KMP of the Company or their respective relatives are concerned or interested in the Resolution at Item No.5 of the accompanying Notice.

Dr. Sinha is not related to any Director or KMP of the Company.

The Board is of the view that the re-appointment of Dr. Sinha as CEO & MD will be beneficial to the functioning and future growth opportunities of the Company and the remuneration payable to him is commensurate with his abilities and experience and, accordingly, commend the Resolution at Item No.5 of the accompanying Notice for approval by the Members of the Company.

Item No.6: Pursuant to Section 148 of the Act read with the Companies (Cost Records and Audit) Rules, 2014, as amended from time to time, the Company is required to have the audit of its cost records conducted by a cost accountant in practice. On the recommendation of the Audit Committee of Directors, the Board of Directors approved the re-appointment of Sanjay

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Gupta and Associates (SGA) (Firm Registration No. 000212) as the Cost Auditors of the Company to conduct audit of cost records maintained by the Company for FY24, at a remuneration of ₹ 6,50,000 (Rupees Six lakh fifty thousand only) plus applicable taxes, travel and actual out-of-pocket expenses.

In making the decision on the appointment and remuneration of the Cost Auditors, the Audit Committee of Directors considered the Cost Auditors' performance during the previous year(s) in examining and verifying the accuracy of the cost accounting records maintained by the Company.

SGA have furnished a certificate regarding their eligibility for appointment as Cost Auditors of the Company. They have vast experience in the field of cost audit and have conducted the audit of the cost records of the Company for previous years under the provisions of the Act.

Pursuant to Section 148(3) of the Act, approval by the Members is required for the payment of above remuneration to the cost auditor.

None of the Directors and KMP of the Company and their respective relatives are concerned or interested in the Resolution at Item No.6 of the accompanying Notice.

The Board commends the Resolution at Item No.6 of the accompanying Notice for ratification by the Members of the Company.

By order of the Board of Directors,
For The Tata Power Company Limited

H. M. Mistry
Company Secretary
FCS No.: 3606

Mumbai, May 4, 2023

Registered Office:

Bombay House,
24, Homi Mody Street,
Mumbai 400 001.

CIN: L28920MH1919PLC000567

Tel: 91 22 6665 8282

E-mail: tatapower@tatapower.com

Website: www.tatapower.com

Annexure - A

Details of the Directors seeking appointment/re-appointment at the forthcoming Annual General Meeting**(In pursuance of Regulation 36(3) of the Listing Regulations and
Secretarial Standard - 2 on General Meetings)**

Name of Director	Mr. Hemant Bhargava	Dr. Praveer Sinha
DIN	01922717	01785164
Designation/ Category of Directorship	LIC Nominee Director, Non-Independent, Non-Executive Director	CEO & Managing Director Executive
Date of Birth (Age)	July 20, 1959 (63 years)	April 8, 1962 (61 years)
Date of first appointment on the Board	August 24, 2017	May 1, 2018
Terms and Conditions of appointment / re-appointment	Re-appointment in terms of Section 152(6) of the Companies Act, 2013	Re-appointment as CEO & MD for a period of 4 years from May 1, 2023 to April 30, 2027. Other terms and conditions including remuneration of Dr. Sinha's re-appointment form part of the Explanatory Statement.
Expertise in specific functional areas	Mr. Hemant Bhargava retired as the Managing Director of Life Insurance Corporation of India effective August 1, 2019. Mr. Bhargava joined LIC in 1981 and has handled diverse portfolios across functions in India and internationally, including Marketing & Alternative Channels of distribution, Human Resource, Finance, Pension & Group Schemes, Estate Management & Office Services operations and Information Technology. As head of two of LIC's biggest zones among the eight, he was instrumental in increasing insurance penetration in fifteen states of India. Mr. Bhargava, with his expertise in business modeling and execution, has successfully launched a number of new projects in LIC, which include designing and setting up the Micro Insurance vertical which was LIC's first comprehensive enterprise-wide initiative in financial inclusion space. LIC's foray into credit card as joint venture in collaboration with banking partners, founding LIC Cards Services Limited and launch of 'LIC Card' in 2009 was also headed by Mr. Bhargava. The 'Indian Business Group' in Mauritius for promoting the business interests of companies of Indian origin, with the High Commissioner of India as the Patron, was founded by Mr. Bhargava as head of LIC's Mauritius operations. He also played a key role in setting up newly formed SBU-international Operations to manage LIC's operation in about 14 countries and laid structural design to form a composite insurance company in the Kingdom of Saudi Arabia. Mr. Bhargava has been instrumental in shaping strategies of corporate India while serving on the Boards of many Indian companies.	Dr. Praveer Sinha is a seasoned power professional, with a career spanning over almost four decades. He has held several leadership positions across the power sector value chain. As CEO & MD of Tata Power Delhi Distribution Limited, he was instrumental in driving the turnaround of the discom through technological and social interventions and setting a benchmark operational model for other discoms and developing countries to follow. Under his current leadership, Tata Power is at the forefront of transforming itself from a century old power utility company into a new-age sustainable, technology oriented and customer centric green energy solutions company. Dr. Sinha has led multiple partnerships with National and International technology partners and institutional associations. He has contributed significantly towards setting up the first international incubator in India for promoting innovations in the clean energy space. He is the Chairman of CII Western Region Council and co-chairs the CII National Committee on Power.

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Qualifications	M.A. in Economics, he has studied Strategic Management at ISB, Hyderabad.	Master's Degree in Business Law from National Law School, Bengaluru and is also professionally trained as an Electrical Engineer. He received his Ph.D. from Indian Institute of Technology, Delhi and is a visiting Research Associate at Massachusetts Institute of Technology (MIT), Boston, USA.
Inter se relationship with other Directors, Manager and other Key Managerial Personnel of the Company	None	None
Name of listed entities from which the person has resigned in the past three years	Voltas Limited (with effect from September 29, 2021)	Nil
Directorships held in other companies (excluding foreign companies)	- Larsen & Toubro Limited - ITC Limited - UGRO Capital Limited - West End Investment & Finance Consultancy Private Limited	- Tata Power Delhi Distribution Limited - Tata Power Solar Systems Limited - Tata Power Renewable Energy Limited - TP Central Odisha Distribution Limited - TP Western Odisha Distribution Limited - TP Southern Odisha Distribution Limited - TP Northern Odisha Distribution Limited - Tata Projects Limited
Committee position held in other companies	Audit Committee Member - UGRO Capital Limited - ITC Limited Stakeholders' Relationship Committee Member - Larsen & Toubro Limited Risk Management Committee Member - UGRO Capital Limited Nomination and Remuneration Committee Chairman - UGRO Capital Limited Asset Liability Committee Member - UGRO Capital Limited	Nomination and Remuneration Committee Member - Tata Power Delhi Distribution Limited - Tata Power Renewable Energy Limited - TP Central Odisha Distribution Limited - TP Western Odisha Distribution Limited - TP Southern Odisha Distribution Limited - TP Northern Odisha Distribution Limited - Tata Projects Limited Stakeholders' Relationship Committee Member - Tata Power Renewable Energy Limited Long Term Loans and Borrowings Committee Member - Tata Power Delhi Distribution Limited Risk Management Committee Member - Tata Power Renewable Energy Limited Power and Infrastructure Committee Chairman - Bombay Chamber of Commerce and Industry Corporate Social Responsibility Committee Member - Tata Power Renewable Energy Limited Project Review Committee Chairman - Tata Projects Limited Other positions held - CII National Committee of Power - CII Western Region Council

Details of remuneration last drawn	Please refer to the Report on Corporate Governance.	Please refer to the Report on Corporate Governance.
Details of remuneration sought to be paid	Sitting fees will be paid to Mr. Bhargava and commission, as approved by the Board, to LIC.	As set out in the Explanatory Statement.
No. of meetings of the Board attended during the year	4	6
Shareholding in the Company No. of shares held: (a) Own (b) For other persons on a beneficial basis	Nil Nil	Nil Nil

Independent Assurance Statement

Deloitte Haskins & Sells LLP

Chartered Accountants
One International Center
Tower 3, 27th-32nd Floor
Senapati Bapat Marg
Elphinstone Road (West)
Mumbai-400 013
Maharashtra, India

Tel: +91 22 6185 4000
Fax: +91 22 6185 4101

Independent Limited Assurance Report on Sustainability Disclosures in the Integrated Annual Report of The Tata Power Company Limited for the Financial Year Ended March 31, 2023

To the Board of Directors of The Tata Power Company Limited

Deloitte Haskins & Sells LLP was engaged by the management of The Tata Power Company Limited (the "Company") to provide independent limited assurance on sustainability Information including information in Business Responsibility and Sustainability Report (the "BRSR") together referred to as Sustainability Disclosures made with reference to the GRI Sustainability Reporting Standards, issued by the Global Reporting Initiative (the "GRI Standards") (herein the "GRI Standards Disclosures") and Guidance note for Business Responsibility & Sustainability Report format ("the Guidance Note") (the "Criteria"), in its Integrated Annual Report (the "Report") for the year ended March 31, 2023 as detailed in paragraph 3 - Subject Matter.

1. Responsibility of the Management

The Company's management is responsible for content and presentation of the Sustainability Disclosures in the Report, engagement with stakeholders, identification and presentation of information including the responsibility for establishing and maintaining relevant and appropriate performance management systems and internal control framework to facilitate collection, calculation, aggregation and validation of the data with respect to the management's basis of preparation with reference to GRI Standards Disclosures and the Guidance Note, included in the Report and preparation of the Report that is free from material misstatement, whether due to fraud or error.

2. Reporting Boundary

As represented by management, the reporting boundary of the Sustainability Disclosures in the Report covers the Company and its subsidiaries. Further, management has also represented that certain Sustainability Disclosures are limited to include specific subsidiaries based on their operations.

Our scope is limited to the Company, and its subsidiaries as mentioned in the below Subject Matter paragraph.

3. Subject Matter

We are required to provide limited assurance on Sustainability Disclosures specific to the period from April 1, 2022 to March 31, 2023 in accordance with the Criteria. The subject matter and scope of limited assurance covers the review and verification of Sustainability Disclosures per select GRI Standards Disclosures and the Guidance Note on sample basis at select locations of the Company / its subsidiaries as specified below:



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(LLP Identification No. AAB-8737)

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GRI Standards Disclosures	Indicator number as per GRI Standards	Companies (with location names) covered in the Report on sample basis as applicable
General Disclosures	2-1 to 2-3, 2-5	The Tata Power Company Limited
General Disclosures - Employees	2-7	The Tata Power Company Limited, Tata Power Delhi Distribution Limited and TP Southern Odisha Distribution Limited
Material Topics	3-1 to 3-3	The Tata Power Company Limited
Procurement Practices	204-1	The Tata Power Company Limited
Materials	301-1	The Tata Power Company Limited (Thermal Power plant at Mundra, Gujarat and Jojobera, Jharkhand and Hydro Power Plant Bhira, Maharashtra)
Energy	302-1, 302-3	
Water and Effluents	303-3, 303-4, 303-5	
Emissions	305-1 to 305-4, 305-7	
		Tata Power Renewable Energy Limited (Solar Power Plant at Dholera, Gujarat)
		Tata Power Renewable Energy Limited (Wind Power Plant at Dalot Rajasthan)
		Walwan Wind RJ Limited (Wind Power Plant at Pratapgarh Rajasthan)
		Walwan Energy RJ Limited (Wind Power Plant at Dangri, Rajasthan)
Effluents and Waste	306-3, 306-4, 306-5	The Tata Power Company Limited (Thermal Power plant at Mundra, Gujarat and Jojobera, Jharkhand and Hydro Power Plant Bhira, Maharashtra)
Biodiversity	304-1, 304-2, 304-3	The Tata Power Company Limited (Thermal Power plant at Mundra, Gujarat)
Employment	401-1	The Tata Power Company Limited, Tata Power Delhi Distribution Limited and TP Southern Odisha Distribution Limited
Labor / Management Relations	402-1	
Training and Education	404-1	
Occupational Health and Safety	403-9	
Diversity and Equal Opportunity	405-2	The Tata Power Company Limited



Independent Assurance Statement

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BRSR Section	Disclosure Number/ Essential Indicator	Companies (with location names) covered in the Report on sample basis as applicable
Section A - General Disclosures	18	The Tata Power Company Limited Tata Power Delhi Distribution Limited TP Southern Odisha Distribution Limited (disclosures covered for Employees)
Section C - Principle wise Performance Disclosure		
1 - Businesses should conduct and govern themselves with Integrity, and in a manner that is Ethical, Transparent and Accountable	1	The Tata Power Company Limited
2 - Businesses should provide goods and services in a manner that is sustainable and safe	1	The Tata Power Company Limited, The Tata Power Renewable Energy Limited
3 - Businesses should respect and promote the well-being of all employees, including those in their value chains	1,2,5,6,7,8,9	The Tata Power Company Limited, Tata Power Delhi Distribution Limited, TP Southern Odisha Distribution Limited (disclosures covered for Employees)
4 - Businesses should respect the interests of and be responsive to all its stakeholders	2	The Tata Power Company Limited
5 - Businesses should respect and promote human rights	1,2,3	The Tata Power Company Limited, Tata Power Delhi Distribution Limited, TP Southern Odisha Distribution Limited (disclosures covered for Employees)
6 - Businesses should respect and make efforts to protect and restore the environment	2	The Tata Power Company Limited (Thermal Power plant at Jojobera, Jharkhand)
8 - Businesses should promote inclusive growth and equitable development	2,4	The Tata Power Company Limited
9 - Businesses should engage with and provide value to their consumers in a responsible manner	3	The Tata Power Company Limited, TP Southern Odisha Distribution Limited



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4. Inherent limitations

The absence of a significant body of established practice on which to draw to evaluate and measure non-financial information allows for different, but acceptable, measures and measurement techniques and can affect comparability between entities

5. Our Independence, Ethical Requirements and Quality Control

Our team comprising multidisciplinary professional, have complied with independence policies of Deloitte Haskins and Sells LLP, which address the requirements of the International Federation of Accountants (the "IFAC") Code of Ethics for Professional Accountants in the role as independent auditors. We have complied with the relevant applicable requirements of the International Standard on Quality Control ("ISQC") 1, Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements.

We also confirm that we have maintained our independence in the Report and there were no events or prohibited services related to the Assurance Engagement which could impair our independence.

6. Our Responsibility

Our responsibility is to express a limited assurance conclusion on Sustainability Disclosures in the Report as described in the subject matter, based on the procedures we have performed and the evidence we have obtained. We conducted our limited assurance in accordance with International Standard on Assurance Engagement ISAE 3000 (Revised) Assurance Engagements Other than Audits or Reviews of Historical Financial Information ("ISAE 3000") issued by the IFAC. This standard requires us to comply with ethical requirements and to plan and perform our limited assurance engagement to obtain sufficient appropriate evidence about whether the Sustainability Disclosures are free from material misstatement.

A limited assurance engagement involves assessing the suitability in the circumstances of the Company's use of the Criteria as the basis for the preparation of the sustainability information, assessing the risks of material misstatement of the Sustainability Disclosures as detailed in paragraph 3 - Subject Matter whether due to fraud or error, responding to the assessed risks as necessary in the circumstances, and evaluating the overall presentation of the Sustainability Disclosures as detailed in paragraph 3 - Subject Matter.

A limited assurance engagement is substantially less in scope than a reasonable assurance engagement in relation to both risk assessment procedures, including an understanding of internal controls, and the procedures performed in response to the assessed risks.

The procedures we performed were based on our professional judgment and included inquiries, observation of processes performed, inspection of documents, evaluating the appropriateness of quantification methods and reporting policies, analytical procedures and agreeing or reconciling with underlying records.

Given the circumstances of the engagement, in performing the procedures listed above, we:

- Interviewed key personnel including senior executives at respective plant locations of the Company / its subsidiaries in the Subject Matter paragraph and at the corporate office of the Company to understand the systems and processes in place for capturing sustainability performance data during the reporting period;
- Tested data, reviewed records and relevant documentation submitted by the Company of its locations and of its subsidiaries as mentioned in Subject Matter paragraph as applicable, to arrive at the data presented in their Report; and

